

Win Exam in Management



Atlantic International University
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Win Any Exam in Management!



First edition

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Win Any Exam in Management!

With

Over 3000 solved questions in management!

Good Luck For your Exams!

About Author

Dr. Kanbiro Orkaido Deyganto



The author of this Book is Dr. Kanbiro Orkaido Deyganto academic advisor and Atlantic International University. He was young researcher with more than 50 research articles published in reputable international journals. Dr. Kanbiro's research interests include sustainable development goals, financial innovations, strategic planning, climate changes, Artificial intelligence, business innovation, transformational leadership implementation in secondary schools of Africa, African free trade economy, theology, human rights, strategic management, conflict management, marketing management, entrepreneurship, conflict management, indigenous conflict management strategies, corporate governance, human resources management, green finance, green economy, financial markets, politics, green energy, financial institutions, public finance, crypto currency, environmental accounting, corporate finance, Africa 2063 agendas, financial markets , and online business strategies.

Contact Address

Mobile: +251916030068/ +251927104907

Email: k.orkaido@aiu.edu

ORCID: <https://orcid.org/0000-0001-8412-1990>

SCOPUS Author ID: 57439622400

Overview of the book

This book is named as “***win any exit exam in management***” because it holds a full package of questions in core courses that test the knowledge, skills, and attitude of students in the business management/management department. It covers more than 3000 questions with detailed explanations of answers based on learning outcomes and core competencies of 16 major courses for management department according to five major thematic areas identified as basic for management graduates. The ***five major thematic areas*** on which the book will be based are:

- 🔗 ***Fundamentals of Management and Marketing (3 courses)***
- 🔗 ***Human Resource and Organizational Behavior (3 courses)***
- 🔗 ***Innovation, Strategy, and Project Management (4 courses)***
- 🔗 ***Managerial Statistics and Business Research (3 courses)***
- 🔗 ***Management Science and Financial Management (3 courses)***

Target customers of this book

- ☞ Management department students who are gaining to take the national Exit exam of Ethiopia
- ☞ Associates, and Bachelor degree in Management students in any college and universities across the world.
- ☞ Teachers of management/ department at any level
- ☞ Public and private higher education as well as TVET institutions
- ☞ Entrepreneurs and any other business field learners
- ☞ Masters, PhD and post doctorate students who seek knowledge

Objectives of the book

Atlantic International University (AIU) has been actively involved in collaborating with the United Nations (UN) to implement the 17 Sustainable Development Goals (SDGs). Through various initiatives and partnerships, AIU has been working towards creating a more sustainable and equitable world. AIU's commitment to these goals is reflected in its curriculum, research projects, and community engagement activities, all aimed at addressing the global challenges outlined by the UN. By integrating the SDGs into its educational programs and fostering a culture of sustainability, AIU is empowering its students and stakeholders to become agents of change and contribute towards building a better future for all. Sustainable Development Goal number 4 of the United Nation is to attain equitable and quality education around the world by 2030. Sustainable Development Goal #4 of the United Nation is to attain equitable and quality education around the world by 2030. So, the Atlantic International University is currently working to ensure inclusive and equitable quality education for all citizens. Hence, the overall objective of this book is to enhance the subject matter knowledge, skill, and attitude of identified five thematic areas of a Bachelor's, master's, and PhD Degrees in management. In line with the above general objective, specific objectives are:

- ✎ *Enhance knowledge, skills, and attitude of Fundamentals of Management and Marketing*
- ✎ *Improve knowledge, skills, and attitude of Human Resource and Organizational Behavior*
- ✎ *Develop knowledge, skills, and attitude of Innovation, Strategy, and Project Management*
- ✎ *Boost knowledge, skills, and attitude toward Managerial Statistics and Business Research*
- ✎ *Increase knowledge, skills, and attitude toward Management Science and Financial Management*
- ✎ *Fully Understand the basics of management/business management without teacher*
- ✎ *To build the personal competence of students in the field of study*
- ✎ *Energize the capacity to solve quantitative and qualitative questions*
- ✎ *Promote the potential to understand what students learned in the whole program*
- ✎ *To improve the overall know-how of business management/management for the society*

Programs offered at AIU

The authors would like to thank Atlantic International University (AIU) for financial support to undertake this book project. Atlantic International University (AIU) is an accredited online university that offers students the opportunity to pursue an education from the comfort of their own homes. With its unique online learning program, AIU provides a flexible and convenient way to earn a degree, regardless of where a student is located. AIU offers associates, bachelors, masters, doctoral as well and post-doctoral degree programs in a wide range of fields. The Programs Offered at Atlantic International University includes but is not limited to:

- | | |
|------------------------------------|-------------------------------------|
| <i>1) Business Administration,</i> | <i>9) Sociology,</i> |
| <i>2) Marketing management,</i> | <i>10) Education</i> |
| <i>3) Accounting and finance,</i> | <i>11) Health Sciences</i> |
| <i>4). Management,</i> | <i>12). Liberal Arts,</i> |
| <i>5) Business management,</i> | <i>13) Media and Communications</i> |
| <i>6) Computer Science</i> | <i>14) Social Sciences,</i> |
| <i>7) Engineering</i> | <i>15) Economics etc.</i> |
| <i>8) Psychology</i> | |

By joining AIU, you will learn anytime! anywhere! everywhere!

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Atlantic International University (AIU) is unique and non-repeatable!

TABLE OF CONTENTS

1. Fundamentals of Management and Marketing (3courses)	11
2. Human Resource and Organizational Behavior(3 courses)	96
3. Innovation, Strategy, and Project Management (4 courses).....	181
4. Managerial Statistics and Business Research (3 courses)	289
5. Management Science and Financial Management (3 courses)	355

THE BOOK COVERS

- ☞ **FUNDAMENTALS OF MANAGEMENT AND MARKETING**
- ☞ **HUMAN RESOURCE AND ORGANIZATIONAL BEHAVIOR**
- ☞ **INNOVATION, STRATEGY, AND PROJECT MANAGEMENT**
- ☞ **MANAGERIAL STATISTICS AND BUSINESS RESEARCH**
- ☞ **MANAGEMENT SCIENCE AND FINANCIAL MANAGEMENT**

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1. FUNDAMENTALS OF MANAGEMENT AND MARKETING

- 1) Introduction to Management
- 2) Principles of Marketing
- 3) International Marketing

1) INTRODUCTION TO MANAGEMENT (Answers for some questions are underlined)

1. The word "management" derives its origin from a word –

(A) Monos	(C) Nomos
(B) Konos	(D) Lomos

Answer: (C) Nomos
2. Who stated that management means, "Getting things done through and with people"?

(A) James	(C) Haimann
(B) Koontz and O'Donnell	(D) Henry Fayol

Answer: (B) Koontz and O'Donnell
3. Which concept holds that firms must strive to deliver value to customers in a way that maintains or improves the consumer's and society's well-being?

A. Marketing concept	C. Product concept
B. Selling concept	D. Societal marketing concept

Answer: D
4. Beyond simply retaining good customers, marketers want to constantly increase their "share of customer." What does this mean in marketing terms?

A. Marketers want to increase their market share.
B. Marketers want to increase the share they get of the customer's purchasing in their product categories.
C. Marketers want to increase the profit margin with this target market.
D. Marketers want to continuously increase their customers' levels of satisfaction.

Answer: B

5. From the following marketing concept, which one is balance consumer wants, society's interests and company profits?
- A. Product concept
 - B. Marketing concept
 - C. Societal marketing concept
 - D. Selling/sales concept

Answer: C

6. The set of marketing tools a firm uses to implement its marketing strategy is called
- A. Promotion mix
 - B. Product mix
 - C. Marketing mix
 - D. Marketing effort

Answer: C

7. Of the following, which is the most important concept of modern marketing?
- A. Customer relationship management
 - B. Societal marketing
 - C. Consumer-generated marketing
 - D. Properly trained salespeople

Answer: A Customer relationship management because Customer Relationship Management (CRM) is a strategy that companies use to manage interactions with customers and potential customers.

8. Management is the function of getting things done through people and directing the efforts of individuals towards a common objective". It is observed by –

- (A) Haimann
- (B) Koontz and O'Donnell
- (C) Hick
- (D) Henry Fayol

Answer: (A) Haimann

9. Hick defines management as "the process of getting things done by the and through the
- (A) People, Manager
 - (B) People, employee
 - (C) People, people
 - (D) Manager, People

Answer: (C) People, people

10. Koontz & d O'Donnell state that management means, "Getting things done
- (A) Through people
 - (B) With people
 - (C) Through or with people
 - (D) Through and with people

Answer: (D) Through and with people

11. According to Henry Fayol, "to manage is , to organize to command, to coordinate and to command"

- (A) To forecast
- (B) To plan
- (C) To budget and to control
- (D) To forecast and to plan

Answer: (D) To forecast and to plan

12. Haimann observes that, "management is the function of

- (A) Getting things done through people and directing the efforts of individuals towards a common objective.
- (B) Forecast, and to plan, to organize to command.
- (C) The process of getting things done by the people and through the people.
- (D) Thinking and utilizing human, material & financial resources in such a manner that would result in best combination.

Answer: (A) Getting things done through people and directing the efforts of individuals towards a common objective.

13. Which of the following is importance of management?

- (1) It arranges the factors of production, assembles and organizes the resources.
- (2) It helps the country to keep balanced approached in social order.
- (3) It utilizes all the physical & human resources productively.
- (4) It helps the employees to get stronger trade union.
- (5) It gets maximum results through minimum input by proper planning and by using minimum input.

Select the correct answer from the options given below –

(A) (4), (2) & (1)

(C) (1) & (3)

(B) (3), (2) & (5)

(D) (3), (1) & (5)

Answer: (D) (3), (1) & (5)

14. Importance of management:

(A) It enables the organization to survive in changing environment.

(B) It improves standard of living and increases the profit which is beneficial to business and society.

(C) Management fills up various positions with right persons, having right skills, training and qualification.

(D) All of the above

Answer: (D) All of the above

15. Management is science.

(A) Exact

(C) Pure

(B) An inexact

(D) Perfect

Answer: (B) An inexact

16. Management is -.....

(A) Science

(C) Both science and art

(B) Art

(D) History

Answer: (C) Both science and art

17. Management is an art. Which of the following statement does not support that management is art?

(A) The process of management involves the use of knowhow and skills.

(B) The process of management is directed towards the accomplishment of concrete results.

(C) The process of management is directed towards the accomplishment of concrete results.

(D) Management is personalized in the 5 sense that every manager has his own approach to problems.

(D) It deals with complex human phenomena about which knowledge is still limited

Answer: (D) It deals with complex human phenomena about which knowledge is still limited

18. Management qualifies all tests of a profession except

(A) Dominance of service motive

(C) Systematic body of knowledge

(B) Restricted entry

(D) Use of knowhow and skills

Answer: (D) Use of knowhow and skills

19. Who is popularly known as the 'founder of modern management theory'?

(A) Frederick Taylor

(C) Newmann and Summer

(B) Luther Gulick

(D) Henry Fayol

Answer: (D) Henry Fayol

20. Planning is deciding in advance –

(A) What is to be done

(C) When it is to be done

(B) How is to be done

(D) All of above

Answer: (D) All of above because Planning is deciding in advance what to do, how to do it, when to do it, and who should do it.

21. Which of the following is the preparatory step for actions and helps in bridging the gap between the present and the future?

(A) Controlling

(C) Motivating

(B) Directing

(D) Planning

Answer: (D) Planning

22. Which of the following comprises determination and laying down of objectives, policies, procedures, rules, programmes, budget, and strategies?

- (A) Motivating process
- (B) Planning process
- (C) Controlling process
- (D) Directing process

Answer: (B) Planning process

23. Which of the following is fundamental function of management and all other functions of management are greatly influenced by it?

- (A) Controlling
- (B) Directing
- (C) Motivating
- (D) Planning

Answer: (D) Planning

24. is concerned with both the “orderly” assemblage of human and material resources as well as the process of development of a structure of formally identified and distinguished tasks, roles and relationships that may be attributable to the various members so that they may effectively work as a group.

- (A) Planning
- (B) Directing
- (C) Organizing
- (D) Staffing

Answer: (C) Organizing

25. Organizing as a function of management involves –

- (A) Determination of activities of the enterprise keeping in view its objectives.
- (B) Laying down of suitable selection and placement procedures
- (C) Guiding, counseling and instructing the subordinates about the proper way of doing the job
- (D) Measurement of actual performance against the standard and recording deviations

Answer: (A) Determination of activities of the enterprise keeping in view its objectives.

26. provides the organization with adequate number of competent and qualified personnel at all levels in the enterprise.

- (A) Motivation process
- (B) Directing process
- (C) Forecasting process
- (D) HR process/staffing

Answer: (D) HR process/staffing

27. Which of the following function of management starts issuing orders and instructions to subordinates and ends with getting things done by satisfaction of various need of subordinates?

- (A) Motivation
- (B) Directing
- (C) Forecasting
- (D) Staffing

Answer: (B) Directing

28. Directing the subordinates involves –

- (A) Delegation of authority and fixing of responsibility for carrying out the assigned duties.
- (B) Guiding, counseling and instructing the subordinates about the proper way of doing the job.
- (C) Co-ordination of activities and authority relations throughout the organization.
- (D) Classification of activities into convenient groups for the purpose of division.

Answer: (B) Guiding, counseling and instructing the subordinates about the proper way of doing the job.

29. Control –

- (A) Is closely related to the planning job of the manager.
- (B) Should not be viewed merely as a postmortem of past achievements and performance.
- (C) Should suggest corrective measures so that negative deviations may not re-occur in future.
- (D) All of the above

Answer: (D) All of the above

30. Maintaining discipline and rewarding effective performance is part of function of management.

- (A) Planning
- (B) Directing
- (C) Forecasting
- (D) Staffing

Answer: (B) Directing

31. Which of the following consists in knowing the extent to which actions are in conformity with plans adopted and instructions issued so that errors and deviations are promptly reported and analyzed, and suitable corrective actions taken?

- (A) Forecast
- (B) Planning
- (C) Controlling
- (D) Decision

Answer: (C) Controlling

32. Controlling involves:

- (A) Harmonizing the work relations and efforts at all levels for common purpose.
- (B) Innovation because the manager not only adjusts his organization according to future conditions but also attempts to effect changes in these conditions.
- (C) Measurement of actual performance against the standard and recording deviations.
- (D) Issuing orders and instructions.

Answer: (C) Measurement of actual performance against the standard and recording deviations.

33. Which of the following is not one of the five elements of management?

- (A) Planning
- (B) Co-ordination
- (C) Centralization
- (D) Command

Answer: (C) Centralization

34. Control is closely related to the job of the manager.

- (A) Planning
- (B) Discipline
- (C) Order
- (D) Motivation

Answer: (A) Planning

35. Who is popularly known as the father of 'scientific management'?

- (A) Luther Gulick
- (B) Newmann
- (C) Henry Fayol
- (D) Frederick Taylor

Answer: (D) Frederick Taylor

36. How many principles of management have been suggested by the Henry Fayol?

- (A) Ten
- (B) Twelve
- (C) Fourteen
- (D) Fifteen

Answer: (C) Fourteen

37. Out of principles of management suggested by the Henry Fayol, 'Discipline' is necessary to ensure obedience and respect for –

- (A) Juniors'
- (B) Society
- (C) Superiors
- (D) Older people in society

Answer: (C) Superiors

38. "Unity of Command" means –

- (A) An employee shall give orders to one junior only.
- (B) An employee shall receive orders from one senior only.
- (C) An employee shall receive orders from as much senior as possible.
- (D) An employee shall have one plan for every action.

Answer: (B) An employee shall receive orders from one senior only.

39. "Unity of Direction" means –

- (A) An employee shall receive orders from one senior only.
- (B) A group of activities with common objectives shall have one head but different plans
- (C) A group of activities with common objectives shall have one head and one plan
- (D) More than one manager should supervise the employees.

Answer: (C) A group of activities with common objectives shall have one head and one plan

40. A group of activities with common objectives shall have one head and one plan. This principle is known as –

- (A) Scalar chain
- (B) Unity of discipline
- (C) Unity of command
- (D) Unity of direction

Answer: (D) Unity of direction

41. An employee shall receive orders from one senior only. This principle is known as

- (A) Scalar chain
- (B) Unity of discipline
- (C) Unity of command
- (D) Unity of direction

Answer: (C) Unity of command

42. As per Henry Fayol principle of “Subordination”-

- (A) Organizational interest should be subordinate to individual interest.
- (B) Individual interest should be subordinate to general interest.
- (C) Individual should not have any sort of interest at all.
- (D) Organizational interest should be subordinate to national interest.

Answer: (B) Individual interest should be subordinate to general interest.

43. Which of the following principle of Henry Fayol refers to superior-subordinate relations?

- (A) Esprit de corps
- (B) Stability of tenure of personnel
- (C) Division of work
- (D) Scalar chain

Answer: (D) Scalar chain

44. Fayol’s functions of management include:

- (A) Planning, designating, completing, cooperating
- (B) Punishing, commanding, organizing, coordinating, controlling
- (C) Preparing, commanding, operating, consulting, controlling
- (D) Planning, commanding, organizing, coordinating, controlling

Answer: (D) Planning, commanding, organizing, coordinating, controlling

45. Management is system.

- (A) Social
- (B) Close
- (C) An open
- (D) None of the above

Answer: (C) An open In management, an open system is one where a company functions while becoming increasingly mixed and complex due to its growing relationship with its environment

46. Scientific management is based on the assumption that –

- (A) Observation would reveal the workers need to be multi-skilled.
- (B) Workers can decide their own methods of performing tasks.
- (C) The scientific observation of people at work would reveal the one best way to do the task.
- (D) Workers would receive a set wage regardless of performance.

Answer: (C) The scientific observation of people at work would reveal the one best way to do the task.

47. Administration is concerned with –

- (A) Policy implementation
- (B) Policy making
- (C) Both (A) and (B)
- (D) Neither (A) nor (B)

Answer: (B) Policy making

48. Broadly speaking, administration is concerned with –

- (A) Planning
- (B) Organizing
- (C) Motivating and controlling
- (D) Planning and organizing

Answer: (D) Planning and organizing

49. Administration is done by –

- (A) Top level management
- (B) Middle level management
- (C) Lower level management
- (D) None of above

Answer: (A) Top level management

50. Board of directors of any company is normally concerned with –

- (A) Management
- (B) Administration

- (C) Health of managers
- (D) None of the above

Answer: (B) Administration

51. Administration is a process of -.....

- (A) Laying down broad policies
- (B) Objectives of the organization
- (C) Either (A) or (B)
- (D) Both (A) & (B)

Answer: (D) Both (A) & (B)

52. It is also said that administration is

- (A) Lower level function
- (B) Middle level function
- (C) Top-level function
- (D) None of the above

Answer: (C) Top-level function

53. Management includes –

- (A) Administrative management
- (B) Operative management
- 1. An all-pervasive function
- 2. Fundamental function
- (C) Either (A) or (B)
- (D) Both (A) & (B)

Select the correct answer from the options given below –

- (A) 2 only
- (B) Neither 1 nor 2
- (C) Both 1 and 2
- (D) 1 only

Answer: (D) 1 only

54. Administration can be viewed as:

- (A) Less important than management
- (B) The same thing as management
- (C) Part of management
- (D) Separate from management

Answer: (C) Part of management

55. Decision-making skills are required at –

- (A) Top level management
- (B) Middle level of management
- (C) All levels of management
- (D) None of the above

Answer: (C) All levels of management

56. Managers require a combination of technical competence, social and human skills and conceptual ability. Technical competence may be defined as:

- (A) The ability to view the complexities of the operations of the organization as a whole, including environmental influences
- (B) The ability to secure the effective use of human resources of the organization
- (C) The ability to apply specific knowledge, methods and skills to discrete tasks
- (D) None of the above

Answer: (C) The ability to apply specific knowledge, methods and skills to discrete tasks

57. What type of approach is most frequently identified with Human Capital Management (HCM)?

- (A) Controlling
- (B) Interpersonal and technical
- (C) Formalized, technical and manipulative
- (D) Influencing and manipulative

Answer: (C) Formalized, technical and manipulative

58. Which of the following is NOT a measure of a manager's effectiveness?

- (A) Absenteeism and sickness
- (B) Level of Staff turnover
- (C) Accidents at work
- (D) Speed of promotion through the organization

Answer: (D) Speed of promotion through the organization

59. Planning is deciding in advance –

- (I) What is to be done?
- (II) How is to be done?
- (III) When it is to be done?
- (IV) Who has to do it?

Select the correct answer from the options given below –

- (A) (I) (C) (I), (II), (III)
(B) (I), (II), (D) (I), (II), (III), (IV)

Answer: (D) (I), (II), (III), (IV)

60. Identify the best definition of planning.

- (A) An integrated process, in which plans are formulated, carried out and controlled.
(B) Devising ways of achieving the objectives of an organization.
(C) The core activity of planners and planning departments.
(D) Setting an organization's objectives and the means of reaching them.

Answer: (D) Setting an organization's objectives and the means of reaching them.

61. Planning –

- (A) Involves identification and classification of activities of the enterprise
(B) Involves choosing the proper course of action from among alternatives
(C) Is based upon individual incentives rather than group incentives
(D) Give employees fresh insights into their own personalities and it can also help them understand why others sometimes respond as they do.

Answer: (B) Involves choosing the proper course of action from among alternatives

62. Which qualities should a person possess to succeed in planning?

- (I) Reflective thinking (IV) Farsightedness
(II) Pondering (V) Reflecting
(III) Imagination

Select the correct answer from the options given below –

- (A) (I), (III) & (V) (C) (II),(III),(I)&(V)
(B) (IV), (III) & (II) (D) (IV), (I) & (III)

Answer: (D) (IV), (I) & (III)

63. Limitations of planning:

- (A) Planning is a continuous function of management
(B) Since the future cannot be predicted with absolute accuracy, premising is always subject to a margin of error and guess-work which are reflected in various plans based on them.
(C) Planning is an all-pervasive and a primary function of management.
(D) Planning is the selecting and relating of facts and the making and using of assumptions regarding the future in the visualization and formulation of proposed activities believed necessary to achieve desired results.

Answer: (B) Since the future cannot be predicted with absolute accuracy, premising is always subject to a margin of error and guess-work which are reflected in various plans based on them.

64. A statement defines the company's business, its objectives and its approach to reach those objectives.

- (A) Planning (C) Forecasting
(B) Mission (D) Policy

Answer: (B) Mission

Planning process comprises determination and laying down of –

- (i) Objectives (iv) Rules
(ii) Policies (v) Remuneration
(iii) Procedures

Select the correct answer from the options given below –

- (A) (i), (ii), (iii), (v) (C) (i), (ii), (iv), (v)
(B) (i), (ii), (iii), (iv) (D) (i), (iii), (iv), (v)

Answer: (B) (i), (ii), (iii), (iv)

65. The second step involved in planning process is the –

- (A) Evaluation of alternatives
- (B) Formulating derivative plans
- (C) Establishment of planning premises
- (D) Establishing objectives

Answer: (C) Establishment of planning premises

66. Which of the following can be treated as internal planning premise?

- (A) Politico-technological conditions
- (B) Socio-economic conditions
- (C) Sales forecast
- (D) Technological changes

Answer: (C) Sales forecast

67. Which of the following can be treated as external planning premise?

- (A) Politico-technological conditions
- (B) Marketing plans
- (C) Sales forecast
- (D) Strategic Plans

Answer: (A) Politico-technological conditions

68. Identify the correct steps in planning.

- I. Selecting a course of action
- II. Determining alternative courses
- III. Establishing objectives
- IV. Formulating derivative plans
- V. Evaluation of alternatives
- VI. Establishment of planning premises

Select the correct answer from the options given below –

- (A) III, VI, II, IV, I, V
- (B) VI, III, II, V, I, IV
- (C) III, IV, II, V, I, VI
- (D) III, VI, II, V, I, IV

Answer: (D) III, VI, II, V, I, IV

69. Identify correct steps in forecasting.

- I. Analysis of deviations
- II. Forecasting future course of business
- III. Improving the existing forecasting
- IV. Identifying and developing the structure

Select the correct answer from the options given below –

- (A) II, IV, I, III
- (B) III, I, II, IV
- (C) I, III, IV, II
- (D) IV, II, I, III

Answer: (D) IV, II, I, III

70. Statement 1: Forecasting does not play any role in planning.

Statement 2: Forecasts are based on postulations and assumptions and, as such, are subject to some amount of guess-work.

- (A) Statement 1 and Statement 2 both are false.
- (B) Statement 1 and Statement 2 both are true.
- (C) Statement 1 is true but Statement 2 is false.
- (D) Statement 2 is true but Statement 1 is false

Answer: (D) Statement 2 is true but Statement 1 is false.

71. Risk cannot be managed unless it is

- (A) Assessed
- (B) Identified
- (C) Measured
- (D) Evaluated

Answer: (B) Identified

72. In decision making under different conditions, what is the difference between risk and uncertainty?

- (A) Under risk, information is reliable; under uncertainty, it is not.
- (B) Under risk, choices are clear and the chances of different outcomes can be measured; under uncertainty, neither applies
- (C) Under risk, there is a well-defined problem; under uncertainty, the definition is unclear.
- (D) Under risk, probabilities can be measured; under uncertainty, they cannot

Answer: (B) Under risk, choices are clear and the chances of different outcomes can be measured; under uncertainty, neither applies

73. Which of the following is not a principle of decision-making?

- (A) Principle of definition
- (B) Principle of evidence

- (C) Principle of identity
- (D) Principle of prudence

Answer: (D) Principle of prudence

74. In case of decision making, “diagnosing the real problem implies”

- (A) Analyzing the internal and external factors and discovering relations between them
- (B) Knowing the gap between what exists and what is expected to happen, identifying the reasons for the gap
- (C) Decentralizing routine matters so that top management can concentrate on vital and strategic decisions
- (D) Actual selection of a course of action from among a number of alternatives

Answer: (B) Knowing the gap between what exists and what is expected to happen, identifying the reasons for the gap

75. Identify correct steps in decision making.

- I. Identifying the real problem
- II. Discovery of alternatives
- III. Analysis of available alternatives
- IV. Selection of alternatives
- V. Communication of decision

Select the correct answer from the options given below –

- (A) II, IV, I, III, V
- (B) III, I, II, IV, V
- (C) I, III, II, IV, V
- (D) I, II, III, IV,

Answer: (D) I, II, III, IV, V

76. Which of the following is not related with ‘business plans’?

- (A) Largely enforced business goals
- (B) The reasons why they are believed attainable
- (C) The plan for reaching those goals
- (D) Changes in perception and branding

Answer: (D) Changes in perception and branding

77. Which of the following best expresses the difference between programmed and non-programmed decisions?

- (A) Made by managers who prefer a thinking or technocratic style; made by managers who use judgment and follow intuition
- (B) Have computer routines developed for them; are not computerized
- (C) Handled with decision rules; decision rules cannot be developed
- (D) Occur under certainty or risk; occur under uncertainty or ambiguity

Answer: (C) Handled with decision rules; decision rules cannot be developed

78. Identify correct sequence/steps in organizing function of management.

- (I) Delegation of authority and placing of responsibility.
- (II) Identification and classification of activities of the enterprise consistent with its objectives.
- (III) Making provision for effective coordination and establishment of definite lines of supervision.
- (IV) Establishing superior subordinate relationship within the departments.
- (V) Grouping various activities into workable units or departments.

Select the correct answer from the options given below –

- (A) II, V, I, III & IV
- (B) II, V, IV, I & III
- (C) II, I, V, IV & III
- (D) II, V, I, IV & III

Answer: (D) II, V, I, IV & III

79. Which of the following is one of the steps in organizing function of management?

- (A) Identification of opportunities and avoiding or mitigating losses.
- (B) Grouping various activities into workable units or departments
- (C) Structured approach in managing uncertainty related to a threat.

(D) Promote greater openness in decision making and improves communication

Answer: (B) Grouping various activities into workable units or departments

80. Due to which function of management superior subordinate relationships are established?

(A) Planning

(C) Organizing

(B) Decision making

(D) Controlling

Answer: (C) Organizing

81. The total activities of an individual industrial organization may be separated into major functions like production, purchasing, marketing, and financing, and each such function is further sub-divided into various jobs. This is called as –

(A) Developing relationships

(B) Determination of objectives

(C) Identification and grouping of activities

(D) Risk management

Answer: (C) Identification and grouping of activities

82. Which of the following refers to the relationship between people based not on procedures but on personal attitudes, prejudices, likes and dislikes?

(A) Formal organization

(B) Informal organization

(C) Matrix organization

(D) Project organization

Answer: (B) Informal organization

83. Authority may be described as the right of a manager to command –

(A) Superiors

(C) Other manager

(B) Subordinates

(D) All of above

Answer: (B) Subordinates

84. It is that makes the managerial position real and vests in him the power to order his subordinates and secure necessary compliance.

(A) Authority

(C) Accountability

(B) Responsibility

(D) Duties & obligations

Answer: (A) Authority

85. is the obligation of a subordinate to carry out duties assigned.

(A) Authority

(C) Delegation

(B) Responsibility

(D) Power

Answer: (B) Responsibility

86. Which of the following denotes answer ability for the accomplishment of the task assigned by the superior to his subordinate?

(A) Responsibility

(C) Power

(B) Accountability

(D) Authority

Answer: (B) Accountability

87. Which of the following can be delegated?

(A) Power

(C) Accountability

(B) Responsibility

(D) Authority

Answer: (D) Authority

88. Which of the following refers to capacity to influence the behavior of others and secure obedience?

(A) Power

(C) Accountability

(B) Responsibility

(D) None of the above

Answer: (A) Power

89. Responsibility is exacted while authority flows

(A) Downward; upward

(C) Upward; downward

(B) Upward; upward

(D) Downward; downward

Answer: (C) Upward; downward

90. Arrange the process of delegation in proper form.

- (1) Creation of accountability
- (2) Allocation of duties

- (3) Assignment of responsibility
- (4) Delegation of authority

Select the correct answer from the options given below –

- (A) (3), (4), (2), (1)
- (B) (2), (3), (4), (1)
- (C) (2), (4), (1), (3)
- (D) (2), (4), (3), (1)

Answer: (D) (2), (4), (3), (1)

91. “Principles of exception” relating to delegation of authority requires that –

- (A) When authority is delegated, responsibility steps in and is coextensive with authority.
- (B) Whether specific or general, written or unwritten, delegation of authority must be very clear in terms of its contents, functional relations, scope and assignments.
- (C) Problems involving unusual matters should be referred upward and decided by higher level executives.
- (D) Specific written delegations help both the manager and the recipient of authority.

Answer: (C) Problems involving unusual matters should be referred upward and decided by higher level executives.

92. Principle of “clarity of delegation” required that –

- (A) Only problems involving unusual matters should be referred upward and decided by higher level executives.
- (B) When authority is delegated, responsibility steps in and is coextensive with authority.
- (C) Whether specific or general, written or unwritten, delegation of authority must be very clear in terms of its contents, functional relations, scope and assignments.
- (D) If the manager is able to pass on obligation along with delegation of authority to the subordinates, the rule of single chain of command will be violated.

Answer: (C) Whether specific or general, written or unwritten, delegation of authority must be very clear in terms of its contents, functional relations, scope and assignments.

93. As per scalar principal of delegation –

- (A) The delegate should also be given a clear idea about the tasks assigned, what is expected of the recipient in his own job and how his obligation fits into the general plan.
- (B) Whenever authority is delegated, responsibility steps in and is coextensive with authority.
- (C) It is expected that the recipient of authority shall make proper use of it and make all the decisions falling within the scope of his authority.
- (D) Subordinates must know who delegates authority to them and to whom matters beyond their own authority must be referred.

Answer: (D) Subordinates must know who delegates’ authority to them and to whom matters beyond their own authority must be referred.

94. As per principle of unity of command of delegation –

- (A) Subordinates must know who delegates authority to them and to whom matters beyond their own authority must be referred.
- (B) In case of delegation, except for the inevitable instances of splintered authority, the right of discretion over a particular activity will flow from a single superior to a subordinate.
- (C) Larger number of decisions and more important of them are made by those occupying higher positions in the organization.
- (D) Delegation of authority is essential in as much as no organization is possible without delegation.

Answer: (B) In case of delegation, except for the inevitable instances of splintered authority, the right of discretion over a particular activity will flow from a single superior to a subordinate.

95. Which of the following refers to the tendency to withhold a larger part of formal authority at higher echelons of management hierarchy?

- (A) Delegation of authority
- (B) Decentralization
- (C) Centralization
- (D) Exception principle

Answer: (C) Centralization

96. means partial dispersal of authority from central/top management to lower level.

- (A) Delegation of authority
- (B) Decentralization
- (C) Centralization
- (D) All of above

Answer: (B) Decentralization

97. Where larger part of the authority is delegated down the levels of management so that decisions are made a near the source of action, such a tendency in the organization is described a –

- (A) Delegation of authority
- (B) Decentralization
- (C) Centralization
- (D) Principle of functional definition

Answer: (B) Decentralization

98. Each individual should be given a particular job to do according to his ability and made responsible for that.' Which step in the organizing process does the sentence relate to –

- (A) Allotment of duties
- (B) Identification and grouping of activities
- (C) Developing relationships
- (D) Integration of activities

Answer: (A) Allotment of duties

99. The framework of interrelationships among individuals and departments that describe relationships of reporting and accountability is called –

- (A) Chain of command
- (B) Functional arrangement
- (C) Specialization
- (D) Organizational structure

Answer:(D) Organizational structure

100. The formal channel that defines the lines of authority and accountability in a hierarchical Organizational structure is called –

- (A) Line positions
- (B) Chain of command
- (C) Staff positions
- (D) Line and staff positions

Answer: (B) Chain of command

101. Determining the number of people who are accountable to a single manager refers to –

- (A) Chain of command
- (B) Degree of centralization
- (C) Span of control
- (D) Degree of specialization

Answer: (C) Span of control

102. Blue-collar workers are

- (A) Working on machines and engaged in loading, unloading
- (B) Clerical employees
- (C) Executive employees
- (D) Contract employees

Answer: (A) Working on machines and engaged in loading, unloading

103. White-collar workers are

- (A) Working on machines and engaged in loading, unloading
- (B) Clerical employees
- (C) Executive employees
- (D) Contract employees

Answer: (B) Clerical employees

104. The process of searching for prospective employees and encouraging them to apply for the jobs in an organization is known as –

- (A) Selection
- (B) Placement
- (C) Recruitment
- (D) Manpower planning

Answer: (C) Recruitment

105. is the process by which candidates for employment are distinguished between those who are suitable and those who are not.

- (A) Manpower planning
- (B) Selection

- (C) Recruitment
- (D) Induction

Answer: (B) Selection

106. Training is generally given to in organization.

- (A) Managers
- (B) Middle and lower level people
- (C) Executives
- (D) None of the above

Answer: (B) Middle and lower level people

107. Development process is taken for –

- (A) Middle and lower level people
- (B) Manager & executives
- (C) Debtor & creditors
- (D) Chairman & Directors

Answer: (B) Manager & executives

108. Which of the following is /are benefits of training?

- (A) It ensures long-term increase in the sales of the organization.
- (B) It helps to reduce the time and cost required to reach the acceptable level of performance.
- (C) It improves the leadership quality of employee.
- (D) It gives employees fresh insights into their own personalities and it can also help them understand why others sometimes respond as they do.

Answer: (B) It helps to reduce the time and cost required to reach the acceptable level of performance.

109. Direction starts with issuing to subordinates and ends with getting things done by satisfaction of various needs of subordinates.

- (A) Orders
- (B) Request
- (C) Instructions
- (D) (A) or (C)

Answer: (D) (A) or (C)

110. The most important characteristic of direction is –

- (A) Guiding
- (B) Procurement
- (C) Planning
- (D) Thinking

Answer: (A) Guiding

111. Which of the following is essential of the directing function of management?

- (A) Identifying the activities and grouping them into convenient classes
- (B) Motivating the subordinates to direct their behavior in a desired pattern.
- (C) Revise the structure on the basis of assessment of personnel and other resources
- (D) None of the above

Answer: (B) Motivating the subordinates to direct their behavior in a desired pattern.

112. Essential of the directing function –

- (A) Delegation of authority to the executives of the departments
- (B) Identifying and diagnosing the real problem
- (C) Analysis and evaluation of available alternatives
- (D) Maintaining discipline and rewarding effective performance.

Answer: (D) Maintaining discipline and rewarding effective performance.

113. Which of the following is not principle of direction?

- (A) Principle of unity of command
- (B) Principle of evidence
- (C) Principle of unity of direction
- (D) Principle of democratic leadership

Answer: (B) Principle of evidence

114. Which of the following is not principle of direction?

- (A) Principle of democratic leadership
- (B) Principle of navigational change
- (C) Principle of unity of direction
- (D) Principle of unity of command

Answer: (B) Principle of navigational change

115. Which of the following statements about leadership is false?
 (A) Leadership does not necessarily take place within a hierarchical structure of an organization
 (B) Not every leader is a manager
 (C) When people operate as leaders their role is always clearly established and defined
 (D) All of the above
Answer: (C) When people operate as leaders their role is always clearly established and defined
116. is a voluntary collective action to serve a common purpose. Whereas is the orderly synchronization of group efforts so as to provide unity of action in the pursuit of common purpose.
 (A) Motivation, Co-operation (C) Co-operation, Direction
 (B) Co-ordination, Co-operation (D) Co-operation, Co-ordination
Answer: (D) Co-operation, Co-ordination
117. Arrange the process of control in proper form.
 (1) Follow through (3) Corrective action
 (2) Establishment of goals and standards (4) Measurement of actual performance
118. Select the correct answer from the option given below –
 (A) (4), (2), (3), (1) (C) (4), (1), (3), (2)
 (B) (2), (3), (4), (1) (D) (2), (4), (3), (1)
Answer: (D) (2), (4), (3), (1)
119. Which of the following is essential of good control system?
 (A) Motivation (C) Self-control
 (B) Feedback (D) All of above
Answer: (B) Feedback
120. Organizational control systems:
 (A) Always penalize ethical decision making. (B) Rely entirely on formal controls
 (C) May help to embed corporate social responsiveness (D) Are just another name for budgeting
Answer: (C) May help to embed corporate social responsiveness
121. Consider the following statements: Planning involves –
 1. Forecasting
 2. Choice among alternative courses of action.
 3. Wishful thinking
 4. Decision only by production manager Of these statements:
 (A) 1,2, 3 and 4 are correct (B) 1, 3 and 4 are correct
 (C) 1 and 2 are correct (D) 2 and 3 are correct
Answer: (C) 1 and 2 are correct
122. If a general manager asks the sales manager to recruit some salesman on his behalf, it is an instance of –
 (A) Division of authority (B) Decentralization of authority
 (C) Delegation of authority (D) Delegation of responsibility
Answer: (C) Delegation of authority
123. While delegating, a superior delegates –
 (A) Only authority (B) Authority and responsibility
 (C) Authority, responsibility and accountability (D) Authority and responsibility but not accountability
Answer: (A) Only authority
124. Directing function of management implies
 1. Planning 3. Leadership
 2. Staffing 4. Motivation

Choose the correct answer using the codes given below:

(A) 1 and 2 (B) 3 and 4

(C) 2 and 4 (D) 2, 3 and 4

Answer: (B) 3 and 4

125. Consider the following statements:

1. Decentralization and delegation are closely interrelated.
2. Delegation and decentralization both are desirable.
3. Decentralization is not suitable for large organization.
4. Delegation is not possible in the case of small organizations.

Of these statements:

(A) 1 and 2 are correct (B) 2 and 3 are correct

(C) 1 and 4 are correct (D) 1, 3 and 4 are correct

Answer: (A) 1 and 2 are correct

126. Delegation of authority is linked to

(A) Managerial planning (B) Management coordination

(C) Management control (D) Scientific management

Answer: (C) Management control

127. Decentralization of an organization is commanded on account of which of the following advantages?

1. Reduced burden on top executives

3. Improvement of morale

2. Development of employees

4. Solves problems of coordination

Select the correct answer from the options given below.

(A) 2 and 3

(C) 1, 2 and 3

(B) 1,2 and 4

(D) 3 and 4

Answer: (C) 1, 2 and 3

128. When management pays attention to more important areas and when the day to day routine problems are looked after by lower level management, it is known as –

(A) Management by objectives (B) Management by Exception

(C) Participative Management (D) Critical path method

Answer: (B) Management by Exception

129. Staffing includes –

1. Training

3. Placement

2. Appraisal

4. Directing

(A) 1 and 3 (B) 2 and 3

(C) 1,2 and 3 (D) 1,2, 3 and 4

Answer: (C) 1,2 and 3

130. Span of controls means that -.....

(A) An organization consists of various departments (B) Each person's authority is clearly defined.

(C) Every subordinate has one superior.

(D) A manager can supervise only a limited

number of subordinates.

Answer: (D) A manager can supervise only a limited number of subordinates.

131. Which one of the following statement is correct?

(A) Planning and controlling are essentially one and the same.

(B) Controlling is a part of the planning process.

(C) Controlling is a substitute for planning

(D) A control process is meaningless without preset goals.

Answer: (D) A control process is meaningless without preset goals.

132. In the past three to four decades, many management theorists, and writers have made remarkable contribution in the study of management. By studying the various approaches to management analysis, we can understand the concept of management and have a better understanding of managerial functions. Which approach to management emphasizes managing people by understanding their individual psychological needs?

- (a) Empirical Approach
- (b) Decision Theory Approach
- (c) Management Science Approach
- (d) Interpersonal Behavior Approach
- (e) Contingency Approach.

Answer : (d) Reason : Interpersonal Behavior Approach to management emphasizes managing people by understanding their individual psychological needs. Hence, from above discussion, we can infer that option (d) is correct.

133. The communication process is made up of various components. Which of the following is the actual physical product from the source?

- (a) Feedback
- (b) Filter
- (c) Message
- (d) Channel
- (e) Understanding.

Answer : (c) Reason : The communication process is made up of various components. The message is the actual physical product from the source encoding. Hence, from above discussion, we can infer that option (c) is correct.

134. Which of the following would not be an accurate depiction of the differences between strategic and tactical planning?

- (a) Strategic planning is developed mainly by upper-level management and tactical planning is generally developed by lower-level management
- (b) Facts for strategic planning are generally easier to gather than facts for tactical planning
- (c) Strategic plans generally contain less details than tactical plans
- (d) Strategic plans generally cover a longer period of time than tactical plans
- (e) Managers who are engaged in the development of strategic plans tend to work in more uncertainty than those managers engaged in the development of tactical plans.

Answer : (b) Reason : Strategic plan is used to establish overall objectives for the organization and position the organization in terms of its environment. Facts for strategic planning are generally more difficult to gather than facts for tactical planning. Hence, from above discussion, we can infer that option (b) is correct.

135. Which of the following statements concerning grapevine is not correct?

- (a) Grapevine is generally used irregularly in organizations
- (b) Grapevine can and often does generate harmful rumors
- (c) Grapevine is used largely to serve the self-interests of people within it
- (d) Some managers use grapevine to their advantage
- (e) In time, and with proper pressure, grapevine can be eliminated.

Answer : (e) Reason : Grapevine is an integral part of Organizational communication and hence cannot be eliminated.

136. The conflict-resolution approach that corresponds with a high level of assertiveness and a low level of cooperativeness, is referred to as

- (a) Compromising
- (b) Collaborating
- (c) Forcing
- (d) Avoiding
- (e) Accommodating.

Answer : (c) Reason : The conflict-resolution approach that corresponds with a high level of assertiveness and a low level of cooperativeness, is referred to as Forcing. Hence, from above discussion, we can infer that option (c) is correct.

137. Which one of the following is most important goal of business communication?

- A. To create favorable relationship between sender and receiver

- B. To build Organizational goodwill
- C. Receiver response D. Receiver understanding

Answer: D

138. Downward communication flows from..... to

- A. Upper to lower C. Horizontal
- B. Lower to upper D. Diagonal

Answer: A

139. Grapevine communication is associated with _____communication.

- A. Formal C. Informal
- B. Horizontal D. Vertical

Answer: C

140. Control function is closely associated with the management function of

- A. Planning C. Organizing
- B. Staffing D. Directing

Answer: A

141. Controlling process includes

- A. Establishing Standards C. Taking corrective action
- B. Measuring Performance and compare it against standards D. All of the above

Answer: D

142. Ratio analysis helps a manager to compare the performance of the organization with its previous performance or the performance of its competitors. Which of the following is a ratio of creditors' contribution to that of the owners?

- (a) Current ratio (b) Debt-equity ratio
- (c) Return on investment (ROI) (d) Net profit margin (e) Inventory turnover.

Answer : (b) Reason : Debt-equity ratio indicates what percentage of the organization's assets creditors furnish.

143. _____is set of principles that explain the relationship between two or more observable facts or events.

- A. Theory C. Hierarchy
- B. Management D. System

Answer: A

144. Administrative management theory, was aiming at;

- A. Productivity of the organization C. Administration of entire organization
- B. Improving morale of employee D. Arrange institution logical

Answer: C

145. Which one grouped under higher order need, according to Abraham Maslow need theory?

- A. Physiological needs C. Esteem needs
- B. Social needs D. Security needs

Answer: C

146. Miss. Tigist Eyasu is the employee of Commercial Bank of Ethiopia and she belongs to a team which consists of ten staff with whom she enjoys her social life, share ideas, and exchange their secret. This type of organization or arrangement is mostly described as_____.

- A. Organization C. Departmentalization
- B. Formal organization D. Informal organization

Answer: D

147. One of the following is/are the objectives of training except:

- A. To maximize input use and minimize output

- B. To provide the knowledge, skills and attitudes for individuals to undertake their current job more effectively
- C. To help employees to become capable of assuming other responsibilities
- D. To help employees to adopt to changing circumstances

Answer: A

148. In what order do managers typically perform the managerial functions?

- A. Planning, staffing, organizing, directing, controlling
- B. Planning, organizing, directing, staffing, controlling
- C. Planning, organizing, staffing, controlling, directing
- D. Planning, organizing, staffing, directing, controlling

Answer: D

149. _____ is the process of achieving unity of effort among the various departments.

- A. Organization
- B. Differentiation
- C. Integration
- D. Fragmentation

Answer: C

150. Organizing structure does include the following:

- A. Line of authority & responsibility
- B. Number of hierarchical levels
- C. Span of managers' control
- D. All of the above

Answer: D

151. Which of the following is not included in our definition of management?

- A. Working with and through people
- B. Obtaining the maximum results from surplus resources
- C. Coordinating human and non-human resources
- D. Obtaining the maximum results from limited resources

Answer: B

152. An organization chart shows:

- A. The chain of command
- B. Channel of communication
- C. The hierarchy of decision making
- D. All of the above

Answer: D

153. The number of span of control is not determined by the following variables:

- A. Complexity and variety of the subordinates' work
- B. The ability and training of the subordinates
- C. Type of customers and services provided
- D. Company's philosophy for centralization and decentralization

Answer: C

154. _____ is adequate and equitable remuneration of personnel for their contributions to the achievement of Organizational objectives.

- A. Induction
- B. Placement
- C. Recruitment
- D. Compensation

Answer: D

155. _____ is referred as each employee must receive instructions from one manager

- A. Unity of command
- B. Span of control
- C. Equity
- D. Unity of direction

Answer: A

156. What are the three interpersonal roles of managers?

- A. Figurehead, leader & liaison
- B. Spokesperson, leader, disseminator
- C. Director, coordinator, disseminator
- D. Communicator, organizer, spokesperson

Answer: A

157. Managers' at all three levels of management require different kinds of skills to perform the functions associated with their jobs. A major difference in skill requirements between middle level and top-level managers is that
- A. Top managers require better interpersonal skills but less conceptual skills than middle managers
 - B. Top managers generally require better technical and interpersonal skills than middle managers
 - C. Top managers generally require higher level conceptual skills but less technical skills than middle managers
 - D. Middle managers require better technical and conceptual skills than top managers do
- Answer: C**
158. Which one of the following is not the advantage of delegation?
- A. It can be a training ground for executive ability
 - B. It gives executives more time for strategic planning and policy making
 - C. It is a motivational factor
 - D. It results in slow decisions
- Answer: D**
159. One of the following is true about span of control determining variables except:
- A. Companies that encourage centralization usually display wide span of control
 - B. The more complex subordinate's job, the greater should be number of subordinates
 - C. The more routine the work of subordinates, the greater the number of subordinates.
 - D. The more trained the subordinates are, the greater should be the number of subordinates.
- Answer: A**
160. One of the following indicates the symptoms of lack of co-ordination in organization except:
- A. Separation of authority and competence
 - B. Loss of control
 - C. Neglected responsibilities in organization
 - D. Job security
- Answer: D**
161. One of the following is under the category of major elements of staffing function:
- A. Acquisition
 - B. Retention
 - C. Separation
 - D. All of the above
- Answer: D**
162. Which of the following is not the guideline for effective delegation?
- A. Open communication between managers and employees
 - B. The management must limit/deny employees' freedom to accomplish delegated tasks
 - C. Establish adequate controls (feedback system)
 - D. Proper Selection and training
- Answer: B**
163. _____ is designing to provide new employees with information needed to function comfortably and effectively in the organization.
- A. Induction
 - B. Placement
 - C. Recruitment
 - D. Selection
- Answer: A**
164. Sister-Aster is the managing director of Goal Ethiopia. She has no idea what alternatives are available for new computer support systems and does not know how she can determine this information. This is a decision under:
- A. Conditions of certainty
 - B. Conditions of risk
 - C. Clear preferences
 - D. Conditions of uncertainty
- Answer: D**

165. Decisions that are routine are called:
- A. Programmed decisions
 - B. Standard decisions
 - C. Well-structured problem
 - D. Non-programmed decisions

Answer: A

166. Which of the following characterize a manager as being Effective?
- A. Use minimum amount of resource for the outputs produced.
 - B. Devote a large amount of time to planning.
 - C. Achieve their goals.
 - D. Interview, select, and train people who are most suitable to fill open jobs.

Answer: C

167. Which of the following characterize a manager as being Efficient?
- A. Use minimum amount of resource for the outputs produced.
 - B. Devote a large amount of time to planning.
 - C. Achieve their goals.
 - D. Interview, select, and train people who are most suitable to fill open jobs.

Answer: A

168. The decisions, which is taken within the view of the policy of the organization is _____.
- A. Programmed
 - B. Non-programmed
 - C. Major
 - D. Minor

Answer: A

169. Opening of a new branch is an example of _____.
- A. Programmed
 - B. Non-programmed
 - C. Major
 - D. Minor

Answer: B

170. Which of the following is not true regarding programmed decisions?
- A. They are made in well-structured situations
 - B. They are based on established policies and procedures
 - C. They are made mostly by lower-level managers
 - D. They limit the managers' flexibility.

Answer: C

171. Which category of roles does Sara the store manager use when she makes up the weekly schedule for her employees?
- A. Decisional
 - B. Interpersonal
 - C. Informational
 - D. Directive

Answer: C

172. Helen is the regional manager for a clothing retailer. She attends a ribbon cutting ceremony every time a new store opens for business. Which one of Mintzberg's managerial roles is she fulfilling?
- A. Figurehead
 - B. Liaison
 - C. Spokesperson
 - D. Disseminator

Answer: A

173. Which category of roles does a manager at Ethio-Computers is using if he is responsible for handling all price negotiations' with key suppliers of electronic circuit boards.
- A. Interpersonal
 - B. Informational
 - C. Liaison
 - D. Decisional

Answer: D

174. Which one of the following skill is a key for top-level management?
- A. Conceptual
 - B. Human
 - C. Technical
 - D. Interpersonal

Answer: A

175. Which of the following is/are not included in standing plans?

- A. Programs
- B. Projects
- C. Methods
- D. Budgets

Answer: C

176. Which of the following would not be an accurate depiction of the differences between strategic and tactical planning?

- A. Strategic planning is developed mainly by top-level management and tactical planning is generally developed by middle-level management
- B. Facts for strategic planning are generally easier to gather than facts for tactical planning
- C. Strategic plans generally cover a longer period of time than tactical plans
- D. Managers who are engaged in the development of strategic plans tend to work in more uncertainty than those managers engaged in the development of tactical plans

Answer: B

177. Mr. Temesgen Chama is the Personnel department manager of Awash Bank S.C, who monitors and receives compliance in Loan offices for recruitment, selection and performance appraisal systems. What types of authority is he applying?

- A. Line authority
- B. Functional authority
- C. Matrix authority
- D. Staff Authority

Answer: B

178. Placement of an employee to a better job which in extending prestige, salary, power and responsibilities is known as:

- A. Transfer
- B. Retirement
- C. Promotion
- D. Demotion

Answer: C

179. Once the candidates have been selected the immediate next task in human resource management is?

- A. Placement and induction
- B. Training and Development
- C. Performance Evaluation
- D. Compensation

Answer: A

180. The process of assessing the organization's strategy and environmental demands and then determining the appropriate Organizational structure is called

- A. Organizational design
- B. Organizational chart
- C. Organizational theory
- D. Organizational culture

Answer: A

181. In the area of diversity, establishing task forces or committees to explore issues and provide ideas, carefully choosing work assignments to support the career development of all employees, and evaluating the extent to which diversity goals are being achieved would most likely be classified under which of the following managerial functions?

- A. Planning
- B. Staffing
- C. Leading
- D. Organizing

Answer: D

182. is a process that involves defining the organizations objectives or goals, establishing strategy, and developing a hierarchy of plans.

- A. Management
- B. Planning
- C. Leading
- D. Organizing

Answer: B

183. Which level of management is most responsible for long-term planning?

- A. Top managers
- B. First-line managers

- C. Middle managers
- D. Supervisory level managers

Answer: A

184. _____ is a goal set by and for middle managers of the organization.

- A. Tactical Plan
- B. Strategic Plan

- C. Operational Plan
- D. Contingency Plan

Answer: A

185. Which decision-making environment is most difficult?

- A. Decision making under risk
- B. Decision making under certainty

- C. Decision making under constant
- D. Decision making under uncertainty

Answer: D

186. Which managerial skill is relatively equally important for all levels of managers within the organization?

- A. Human skills
- B. Conceptual skills

- C. Technical skills
- D. Information system skills

Answer: A

187. Which human resource activity is used to determine the extent to which an employee is performing the job effectively?

- A. Compensation
- B. Performance appraisal

- C. Selection
- D. Development

Answer: B

188. Which type of communication flows from higher level to one or more lower levels in the organizations

- A. Downward communications
- B. Diagonal communications

- C. Upward communications
- D. Horizontal communications

Answer: A

189. Screening job applicants and using several effective interviews, managers can lessen (minimize) the chance of hiring people who lack necessary skills or experience to perform effectively, is what type of control?

- A. Feed forward control
- B. Concurrent control

- C. Feedback control
- D. Ongoing control

Answer: A

190. Which of the following refers to the arrangement of positions in an organization and their formal relationships to one another?

- A. Job design
- B. Organizational structure

- C. Controlling
- D. Delegation

Answer: B

191. Mr. Asado Kaba is a Chief executive officer (CEO) of an organization. He is at which level of management

- A. Lower level
- B. Middle level

- C. Top level
- D. Team leader

Answer: C

192. A systematic process to evaluate an individual employee's job performance is called

- A. Training program
- B. Selection process

- C. Recruitment process
- D. Performance appraisal

Answer: D

193. Planning can't eliminate change. Managers plan in order to_____.

- A. Be prepared for when changes in management at the top occurs

- B. Anticipate changes and develop the most-effective response to changes
- C. Decide what needs to be done when a change in environments happen
- D. Have the appropriate materials available when the demand for them comes about.

Answer: B

194. Top management works on

- A. Strategic plan
- B. Corporate plan
- C. Budgeting
- D. Tactical plan

Answer: A

195. A "Strategic plan" is also called

- A. Long-term plan
- B. Short-term plan
- C. Intermediate plan
- D. Operational plan

Answer: A

196. The first step in planning process is to_____.

- A. Set an objective
- B. Evaluate alternatives
- C. Determine strength and weaknesses
- D. Define the problems

Answer: A

197. _____ is the determination of alternative courses of action to be taken if an intended plan of action is unexpectedly disrupted or rendered inappropriate.

- A. Contingency Plan
- B. Crisis Management
- C. Tactical Plan
- D. Strategic Plan

Answer: A

198. Gantt chart is mostly used for_____

- A. Routing
- B. Scheduling
- C. Follow up
- D. Inspection and quality control

Answer: B

199. What is one of the most significant inhibitors in customer preference while purchasing perishable items in retail?

- A. Proximity of markets
- B. Customer preference to brands
- C. Price of the product
- D. Durability of the product

Answer: A

200. _____ exists among a set of businesses when the businesses' economic value together is greater than their economic value separately.

- A. Planning
- B. Synergy
- C. Motivation
- D. Decision Making

Answer: B

201. Identify the right sequence from the broader to the narrowest in terms of their scope

- A. Projects, Policies, Programs
- B. Policies, Programs, Projects
- C. Programs, Projects, Policies
- D. Projects, Programs, Policies

Answer: C

202. When companies take over functional operations of other firms, such as human resources, information systems, payroll, accounting, or customer service, this is called_____

- A. Marketing
- B. Outsourcing
- C. Licensing
- D. Franchising

Answer: B

203. Strategy formulation consists of the following activities except _____

- A. Developing a vision and mission
- B. Identifying external opportunities and threats
- C. Establishing long term objectives
- D. Establishing annual objectives

Answer: D

204. In management process, the most misinterpreted word is

- A. Organizing
- B. Staffing
- C. Controlling
- D. Planning

Answer: D

205. The word that denotes a function, a task, a discipline.

- A. Management
- B. Leadership
- C. Motivation
- D. Coordination

Answer: A

206. _____ is a process of influencing people.

- A. Motivation
- B. Leadership
- C. Delegation
- D. Controlling

Answer: B

207. The factor that makes employees to be continually interested in doing a job is:

- A. Selection
- B. Recruitment
- C. Motivation
- D. Development

Answer: C

208. Dividing the work based on functions performed refers to:

- A. Centralization
- B. Departmentalization
- C. Authority
- D. Responsibility

Answer: B

209. A leadership style that allows employees to do their work by themselves is:

- A. Autocratic
- B. Democratic
- C. Laissez-Faire
- D. Charismatic

Answer: C

210. Horizontal communication takes place between.....

- A. Superior to subordinate
- B. Employees with the same status
- C. Subordinate to superior
- D. Middle level to top level

Answer: B

211. From the following, which one is/are not the paramount importance of planning function?

- A. Lays ground for other managerial function
- B. Minimize risk and uncertainty
- C. Facilitate Control
- D. Guarantee Success

Answer: D

212. Which one of the following is different from others?

- A. Establishing broad objectives
- B. Developing specific targets in their areas of responsibility
- C. Providing overall leadership and direction
- D. Making overall control of the organization

Answer: B

213. _____ is a philosophy of management and an approach of planning that describe management and subordinate work together in identifying and setting up objective.

- A. Organizational objectives
- B. Management by objectives
- C. Group objectives
- D. Corporate objectives

Answer: B

214. Which one is TRUE about leadership?

- A. It is the studies of human behaviour in organization
- B. It creates suitable working environment for employees
- C. It occurs when one individual influence other to do something voluntarily

D. It is an influence by so many members of a group or organization

Answer: D

215. What is the reason that lets leadership is an art?

- A. It is a growing body of knowledge
- B. It describes an objective fact about the leadership process
- C. It tells how to use leadership skills to attain Organizational goals
- D. It is a practice and an intense personal exploration and development

Answer: C

216. Which of the following is true about leadership?

- A. Leaders and manager are the same.
- B. Leadership is the art of influencing people so that they will strive forcefully toward goal achievement.
- C. Leadership and motivation are not related.
- D. Leadership is the ability to persuade others to seek defined objectives enthusiastically.

Answer: D

217. Among the leadership theories, which one represent “portray great leaders as /epic/heroic, mythic, and destined to rise to leadership when needed”

- A. Great man Theory
- B. Treat theory
- C. Behavioral theory
- D. Contingency theory

Answer: A

218. _____ is the manner and approach of providing direction, implementing plans, and motivating people

- A. Leadership style
- B. Motivation
- C. Leading
- D. Decision making style

Answer: A

219. The two broad areas of communication are:

- A. Oral and written communication
- B. Verbal and non-verbal communication
- C. Verbal and written communication
- D. Oral and non-verbal communication

Answer: B

220. Which of the following describes the leadership style in which the leader generally gives the group complete freedom to make decisions and complete the work in whatever way it sees fit?

- A. Cultural style
- B. Autocratic style
- C. Democratic style
- D. Laissez-faire style

Answer: D

221. The fundamental purpose for the existence of any organization is described by its

- A. Policies
- B. Vision
- C. Mission
- D. Strategies

Answer: C

222. From the functional area of an organization, which one is particularly important in managing the flow of external messages

- A. Marketing and sales, and Human resource function
- B. Public relations and Accounting and finance function
- C. Marketing and sales, and public relations function
- D. Human resource management and operations management functions

Answer: C

223.exists among a set of businesses when the businesses' economic value together is greater than their economic value separately.

- A. Leadership
- B. Synergy

- C. Motivation
- D. Delegation

Answer: B

224.is a process of influencing people.

- A. Motivation
- B. Leadership

- C. Delegation
- D. Controlling

Answer: B

225. Which of the following indicates the correct sequence of the elements of communication in the communication process?

- A. Sender, Receiver, Channel, Message, Feedback
- B. Receiver, Feedback, Sender, Message, Channel

- C. Sender, Channel, Message, feedback, Receiver
- D. Sender, Message, Channel, Receiver, Feedback

Answer: D

226. Correct arrangement of Maslow's need of hierarch

- A. Physiological, security, affiliation, esteem, and self-actualization
- B. Basic, social, security, esteem and self-actualization
- C. Physiological, affiliation, security, esteem and self-actualization
- D. Psychological, security, affiliation, esteem and self-actualization

Answer: A

227. Motivator factors includes all except

- A. Work itself
- B. Recognition

- C. Salary
- D. Advancement

Answer: C

228. Which types of authority advisory in nature?

- A. Line authority
- B. Functional authority

- C. Staff authority
- D. Mix authority

Answer: C

229. Grouping jobs according to the functions of an organization is called

- A. Functional departmentalization
- B. Geographic departmentalization

- C. Product departmentalization
- D. Customer departmentalization

Answer: A Functional departmentalization

230. Combining functional and project/product patterns of departmentalization in the same organization is called

- A. Functional departmentalization
- B. Geographic departmentalization

- C. Matrix departmentalization
- D. Customer departmentalization

Answer: C Matrix departmentalization

231. The factual statement giving the requirements of personnel who should be made responsible for a given job is known as

- A. Job specification
- B. Job analysis

- C. Job design
- D. Job description

Answer: A Job specification

232. Learning by doing is called

- A. On-the- job training
- B. Off- the-job training

- C. Vestibule training
- D. Simulated training

Answer: A On-the- job training

233. The discontinuation of the relation between employee & the employer is

- A. Separation
- B. Promotion

- C. Performance appraisal
- D. Demotion

Answer: A Separation

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2) PRINCIPLES OF MARKETING

1. Which of the following is true about marketing?

- A. Marketing is used to promote the product and services
- B. Marketing is concerned about the sales only
- C. Marketing is the activity, set of institutions, and processes for creating, communicating, delivering, and exchanging offerings that have value for customers, clients, partners, and society at large.
- D. Marketing considers only the needs of the organization and not the society

Answer: C) Marketing is the activity, set of institutions, and processes for creating, communicating, delivering, and exchanging offerings that have value for customers, clients, partners, and society at large.

Explanation: Marketing is the activity, set of institutions, and processes for creating, communicating, delivering, and exchanging offerings that have value for customers, clients, partners, and society at large.

2. Which one is not a part of the 4 Ps?

- A. Product
- B. People
- C. Price
- D. Place

Answer: B) People

Explanation: People are a part of the 7 Ps. The concept of the 7 Ps is used in service marketing.

3. Who is the Father of Modern Marketing?

- A. Philip Kotler
- B. Peter F Drucker
- C. Abraham Maslow
- D. Raymond Kroc

Answer: A) Philip Kotler

Explanation: Philip Kotler is the father of modern marketing. He is an American marketing author and professor emeritus.

4. _____defined marketing as the science and art of exploring, creating, and delivering value to satisfy the needs of a target market at a profit?

- A. Steve Jobs
- B. Philip Kotler
- C. Peter Drucker
- D. Abraham Maslow

Answer: B) Philip Kotler

Explanation: Philip Kotler is the father of modern marketing. He is an American marketing author and professor emeritus.

5. The term "Marketing" refers to?

- A. Promotion of the product
- B. Focusing on sales and profit
- C. Strategizing and implementing the organization process
- D. Set of activities to deliver customer value and satisfaction

Answer: D) Set of activities to deliver customer value and satisfaction

Explanation: The latest idea of marketing is that it is a set of activities to deliver customer value and satisfaction. There were different phases when marketing was considered more about production and selling.

6. ____ is the key term in AMA's definition of marketing?

- A. Sales
- B. Promotion
- C. Value
- D. Profit

Answer: C) Value

Explanation: In its standard definition of marketing, the American Marketing Association focuses on Value to the customers.

7. Why must the marketers monitor the competitor's activities?

- A. The competitor may destroy the organization
- B. The competitor may threaten the monopoly position of the company
- C. New offerings of a competitor may need alterations in one or more components of the company's marketing mix
- D. The competitor may be violating the law to gain an advantage

Answer: C) New offerings of a competitor may need alterations in one or more components of the company's marketing mix

Explanation: Monitoring the competitor's activities helps the company to modify its plans and activities to remain profitable and sustained in the market.

8. Different price points for a different level of quality for a company's related products is a part of which pricing strategy?

- A. Product line pricing
- B. Incremental pricing
- C. Optional product pricing
- D. By-product pricing

Answer: A) Product line pricing

Explanation: In product line pricing the company adds features to the base product and charges more for the features, as compared to the base product.

9. In today's time marketing must be understood and developed as?

- A. Getting the first mover's advantage
- B. Creating value for the customers
- C. Pushing for higher sales and profits
- D. Creating innovative products

Answer: B) Creating value for the customers

Explanation: The concept of marketing has evolved from production to creating value for the customers. Today the customers don't buy the product simply because they are available, but if they add value to the customer.

10. Which one of these is an appropriate definition of "want"?

- A. The desires of consumers
- B. Needs related to society
- C. Basic human needs
- D. Needs directed to the product

Answer: D) Needs directed to the product

Explanation: When a buyer sees a gap or problem it is a need. Only when the buyer decides that his need can be fulfilled by a particular product does it become a want.

11. In the evolution of marketing the production period ended in ?

- A. Late 1800s
- B. After the second world war
- C. In the 1920s
- D. Early 20th century

Answer: C) In the 1920s

Explanation: Before the 1920s demand was related to production. The companies focused on producing new products and a demand was created automatically.

12. According to Philip Kotler marketing is ____?

- A. A science
- B. An art

- C. Both science and art
- D. None of the above

Answer: C) Both science and art

Explanation: Marketing, according to Philip Kotler, is neither a science nor an art. It is a mix of both. A smart marketer understands when to depend on data and when to use intelligence.

13. Which concept holds that consumers will favor the products that are easily available at an affordable price?

- A. Production concept
- B. Product concept

- C. Marketing concept
- D. Production cost concept

Answer: B) Product concept

Explanation: In the Product Concept the marketers believed that if a product is readily available at a lower price, the customers will prefer to buy it over a product that is difficult to find and expensive.

14. What does the term "marketing" refer to?

- A. New product development
- B. Advertising and other promotional activities

- C. Achieving sales and profit targets
- D. Creating customer value and satisfaction

Answer: D) Creating customer value and satisfaction

Explanation: The latest idea of marketing is to focus on creating customer value and satisfaction. When you can create value for customers, they will prefer your products and services over others.

15. Which part of the consumer's income interests the marketers?

- A. Gross Income
- B. Disposable Income

- C. Inflationary Income
- D. Discretionary Income

Answer: D) Discretionary Income

Explanation: Discretionary Income is the amount of income that is left for spending or investing after the customer has paid for the personal necessities and taxes.

16. Catalogues, sponsored events, and digital media presence are closely associated with the marketing mix activity of?

- A. Product development
- B. Pricing

- C. Promotion
- D. Sales

Answer: C) Promotion

Explanation: These mediums are primarily used to spread awareness among consumers and promote the products and services among the target consumers.

17. Early adopters and opinion leaders tend to?

- A. Buy new products in their circles first and voice their opinion
- B. Buy tried and tested products
- C. Being from upper class, users from other classes are followers
- D. Don't take risks easily

Answer: A) Buy new products in their circles first and voice their opinion

Explanation: The early adopters are willing to take the risk and try new things. They often buy new products in their circles first. They also share their opinions about the products among their social circles.

18. To achieve market expansion a company must?

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- A. Use distribution channels more effectively
- B. Use advertising campaigns more effectively
- C. Price their products more strategically
- D. All of the above

Answer: D) All of the above

Explanation: Focusing on only one or two will not yield the desired results. For market expansion, the marketer must take a broader approach and focus on all the activities to achieve the goals of expansion.

19. In an organization strategic marketing planning must begin with?

- A. Hiring a senior planning consultant
- B. Establishing Organizational goals and objectives
- C. Writing the mission statement
- D. Writing the vision statement

Answer: C) Writing the mission statement

Explanation: Writing the mission statement is essential to create a successful marketing plan. A well-written mission statement gives a clear direction and the marketing plan can be developed to achieve the goals.

20. In the service industry how many Ps comprise the marketing mix?

- A. 4 Ps
- B. 7 Ps
- C. 10 Ps
- D. 8 Ps

Answer: B) 7 Ps

Explanation: The concept of 7Ps is followed in the service industry. The product industry mainly uses 4Ps.

21. Which period worked on the marketing philosophy of "A good product will sell itself"?

- A. Marketing
- B. Production
- C. Sales
- D. Relationship

Answer: B) Production

Explanation: During the Production Period the marketers focused more on the quality of their products. Whether the products add value to the customers was not considered much.

22. Which of the following describes "diversification"?

- A. New products in new markets
- B. New products in existing markets
- C. Existing products in an existing market
- D. Existing products in new markets

Answer: A) New products in new markets

Explanation: Diversification is a concept where a company not only focuses on new products but also explores new markets.

23. Which traits are desired of marketers today?

- A. Only creativity
- B. Only critical thinking
- C. Both creativity and critical thinking
- D. Neither creativity nor critical thinking

Answer: C) Both creativity and critical thinking

Explanation: In today's time a marketer has to be both a creative and critical thinker. With these two capabilities, the marketer can better understand the consumers and come up with solutions that add value.

24. What is motive development?

- A. The imbalance between the customer's actual and desired state in which gap or problem-solving is recognized

- B. The gap between the customer's current state and past state
- C. The balance between the customer's actual and desired state
- D. The gap between the customer's and his colleague's current state

Answer: A) The imbalance between the customer's actual and desired state in which gap or problem-solving is recognized

Explanation: There is always an imbalance between the customer's actual and desired state. A marketer's key role is to recognize this gap and recognize a feasible solution.

25. Producers, wholesalers, and retailers act as a unified system to form a?

- A. Vertical marketing system
- B. Horizontal marketing system
- C. Traditional marketing system
- D. Hierarchical marketing system

Answer: A) Vertical marketing system

Explanation: The producers, wholesalers, and retailers work in a straight chain and fulfill the task to make the products available to the end user.

26. Select the strategic marketing planning tool?

- A. A BCG matrix
- B. Market analysis
- C. Consumer analysis and scanning model
- D. Market vulnerability/business opportunity analysis

Answer: A) A BCG matrix

Explanation: BCG matrix uses market share and market growth to understand a product's position in the market to its competing products.

27. Achieving strategic marketing objectives using marketing plans and strategies is called?

- A. Target achievement
- B. Marketing implementation
- C. Market penetration
- D. Goal setting

Answer: B) Marketing implementation

Explanation: When the marketing goals are achieved through successful utilization of strategies and plans it is said to be well implemented.

28. Using a successful brand name to launch a new product in a different category is called?

- A. Line extension
- B. Brand expansion
- C. Brand extension
- D. Branding

Answer: C) Brand extension

Explanation: When a company uses an established brand name and launches a new product category that may or may not relate to the existing product it is called Brand extension.

29. The marketer focuses on product awareness, trial, and expansion in this stage of the product life cycle?

- A. Growth Stage
- B. Decline Stage
- C. Maturity stage
- D. Introduction stage

Answer: D) Introduction stage

Explanation: At the Introduction stage the marketer should not focus on profits or sales. The main objective at this stage should be to make customers aware of the product and willing to try it.

30. The major objective of any marketing activity is to?

- A. Sell
- B. Promote

C. Create

D. Increase awareness

Answer: A) Sell

Explanation: All marketing activities have one primary objective. This aim is to achieve sales. If the product is not selling despite all the marketing activities, either the marketing plan or the product is at fault.

31. When a firm believes that competitive edge depends purely on its ability to innovate, it is following?

A. Competitive model

C. Out-of-the-box thinking

B. Conventional model

D. None of the above

Answer: B) Conventional model

Explanation: In the Conventional model a marketer believes that a better product will sell itself. Whether the product adds value to the customer or not is not a consideration under the conventional model.

32. Which of the following is important for the success of a differentiated product with unique customer benefits?

A. Early recognition of the need

C. Product superiority

B. Large scale promotion

D. Detailed analysis

Answer: C) Product superiority

Explanation: When a product is offering some unique benefits to the customers it must be superior to its counterparts. If the solutions offered are not superior to its competitors, customers may not show interest in switching to that product.

33. Choose the correct sequence of activities for brand building?

A. Selecting brand elements > Leveraging secondary associations > Developing a marketing program

B. Developing marketing program > Selecting brand elements > Leveraging secondary associations

C. Leveraging secondary associations > Developing marketing program > Selecting brand elements

D. Selecting brand elements > Developing marketing program > Leveraging secondary associations

Answer: D) Selecting brand elements > Developing marketing program > Leveraging secondary associations

Explanation: Selecting brand elements > Developing marketing program > Leveraging secondary associations.

34. Which marketing channel makes the products available to end users without intermediaries?

A. Indirect channel

C. Dynamic channel

B. Direct channel

D. Flexible channel

Answer: B) Direct channel

Explanation: In Direct Channel the company does not depend on intermediaries like distributors, wholesalers, or retailers to make the products available to the customers.

35. One company adjusts its marketing budget by observing another company's budget. This process is called?

A. Objective and task method

C. Competitive parity method

B. Competitor analysis

D. Affordable budget allocation

Answer: C) Competitive parity method

Explanation: A company does competitor analysis and makes changes to its budget and plans to stay competitive in the market by adjusting to the practices of the competitor.

36. At which stage of the product cycle is the profit typically negative?

- A. Decline stage
- B. Growth stage
- C. Maturity stage
- D. Growth stage

Answer: D) Growth stage

Explanation: At the Growth stage the product gains market share and the sales go high. However, a lot of efforts and expenses are occurred to achieve this growth. The net profit is generally negative at this stage.

37. Which of the following facts defines the break-even point?

- A. Total revenue is less than the total cost
- B. Total revenue is the same as the total cost
- C. Total profit is more than the total cost
- D. The total cost is less than the total cost

Answer: B) Total revenue is the same as the total cost

Explanation: A company is said to have achieved the breakeven point when the total revenue generation is the same as the total cost incurred.

38. The expenses paid to workers for overtime are considered as?

- A. Fixed cost
- B. Variable cost
- C. Dependent cost
- D. Total cost

Answer: B) Variable cost

Explanation: The overtime done by workers changes and depends on the emphasis to achieve goals. Thus it qualifies as a Variable cost.

39. During the societal marketing period what was firms' main concern for marketing?

- A. Producing high-quality products
- B. Social and ethical concerns in marketing
- C. Achieving sales target
- D. Understanding consumer insights

Answer: B) Social and ethical concerns in marketing

Explanation: The companies focused on social and ethical concerns in their marketing activities during this period. In the current times, the focus has shifted to adding value to the customers.

40. ____ is achieved when customer expectations are met regarding the quality of products and services along with the value-based price?

- A. Quality excellence
- B. Customer satisfaction
- C. Value proposition
- D. None of the above

Answer: B) Customer satisfaction

Explanation: The customer is satisfied with his purchase when the quality of the product is par with expectations and he feels he is not being over-charged for the product or the service.

41. Dividing the market into homogeneous groups is called?

- A. Segmentation
- B. Classification
- C. Analysis
- D. Grouping

Answer: A) Segmentation

Explanation: In segmentation, the target customers are combined together considering some common factors like age, income, gender, etc. The ones having similar values are put together and there is homogeneity in the data.

42. Good marketing is a result of careful planning and ____?

- A. Research
- B. Sales
- C. Execution
- D. Strategies

Answer: C) Execution

Explanation: A good marketing plan is important to successfully achieve the objective. Execution of a good plan is equally important to achieve these objectives.

43. Logistics management is mainly concerned about?

- A. Promotion
- B. Production
- C. Supply chain management
- D. Sales

Answer: C) Supply chain management

Explanation: Logistics management focuses majorly on Supply chain management. It does not cover production, promotion, or sales.

44. What do you understand by marketing buzz?

- A. Social marketing
- B. Traditional marketing
- C. Digital marketing
- D. Viral marketing

Answer: D) Viral marketing

Explanation: Viral Marketing is used by marketers to create a buzz about the product or service in the market. The aim is to achieve maximum reach and spread the word as fast as possible.

45. Which markets buy goods or services to further process them or use them in the production process?

- A. Secondary markets
- B. Consumer markets
- C. Government markets
- D. Business markets

Answer: D) Business markets

Explanation: The Business Markets purchase goods or services, not for consumption. The intent is to use these products or services and create a new product or service to be sold to the customers.

46. What do you understand by brand loyalty?

- A. Consumer's emotional attachment to the brand
- B. Consumer's social attachment toward the brand
- C. Fulfillment of consumers' needs
- D. Feel good factor when using a brand's product

Answer: A) Consumer's emotional attachment to the brand

Explanation: Consumer's emotional attachment towards a brand. A brand loyal customer has emotional reasons to buy a product rather than logical reasons.

47. A description of people and their place in society is covered under?

- A. Geographic segmentation
- B. Demographic segmentation
- C. Income group
- D. Age group

Answer: B) Demographic segmentation

Explanation: Demographic Segmentation describes the target customer with respect to their age, income, gender, location, and place in society.

48. When a firm sets high initial prices which fall with entry of competitors in the market, it is called?

- A. Competitive pricing
- B. Price skimming

- C. Entry barrier
- D. Monopolistic competition

Answer: B) Price skimming

Explanation: In a Price skimming strategy a company sets high prices for its products eventually reducing the price to meet the market average.

49. Who gave the concept of five forces?

- A. Seth Godin
- B. Michael Porter

- C. Tim Ferriss
- D. None of the above

Answer: B) Michael Porter

Explanation: Michael Porter, the father of modern marketing gave the concept of Five forces to analyze a company's competitive environment.

50. Which of the following is not a part of Barriers to Entry?

- A. Government policies
- B. Patents

- C. High capital requirements
- D. New Entrants

Answer: D) New Entrants

Explanation: New Entrants are competitors which bring new dimensions to the market competitors. They are not a barrier to entry.

51. In the buying process, when a customer recognizes a need or a problem, what is the stage called?

- A. Information search
- B. Alternative evaluation

- C. Purchase
- D. Need recognition

Answer: D) Need recognition

Explanation: Need recognition is the stage when a customer realizes a problem and then starts to search for a solution available in the market.

52. At which stage of the product life cycle do the sales slowdown and profits level off or decline?

- A. Introduction
- B. Growth

- C. Maturity
- D. Decline

Answer: D) Decline

Explanation: When a product reaches the Decline stage, it is typically characterized by a fall in sales and subsequent profits. At this stage, the product needs to be renewed or replaced.

53. When adopting a new product, the customer does not go through which of the following?

- A. Interest
- B. Comparison

- C. Culture
- D. Awareness

Answer: C) Culture

Explanation: A customer product adoption cycle comprises of Awareness > Interest > Evaluation/Comparison > Trial > Adoption

54. The evaluation of the difference between total benefits and total costs of one marketing offer in comparison to competitive offers is known as?

- A. Customer satisfaction
- B. Customer perceived value

- C. Customer expectation
- D. Customer relationship

Answer: B) Customer perceived value

Explanation: Customer perceived value is a customer's perception of a product's advantages and desirability in comparison to a competitor's products.

55. Which company created Great Value for the customer using technology innovation and became a game changer?

- A. Apple
- B. Nokia
- C. Samsung
- D. Oneplus

Answer: A) Apple

Explanation: While every other company was focusing on new features and technological advancements, Apple focused on creating great value for the customer through innovation in its products.

56. In general political campaigns are examples of ?

- A. Digital marketing
- B. Social marketing
- C. Personal marketing
- D. Conventional marketing

Answer: C) Personal marketing

Explanation: While political campaigns talk about social and economic issues they primarily focus on how the suggested leader will be able to achieve those goals thus becoming an example of Personal marketing.

57. What is the major factor that differentiates a service from a product?

- A. Availability
- B. Intangibility
- C. Price
- D. Experience

Answer: B) Intangibility

Explanation: A product can be measured and evaluated on various measurable parameters. On the other hand, a service cannot be measured on any standard parameters. The acceptance of service as good or bad purely depends on a customer's personal experience and expectations.

58. "Everyone likes a Mercedes car but few can buy it. "This is an example of?

- A. Demand
- B. Desire
- C. Want
- D. Need

Answer: A) Demand

Explanation: Need is recognition of a gap or problem. It becomes a Want when the customer decides that the need can be fulfilled by a specific product. Demand is when the want is backed by purchasing power.

59. In which technique does a company use the social network on the internet to create the brand image?

- A. Community outreach
- B. Viral marketing
- C. Social Marketing
- D. Traditional Marketing

Answer: B) Viral marketing

Explanation: In Viral Marketing a company uses social media platforms to bring awareness and create a brand image among the masses on a large scale.

60. Re-marketing is used for creating demand for which of the following?

- A. Non-usable product
- B. Reusable products
- C. The renewed use of existing products
- D. New Products

Answer: C) The renewed use of existing products

Explanation: When a company tries to reposition an existing product with new uses it is called Re-marketing.

61. What does demographic segmentation stand for?

- A. Geographic locations
- B. Description of people and their place in society
- C. People living in diversified areas
- D. Location of target customers

Answer: B) Description of people and their place in society

Explanation: Demographic segmentation identifies a market segment based on the physical and social traits of target customers such as age, gender, income, etc.

62. Choose the factor which is not included as a part of the physical supply?

- A. Storage
- B. Standardization
- C. Transport
- D. Packaging

Answer: B) Standardization

Explanation: Standardization is a component of production. The other three are a part of the supply chain.

63. in demographic segmentation which of these factors is not considered?

- A. Age
- B. Income
- C. Interests
- D. Gender

Answer: C) Interests

Explanation: Demographic segmentation identifies a market segment based on the physical and social traits of target customers such as age, gender, income, etc.

64. When a customer buys a product without logical thinking, his decision is?

- A. Emotional
- B. Rational
- C. Patronage
- D. All of the above

Answer: A) Emotional

Explanation: When a customer does not evaluate a product or service based on the merits and price he is displaying emotional buying behavior.

65. Charging low prices from the introduction stage to gain growth in the market is?

- A. Premium
- B. Penetration
- C. Skimming
- D. Rational pricing

Answer: B) Penetration

Explanation:

At the introduction stage many companies keep their prices low as a part of the strategy to penetrate the market.

66. Which of the following is also called a supermarket?

- A. Self-service store
- B. Retail store
- C. Hypermarket
- D. All of the above

Answer: A) Self-service store

Explanation: The concept of supermarkets developed with the idea of Self-service. Where a customer picks and buys a product without any sales assistance.

67. What is the full form of MPR?

- A. Marketing Public Relations
- B. Monitoring Public Relations
- C. Management of Public Relations
- D. Measurement of Public Relations

Answer: A) Marketing Public Relations

Explanation: Marketing Public Relations focus on building the brand indirectly by engaging in campaigns that are not purely commercial.

68. Who used the term Meta Marketing for the first time?

- A. Philip Kotler
- B. Eugene J Kelly
- C. Robert Kiyosaki
- D. None of the above

Answer: B) Eugene J Kelly

Explanation: Eugene J Kelly coined the term Meta marketing during a discussion on the issue of ethics and science in marketing. This widened the horizon of marketing by including not-for-profit organizations.

69. Which of the following is the best distribution channel for vacuum cleaners?

- A. Telemarketing
- B. Retail Stores
- C. Direct Marketing
- D. All of above

Answer: C) Direct Marketing

Explanation: Direct Marketing is the best distribution channel for vacuum cleaners.

70. E-marketing is a part of which of the following?

- A. E-payment
- B. E-commerce
- C. E-mail marketing
- D. Traditional marketing

Answer: B) E-commerce

Explanation: E-marketing is an integral part of E-commerce since the E-commerce company works in the internet space and doesn't have physical stores.

Which one of the following is NOT primary value chain activities

- b. Operations
- c. Marketing and sales
- d. Human resource management
- e. Inbound logistics

Answer: C

71. All of the following are accurate descriptions of concept marketing, EXCEPT which one

- A. Marketing is the creation of value for customers.
- B. Marketing is managing profitable customer relationships.
- C. Marketing involves satisfying customers' needs.
- D. Marketing is used by for-profit and not-for-profit organizations

Answer: D

72. Which of the following is known to consist of diverse collection of incentive tools, mostly short term designed stimulate sale of particular products?

- a. Personal selling
- b. Advertising
- c. Public relation
- d. Sales promotion

Answer: D

73. _____ is defined as a social and managerial process by which individuals and organizations obtain what they need and want through value creation and exchange.

- A. Selling
- B. Advertising
- C. Marketing
- D. Negotiating

Answer: C

74. _____ are human needs as shaped by individual personality and culture.

- A. Needs
- B. Wants
- C. Demands
- D. Values

Answer: B

75. From the strategies of distribution, which involves only on wholesaler, retailer or industrial distributors handling the company's goods or services?

- a. Exclusive distribution
- b. Selective distribution
- c. Intensive distribution
- d. Mass distribution

Answer: A

76. From marketing mix elements, which one is only elements that generate profit?

- a. Promotion
- b. Place
- c. Price
- d. Product

Answer: C

77. When backed by buying power, wants become _____.

- A. Social needs
- B. Demands
- C. Transactions
- D. Exchanges

Answer: B

78. Marketing strategy means_____

- A. Ideas for new employment
- B. Old techniques of selling
- C. Techniques for improving marketing activities
- D. Techniques for increasing production

Answer: A

79. Which one of the following is the act of obtaining a desired object from someone by offering something in return?

- A. Barter
- B. Exchange
- C. Bribery
- D. Transactions

Answer: B

80. Consumer research, product development, promotion, distribution, pricing, and service are all the core activities of

- A. Finance
- B. Marketing
- C. Management
- D. Production

Answer: B

81. The art and science of choosing target markets and building profitable relationships with them is called _____.

- A. Marketing management
- B. Market positioning
- C. Market segmentation
- D. Product differentiation

Answer: A

82. Which of the following marketing management orientations focuses primarily on improving efficiencies along the supply chain?

- A. Production concept
- B. Product concept
- C. Selling concept
- D. Marketing concept

Answer: A

83. The _____ concept is aligned with the philosophy of continuous product improvement and the belief that customers will choose products that offer the most in quality, performance, and innovative features.

- A. Production
- B. Product
- C. Selling
- D. Marketing

Answer: B

84. The selling concept says that a company should do which of the following

- A. Improve marketing of its best products
- B. Market only those products with high customer appeal
- C. Focus on making continuous product improvements
- D. Make promoting products the top priority

Answer: D

85. Which concept calls for aggressive selling and focuses on generating transactions to obtain profitable sales?

- A. Marketing
- B. Product
- C. Selling
- D. Societal marketing

Answer: C

86. Amazon.com leverages relationships with its 35 million customers by offering them music, videos, gifts, toys, consumer electronics, and office products, among other items. Based on previous purchase history, the company recommends related CDs, books, videos, or other products that might interest a customer. This most directly helps Amazon.com capture a greater

- A. Customer lifetime value
- B. Share of customer
- C. Profit margin
- D. Share of market

Answer: B

87. Which concept holds that achieving Organizational goals depends on knowing the needs and wants of target markets and delivering the desired satisfactions better than competitors do?

- A. Product
- B. Production
- C. Selling
- D. Marketing

Answer: D

88. According to the production concept, consumers will favor products that are _____ and _____.

- A. Satisfying; quality focused
- B. Advertised; affordable
- C. Segmented; convenient
- D. Available; affordable

Answer: D

89. Tewoldebrhan of Ethio-Airlines used the marketing concept in his successful organization. Having a customer department rather than a marketing department, as suggested by Tewoldebrhan, is an example of a(n) _____ perspective.

- A. Outside-in
- B. External
- C. Inside-out
- D. Modern

Answer: A

90. Beza enjoys her work at Hewan Designs, Inc. Her organization understands and anticipates customer needs even better than customers themselves do and creates products and services to meet current and future wants and demands. Ruhama firm practices.

- A. Customer-driven marketing
- B. Customer-driving marketing
- C. Relationship marketing
- D. Social marketing

Answer: A

91. Building, keeping, and growing profitable relationships by delivering customer value and satisfaction is called

- A. Customer lifetime value
- B. Customer perceived value

C. Customer relationship management

D. Societal

marketing

Answer: C

92. _____ is defined as the customer's evaluation of the differences between all the benefits and all the costs of a marketing offer relative to those of competing offers.

A. Customer equity

C. Customer evangelism

B. Customer satisfaction

D. Customer-perceived value

Answer: D

93. Which of the following best explains why consumers have greater power and control in today's marketplace?

A. Implementation of the product concept has resulted in continually improving products.

B. Customer-driven marketing creates products and services that meet customers' future needs.

C. More companies are implementing social marketing and weighing long-term costs and benefits.

D. Through new communication technologies, customers have more access to information and more methods of sharing their opinions with other customers.

Answer: D

94. Mr. Abebayehu Chama, the owner of a highly successful regional supermarket chain, reacts adversely to losing a single customer sale. He feels that this amounts to losing the entire stream of future purchases that a customer is likely to make if he or she remains in the area. Mr. Abebayehu concern is an illustration of which of the following.

A. Market share

C. Customer lifetime value

B. Profitability

D. Market share maintenance

Answer: D

95. You are directed to study the actors close to the company that affect its ability to serve its customers-departments within the company, suppliers, marketing intermediaries, customer markets, competitors, and publics. What are you studying?

A. The macro-environment

C. The marketing environment

B. The micro-environment

D. The demographic environment

Answer: B

96. Which of the following terms is used to describe the factors and forces outside marketing that affect marketing management's ability to build and maintain successful relationships with target customers?

A. The marketing mix elements

C. The cultural environment

B. The marketing environment

D. Economic environment

Answer: B

97. You are directed to study the demographic, economic, natural, technological, political, and cultural factors that are larger societal forces affecting your company. What are you studying?

A. The macro-environment

C. The external environment

B. The micro-environment

D. The global environment

Answer: A

98. Which of the following is **NOT** a type of factor in a company's macro-environment?

A. Demographic

C. Technological

B. Economic

D. Competitive

Answer: B

99. Which type of organization helps companies to stock and move goods from their points of origin to their destination?

A. Financial intermediaries

C. Marketing services agencies

B. Physical distribution firms

D. Competitor company

Answer: B

100. Banks, credit companies, insurance companies, and other businesses that help finance transactions or insure against the risks associated with the buying and selling of goods and services are referred to as _____.

- A. Rivalry firms
- B. Financial intermediaries
- C. Physical distribution firms
- D. Marketing services agencies

Answer: B

101. A _____ is defined as any group that has an actual or potential interest in, or impact on, an organization's ability to achieve its objectives.

- A. Competitor
- B. Government
- C. Intermediary
- D. Society

Answer: C

102. What is the first step in the marketing research process?

- A. Developing a marketing information system
- B. Defining the problem and research objectives
- C. Developing the research plan for collecting information
- D. Implementing the research plan

Answer: B

103. Which type of market buys goods and services for further processing or for use in the production process?

- A. Business
- B. Reseller
- C. Wholesale
- D. Consumer

Answer: B

104. _____ is the systematic collection and analysis of publicly available information about consumers, competitors, and developments in the marketing environment.

- A. Marketing intelligence
- B. Sales management
- C. Customer intelligence
- D. Competitive intelligence

Answer: B

105. Your marketing department is currently researching the size, density, location, age, and occupations of your target market. Which environment is being researched?

- A. Demographic
- B. Psychographic
- C. Geographic
- D. Cultural

Answer: A

106. Which one of the following is the systematic design, collection, analysis, and reporting of data relevant to a specific marketing situation facing an organization.

- A. The marketing information system
- B. Marketing intelligence
- C. Marketing research
- D. Competitive intelligence

Answer: C

107. Which of the following is NOT a potential source for marketing intelligence?

- A. Looking through competitors' garbage
- B. Purchasing competitors' products
- C. Monitoring competitors' sales
- D. Collecting primary data

Answer: D

108. The consumer market is made up of which of the following?

- A. Individuals who acquire goods or services for resale purpose
- B. Households that purchase goods or services for personal consumption
- C. Businesses that purchase goods and services
- D. Industry purchase inputs for production purpose

Answer: B

109. In the model of buyer behavior, which of the following is NOT a major type of force or event in the buyer's environment?

- A. Economic
- B. Technological
- C. Channel
- D. Cultural

Answer: C

110. When a company reviews sales, costs, and profit projections for a new product to find out whether these factors satisfy the company's objectives, they are in which of the following new process development stages?

- A. Business analysis
- B. Concept development and testing
- C. Commercialization
- D. Marketing strategy development

Answer: A

111. A company is in the stage of the new product development process when the company develops the product concept into a physical product in order to assure that the product idea can be turned into a workable product.

- A. Commercialization
- B. Marketing strategy
- C. Product development
- D. Business analysis

Answer: C

112. Which of the following is the final phase in the product development process?

- A. Test marketing
- B. Commercialization
- C. Product testing
- D. Business analysis

Answer: B

113. Which of the following best explains why a rush of marketers now participate in established online social networks?

- A. Social networking has been proven to be more effective than traditional marketing.
- B. Social networks allow companies to have greater control over brand-related content than other media do.
- C. Members of social networking sites are unlikely to tune out personalized advertising messages.
- D. Consumers are more likely to view peer-to-peer communication as credible.

Answer: C

114. A person's buying choices are influenced by four major psychological factors. Which is **NOT** one of these factors?

- A. Motivation
- B. Perception
- C. Alternative evaluation
- D. Learning

Answer: D

115. When consumers are highly involved with the purchase of an expensive product and they perceive significant differences among brands, they most likely will undertake _____.

- A. Habitual buying behavior
- B. Complex buying behavior
- C. Reflective buying behavior
- D. Variety-seeking buying behavior

Answer: B

116. When customers have a low involvement in a purchase but perceive significant brand differences, they will most likely engage in _____.

- A. Complex buying behavior
- B. Dissonance-reducing buying behavior
- C. Variety-seeking buying behavior
- D. Brand conviction buying behavior

Answer: C

117. A shoe company uses ads featuring the members of a country music band with the hope that the band's fans will see them wearing the company's shoes and want to wear the same shoes. The shoe company is hoping that fans of the band view the band as a _____.

- A. Membership group
- B. Reference group

- C. Status symbol
- D. Subculture

Answer: B

118. Mr. Melese is buying his first house. He has found two houses that he thinks he likes. He is highly involved in the purchase and perceives significant differences between these two houses. Mr. Melese will likely undertake _____.

- A. Variety-seeking buying behavior
- B. Complex buying behavior
- C. Opinion leadership
- D. Dissonance-reducing buying behavior

Answer: B

119. Mr. Milion works to keep customers happy after each sale, aiming to delight the customer in order to gain a customer for life. In this pursuit, Mr. Milion is focused on which step of the buyer decision process?

- A. Need recognition
- B. Information search
- C. Purchase decision
- D. Post-purchase behavior

Answer: D

120. Miss. Dasash wants to buy a new iPhone series. During the _____ stage of her purchase process she will ask her friends to recommend a store and/or a series of iPhone. She will search the newspaper for iPhone sales, and she will visit nearby stores to see what is available in her price range.

- A. Alternative evaluation
- B. Need recognition
- C. Information search
- D. Purchase decision

Answer: C

121. Mr. Desta is in the process of buying a new car. He is highly involved in the purchase and perceives significant differences among his three favorite models. Mr. Desta's next step is most likely to be

- A. Alternative evaluation
- B. Information search
- C. Post-purchase decision
- D. Purchase decision

Answer: A

122. The process of market segmentation is strongly related to which other marketing concept?

- A. Brand management
- B. Economic analysis
- C. Distribution strategies
- D. Product differentiation

Answer: D

123. Why is market segmentation carried out

- A. To break down large markets into smaller markets
- B. Provides an opportunity to surpass competitors
- C. Allows the achievement of greater market share
- D. By grouping together customers with similar needs, it provides a commercially viable method of serving these customers

Answer: D

124. To be effective, the process of market segmentation must meet which of the following basic requirements

- A. The firm must avoid focusing on non-variables such as profitability and volume.
- B. The market segment must have measurable purchasing power and size
- C. The company must expand beyond its marketing capabilities to capture growing markets.
- D. The market segment must reflect the population's changing attitudes and lifestyles

Answer: B

125. Which of the following are the three broad groups of consumer segmentation criteria?

- A. Organizational size, demographic and behavioural variables
- B. Behavioural, psychological and demographical

- C. Behavioural-, gender- and industry- type variables.
- D. Psychographic, sociological and price variables.

Answer: B

126. Distribution channels are...

- A. Paths of product life cycle
- B. The paths products take from the producer to the consumer
- C. Ways of buying goods
- D. The paths products take from wholesaler to consumer

Answer: B

127. Introducing a new product at a price low enough to attract a large share of the market is called:

- A. Skimming pricing
- B. Psychological pricing
- C. Penetration pricing
- D. Geographic pricing

Answer: C

128. Which of the following is a stage in the new product development process, undertaken when a new product is tested with a sample of customers, or is launched in a specified geographical area, to judge customers' reactions prior to a national launch?

- A. Test marketing
- B. Commercialization
- C. Business analysis
- D. Idea screening

Answer: A

129. What is another name for the practice of introducing a new product at a high price for a brief period, in the hopes of recouping production costs?

- A. Penetration pricing
- B. Skimming pricing
- C. Cost plus pricing
- D. Markup pricing

Answer: B

130. Which can be presented to consumers symbolically or physically

- A. Test marketing
- B. Concept testing
- C. Business analysis
- D. Product concept

Answer: B

131. Which phase of the product life cycle is considered to be the most critical?

- A. Introduction
- B. Growth
- C. Maturity
- D. Decline

Answer: A

132. When the demand for a product exceeds maximum supply, firms should operate according to the

- A. Marketing concept
- B. Product concept
- C. Production concept
- D. Selling concept

Answer: C

133. Which of the following best states the marketing concept?

- a. The customer is always right
- b. Make the very best product and people will buy it
- c. Keep costs low and the firm will be profitable
- d. Do everything to satisfy customers at a profit

Answer: D

134. When a company strives to appeal to multiple well defined market segments with a strategy tailored to each segment, it is applying

- a. Undifferentiated marketing
- b. Differentiated marketing
- c. Concentrated marketing
- d. Mass marketing

Answer: D

135. During which step of the marketing segmentation, targeting, and positioning process does the firm —develop a marketing mix for each segment?

- a. Market segmentation
- b. Market targeting

- c. Market positioning
- d. The firm does not go through the — development during any of the above steps

Answer: B

136. Branding is concerned with _____ component of 4P's

- a. Promotion
- b. Place
- c. Price
- d. Product

Answer: D

137. Narrowly focused markets that are defined by some special interest are termed as

- a. Target markets
- b. Mass markets
- c. Niche markets
- d. Differentiated markets

Answer: C

138. The product that exceeds customers' expectations due to value addition is

- a. Basic product
- b. Core product
- c. Expected product
- d. Augmented product

Answer: D

139. When the focus is on making a single product and selling it to several different market segments, it is

- a. Selective specialization
- b. Product specialization
- c. Market specialization
- d. Full market coverage

Answer: B

140. Goods that customers usually purchase frequently with minimum efforts are ____ goods.

- a. Convenience
- b. Shopping
- c. Specialty
- d. Unsought

Answer: C

141. The type of customer market that buy goods and services for further processing is called a:

- a. Business market
- b. Consumer market
- c. Government market
- d. Reseller market.

Answer: A

142. The groups within a company such as top management, finance, and R&D are called the

- a. Macro-environment
- b. Internal environment
- c. Natural environment
- d. Uncontrollable environment

Answer: B

143. The process of monitoring and analyzing the marketing environment of a company is called:

- a. Situational Analysis
- b. Market Analysis
- c. Market Scanning
- d. Environmental Scanning

Answer: D

144. Why does a business create a unique selling point for a product?

- a. To design the look of packaging
- b. To set the product's price
- c. To gain a competitive advantage
- d. To reduce product life cycle span

Answer: C

145. A group of products that are physically similar is called:

- a. A product line
- b. A product mix
- c. A product concept
- d. A product item

Answer: A

146. Land Rover is a European manufacturer of bicycles. It makes bikes especially designed for men and for women. It also makes bikes that are designed for city riding, mountain riding, and racing. By dividing the market for its bicycles into several small groups, it is engaging in:

- a. Market segmentation
- b. Market aggregation
- c. Product diversification
- d. Market development

Answer: A

147. Which of the following statements does NOT describe one of the benefits gained through the use of market segmentation?

- a. Products may be designed that really match market demands
- b. Advertising may be channeled to its potentially most profitable markets
- c. Companies can maximize economies of scale in production and advertising
- d. Firms can make more effective use of their marketing resources.

Answer: C

148. _____ is the strategy by which one firm attempts to distinguish its product from competitive brands offered to the same aggregate market.

- a. Market development
- b. Product differentiation
- c. Market segmentation
- d. Product development

Answer: B

149. While most people consider automobile features to be similar, Ford has added a new feature--adjustable brake and gas pedals. These pedals allow short drivers to get close enough to the pedals to operate the car properly without having to get too close to the steering wheel. Ford is using a _____ strategy

- a. Market development
- b. Product differentiation
- c. Product segmentation
- d. Product development

Answer: B

150. Anything that can be offered to a market for attention, acquisition, use, or consumption that might satisfy a want or need is called:

- a. Idea
- b. Demand
- c. Product
- d. Service

Answer: C

151. The four unique elements to services include:

- a. Independence, intangibility, inventory, and inception
- b. Independence, increase, inventory, and intangibility
- c. Intangibility, inconsistency, inseparability, and inventory
- d. Intangibility, independence, inseparability, and inventory

Answer: C

152. The _____ is practiced most aggressively with unsought goods, goods that buyers normally do not think of buying, such as insurance, encyclopedias, and funeral plots.

- a. Marketing concept
- b. Selling concept
- c. Production concept
- d. Product concept

Answer: B

153. Products that are usually purchased due to adversity and high promotional back up rather than desire are called:

- a. Shopping goods
- b. Specialty goods
- c. Convenience goods
- d. Unsought goods

Answer: D

154. If the aim of the promotion to introduce a new consumer product is to achieve high awareness levels, the firm will most likely make heavy use of _____ in the promotional mix.

- a. Advertising
- b. Sales promotion
- c. Personal selling
- d. Publicity

Answer: A

155. "Buy it now" refers to which one of the following options

- a. Publicity
- b. Personal selling

c. Advertising

d. Sales promotion

Answer: B

156. A company designs the product with little or no input from customers, the company is practicing which of the following concept?

a. Production concept

c. Marketing concept

b. Product concept

d. Selling concept

Answer: B

157. A consumer contest is an example of _____.

a. Personal selling

c. Advertising

b. Sales promotion

d. Direct marketing

Answer: B

158. The following are the objectives of promotion except:

a. To deliver goods on time

c. To create awareness

b. To support sales increases

d. To create an image

Answer: A

159. Which of the following is the impact of promotion cost during the decline stage of the product life cycle?

a. Promotion cost is high

c. Promotion cost is not adjusted

b. Promotion cost is increased

d. Promotion cost is decreased

Answer: A

160. Which element of the marketing mix includes the distribution of products?

a. Product

c. Place

b. Price

d. Promotion

Answer: C

161. In a SWOT analysis, SWOT stands for

a. Strategies, weaknesses, obligations, threats

c. Strengths, work requirements, opportunities, time

b. Strengths, weaknesses, opportunities, threats

d. Strategies, worth, obligations, time

Answer: B

162. _____ is defined as the variety of marketing communications an organization utilizes.

a. Promotional mix

c. Advertising

b. Personal selling

d. Publicity

Answer: A Promotional mix

163. Marketing intermediaries **NOT** include –

a. Physical distributors

c. Financial instruments

b. Marketing service agencies

d. Financial intermediaries

Answer: C Financial instruments

164. When a product is sold in as many outlets as possible a(n) ____ distribution strategy is being used.

a. Selective

c. Extreme

b. Intensive

d. Exclusive

Answer: D Exclusive

PART II MULTIPLE QUESTIONS

1. Products possess special attraction to the consumers

A. Shopping goods

C. Convenience goods

B. Specialty goods.

D. Accessories

ANSWER: B

2. A place for buying and selling activities is called _____.

A. market.

B. marketing.

C. Market research.

D. market information.

ANSWER: A

3. The words used to convey the advertisement idea is _____.

A. advertisement.

C. advertisement copy.

B. advertisement Research.

D. advertisement budget.

ANSWER: C

4. Advertisement promotes _____.

A. purchases.

C. sales.

B. production.

D. price.

ANSWER: C

5. Agricultural products are _____.

A. perishable.

C. low-quality products.

B. highly-priced.

D. heterogeneous goods.

ANSWER: D

6. The social aspect of marketing is to ensure _____.

A. price.

C. low price with high quality.

B. demand.

D. service goods.

ANSWER: C

7. _____ is a process by which a product is branded.

A. Brand.

C. Packaging.

B. Branding.

D. Pricing.

ANSWER: B

8. Facilities for the sale and purchase of agricultural products are available in _____.

A. commodity exchange.

C. stock exchange.

B. regulated market

D. unregulated market.

ANSWER: B

9. Fixing a high price for a new product will be called as _____.

A. price skimming.

C. dual pricing.

B. price segmentation.

D. customary pricing.

ANSWER: A

10. Marketing research is concerned with _____.

A. anticipation of production.

C. financial problems.

B. supply position.

D. solution to specific problems of marketing.

ANSWER: D

11. Brand loyalty refers to product _____.

A. identification.

C. preference.

B. recognition.

D. insistence

ANSWER: D

12. Middlemen will increase the _____.

A. price of the product.

C. profit of the product.

B. quality of the product.

D. time and place utility of the product.

ANSWER: D

13. Sales management deals with _____.

A. sales.

C. profit.

B. product.

D. market.

ANSWER: D

14. The process of subdividing total markets into several sub market is _____.

- A. market fluctuations.
- B. market positioning.

ANSWER: C

15. Mercatus means _____.

- A. buying.
- B. to sell.

ANSWER: D

16. The design implementation and control of programs seeking to increase the acceptability of social ideas is called _____

- A. E-marketing
- B. Competitive market

ANSWER: C

17. _____ is an element of buying.

- A. financing.
- B. assembling.

ANSWER: B

18. Sales promotion tool includes _____.

- A. Appeals.
- B. Coupons.

ANSWER: B

19. Standardization includes _____.

- A. estimating demand
- B. locating sources of supply

ANSWER: C

20. The prime object of marketing is _____.

- A. profit.
- B. service.

ANSWER: D

21. Markets are created by _____.

- A. nature.
- B. economic force.

ANSWER: B

22. Consumer purchasing power is determined by _____.

- A. salary.
- B. disposable income.

ANSWER: B

23. A group of products that are closely related called _____.

- A. product Mix.
- B. product line.

ANSWER: B

24. Price and competition is increasing servers in _____.

- A. decline stage.
- B. growth stage.

ANSWER: B

25. Identify the one which is demand-based pricing _____

- A. target pricing.
- B. markup pricing.

ANSWER: B

- C. market segmentation.
- D. market penetration.

- C. to assemble.
- D. to trade.

- C. social market
- D. Monopoly market

- C. Risk bearing.
- D. customer services.

- C. vertical marketing.
- D. price.

- C. grading
- D. product line.

- C. sales.
- D. consumer satisfaction.

- C. businessmen.
- D. product.

- C. total income.
- D. price.

- C. product items.
- D. product diversification.

- C. maturity stage.
- D. introduction stage.

- C. marginal pricing.
- D. skimming pricing.

26. The main aim of regulated markets is ____.

A. eliminate the middleman.

B. to earn more profit.

C. increase sales.

D. avoid distribution cost.

ANSWER: A

27. Identify the one which comes under service marketing ____.

A. insurance.

B. motor cars.

C. refrigerators.

D. television.

ANSWER: A

28. Agmark standardization is given to ____ .

A. industrial goods.

B. agricultural goods.

C. imported goods.

D. consumer goods.

ANSWER: B

29. Marketing begins and end with ____.

A. consumer.

B. transport.

C. price.

D. product

ANSWER: A

30. _____ is the first step in marketing.

A. Buying.

B. Selling.

C. Assembling.

D. Financing.

ANSWER: A

31. Transportation creates _____ utility

A. time.

B. place.

C. form.

D. storage.

ANSWER: B

32. Warehouse creates _____ utility.

A. place.

B. time.

C. form.

D. storage.

ANSWER: B

33. Trading up is the act of ____ high priced prestigious products to existing product line.

A. adding.

B. subtracting.

C. deleting.

D. maintaining.

ANSWER: A

34. Selling is an act of _____

A. persuasion.

B. illusion.

C. forcing.

D. communication.

ANSWER: C

35. Price is a _____ term.

A. absolute.

B. relative.

C. composite.

D. standard.

ANSWER: A

36. _____ is the policy adopted by manufacturers to get success in the field of marketing.

A. Marketing mix.

B. Product mix.

C. Promotional mix.

D. Price mix.

ANSWER: A

37. _____ creates a particular image in the minds of the consumer.

A. Branding

B. Personal selling

C. Grading

D. product planning

ANSWER: A

38. The second element to affect the volume of sales is.

- A. price.
- B. product.
- C. promotion.
- D. distribution.

ANSWER: A

39. Anything which possesses utility is _____.

- A. product.
- B. finished goods.
- C. raw materials.
- D. stock.

ANSWER: A

40. _____ are the general rules set up by the management itself in making product decisions.

- A. Product policy.
- B. Product planning.
- C. Product mix.
- D. Product packing.

ANSWER: A

41. _____ is a group of products that are closely related.

- A. Product line.
- B. Product mix.
- C. Product development.
- D. Product positioning.

ANSWER: A

42. _____ may be defined as the exchange of goods or services in terms of money.

- A. Price.
- B. Product.
- C. Grading.
- D. Branding.

ANSWER: A

43. _____ is the high initial of the product at the time of introduction of the product in the market.

- A. Skimming price.
- B. Penetrating price.
- C. High pricing.
- D. Moderate pricing.

ANSWER: A

44. _____ is allowed in the form of deductions from the list price.

- A. Trade discount.
- B. Quantity decisions.
- C. Cash discount.
- D. Seasonal discount.

ANSWER: A

45. _____ is the price at which a retailer sells the products to his buyers.

- A. Retail price.
- B. Wholesale price.
- C. FOB price.
- D. Administered price

ANSWER: A

46. _____ creates a nonperson stimulation of demand in advertising.

- A. Pricing.
- B. Production.
- C. Public relations.
- D. Distribution.

ANSWER: A

47. _____ and other forms of promotion are supported by advertisement.

- A. Personal selling.
- B. Branding.
- C. Promotion.
- D. Publicity.

ANSWER: A

48. _____ are published according to the taste or liking of the public.

- A. Magazines.
- B. Journals.
- C. Newspaper.
- D. Special issues.

ANSWER: A

49. _____ influences the buyer to buy a product.

- A. Price.
- B. Packing.
- C. Personal selling.
- D. Grading.

ANSWER: C

50. Products reach the hands of customers through a number of channels, the main channel is _____

- A. wholesaler.
- B. distributor.

- C. retailer.
- D. agents.

ANSWER: A

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3) INTERNATIONAL MARKETING MULTIPLE CHOICE QUESTIONS WITH ANSWERS

1. Extension of marketing activities across the globe/World is called as _____.

- A. International Business
- B. Universal Marketing
- C. International Marketing
- D. Borderless Marketing

Answer C. International Marketing

2. _____ factor that affect international marketing decisions.

- A. Political
- B. Economical
- C. Social
- D. All of the above

Answer D. All of the above

3. EPRG stands for _____

- a. Ethical, Political, Regional or Geographical orientation
- b. Ethnographic, Polygraphic, Regiographic or Geographic orientation
- c. Ethnocentric, Polycentric, Regiocentric or Geocentric orientation
- d. Ethical, Political, Regional or Geometrical orientation

Answer c. Ethnocentric, Polycentric, Regiocentric or Geocentric orientation

4. The only difference in the definitions of domestic marketing and international marketing is that _____.

- a. the marketing activities take place in more than one country
- b. the marketing activities take place in one country only
- c. the marketing activities take place in host country only
- d. the marketing activities MUST take place in all countries

Answer A. the marketing activities take place in more than one country.

5. _____ is the performance of business activities that direct the flow of a 5. company's goods and services to consumers or users in more than one nation for a profit.

- a. Intranational Marketing
- b. International Marketing
- c. Multinational Marketing
- d. Universal Marketing

Answer: b. International Marketing

6. According to the trickle-down model, the invented products are first introduced in high income countries then shifted to upper-middle-income countries and finally are shifted to low-income

- a. Trickle down model
- b. Shower model

- c. Trickle shower model
- d. Heckler model

Answer: a. Trickle down model

7. Under _____, the strategy is to simultaneously introduce the newly developed product in all kinds of global markets.

- a. Trickle down model
- b. Shower model

- c. Trickle shower model
- d. Heckler model

Answer: b. Shower model

8. _____ refers to the selling of the products below the cost of production or at below the ongoing price in the market.

- a. Gate pricing
- b. Dumping

- c. Cheap pricing
- d. Countertrade

Answer: b. Dumping

9. An arrangement to pay for import of goods and services with something other than cash is known as _____.

- a. Countertrade
- b. Dumping

- c. Drop shipping
- d. Reversal buying

Answer: a. Countertrade

10. Which is not a part of counter trade?

- a.
- a. Counter purchase
- b. Offset

- c. Anti-dumping trade
- d. Compensation trade

Answer c. Anti-dumping trade

11. _____ is the performance of business activities that direct the flow of a company's goods and services to consumers or users in more than one nation for a profit.

- a. Intranational Marketing

- b. International Marketing
- c. Multinational Marketing
- d. Universal Marketing

Answer b. International Marketing

12. According to the trickle-down model, the invented products are first introduced in high income countries then shifted to upper-middle-income countries and finally are shifted to low-income

- a. Trickle down model
- b. Shower model

- c. Trickle shower model
- d. Heckler model

Answer a. Trickle down model

13. Under _____, the strategy is to simultaneously introduce the newly developed product in all kinds of global markets.

- a. Trickle down model
- b. Shower model

- c. Trickle shower model
- d. Heckler model

Answer b. Shower model

14. _____ refers to the selling of the products below the cost of production or at below the ongoing price in the market.

- a. Gate pricing
- b. Dumping

- c. Cheap pricing
- d. Countertrade

Answer: b. Dumping

15. An arrangement to pay for import of goods and services with something other than cash is known as _____.

- a. Countertrade
- b. Dumping

- c. Drop shipping
- d. Reversal buying

Answer a. Countertrade

16. Which is not a part of counter trade?

- a. Counter purchase
- b. Offset
- c. Anti-dumping trade
- d. Compensation trade

Answer: c. Anti-dumping trade

17 _____ refers to the selling of the products below the cost of production or at below the ongoing price in the market.

- a. Gate pricing
- b. Dumping
- c. Cheap pricing
- d. Countertrade

Answer b. Dumping

18. An arrangement to pay for import of goods and services with something other than cash is known as _____.

- a. Countertrade
- b. Dumping
- c. Drop shipping
- d. Reversal buying

Answer a. Countertrade

19. Which one of the following is not a part of counter trade?

- a. Counter purchase
- b. Offset
- c. Anti-dumping trade
- d. Compensation trade

Answer c. Anti-dumping trade

20 Included in group of the factors affecting the international marketing are-

- (a) Social factors
- (b) Economic factors
- (c) Political factors
- (d) All of these

Answer: (d) All of these

21. Which of the liability is to prepare product source planning?

- (a) Marketing department
- (b) General Manager of the company
- (c) Policy Markers of the company
- (d) None of these

Answer: (c) Policy Markers of the company

22. Which of the following is the first stage for market segmentation?

- (a) Analysis
- (b) Future generation
- (c) Investigation and Research
- (d) None of these

Answer: (c) Investigation and Research

23. The business organization established on the basis of characteristics of the foreign customers is known as-

- (a) Work oriented organization
- (b) Product oriented organization
- (c) International Marketing Customer Organization
- (d) All the above

Answer: (c) International Marketing Customer Organization

24. Which one of the following is not an alternative Market Strategies toward Market segment?

- (a) Undifferentiated Marketing Strategy
- (b) Differentiate Marketing Strategy
- (c) Concentrate Marketing
- (d) International Marketing Strategy

Answer: (d) International Marketing Strategy

25. This kind of international marketing study contrasts two or more marketing systems to identify similarities and differences.

- A. Domestic marketing
- B. Foreign marketing
- C. Comparative marketing
- D. Extensive marketing

Answer: C

26. _____ is the multinational process of planning and executing the conception, pricing, promotion, and distribution of ideas, goods, and services to create exchanges that satisfy individual and Organizational objectives

- A. Global Marketing
- B. International Trade
- C. International marketing
- D. International finance

Answer: C

27. Identify the wrong definition of international marketing among the following

- A. It refers to exchanges across national boundaries for the satisfaction of human needs and wants
- B. It is the performance of business activities that direct the flow of a company's goods and services to consumers or users in more than one nation
- C. It is the process of planning and executing the conception, pricing, promotion, and distribution of goods, services and idea to create exchanges that satisfy individual and Organizational objectives exits in one nation
- D. It is the process of buying and selling of goods and services more than country.

Answer: C

28. Different strategies are suitable for different companies depending on their particular situation. This is articulated by the "EPRG Framework". What are the four options of the EPRG Framework?

- A. Ethno Policies, Private Polies, Racial Policies, Geography
- B. Ethnocentrism, Polycentrism, Regio-centrism, Geo-centrism
- C. Energy, Privacy, Real-World, Giggity
- D. Ethnocentrism, Polycentrism, Racialism, Governmental

Answer: B

29. Subsidiaries consider the regional environment for strategy formulation is known as

- A. Polycentric Approach
- B. Regio-centric Approach
- C. Ethnocentric Approach
- D. Geocentric Approach

Answer: B

30. Which one of the following phases of international marketing involvement deals with having no commitment or intention of maintaining continuous foreign market representation.

- A. Infrequent foreign marketing
- B. Regular foreign marketing
- C. No direct foreign marketing
- D. International marketing

Answer: A

31. A stage of international marketing involvement in which a firm has permanent productive capacity devoted to the production of goods to be marketed on a continuous basis in foreign markets is referred to as

- A. Regular foreign marketing stage
- B. International marketing stage
- C. Global marketing stage
- D. No direct foreign marketing stage

Answer: A

32. Which one is the right sequence of stages of Internationalization?

- A. Domestic, Transnational, Global, International, Multinational
- B. Domestic, Multinational, International, Transnational, Global
- C. Domestic, International, Multinational, Global, Transnational
- D. Domestic, International, Transnational, Multinational, Global

Answer: D

33. Ethnocentrism can simply be defined as:

- A. Developing a simple diverse strategy for new markets
- B. Develop one strategy for all countries worldwide
- C. Use everywhere the same strategy as at home.
- D. Being ethnically centered on a global scale

Answer: C

34. All are the characteristics of international marketing except

- A. Multiple currency
- B. Homogeneous language
- C. Diverse market
- D. Many language and culture

Answer: B

35. Which one of the following is not the characteristics of domestic marketing?

- A. Homogenous market
- B. Single currency

C. Multiple currency

D. Similar culture

Answer: C

36. Compared to domestic marketing, international marketing has;

A. Multiple and unstable business environments

C. More government influence and regulation

B. Diverse and fragmented markets

D. All of the above

Answer: D

37. Identify the one that can be a reason why firms go international

A. Competition

C. Globalization

B. Market saturation

D. All of the above

Answer: D

38. Firms not go international

A. To access the advanced technology and raw materials

B. Due to the possibility of achieving economies of scale

C. To enjoy tax incentives offered by some nations to attract local investors

D. To have a safety net during business downturns

Answer: C

39. According to the theory of comparative advantage, a country will export a good only if

A. It can produce it using less labor than other countries.

B. Its productivity is higher in producing the good than the productivity of other countries in producing it

C. Its cost of producing the good, relative to other goods, is at least as low as in other countries.

D. All of the above.

Answer: D

40. Nations conduct international trade because:

A. Interest rates are not identical in all trading nations

B. Trade enhances opportunities to accumulate profits

C. Resources are not equally distributed among all trading nations

D. Some nations prefer to produce one thing while others produce other things.

Answer: D

Answer questions number 41 & 42 based on the production table below:

	Country output/hours	
Product	Ethiopia	China
Shoes	10	2
Soap	5	8

41. China has an absolute advantage in

A. Shoes

C. Both shoes and soap

B. Soap

D. Neither shoes nor soap

Answer: B

42. Ethiopia has an absolute advantage in

A. Shoes

C. Both shoes and soap

B. Soap

D. Neither shoes nor soap

Answer: A

43. Types of foreign exchange market involves exchange with in two business days

A. Spot market

C. Floating market

B. Forward market

D. Foreign exchange

Answer: A

Answer questions number 44 based on the given information

	Unit labor requirements	
Products	Australia	Germany

Steels	3	8
Brooms	2	1

44. Suppose that Austria and Germany have the unit labor requirements for producing steel and brooms shown in the table at the right. Then

- A. Germany has a comparative advantage in brooms
- B. Austria has a comparative advantage in steel
- C. Austria has an absolute advantage in steel
- D. Germany has an absolute advantage in brooms
- E. All of the above.

Answer: B

45. The act of restricting the amount of product imported in the country to protect the local firms from fierce competition refers _____

- A. Tariff
- B. Quota
- C. Export tariff
- D. Dumping

Answer: B

46. The relationship between merchandise imports and exports is referred to as

- A. Exchange rate
- B. Tariff
- C. Balance of payment
- D. Import quota

Answer: C

47. The rate at which one currency (let Dollar) is converted into another currency (let Birr) refers _____

- A. Tariff
- B. Tax
- C. Balance of payment
- D. Exchange rate

Answer: D

48. Which one the following is odd

- A. Marketing and sales
- B. Economic environments
- C. Socio-cultural Factors
- D. Technological environment

Answer: A

49. Which of the following represents the most dramatic factor shaping a modern marketer's destiny?

- A. Political environment
- B. Technological environment
- C. Natural environment
- D. Partnership marketing

Answer: B

50. Which of the following is not a benefit for conducting environmental analysis?

- A. An increase in an organization's exposure to politically unstable markets
- B. Aid to decision making
- C. Choice of market and marketing mix
- D. Prioritize and manage risk factors

Answer: A

51. Which of the following is the most important factor in an international marketer's success?

- A. Creation of a new marketing concept.
- B. The ability to adapt to different marketing environments.
- C. Development of new marketing processes.
- D. The evolution of unique marketing principles.

Answer: A

52. Culture usually imposes common habits of thoughts and shows the kind of behavior considered acceptable in the society. Which characteristics of culture best describe this statement?

- A. Culture is prescriptive
- B. Culture is subjective
- C. Culture is learned
- D. Culture is cumulative

Answer: A

53. Which one of the following is false about culture?

- A. Culture is socially shared
- B. Culture is subjective
- C. Culture is objective
- D. Culture is dynamic

Answer: C

54. Identify factor which does not encourage product standardization

- A. Industrial products
- B. Low costs of adaptation
- C. Economies of scale in production
- D. Economies in marketing

Answer: B

55. An arrangement to brand strategy in which the company may decide to use an existing brand name to launch a product in a new category is/are:

- A. Brand extension
- B. Line extension
- C. Multi brands
- D. New brand

Answer: A

56. If Toyota suggests its products as expensive, well built, well-engineered, durable, high prestige, high resale value, fast, and so on. This indicates the brand level of meaning towards its:

- A. Attributes
- B. Personality
- C. Benefits
- D. User

Answer: A

57. The most important factor which makes product modification mandatory is

- A. Electrical current standards
- B. Measurement standards
- C. Country's regulations
- D. Product standards

Answer: C

58. The stages of new product development do not include

- A. Business analysis
- B. Product development
- C. Test marketing
- D. Global positioning

Answer: D

59. The innovating firm's sales and export volumes are kept stable in this stage of IPLC.

- A. Introduction
- B. Maturity
- C. Worldwide imitation
- D. Growth

Answer: B

60.is a transaction in which an expanding firm buys either a controlling interest or all of an existing company in a foreign country.

- A. Acquisition
- B. Merger
- C. Joint venture
- D. Strategic alliance

Answer: B

61. Culture has an influence on the following except.

- A. Communication process
- B. Consumption
- C. Thinking process
- D. None of the above

Answer: D

62. Among the following one is the measures to minimize political risk in international marketing

- A. Sharing ownership
- B. Lobbying
- C. Political risk insurance
- D. All of the above

Answer: D

63. To protect the 'international property' of American film and recording studios, the government has vigorously sought the assistance of the Chinese government in the enforcement of copyright and patents aimed at the prevention of the practice of film and recording piracy. American producers could recoup significant foreign revenues as a result of a successful implementation of domestic:

- A. Political policy
- B. Technological policy
- C. Competitive policy
- D. Economic policy

Answer: B

64. Among the following one is not the benefits of regional economic integration

- A. Trade creation
- B. Loss of national sovereignty

- C. Employment opportunities
- D. Consensus and cooperation

Answer: B

65. NAFTA stands for _____

- A. North African trade association
- B. North American Free Trade Agreement

- C. Northern Atlantic trade agreement
- D. Northern association for trade

Answer: B

66. Being a global organization means

- A. Customizing the product range for each segment in part.
- B. Creating standardized products for homogeneous markets
- C. Creating both standardized and customized products
- D. None of the above

Answer: C

67. Of the following one indicates when firms dedicated production capacity to foreign markets, own sales force/subsidiaries in foreign markets, and domestic market is still the prime focus, but as the foreign demand increased, production/products are adapted to meet those customer needs. Which one of it?

- A. Global Marketing
- B. Regular Foreign Marketing
- C. Infrequent Foreign Marketing
- D. International Marketing

Answer: B

68. Firms which are focusing on separate and distinct strategy for each foreign market and have decentralized marketing management is likely following:

- A. Ethnocentric orientation
- B. Polycentric orientation
- C. Regiocentric orientation
- D. Geocentric orientation

Answer: C

69. Which one of the following is not the advantages of first movers/early entry in international marketing entry

- A. The ability to build up sales volume in that country
- B. The ability to preempt rivals and capture demand
- C. Minimum costs of promoting and establishing a product offering
- D. Gain a cost advantage over later entrants

Answer: D

70. All are entry methods in international marketing except

- A. Franchising agreements
- B. Sanctions
- C. Joint ventures
- D. Foreign direct investment

Answer: B

71. A licensing agreement:

- A. Results in two firms agreeing to share the risks and the resources of a new venture
- B. Is best way to protect proprietary technology from future competitor
- C. Allows a foreign firm to purchase the rights to manufacture and sell a firm's products within a host country
- D. Can be greatly impacted by currency exchange rate fluctuations

Answer: C

72. The means of entry into international markets that offers the greatest control is

- A. Licensing
- B. Wholly Owned Subsidiaries
- C. Joint ventures
- D. Acquisitions

Answer: B

73. An international marketing entry strategy that occurs when two or more companies form a temporary partnership for the purpose of capitalizing on some opportunity is called
- A. Strategic alliances
 - B. Joint venture
 - C. Licensing
 - D. Exporting

Answer: A

74. Why do marketers preferred foreign direct investment as a best entry strategy in abroad market
- A. Availability of raw materials in the target country
 - B. To avoid tariff barriers of exporting
 - C. To penetrate into the local market quickly
 - D. It gives an opportunity to learn overseas markets before investing

Answer: A

75. Which of the following statement is false?
- A. Franchising is most appropriate in fragmented industries
 - B. Franchising provides corporate growth with less risk than do mergers and acquisitions
 - C. Successful franchising allows transfer of knowledge and skills from the franchisor to the franchisee
 - D. Franchising agreements require more trust between firms than do other cooperative strategies

Answer: C

76. An entry strategy of international marketing which is based on a fixed fee or cost plus arrangement and includes plant construction, personnel training, and initial production runs is known as
- A. Patent licensing agreement
 - B. Turnkey operations
 - C. Management contracts
 - D. Franchising

Answer: B

77. This component of the promotion mix is temporary in nature.
- A. Advertising
 - B. Personal selling
 - C. Publicity
 - D. Sales
- promotion

Answer: D

78. This intermediary is a foreign firm that has exclusive rights to carry out distribution for a manufacturer in a foreign country.
- A. Foreign distributor
 - B. Foreign retailer
 - C. Manufacturer's export agent
 - D. Export Management Company

Answer: A

79. This intermediary does not take title to the goods.
- A. Export management company
 - B. Foreign distributor
 - C. Export merchant
 - D. Export
- distributor

Answer: A

80.very high introductory price is fixed to skim the cream of the demand.
- A. Skimming pricing strategy
 - B. Penetration pricing
 - C. Cost-plus of pricing
 - D. Mark-up pricing

Answer: A

81. Why is creation of a product the starting point for the marketing mix?
- A. The production department must know what to produce first
 - B. Production strategy is the first of the four Ps listed in the marketing mix
 - C. Determination of the price, promotional campaign, and distribution network cannot begin until the product has been specified
 - D. Product development takes the longest amount of time to complete

Answer: C

82. A marketer who exports a product originally designed for a local market to other countries with virtually no change is employing

- A. Segmented marketing
- B. Standardization
- C. Mass marketing
- D. Modification

Answer: B

83. When a management believes or assumes that home country is superior and the needs of home country are most relevant in terms of doing business internationally, then the management is thought to have a(an) _____.

- A. Ethnocentric orientation
- B. Polycentric orientation
- C. Regiocentric orientation
- D. Geocentric orientation

Answer: A

84. The act of modifying the company's existing product in a way that makes it fit better with local needs refers _____.

- A. Standardization
- B. Segmentation
- C. Targeting
- D. Adaptation

Answer: D

85. An international marketer can

- A. Export the home market product to foreign markets
- B. Adapt the home market product to meet the needs of foreign customers more closely
- C. Develop new products to meet the specific needs of customers in foreign markets
- D. All of the above

Answer: D

86. Among the following one is not the mandatory factor affecting product modification

- A. Government's regulation
- B. Electrical current standards
- C. Measurement standards
- D. None of the above

Answer: D

87. Registered brand is known as _____.

- A. Trademark
- B. Product
- C. Patent
- D. Service

Answer: A

88. Using a successful brand name to introduce additional items in a given product category under the same brand name(such as new flavors, forms, colors, added ingredients, or package sizes) is called:

- A. Line extension
- B. Brand extension
- C. Multi branding
- D. New brands

Answer: A

89. If Honda uses its company name to cover such different products as its automobiles, lawn mowers, and motorcycles, it is practicing which of the following strategies?

- A. New brand strategy
- B. Line extension strategy
- C. Multi brand strategy
- D. Brand extension strategy

Answer: D

90. _____ refers to the pricing of goods and services bought and sold between a company subsidiary units operating in different countries.

- A. Price skimming
- B. Transfer pricing
- C. Price escalation
- D. Dumping

Answer: B

91. The process of dividing the world market into distinct subsets of customers that behave in the same way or have similar needs is/are;

- A. Target marketing
- B. Market segmentation
- C. Market positioning
- D. Market development

Answer: B

92. To Ethiopia students, Egypt marketing is

- A. Domestic marketing
- B. Foreign marketing
- C. Comparative marketing
- D. International marketing

Answer: B

93. According to the textbook, international marketing is "the multinational process of planning and executing the conception, pricing, promotion, and distribution of ideas, goods, and services to create exchanges that satisfy individual and Organizational objectives." The definition fails to recognize

- A. Non-profit marketing
- B. Business-to-business marketing
- C. Consumer marketing
- D. Integrated marketing

Answer: B

94. Product sales decline for many reasons, including which of the following

- A. Recent technological advances
- B. Constant in competitors strategies
- C. Unchanged in consumer tests
- D. Weak in competition

Answer: A

95. _____ is the disproportionate difference in price between the exporting country and the importing country

- A. Price escalation
- B. Dual pricing
- C. Transfer pricing
- D. Price penetration

Answer: B

96. Which tool of the promotional mix consists of short-term incentives to encourage the purchase or sale of a product or service?

- A. Advertising
- B. Public relations
- C. Sales promotion
- D. Personal selling

Answer: C

97. One of the following alternatives does not characterize advertising

- A. It provides opportunity for dramatizing the company & its product
- B. It is impersonal communication
- C. It covers a large number of audiences
- D. It is two-way communication

Answer: D

98. If a company wants to build a good "corporate image," it will probably use which of the following marketing communications mix tools?

- A. Sales promotion
- B. Advertising
- C. Public relations
- D. Direct marketing

Answer: C

99. Of the 4 Ps, the one that receives the least attention, domestically and internationally, is

- A. Product
- B. Place
- C. Promotion
- D. Price

Answer: D

100. Assume Ethiopian industry Parks Corporation is offering scholarships worth one million dollar to Ethiopian students. This highlights

- A. Advertising clutter
- B. Corporate social responsibility
- C. Advertising revolution
- D. Mass advertising

Answer: C

101. Which of the following would not be the primary objectives of advertising?

- A. To inform
- B. To persuade
- C. To remind
- D. To maximize profits

Answer: D

102. Which one of the following statement is incorrect

- A. Personal selling allows two way interaction and feedback
- B. Public relations can enhance a firm's reputation and image with the general public
- C. Sales promotion can bring large number of customers quickly
- D. Personal selling is the cheapest tools of promotion

Answer: D

103. Keeping consumers thinking about the product is the objective for which type of advertising

- A. Informative advertising
- B. Psychological advertising
- C. Reminder advertising
- D. Persuasive advertising

Answer: C

104. A set of interdependent organizations that help make a product or service available for use or consumption by the consumer or business user refers_____

- A. Distribution channel
- B. Price
- C. Product
- D. Promotional mix

Answer: A

105. _____Management involves managing all activities related to the movement of materials and goods.

- A. Marketing
- B. Production
- C. Supply chain
- D. Sales

Answer: A

106. The middlemen who do not take any title to goods

- A. Retailer
- B. Wholesaler
- C. Agent
- D. Foreign merchant

Answer: C

107. The approaches of distribution deals with one intermediary or one type of intermediary refers_____

- A. Mass distribution
- B. Selective distribution
- C. Exclusive distribution
- D. Intensive distribution

Answer: C

108. An analysis of the external environment enables a firm to identify

- A. Strengths and opportunities
- B. Strengths and weaknesses
- C. Weaknesses and threats
- D. Opportunities and threats

Answer: D

109. Being a global organization means-

- A. Customizing the product range for each segment in part
- B. Creating standardized products for homogeneous market
- C. Creating both standardized and customized products
- D. Producing customized products for homogeneous markets

Answer: C

110. Which of the following represents a company's effort to identify and categorize groups of customers and countries according to common characteristics?

- A. Global positioning
- B. Global market segmentation
- C. Global market research
- D. Global targeting

Answer: B

111. From the point of view of marketing, an organization that enjoys competitive advantage in an industry has done so by-

- A. Creating superior value for customers
- B. Focusing on long-term profit
- C. Charging lower prices than competition
- D. Constantly enlarging its market activities

Answer: A

112. The work of an international marketer is mainly concerned with

- A. Translating product instructions and advertising messages
- B. Establishing global brands
- C. Transferring a marketing mix to enter a market in another country
- D. Adapting a marketing mix to enter a market in another country

Answer: D

113. An analysis of the Internal environment enables a firm to identify

- A. Strengths and opportunities
- B. Strengths and weaknesses
- C. Weaknesses and threats
- D. Opportunities and threats

Answer: B

114. This entry strategy involves having an agreement that permits a foreign company to use industry property, technical knowhow, or engineering design in a foreign market.

- A. Exporting
- B. Licensing
- C. Joint venture
- D. Foreign direct investment

Answer: B

115. This market entry strategy should be used when a company faces high tariffs but does not want to lose control of its operations.

- A. Management contract
- B. Licensing
- C. Exporting
- D. Manufacturing

Answer: D

116. This strategy involves manufacturing operations in a host country for the purpose of exporting a product made there to a company's home country or to other third countries.

- A. Joint venture
- B. Outsourcing
- C. Assembly
- D. Licensing

Answer: B

117. According to the view of Michael Porter, firm first develop product for domestic market and later on launch in international market. This view is consistent with which of the following factors?

- A. Factor conditions
- B. Demand conditions
- C. Related and supporting industries
- D. Firm strategy, structure and rivalry

Answer: D

118. The firm's sales and export volumes are kept stable in this stage of International Product Life Cycle.

- A. Introduction
- B. Maturity
- C. Growth
- D. Reverse

Answer: B

119. Most international trade today is classified as trade in

- A. Services
- B. Agricultural products
- C. Manufactured products
- D. Dairy product

Answer: C

120. An arrangement whereby a company operates a foreign firm for a client who retains the ownership is known as

- A. Licensing
- B. Franchising
- C. Management contracts
- D. Joint ventures

Answer: C

121. Which one of the following is NOT foreign production?

- A. Turnkey projects
- B. Strategic alliances
- C. Franchising
- D. Management contract

Answer: B

122. is the activities of designing and producing the container or wrapper for a product.

- A. Labeling
- B. Branding
- C. Packaging
- D. Marking

Answer: C

123. refers to the policy where the advertising in domestic market is extended to foreign markets in its forms, appeals and other selling propositions.

- A. Remainder Advertising
- B. Unified advertising
- C. Diversified advertising
- D. Informative advertising

Answer: B

124. Which one of the following is a design and management of a system that directs and controls the flows of materials into, through and out of the firm across national boundaries to achieve its corporate objectives at a minimum total cost

- A. Global logistics
- B. Local logistics
- C. Physical distribution
- D. Source financing

Answer: A

125. **This consists of sources of data and procedures of obtaining data.**

- A. International marketing data service
- B. International marketing information system
- C. International marketing intelligence system
- D. International marketing artificial intelligence

Answer C. International marketing intelligence system

126. is the systematic design, collection, analysis and reporting of data and findings relevant to a specific marketing situation facing the company.

- A. Business analytics
- B. Marketing research
- C. Marketing survey
- D. Marketing information system

Answer B. Marketing research

127. Large type of exporter will choose _____ type of distribution channel.

- A. Exclusive
- B. Inclusive
- C. Indirect
- D. Direct

Answer D. Direct

128. The term green marketing in International Marketing is related to _____

- A. Influence of green color on marketing decisions
- B. Environmental concerns and protection
- C. Marketing of Natural Farming
- D. Greenhouse effect

Answer B. Environmental concerns and protection

129. Which is not a part of basic systems of codifications?

- a. Alphabetical System
- b. Numerical System
- c. Color Coding System
- d. None of the above

Answer: d

130and physical distribution are the two major operations of logistics.

- a. Supply Chain Management
- b. Materials Management
- c. Logistics Management
- d. None of the above

Answer: b

131.is the time that elapses between issuing replenishment order and receiving the material in stores.

- a. Replenishment time
- b. Lead time
- c. Idle time
- d. None of the above

Answer: b

132.is the task of buying goods of right quality, in the right quantities, at the right time and at the right price.

- a. Supplying
- b. Purchasing

- c. Scrutinizing d. None of the above

Answer: b

133. Which of the following is not a component of 4PL?

- a. Control Room (Intelligence) c. Information
b. Resource Providers d. Recycling

Answer: d

134. Which of the following is not a business opportunity generated by globalization?

- A. Access to low cost labor D. Less stringent regulation of the business environment
B. Access to low cost labor
C. Currency crises

Answer: C

135. An impact analysis helps firms to:

- A. Identify the most probable opportunities and threats
B. Assess the impact of external forces on the business.
C. Assess the ability of the business to deal with these external forces
D. Prioritize responses to the forces of the external environment

Answer: D

136. Exploring the strategic implications of global warming is best described as

- A. An external environmental analysis C. Futures forecasting
B. Scenario planning D. A PESTLE analysis

Answer: B

137. An analysis of the external environment enables a firm to identify

- A. Strengths and opportunities C. Weaknesses and threats
B. Strengths and weaknesses D. Opportunities and threats

Answer: B

138. This entry strategy involves having an agreement that permits a foreign company to use industry property, technical knowhow, or engineering design in a foreign market.

- A. Exporting B. Licensing
C. Joint venture D. Manufacturing

Answer: B

139. Regarding foreign direct investment, developed countries are

- A. Largest recipients and largest sources C. Moderate recipients and largest sources
B. Largest recipients and moderate sources D. Moderate recipients and moderate sources

Answer: A

140. Sony and Pepsi joined together to market Wilson sporting goods in Japan. This strategy is

- A. Exporting C. Joint venture
B. Licensing D. Assembly operations

Answer: C

141. This market entry strategy should be used when a company faces high tariffs but does not want to lose control of its operations.

- A. Management contract C. Exporting
B. Licensing D. Manufacturing

Answer: D

142. This strategy involves manufacturing operations in a host country for the purpose of exporting a product made there to a company's home country or to other third countries.

- A. Sourcing C. Assembly
B. Joint venture D. Licensing

Answer: A

143. The marketing mix (the 4 Ps of marketing) does not include
- | | |
|------------|-----------------|
| A. product | C. practicality |
| B. place | D. promotion |

Answer: C

144. This kind of international marketing study contrasts two or more marketing systems to identify similarities and differences.

- | | |
|-----------------------|--------------------------|
| A. domestic marketing | C. comparative marketing |
| B. foreign marketing | D. extensive marketing |

Answer: C

145. For practical purposes, the difference between the concept of international marketing and the concept of multinational marketing is

- | | |
|------------------|---------------|
| A. significant | C. meaningful |
| B. insignificant | D. adequate |

Answer: B

146. Marketing is not needed in

- | | |
|------------------------|---|
| A. socialist countries | C. less developed countries |
| B. communist countries | D. marketing is needed in all countries |

Answer: D

148. According to the textbook, international marketing is "the multinational process of planning and executing the conception, pricing, promotion, and distribution of ideas, goods, and services to create exchanges that satisfy individual and Organizational objectives." The definition fails to recognize

- | | |
|-----------------------------------|----------------------------|
| A. nonprofit marketing | C. consumer marketing |
| B. business-to-business marketing | D. integration of the 4 Ps |

Answer: B

149. Globalization refers to:

- | | |
|---|----------------------------|
| A. A more integrated and interdependent world | C. Global warming |
| B. Less foreign trade and investment | D. Lower incomes worldwide |

Answer: A

150. Which one of the following is a pull factor in emigration?

- | | |
|-------------------------|-------------------|
| A. Political oppression | C. Food shortages |
| B. Job opportunities | D. War |

Answer: D

151. Which of the following do NOT facilitate globalization?

- | | |
|-------------------------------------|--|
| A. Improvements in communications | D. Removal of controls on movement of capital across borders |
| B. Barriers to trade and investment | |
| C. Immigration controls | |

Answer: C

152. Which of the following constitutes Foreign Direct Investment? A speculator trying to make a profit by buying company shares on a foreign stock exchange.

- | |
|--|
| A. A UK energy company buying territory abroad where it expects to find oil reserves. |
| B. A tourist purchasing foreign currency to spend on a holiday abroad. |
| C. A company signing an agreement with a wholesaler to distribute its products in foreign markets. |
| D. all |

Answer: B

153. Which of the following could be defined as a multinational company?

- | |
|--|
| A. A firm that owns shares in a foreign company but does not participate in the company's decision making. |
| B. A UK based internet package holiday firm specializing in selling tours to Turkey to German customers. |
| C. A firm owning a chain of supermarket outlets outside its country of origin. |

- D. A finance company transferring its HQ and all its activities from the UK to the US. Answer: C
154. Which of the following is a driver of globalization?
- A. Trade barriers and controls on inflows of foreign direct investment.
B. Weak competition. C. Technological advance.
D. Economies of scale are being exploited to the maximum.

Answer: B

155. Globalization is beneficial for firms because:
- A. It protects them against foreign competition.
B. It cushions them from the effects of events in other countries.
C. It opens up new market opportunities.
D. It increases the risk and uncertainty of operating in a globalizing world economy. Answer: A
156. The internet facilitates globalization by:
- A. Making it more difficult to contact potential customers abroad.
B. Cutting the cost for firms of communicating across borders.
C. Making it harder to send money from one country to another.
D. Making it easier for governments to censor the information received by their citizens from abroad.

Answer: D

157. Globalization can create problems for business because:
- A. It can result in more competition.
B. It reduced vulnerability to political risk and uncertainty when operating abroad.
C. It means that they can increase prices.
D. All of the options given are correct.

Answer: D

158. International product life cycle has important implications for a company's-----
- A. Product planning C. Brand image
B. Strategy D. all

Answer: A

159. The product cycle will also show whether the market is expanding or declining and, therefore, may help in determining the -----

- A. Export Production C. Strategy
B. Time frame D. all

Answer: B

160. The International Product Life Cycle suggests that countries will in their timing of the demand for various products

- a. Assimilate c. Contradict
b. Differ d. all

Answer: B

161. Behavioral variables of segmentation may include:

- a. Patterns of consumption c. Context for business
b. Brand inconstancy d. all

Answer: C

162. Mention stage of economic development in which countries is able to produce a wide variety of products?

- a. Traditional society c. The drive to maturity
b. Pre-conditions for take-off d. High Mass Consumption

Answer: C

163. Customers with different needs or responses to marketing activity are categorized in which of the following way?

- a. Market targeting
- b. Market segmentation
- c. Market positioning
- d. Market targeting and segmentation

Answer: B

164. Select best description why international marketers focus on segmentation?

- a. To identify their similar need
- b. To identify their countries
- c. To identify their best location
- d. To identify their modern behavior

Answer: A

165. Identify the concept in which marketers try to create distinct image or identity in the minds of their target customers/consumers?

- a. Market targeting
- b. Market positioning
- c. Market segmentation
- d. Market repositioning

Answer: B

166. When customers/consumers may have too narrow image of any brand, is distinguish in which of the following way?

- a. Under positioning
- b. Over positioning
- c. Confused positioning
- d. Doubtful positioning

Answer: A

167. According to the view of Michael Porter, firm first develop product for domestic market and later on launch in international market. This view is consistent with which of the following factors?

- a. Factor conditions
- b. Demand conditions
- c. Related & supporting industries
- d. Firm strategy, structure & rivalry

Answer: D

168. The stages of new product development do not include

- a. Business analysis
- b. Product development
- c. Test marketing
- d. Global positioning

Answer: A

169. The most important reason behind the utilization of market segmentation is

- a. Market heterogeneity
- b. Positioning
- c. Test marketing
- d. Product life cycle

Answer: A

170. According to the international product life cycle theory, a country that developed an innovation will eventually become

- a. A net importer
- b. A net exporter
- c. An absolute exporter
- d. A relative producer

Answer: C

171. Innovations are most likely to be first introduced in

- a. Least developed countries
- b. Less developed countries
- c. Growing economies
- d. Highly developed countries

Answer: D

172. The innovating firm's sales and export volumes are kept stable in this stage of IPLC.

- a. Overseas innovation
- b. Maturity
- c. Worldwide imitation
- d. Reversal

Answer: B

173. Product standardization and comparative disadvantage are the characteristics of this stage of the international product life cycle theory.

- a. Overseas innovation
- b. Maturity
- c. Worldwide imitation
- d. Reversal

Answer: D

174. This product is least likely to conform to the phenomenon described in IPLC.

- a. Typewriters
- b. Semiconductors
- c. Dishwashing machines
- d. Leather goods

Answer: D

175. This kind of product is most likely to require adaptation for overseas markets.

- a. musical recordings
- b. films
- c. automobiles
- d. watches

Answer: B

176. Analyzing a product as innovation & using the product component model provides the marketer a lead for

- a. Adaptation
- b. Competition
- c. Observation
- d. all

Answer: A

177. Setting low prices to encourage initial product trial & to generate sales growth reflects which one of the following pricing methods-

- a. Penetration pricing
- b. Skimming pricing
- c. Competition based pricing
- d. Cost based pricing

Answer: A

178. Customers buy from stores & firms that offer the highest-----

- a. Level of customer satisfaction
- b. Value for money
- c. Customer perceived value
- d. all

Answer: A

179. Which one of the following is not a product attribute?

- a. Product quality
- b. Product feature
- c. Product price
- d. Product style & design

Answer: C

180. Which one of the following is not an ethical pricing issue?

- a. Product dumping
- b. Predatory pricing
- c. Price fixing
- d. Slow skimming

Answer: A

181. Pricing as an active instrument considers-

- a. Targeted return on profit
- b. Targeted market share
- c. Both of the above
- d. all

Answer: C

182. Dumping is an important global pricing issue that translates into:

- a. a company trying to fix prices in international markets
- b. a company exporting a product at a lower price than it normally charges in its own market
- c. a company that practices dynamic incremental pricing
- d. a company exporting a product at a higher price than the price it normally charges in its own Market.

Answer: B

183. At some point, a product's sales growth will slow down, and the product will enter then_____.

- a. Introduction stage
- b. Growth stage
- c. Maturity stage
- d. Decline stage

Answer: C

184. All of the following are accurate descriptions of different ways companies extend the maturity stage of the PLC, except which one?

- a. Modifying the market
- b. Modifying the product
- c. Modifying the marketing mix
- d. Pruning the product offerings

Answer: D

185. The product life-cycle stage, in which sales plunge to zero or drop to a low level at which they continue for many years, is the_____.

- a. Introduction stage
- b. Growth stage

- c. Maturity stage
- d. Decline stage

Answer: D

186. Product sales decline for many reasons, including which of the following?

- a. Recent technological advances
- b. Shifts in consumer tastes
- c. Increased competition
- d. All of the above

Answer: D

187. Luxury designer brands penetrate international markets typically using:

- a. Psychological
- b. Penetration
- c. Skimming
- d. Cost based

Answer: C

188. This kind of product is most likely to require adaptation for overseas markets.

- a. musical recordings
- b. films
- c. automobiles
- d. watches

Answer: C

189. The most important factor which makes product modification mandatory is

- a. country's regulations
- b. electrical current standards
- c. measurement standards
- d. product standards

Answer: A

190. Which one of the following sector accounts for most of the U.S. employment.

- a. agriculture/farming
- b. manufacturing
- c. service
- d. high technology

Answer: D

191. The world's largest exporter of services is

- a. the United States
- b. Canada
- c. Belgium
- d. Japan

Answer: A

192. For practical purposes, the difference between the concept of international marketing and the concept of multinational marketing is

- a. significant
- b. insignificant
- c. meaningful
- d. adequate

Answer: B

193. This definition of MNC focuses on the number of countries in which the firm does Business and the citizenship of corporate owners and top management.

- a. structure
- b. performance
- c. behavior
- d. none of the above

Answer: A

194. This definition of MNC depends on the contribution of foreign operations in terms of earnings, sales, and assets.

- a. structure
- b. performance
- c. behavior
- d. none of the above

Answer: B

195. A strong orientation toward the home country is an indication of

- a. ethnocentricity
- b. polycentricity
- c. egocentricity
- d. none of the above

Answer: A

196. NAFTA is an example of

- a. Common Market
- b. Customers Union
- c. Economic Community
- d. Free Trade Area

Answer: D

197. Which of the following is not an International Financial Institution

- a. ICICI
- b. IMF

- c. IDA
- d. World Bank

Answer: A

198. What one of the following is not the advantage of MNCs to the host country

- a. Increase in social activities
- b. increase in economic activities
- c. Utilization of natural resource
- d. R & D efforts enhanced.

Answer: A

199. In terms of the PESTLE analysis, the liberalizing of international trade and tariff regimes could go in which section or sections?

- a. Political
- b. Legal
- c. Political and economic and legal
- d. Political and environmental

Answer: D

200. An 'industry recipe' can be defined as:

- a. An accepted pattern of operating and competing
- b. A tactic for anticipating a competitor's next move
- c. The hidden competences that are difficult to imitate
- d. A strategic group

Answer: C

201. Typically, profits are highest in which stage of the industry life-cycle?

- a. Introduction
- b. Growth
- c. Maturity
- d. Decline

Answer: B

202. The corporate culture of a firm is more effectively carried to the managers who are

- a. Host country nationals
- b. Home country nationals
- c. Third country nationals
- d. all

Answer: B

203. Posting of home country nationals for all key management positions throughout the globe is supported by:

- a. Geocentric staffing model.
- b. Polycentric staffing model.
- c. Ethnocentric staffing model.
- d. all

Answer: C

204. Which of the following is NOT a business opportunity generated by globalization?

- a. Access to low cost labor.
- b. Cheap International transport.
- c. Currency crises.
- d. all

Answer: C

205. With the globalization of markets, the tastes and preferences of consumers world-wide are:

- a. Converging upon a global norm.
- b. So different that they can be ignored by international organizations.
- c. Becoming similar to the tastes and preferences of American consumers.
- d. Being encouraged by multinational organizations to become increasingly similar.

Answer: A

206. The main advantage of a differentiation strategy in international markets lies in that:

- a. The focus is taken away from price.
- b. Imitators cannot reduce margins.
- c. It enables brand stretching and extension.
- d. Consumers in foreign markets pay less for the same product.

Answer: A

207. Simple Global strategy is used in

- a. High geographically concentrated strategy & low coordination of activities
- b. Low geographically concentrated strategy & high coordination of activities
- c. Any of them
- d. none

Answer: A

208. The correct components of the 7-S framework are:

- a. Shared values, synergy, systems, strategy, style, staff and structure.
- b. Structure, strategy, shared values, style, staff, skills and systems.

- c. Strategy, synergy, shared value, standardization, skills, staff and structure.
- d. Standards, strategy, style, staff, skills, systems and security.

Answer: B

209. Most international trade today is classified as trade in

- a. Agricultural products
- b. Services
- c. Manufactured products
- d. Dairy products

Answer: C

210. Export Promotion Organization undertake export marketing communication by-

- a. Advertising
- b. Sales promotion
- c. Public relations
- d. All above

Answer: D

211. Innovations tend to take place in

- a. Hot countries
- b. Moderate countries
- c. Cold countries
- d. none

Answer: A

212. An agent located near production sources who is hired by a client to buy new products there is known as a(n)

- a. Buying agent
- b. Resident buyer
- c. EMC
- d. Drop shipper

Answer: B

213. This merchant intermediary does not take possession of the goods purchased.

- a. Export merchant
- b. Export drop shipper
- c. Export distributor
- d. all

Answer: B

214. This intermediary takes title to the products it handles.

- a. Buying agent
- b. EMC
- c. Export broker
- d. Trading company

Answer: D

215. The dominant form of the international transportation of merchandise is

- a. Air
- b. Sea
- c. Land
- d. all of the above

Answer: B

216. Freight forwarders do not perform this function.

- a. Packing advice
- b. Freight rate quotation
- c. Preparation of customs documents
- d. Product pricing

Answer: D

217. An association of ocean carriers which join to establish common rules with regard to freight rates and shipping conditions is

- a. Conference line
- b. Independent line
- c. Tramp line
- d. Chartered line

Answer: A

218. Members of this group charge identical shipping rates. conference line

- a. Independent line
- b. Tramp line
- c. Chartered line
- d. all of the above

Answer: A

219. Marine cargo insurance applies to shipments by

- a. Air
- b. Sea
- c. Mail
- d. All of the above

Answer: D

220. For high unit-value, low-turnover specialty goods, a manufacturer can -----its distribution channel

- a. Shorten & narrow
- b. Expand & extend
- c. Stretch & elongate
- d. all of the above

Answer: A

221. Advertising slogans are often proved to be the most effective mean of to one or more aspects of a product or products. Select correct option:

- A. Drawing attention
- B. Marketing communication
- C. Publicity
- D. Sales promotion

Answer: D

233. Which of the following is NOT a media of advertising?

- A. Direct selling
- B. Newspaper
- C. Radio
- D. Television

Answer: A

234. Which of the following is NOT a part of marketing communication mix?

- A. Telemarketing
- B. Public relations
- C. Sales promotion
- D. Advertising

Answer: C

235. Which of the following statement is TRUE about publicity?

- A. Publicity is a tool of direct selling
- B. Publicity is a tool of public relations
- C. Publicity is a tool of sales promotion
- D. Publicity is a tool of advertising

Answer: D

236. Which of the following is NOT a sales promotion technique?

- A. Coupons
- B. Telephone survey
- C. Sample
- D. Contests

Answer: B

237. IMC stands for what?

- A. Internal marketing communication
- B. Integrated marketing communication
- C. Integrated managing company
- D. Internal marketing community

Answer: B

238. What are the companies doing from the following options as a result of an explosion of more focused media that better match today's targeting strategies?

- A. More narrowcasting and less broadcasting
- B. Less broadcasting and more narrowcasting
- C. Less narrowcasting and broadcasting
- D. More narrowcasting and broadcasting

Answer: D

239. Which of the following advertising is used heavily for creating a primary demand when introducing a new product in the market?

- A. Persuasive advertising
- B. Informative advertising
- C. Comparative advertising
- D. Institutional advertising

Answer: C

240. All of the following are the logistics functions EXCEPT?

- A. Order processing
- B. Warehousing
- C. Inventory management
- D. Retailing

Answer: C

241. This channel decision is related to the number of middlemen at a particular point or step In the distribution channel.

- A. channel length
- B. channel width
- C. number of channels
- D. all of the above

Answer: A

242. A product with a low-price image requires distribution.

- A. intensive
- B. selective
- C. exclusive
- D. all of the above

Answer: B

243. To reduce the potential compensation obligations under foreign laws on termination of distributors, the exporter should

- A. insist on an evergreen contract
- B. renew agreements without changing the language of prior texts
- C. include "just cause" termination provisions
- D. avoid having specific expiration dates

Answer: C

248. This practice is illegal.

- A. gray marketing
- B. parallel distribution
- C. black market
- D. all of the above

Answer: C

251. Decentralization is likely in the case of

- A. ethnocentricity
- B. polycentricity
- C. geocentricity
- D. none of the above

Answer: B

252. A strong orientation to the host country is known as geocentricity.

- A. True
- B. False
- C. none
- D. all

Answer: B

253. This kind of orientation often results in duplication of effort among overseas subsidiaries.

- A. ethnocentricity
- B. polycentricity
- C. egocentricity
- D. none of the above

Answer: B

257. These firms allocate corporate resources without regard to national frontiers and do not hesitate making direct investment abroad.

- A. ethnocentric firms
- B. polycentric firms
- C. geocentric firms
- D. none of the above

Answer: D

258. In terms of the PESTLE analysis, the liberalizing of international trade and tariff regimes could go in which section or sections?

- A. Political
- B. Legal
- C. Political and economic and legal
- D. Political and environmental

Answer: C

259. An 'industry recipe' can be defined as:

- A. An accepted pattern of operating and competing
- B. A tactic for anticipating a competitor's next move
- C. The hidden competences that is difficult to imitate
- D. A strategic group

Answer: B

260. Typically, profits are highest in which stage of the industry life-cycle?

- A. Introduction
- B. Growth
- C. Maturity
- D. Decline

Answer: A

261. Which of the following industries is least likely to follow the conventional life-cycle model?

- A. Software development
- B. Coal mining
- C. Insurance broking
- D. Hairdressing

Answer: A

263. The Six Forces framework is based on the principle of:

- A. Resource-based view
- B. Conduct - structure - performance
- C. Econometrics
- D. Structure - conduct - performance

Answer: D

264. In the Six Forces, the 'threat of new entrants' relates to:

- A. Barriers to entry
- B. Substitutes

- C. Switching costs D. Buyer power

Answer: D

265. An industry characterized by irregular patterns of stability, rapid technological change, high uncertainty and global competition can be described as:

- A. Hypercompetitive C. Atypical
B. Hyperactive D. Co-optive

Answer: D

266. A situation in which the joint moves of two firms can determine how much money each firm can make or lose can be explained using the story of:

- A. The Trojan horse C. The Prisoner's Dilemma
B. The Icarus Paradox D. The Icarus Dilemma

Answer: C

267. In the context of environmental analysis, 'munificence' means:

- A. The extent to which resources are freely available to support firms in an industry and enable them to grow B. The extent to which it is diverse C. The extent to which it is stable or turbulent
D. The extent to which the industry follows the conventional life-cycle stages.

Answer: B

268. What are most trade policies driven by?

- A. Conflicts of interest between nations. B. Conflicts of interest within nations.
C. Disagreements regarding who should produce certain products.
D. Disagreements on the prices of major commodities.

Answer: B

269. How is international trade policies governed?

- A. By the IMF. C. By the GATT.
B. They are not governed by anyone. D. By the U.N.

Answer: C

270. Regionalism is:

- A. The grouping of countries into regional clusters based on eographic proximity.
B. An international management orientation.

C. A protectionist policy created to exclude third world countries from certain forms of international trade.

- D. An international management orientation and a protectionist policy created to

Answer: A

272. In its most basic form, the gravity model says that the most important factors that describe the amount of trade between countries are

- A. the cultural affinity between the countries and the existence or lack of a common language.
B. the tariff barriers between the countries and the costs of transportation.
C. differences in wages and technology between countries.
D. the amount that the countries produce and the distance between them.

Answer: D

280. Three common techniques sales managers use to boost sales force morale that include the Organizational climate, sales quotas and which one of the following is the third Technique?

- A. Positive incentives C. Positive recognition
B. Positive thinking D. Positive feedback

Answer: D

281. This is not a characteristic of a good test market.

- a. Representativeness c. Expanded trading area
b. Self-contained media d. Market isolation

Answer: C

282. When a measuring instrument is able to measure what it purports to, the instrument is

- a. Reliable c. Stable
b. Consistent d. Valid

Answer: D

283. Perhaps, the most credible argument for protectionist measures is

- a. Keeping money at home
- b. Reducing unemployment
- c. Enhancing national security
- d. Protecting infant industry

Answer: D

284. Compared to a protective tariff, a revenue tariff is

- a. Lower
- b. Higher
- c. About the same
- d. none

Answer: A

285. The duties stated as a fixed percentage of the invoice value are

- a. Specific duties
- b. Ad valorem duties
- c. Compound duty
- d. Combined rates

Answer: B

286. This is not a nontariff barrier.

- a. Documentation
- b. Quota
- c. Product inspection
- d. Countervailing duties

Answer: D

287. GATT's Subsidies Code prohibits the use of export subsidies on

- a. Non-primary products
- b. Primary products
- c. Both primary and non-primary products
- d. Neither non-primary nor primary products

Answer: A

288. This type of trade barriers is easiest to deal with.

- a. Tariffs
- b. Nontariff barriers
- c. Private barriers
- d. International barriers

Answer: A

289. The world organization wants to achieve a broad, multilateral, and free worldwide system of trading.

- a. WTO
- b. GSP
- c. UNCTAD
- d. MFN

Answer: A

290. This organization is a permanent organ of the United Nations General Assembly, and its goal is to encourage development in Third World countries and enhance their export positions.

- a. GATT
- b. GSP
- c. UNCTAD
- d. IMF

Answer: C

291. The system which gives LDCs' exports a preferential treatment is called

- a. GATT
- b. GSP
- c. UNCTAD
- d. MFN

Answer: A

292. This kind of quota is the most restrictive.

- a. absolute quota
- b. tariff quota
- c. voluntary quota
- d. VER

Answer: A

293. When a country permits an import of limited quantities at low rates of duty but subjects an excess amount to a much higher rate, this kind of quota is used.

- a. absolute quota
- b. voluntary quota
- c. relative quota
- d. tariff quota

Answer: D

294. The world organization monitors trade and resolves disputes.

- A. WTO
- B. GSP
- C. UNCTAD
- D. World Bank

Answer: A

295. This kind of company does not identify itself with a particular country and may even Prefer to lose its national identity.

- | | |
|-----------------|----------------------|
| A. ethnocentric | C. geocentric (X) |
| B. polycentric | D. none of the above |

Answer: C

309. Firms that combine aspects of centralization and decentralization are

- | | |
|-----------------|----------------------|
| A. ethnocentric | C. geocentric (X) |
| B. polycentric | D. none of the above |

Answer: C

310. Because of trade (and imports), inflation

- | | |
|--------------|------------------|
| A. increases | C. moderates (X) |
| B. decreases | D. disappears |

Answer: C

311. As a result of international trade and global interdependence, countries' inflation rates tend to

- | | |
|-----------------|---------------------|
| A. increase | C. be unpredictable |
| B. moderate (X) | D. be unstable |

Answer: B

312. Political globalization is the process of —

- | | |
|---|--------------------------------------|
| A. changes in the rules and structures of global governance | C. change in political systems |
| B. rise of the WTO | D. emergence of a political ideology |

Answer: C

313. South–South co-operation means —

- A. the flow of resources from one developing country to another
- B. increasing diplomatic relations among emerging economies
- C. increasing investment between developing countries
- D. rising trade between countries

Answer: A

314. International orientation refers to —

- A. a gradual process of internationalization
- B. a firm's modes of entry into international business
- C. an attitude or strategic predisposition of a TNC towards internationalization
- D. the stage theory of internationalization

Answer: A

315. Ethnocentric orientation is a predisposition towards —

- | | |
|---------------------|-------------------------------------|
| A. regionalism | C. the global economy |
| B. the home country | D. geographically proximate regions |

Answer: C

317. Business entities engaged in international business activity are commonly known as-

- | | |
|---------|-------------------------------|
| A. NGOs | C. State-trading corporations |
| B. EOUs | D. TNCs |

Answer: A

318. Credits transferable by original beneficiary in favor of secondary beneficiary are known as

- | | |
|---------------------|-------------------------|
| A. Deferred credits | C. Installment credits |
| B. Transit credits | D. Transferable credits |

Answer: D

320. Which theory states that, lack of resources often helps countries to become competitive

- | | |
|--------------------------|------------------------------|
| A. Competitive theory | C. Theory of Mercantilism |
| B. Porters Diamond Model | D. Product life cycle theory |

Answer: D

321. Theory of Mercantilism propagates

- A. Encourage exports and imports
- B. Encourage exports and discourage imports
- C. Discourage exports and imports
- D. Discourage exports and encourage imports

Answer: B

322. The headquarters of EU is at

- A. London
- B. Paris
- C. berlin
- D. Brussels

Answer: D

321. Trade barriers are_____ to the growth of international trade

- A. harmful
- B. useful
- C. supportive
- D. none of these

Answer: B

322. International marketing is dominated by countries

- A. poor
- B. developing
- C. developed
- D. rich

Answer: C

324. Democracy is regarding as_____ political system

- A. worse
- B. best
- C. most ineffective
- D. corrupt

Answer: B

325._____ is international price discrimination

- A. counter trade
- B. buyback
- C. dumping
- D. none of these

Answer: C

326. Marketing is influenced by

- A. product demand
- B. public taste
- C. buyer behavior
- D. all of the above

Answer: D

328. Selling is

- A. different from marketing
- B. a sub-function of marketing
- C. same as marketing
- D. none of these

Answer: D

329. EXIM stands for

- A. export
- B. export and import
- C. domestic trade
- D. import and export

Answer: B

330. Different strategies are suitable for different companies depending on their particular situation. This is articulated by the “EPRG Framework”. What are the four options of the EPRG Framework?

- a. Ethno Policies, Private Policies, Racial Policies, Geography
- b. Ethnocentrism, Polycentrism, Regiocentrism, Geocentrism
- c. Energy, Privacy, Real-World, Giggity
- d. Ethnocentrism, Polycentrism, Racialism, Governmental

Answer: B

331. For any company looking to expand internationally, be it first-time exporter or a major multinational, a fundamental question has been, and continues to be:

- a. New Market, New Product
- b. New Market, Same Product
- c. The extent to which the marketing mix should or can be standardized across the countries in which the firm operates
- d. PDI, PDV

Answer: C

332. Distribution channels vary depending on which of the following?

- a. Target market size
- b. Competition
- c. Available distribution intermediaries
- d. All of the above

Answer: D

333. Within the firm, it is primarily the ___ or ___ managers who argue for standardization for the sake of economies of scale.

- a. Production, Finance
- b. Marketing, Distribution
- c. Logistic, Manufacturer
- d. Primary, Secondary

Answer: A

334. Which country has more retailers than the rest of the world combined?

- a. Japan
- b. China
- c. India
- d. Germany

Answer: B

335. Ethnocentrism can simply be defined as:

- a. Developing a simple diverse strategy for new markets
- b. Develop one strategy for all countries worldwide
- c. Use everywhere the same strategy as at home.
- d. Being ethnically centered on a global scale

Answer: C

336. Which of the following would you consider to be a socio-cultural influence on international marketing?

- a. Language
- b. Religion
- c. Social organization
- d. All of the above

Answer: D

337. An overall strategy that involves the firm pouring all of its available resources into one or a select few markets is known as:

- a. Maximum investment strategy
- b. Sprinkler Strategy
- c. Waterfall Strategy
- d. Standardization

Answer: C

338. All of the following are actual modes of market-entry EXCEPT:

- a. Licensing
- b. Standardization
- c. Franchising
- d. Exporting

Answer: B

339. _____ suggests spreading the company's resources in order to gain even small footholds across as many markets as possible

- a. Direct Exporting
- b. Sprinkler Strategy
- c. Agent Intermediaries
- d. Waterfall Strategy

Answer: B

340. Conditions that may encourage an organization in a domestic environment to expand are:

- a. Market Saturation, Slow Population, Growth, Product Adolescence
- b. Factors related to the firm's industrial sector, or to the company itself and its products
- c. A unique product with a strong competitive advantage, a forward-looking managerial philosophy, corporate objectives calling for rapid growth, as well as as of the right of talents and skills for international operations
- d. All of the above

Answer: D

341. _____ usually means that the company sells to a customer in another country, be it an intermediary or an end-customer.

- a. Indirect exporting
- b. Direct Exporting
- c. Franchising
- d. Cross selling

Answer: B

342. Which of the following alternative market entry modes offers the most control and risk?

- a. Franchising
- b. Licensing
- c. Greenfield
- d. Strategic Alliance

Answer: C

343. MEA stands for Manufacturer Export Agent

- a. True
- b. False
- c. none
- d. all

Answer: A

344. _____ are a partnership of two or more companies that join forces to create a separate legal entity.

- a. International Joint Ventures
- b. International Consortia
- c. Mergers and Acquisitions
- d. Co-Branding

Answer: A

345. An unconscious reference to one's own cultural values, experiences, and knowledge as a basis for decisions.

- a. Self-Reference Criterion
- b. Pro Globalist
- c. Tolerance Effect
- d. Culture

Answer: A

346. For managers selling capital equipment and big-ticket industrial services, understanding the concept of _____ demand is absolutely fundamental to their success.

- a. Kinked
- b. Sliding
- c. Multiple
- d. Derived

Answer: D

347. The concept of quality encompasses many factors, and the perception of quality rests solely with the.

- a. Price
- b. Value
- c. Sellers
- d. Customer

Answer: D

348. The ability to match the acceptable behavior, norms, and values is called a product's:

- a. Relative advantage
- b. Compatibility
- c. Complexity
- d. Trial-ability

Answer: B

349. One of the early problems faced by BMW when it attempted to market its line of automobiles in the United States was a severe shortage of spare parts. If BMW's management makes the decision to correct this problem, in which of the following components of the product component model would management need to make improvement?

- A. Core component
- B. Functional component
- C. Support services component
- D. First stage component

Answer: C

356. A successful _____ is the most valuable resource a company has.

- A. Marketing Campaign
- B. CEO
- C. Product
- D. Brand

Answer: D

357. Any influence that the company of manufacture, assembly, or design has on a consumer's positive or negative perception of a product is called the:

- A. Polar effect
- B. Alteration effect
- C. Country-of-origin effect
- D. Transference effect

Answer: C

359. Three questions are central to strategy. Which is not one of them?

- A. When do we compete?
- B. With whom do we need to develop key relationships?
- C. Where do we compete?
- D. How do we compete?

Answer: A

360. There are complaints towards globalization. Which is not one of them?

- A. unhealthy dietary patterns
- B. legal rights
- C. unsustainable consumption
- D. loss of local Culture

Answer: B

361. Web sales are characterized as having which of the following challenging aspects?

- A. Delivery of goods
- B. Discounts for volume purchase
- C. Consumer loyalty
- D. Payment

Answer: A

362. Which of the following external intermediaries does not take title to the goods that they process?

- A. Merchant intermediaries
- B. Export merchants
- C. Trading companies
- D. Agent intermediaries

Answer: D

363. Dr Gadisa is looking for an intermediary that specializes in researching foreign markets for a client's products. Additionally, he would like this intermediary to handle all the routine details of getting his products to the foreign customers that he anticipates he will have during the next business year. Which of the following would be the best choice for Dr Gadisa. Bond if he wants to meet his objectives?

- A. Export management company
- B. Import management company
- C. A jobber
- D. A robber

Answer: A

365. Which of the following international intermediaries often has exclusive sales rights in a specific country and works in close cooperation with the manufacturer?

- A. Foreign-country broker
- B. Managing agent
- C. Dealer
- D. Foreign distributor

Answer: D

366. Which of the following C's must be considered if the company is to achieve the optimum volume of sales, secure a reasonable market share, and gain satisfactory market penetration?

- A. Coverage
- B. Control
- C. Character
- D. Continuity

Answer: A

367. Which of the following C's must be considered with regard to ownership of the sales force and distribution system?

- A. Control
- B. Cost
- C. Continuity
- D. Coverage

Answer: A

368. As a result of international trade and global interdependence, countries' inflation rates tend to:

- A. increase
- B. moderate
- C. be unpredictable
- D. be unstable

Answer: B

369. Because of trade (and imports), inflation:

- A. increases
- B. decreases
- C. moderates
- D. disappears

Answer: C

372. A _____ is a tax-free enclave in which imported goods can be stored or processed. It is also not considered part of the country as far as import and other regulations are concerned

- A. Free trade zone
- B. Port storage centre
- C. Corporate housing unit
- D. Manufacturing den

Answer: A

374. Deflation results in decreasing prices and creates a positive result for consumers, but it puts pressure on everyone in the supply chain to lower costs

- A. True
- B. False
- C. none
- D. all

Answer: A

379. According to the textbook, international marketing is “the multinational process of planning and executing the conception, pricing, promotion, and distribution of ideas, goods, and services to create exchanges that satisfy individual and Organizational objectives.” The definition fails to recognize:

- | | |
|-----------------------------------|----------------------------|
| A. nonprofit marketing | C. consumer marketing |
| B. business-to-business marketing | D. integration of the 4 Ps |

Answer: B

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2: HUMAN RESOURCE AND ORGANIZATIONAL BEHAVIOUR

1. Human Resources Management
2. Organizational Behavior
3. Leadership and Change Management

1) HUMAN RESOURCES MANAGEMENT

1. Define HRM.

“Human resources management is the planning, organizing, directing and controlling of the procurement, development, compensation, integration maintenance and separation of human resources to the end that individual, Organizational and social objectives are accomplished”

2. What is Training?

It is concerned with developing a particular skill to a desired standard by instruction and practice. It is a highly useful tool that can bring an employee into a position where there can do their job correctly, effectively and conscientiously. It is the act of increasing the knowledge and skill of an employee for doing a particular job.

3. Define job analysis.

Job analysis is the process of systematically analysis the activities pertaining to each job. It is designed to define the duties, responsibilities and accountability of the job.

4. Explain job description.

It is an organized and planned, factual statement of the duties and responsibilities of a specific job.

- What is to be done
- How it is to be done
- Why it is to be done

5. Explain job specification.

Job specifications are developed and promoted by the HR department in co- operation with line functionaries.

6. Define Recruitment.

Recruitment is the process of searching for prospective employees and stimulating them to apply for jobs in the organization.

7. What do you mean by training?

As organization respond to the pressures for change from an increasingly competitive environment, managers need to develop new capabilities, new skills.

8. Define Promotion.

“It is term which covers a change and calls for greater responsibilities, and usually involves higher pay and better terms and conditions of services and, therefore, a higher status of ranks.

9. Define Wage.

It is monetary compensation (remuneration, personnel expenses) paid by an employer to an employee in exchange for work done.

10. Explain Performance Evaluation.

A performance evaluation system is a systematic way to examine how well an employee is performing in his or her job.

11. What do you mean by compensation?

It is a tool used by management for a variety of purpose of further the existence of the company. It is a remuneration that an employee receives in return for his or her contribution in the organization.

12. What is performance appraisal?

Performance appraisal is the systematic evaluation of the performance of employees and to understand the

abilities of a person for further growth and development.

13. What do you mean by grievance?

It may be any genuine or imaginary feeling of dissatisfaction or injustice which an employee experiences about his job and it is nature, about the management policies and procedures.

14. Define of HRP.

“HRP is concerned with two things: Planning of manpower requirements and Planning of manpower supplies”.

15. Define discipline.

Discipline may consider as the force that prompts individuals or groups to observe rules, standards and procedures deemed necessary for an organization”.

16. What is the scope of HRM?

- ✓ Human Resource Planning
- ✓ Design and staffing
- ✓ Selection and staffing
- ✓ Training and development
- ✓ Organizational development
- ✓ Compensation and Benefits
- ✓ Employee Assistance
- ✓ Union / Labor Relations
- ✓ Personnel Research and Information System.

17. Explain benefits of training.

- a. Increased productivity
- b. Heightened morale
- c. Reduced supervision
- d. Reduced accidents
- e. Increased Organizational stability

18. Explain methods of training.

- ☞ On-the- job training (OJT)
- ☞ Job instruction training (JIT)
- ☞ Vestibule training
- ☞ Training by experienced workmen
- ☞ Classroom or off-the-job training

19. What are the objectives of Grievance Handling Procedure?

- ✓ To enable the employee to air their grievance
- ✓ To clarify the nature of the grievance
- ✓ To investigate the reasons for dissatisfaction
- ✓ To obtain, where possible, a speedy resolution to the problem
- ✓ To take appropriate actions and ensure that promises are kept
- ✓ To inform the employee of their right to take the grievance to the next stage of the procedure, in the event of an unsuccessful resolution.

24. What are the types of Fringe benefits?

- I. Old age and retirement benefits
- II. Workman's compensation
- III. Employee security
- IV. Payments for time not worked
- V. Safety and health
- VI. Health benefits

25. Explain the types of employee training.

- ☞ On-the-Job training
- ☞ Off-the-Job training

26. What are the objectives of training and development?

- A. Individual objectives
- B. Organizational objectives
- C. Functional objectives
- D. Societal objectives

27. Explain the factors affecting recruitment.

- ✚ Wage and salary policies
- ✚ The age composition of existing working force.
- ✚ Promotion and retirement policies
- ✚ Turnover rates
- ✚ The level and seasonality of operations in question
- ✚ Future expansion and reduction programmes
- ✚ Recruiting policy of the organization.
- ✚ Human resource planning strategy of the company

- ✚ Size of the organization and the number of employee employed.
- ✚ Cost involved in recruiting employees and finally
- ✚ Growth and expansion plans of the organization.

34. Explain purpose and uses of job analysis

- Organization and manpower planning
- Recruitment, selection
- Wage and salary administration
- Job re-engineering
- Employee training and management development
- Performance appraisal
- Health and safety.

35. What are the functions of personnel department?

Managerial function

- Planning
- organizing
- directing
- co-coordinating

Operative function

- controlling
- The procurement function
- The development function
- The compensating function
- Integration function
- The maintenance unction

36. What ate the importance of HR Planning?

- Future personnel needs
- Part of strategic planning
- Creating highly talented personnel
- International strategies
- Foundation for personnel functions
- Increasing investments in human resources
- Resistance of change
- Uniting the viewpoint of line and staff managers
- Succession planning

37. Explain challenges in HR managers

- ❖ Managing the vision
- ❖ Internal environment
- ❖ Changing industrial relations
- ❖ Building Organizational capability
- ❖ Job design and Organizational structure
- ❖ Managing the large work force
- ❖ Employee satisfaction
- ❖ Modern technology
- ❖ Computerized information system
- ❖ Managing human resource relations

38. Common challenges associated with the performance measurement

- ☞ Dominate financial or other back-ward looking indicators
- ☞ Failure to measure all the factors that create value
- ☞ Little account taken of asset creation and growth
- ☞ Poor measurement of innovation, learning and change
- ☞ A concentration on immediate rather than long-term goals.

39. What is the significance of human resource development (HRD)?

- a. Growth of organization
- b. Development of work culture
- c. Developing potentialities
- d. Growth of employees
- e. Country develops if the human resource is developed
- f. Entrepreneurship increase

40. Why study human resource management?

Answer: You may ask a question, why study human resource management? You will recognize that staffing the organization, designing jobs and team, developing skillful employees, identifying approaches for improving their performance, and rewarding employee successes—all typically are known as HRM issues—are as relevant to line managers as they are to managers in the HR department.

41. What is human resource development?

Answer: Human Resource Development is the continuous process of improving the capabilities required to achieve Organizational and individual goals. It is a broader concept than Human

Resource Management. Generally, it consists of several subsystems such as appraisal; counselling, training, rewards, and welfare, quality of work life, etc.

42. Explain the need for human resource development?

Answer: Need for HRD are:

- | | |
|---|--|
| 1. Changes in Economic Policies | 5. Human Relations |
| 2. Changing Job Requirements | 6. Organizational Viability and Transformation Process |
| 3. Need for Multi-skilled Human Resources | 7. Technological Advances |
| 4. Organizational Complexity | |

43. Differentiate between performance appraisal and job evaluation.

Answer: Performance Appraisal:

- (i) Meaning – Performance appraisal refers to knowing of the level of performance of employees working in an organisation.
- (ii) Relation – It concerns with individuals because the level of their performance is to be determined.
- (iii) Objective – Its objective is to provide basis for promotion, transfer, training, etc.
- (iv) Basis of Policies – Policies regarding training, promotion, transfer etc. are formulated on its basis in an organisation.

Job Evaluation:

- (i) Meaning – Determining of the relative worth of different jobs of an organisation is called job evaluation.
- (ii) Relation – It is concerned with the job and not individuals. Worth of each job is determined.
- (iii) Objective – Its main objective is to determine remunerations for different jobs.
- (iv) Basis of Policies – Remuneration policy of an organisation is determined on its basis.

44. What are the objectives of career planning?

Answer:

- i. To provide and maintain appropriate manpower resources in the organization by offering careers, not jobs.
- ii. To provide environment for the effectiveness, efficiency and growth of its employees and motivating them to contribute effectively towards achieving the objectives of the organization.
- iii. To map out careers of various categories of employees suitable to their ability, and their willingness to be 'trained and developed for higher positions.
- iv. To have a stable workforce by reducing absenteeism and employee turnover.
- v. To cater to the immediate and future human resources need of the organization on a timely basis.
- vi. To increase the utilization of managerial reserves within organization.

45. What are the different methods of recruiting employees?

Answer: The possible recruiting methods can be divided into three categories:

1. Direct: In this method, recruiters visit colleges and technical schools, e.g., Infosys, the Tata group, IBM, Siemens and several other companies maintain continuous relationship with institutions to hire students for responsible positions. Internships and walk-in interview are other methods of direct recruitment.

2. Indirect: This involves advertising in newspaper, radio, T.V., journals etc., advertising can be very effective if its media is properly chosen.

3. Third Party Methods: Under this Method, recruitment is done through third parties including: (i) Employment agencies and exchange,
(ii) Management consultants or professional search firms known as head hunters,
(iii) Professional associations.

46. What is job design?

Answer: Job design is the process of deciding on the contents of a job in terms of its duties and responsibilities. In the methods to be used in carrying out the job, in terms of techniques, system and procedures, and in the relationship that should exist between the job-holder and his Superiors, subordinates and colleagues.

47. Management of men is a challenging job. Explain!

Answer: “The Management of Man” is a very important and challenging job; important because it is a job, not of managing ‘men,’ but of administering a social system. The management of men is a challenging task because of the dynamic nature of the people. No two persons are similar in mental abilities, traditions, sentiments, and behavior; they differ widely also as groups, and are subject to many and varied influences.

People are responsive; they feel, think, and act; therefore, they cannot be operated like a machine or shifted and altered like a template in a room layout. They, therefore, need a tactful handling by management personnel. If manpower is properly utilized, it may prove a dynamic motive force for running an enterprise at its optimum results and also work as an elixir for maximum individual and group satisfaction in relation to the work performed.

Manpower management is a most crucial job because “managing people is the heart and essence of being a manager.” It is concerned with any activity relating to human elements or relations in organization. Material elements, however, are beyond its domain.

48. Difference between job description and job specification.

Answer: Job description is the measure of job whereas job specification is the measure of the job-holder. **Job description** is the summary of the duties, responsibilities and other characteristics of the job whereas job specification is a statement of the qualities and qualifications required in the job holder to perform the job properly. Job specification assists the management in selecting a match for the job.

Job description tells what is to be done and what is the nature of job, whereas job specification tells what attributes are needed in the person handling the job. Job description helps the candidate to understand the requirements of the job which are to be fulfilled by him and it also helps him in making self-appraisal by comparing his actual performance with job description. Job description assists the management in appraising the performance of the employees.

49. List out the limitations of performance appraisal.

Answer: The drawbacks or limitations of various methods of performance appraisal are as follows:

1. If the factors included in the assessment are irrelevant, the result of merit rating will not be accurate.
2. Different qualities to be rated may not be given proper weightage in certain cases.
3. Some of the factors are highly subjective like initiative and personality of the employees.
4. Supervisors often do not have critical ability in assessing the staff. Sometimes, they are guided by their personal emotions and likes.

50. What is training?

Answer: The dictionary meaning of training is “imparting instruction in a particular art, profession or occupation.” In Public Administration, “training means conscious efforts made to improve the skills, powers and intelligence of an employee and to develop his attitudes and value system in a desired direction.

51. What are the goals of performance appraisal?

Answer: Recognize the efforts and contributions of current staff. Reward staff with compensation directly linked to performance. Motivate staff to improve performance. Orient staff towards goal achievement. Retain key employees through the use of competitive compensation programs. Attract quality employees with an effective performance management system.

52. What do you understand by industrial relation?

Answer: Industrial relations means the relationship between employer and employees in industrial organization. In a narrow legalistic sense, industrial relation is a subject of study and aspect of management which includes the relationship between, employers and employees. But in a broad sense, the term: industrial relation includes the relations between the various unions between the state and the union as well as those between the employers and the government.

Relations of all these associated in industry may be called industrial relation. It includes individual relation and joint consultation between employers and workers of the place of work. According to the International Labor Organization, industrial relations means relationship between the state on the one hand and the employers and employees organizations on the other hand and the relationship among the occupational Organizational themselves.

53. Briefly explains the importance of discipline.

Answer: Discipline is vital for smooth functioning of an organization. It is compliance with rule, procedures and etiquette and helps to maintain order and decorum. The fundamental purpose of discipline is to maintain good industrial relation in the organization by establishing harmonious relationship between the employers and employees. It also develops feeling of cooperation among workers.

Other incidental purposes of discipline are developing a sense of equanimity and spirit of tolerance, adjustment among superior and subordinates, acceptance to the rules, regulation and procedure of the system on the part of workers, securing responsible behavior on the part of employees, improving overall effectiveness of the organization, by emphasizing Organizational culture.

Discipline indicates the behavior of employees, which is governed by informal norms. It is essential for smooth discharge of duty not only in administration, but also in social and civic life. It is necessary to avoid misuse of official power and resource. Lack of it leads to corruption.

Discipline is very essential in civil service. If the civil servant is involved in corruption no doubt, other people followed it. Discipline in the service is very essential for an efficient personnel system. Promotion of the employees depends upon their good behavior and observance of discipline in the service. To prevail abuse of power by the civil servants, disciplinary rules are more essential.

54. Discuss the basic objectives of human resource management effectiveness.

The basic objectives of human resource management effectiveness may be explained as follows:

1. To maintain high morale and good human relations within the organization.
2. To help the organization attain its goods by providing well-trained and well-motivated employees.
3. To bring about maximum individual development of members of the organization by providing opportunities for training and advancement.
4. To develop and maintain a quality life.
5. To secure the integration of all the individuals and groups with the organization by reconciling individual.
6. To help maintain ethical policies and behavior inside and outside the organization.
7. To recognize and satisfy individual needs and group goals by offering appropriate monetary and non-monetary incentives.

Management is primarily dealing with human beings and its problem. But it is no doubt; management is the development of people, not the direction of things.

55. what do you mean by Human Resource Department (HRD)?

Answer: Human resource department is established as a staff department to advise all other departments and the top management on human resource matters, within the human resource department the relations are of line type. Human resource manager is the head of the human resource department.

The human resource department is set up to provide advice and assistance to line manager in performing their human resource functions. By providing advice and information, human resource department enables a line manager to concentrate on technical/operative responsibilities of his department.

56. Define conflict.

Answer: “Conflict is an interpersonal process that springs from disagreements over the goals to attain or the methods to be used to accomplish those goals”.

“It is a process in which an effort is purposely made by one person or unit to block another so as to frustrate others in attaining goals”.

“Conflict is the condition of objective incompatibility between values and goals”.

57. What is the purpose for conducting selection interview?

Answer: The overall purpose of selection interviews in an organization are as follows:

- a. Help to obtain additional information from the applicant
- b. Facilitate giving general information to the applicant such as company policies, job, products manufactured etc.
- c. Help to build the company's image among the applicants.

58. Briefly describe the importance of motivation.

Answer:

- i. Leads to high performance
- ii. Enhances morale.
- iii. Increases productivity.
- iv. Reduces Turnover/absenteeism.
- v. Induces cooperation and team spirit.
- vi. Helps in assuming responsibility and working in disciplinary manner
- vii. Helps in better utilization of resources.
- viii. Helps achieve Organizational goals.

59. Explain the main characteristics of staffing?

Answer: Main Characteristics of Staffing are:

1. Staffing is an integral part of the management process.
2. It is required in each and every organization. It is a pervasive function.
3. It is concerned with attracting and retaining people.
4. It is the function of every manager and not simply of Human Resource Department.
5. It is a continuous function because needs of an organization keep on changing and some people leave the organization from time to time.

60. Explain the role of audit in Human Resource Management.

Answer: Role of Audit in the human resource management is most important. There is no legal provision to carry out human resource audit. But conscious employers voluntarily use it as a tool for evaluation and control of human resource function.

Evaluation and critical review of human resource function is no less important than that of accounting and finance function. Therefore, human resource audit is most essential to check the Organizational performance in the management in the human resources.

61. What are the different objectives of HRM?

Answer: 1. Societal Objectives – To be ethically and socially responsible to the needs and challenges of the society while minimizing the negative impact of such demands upon the organization.

2. Organizational Objectives – To recognize the role of HRM in bringing about Organizational effectiveness. HRM is only means to achieve to assist the organization with its primary objectives.

3. Functional Objectives – To maintain department's contribution and level of services at a level appropriate to the organization's needs.

4. Personal Objectives – To assist employees in achieving their personal goals, at least in so far as these goals enhance the individual's contribution to the organization. This is necessary to maintain employee performance and satisfaction for the purpose of maintaining, retaining and motivating the employees in the organization.

62. Differentiate between training and development.

Answer: Although training is often used in conjunction with development, the terms are not synonymous. Training typically focuses on providing employees with specific skills or helping them correct deficiencies in their performance. For example, when an organization is introducing new equipment, they may give training to their workers regarding how to use that equipment on their job. In contrast, development is an effort to provide employees with the abilities the organization will need in the future.

1. In training, the focus is solely on the current job while in development, the focus is on both the current job and the jobs that employees will hold in future.
2. The scope of training is on individual employees, whereas the scope of development is on the entire work group or organization.
3. Training is job specific and addresses particular performance deficits or problems, while development is concerned with the workforce's skills and versatility.
4. Training tends to focus on immediate Organizational needs and development tends to focus on long-term requirements.
5. The goal of training is fairly quick improvement in workers' performance, whereas the goal of development is the overall enrichment of the organization's human resources.

63. Briefly describe the importance of HRM.

- i. Human resources, along with financial and material resources contribute to the production of goods and services in an organization.
- ii. It is through the combined and concerted efforts of people that monetary and material resources are harnessed to achieve Organizational goals.
- iii. Personnel management policies: A policy is a statement or general guidelines for employees to make decisions in respect of to any course of action.
- iv. Personnel policies provide guidelines for a variety of employment relationships and identify the organization's intentions in recruitment, selection, development, promotion, compensation, motivation etc.

64. What are the various objectives of HRD?

Answer:

1. Work Opportunity – HRD provides an opportunity and a systematic framework for the development resource in the organization for full expression of their talents.
2. Development of Traits – HRD is associated with the development of total personality so that these can show and use their talent for the benefit of the organization.
3. Ability development – HRD makes capable employees. Thus they can develop their capability by which they can do their present job easily.
4. Creative Motivation – HRD manager motivates employees and improve their level of performance.
5. Good Relation – HRD manager stresses the need of coordination which is used for the benefits of himself and for the benefits of those who come in their contact.
6. Develop team spirit – HRD manager develops the spirit of teamwork; team work for it is used for the effective cooperation and coordination of each employee which ultimately checks industrial unrest.
7. Organizational Growth – HRM manager is responsible for developing health, culture and effective work plan which always result in more profitability.
8. Human Resource Information – HRM manager in general keeps all records to employees working in his organization; these can be used at any time when these are needed.

65. What is the importance of training?

Answer:

1. Training enables the management to face the pressure of changing environments.
2. Training usually results in the increase of quantity and quality of output.
3. Training leads to job satisfaction and higher morale of the employees.
4. Trained workers need lesser supervision.
5. Trained workers enable the enterprise to face competition from rival organization.
6. Training enables employees to develop and rise within the organization and increase their earning capacity.
7. It moulds the employee's attitudes and helps them to achieve better co-operation with the organization.

8. Trained employees make better economic use of materials and equipment resulting in reduction of wastage and spoilage.
9. Training instructs the workers toward better job adjustment and reduces the rate of labor turnover and absenteeism.

66. Briefly explain the nature of career planning?

Answer: 1. A Process – Career planning is a process of developing human resources rather than an event.

2. Upward movement – It involve upward movement in the Organizational hierarchy, or special assignments, project work which require abilities to handle recurring problems, human relations issues and so on.

3. Mutuality of Interest – The individual's interest is served as his needs and aspirations are met to a great extent and the organization's interest is served as each of its human resources is provided an opportunity to develop and contribute to the Organizational goals and objectives to the optimum of its ability and confidence.

4. Dynamic – Career planning is dynamic in nature due to an ever changing environment.

67. What are the important elements of a good appraisal system?

Answer:-

- | | | |
|-------------------------------|-----------------------------|---------------------|
| a. Reliability and validity | e. Post Appraisal Interview | i. Clear Objectives |
| b. Standardization | f. Not vindictive in nature | j. Periodic Review. |
| c. Training to Appraisers | g. Job relatedness | |
| d. Employee access to results | h. Practical viability | |

68. Why is performance appraisal needed?

Answer: 1. To create and maintain satisfactory level of performance.

2. To contribute to the employees growth & development through training and self & management development program.

3. To help the superior to have a proper understanding about their subordinate.

4. To grid, the job changes with the help of continuous ranking.

5. To facilitate fair and equitable compensation based on performance.

6. To facilitate for resting & validating selection test, interview techniques through comparing their scores with performance appraisal.

7. To providing information for making decision regarding lay off, retrenchment, retirement.

8. To suggest changes in employees behavior.

69. Briefly explain training versus education.

Answer: Training is learning job specific KSAs i.e., acquisition of knowledge, skills and attitudes that one requires to do a particular job. While, education is learning general KSAs that may directly or indirectly help an individual in his job.

Training and development can be contrasted as follows:

Training: i. Opportunity of learning.

ii. It is time specific.

iii. Every training should ideally result in development.

Development: i. Outcome of learning.

ii. It is continuous, never-ending life long process.

iii. Development may/may not be because of training. Development can be at times because of non-training factors too.

70. Who are career anchors?

Answer: Career anchors are distinct patterns of self – perceived talents, attitudes, motives and values that guide and stabilize a person's career after several years of real world experiences and feedback. Career anchors denote the basic drives that create the urge to take up a certain type of a career.

These drives are as follows:

- a. Managerial Competence – Person having this drive seek managerial positions that provide opportunities for higher responsibility, decision making, control and influence over others.
- b. Technical Competence – People having this anchor seek to make career choices based on the technical or functional content of the work. It provide continuous learning and updating one's expertise in a technical or specialized area such as quality control, engineering, accounting, advertising, public relations etc.
- c. Security – If one's career anchor is security than he is willing to do what is required to maintain job security (through compliance with Organizational prescriptions), a decent income and a stable future.
- d. Creativity – This drive provides entrepreneurial and innovative opportunities to the people. People are driven by an overwhelming desire to do something new that is totally of their own making.
- e. Autonomy – These people seek a career that provides freedom of action and independence.

71. Compare the functions of HRM and HRD.

Answer: HRM Function:

- i. The HRM function is a routine, maintenance oriented administrative function.
- ii. HRM function is seen as an independent function with independent sub-functions.
- iii. HRM function is regarded as mainly a reactive function responding to the demands of the organization as and when they arise.
- iv. HRM is supposed to be an exclusive responsibility of the personnel department.
- v. HRM takes a very narrow view of its scope and aims only at developing and administering people.
- vi. HRM function considers salary, economic rewards, job simplification and job specialization as important motivators.
- vii. HRM function considers improved satisfaction and morale as the cause of improved performance.

HRD Function: i. HRD is a continuous development function. The major attention of HRD is on improving the human process.

- ii. HRD is viewed as a sub-system of a larger system. This means that the design of HRD cannot be considered in isolation.
- iii. HRD is regarded as a proactive function- The function of HRD is not merely to cope with the needs of the organization but to anticipate them and to act on them in advance in a continuous and planned way.
- iv. HRD aims at developing the capabilities on all line managers to carry out various personnel functions themselves.
- v. HRD takes a much wider view of its scope and aims at developing the total organization.
- vi. HRD emphasizes the importance of higher needs in motivating individuals. It considers informal organization, autonomous work groups, job enrichment, job challenge and creativity as the main motivating forces.
- vii. HRD considers improved performance as the cause and improved satisfaction and morale of as its results.

72. What are different trends in the nature of work?

Answer: (i) Technological Changes:

Technological changes have already taken over the age old management in manufacturing, communications, designing raw material supply, storage movements, by accepting near to method techniques, products, machines, raw materials supply chain, logistics, thus helping increasing productivity and reduce number of employees.

Labour intensive blue collar and clericals jobs have started declining with arrival of the new techniques. Technology will also force companies to be competitive, job redesigning, change in organisation structures are being accepted.

Information technology has also speeded up what experts call the “call of hierarchy”, in other words managers depend less and less on yesterday’s stick-to-the chain of command approach to organising.

(ii) Another Trend Refers to Globalization:

This refers to the tendencies of companies to extend their sales or manufacturing to the new markets abroad for business, internationally, production is becoming globalised too, as manufacturing facilities are put around the world by manufacturers, at places which give them better advantages.

This globalization of markets and manufacturing has vastly increased international competition, changes are taking place in the nature of work, jobs due to the trends in technological change and globalization. Information technology including fax machines, personal computers and after e-business applications have allowed companies to relocate operations to locations with lower wages. There is trend to use temporary and part time workers, employees on contract basis and as consultants. There is trend to get work done through service industry, to get knowledge through Information Technology. An enormous shift from manufacturing jobs to service jobs is taking place in America and Western Europe.

Other trends affecting Human Resource Management relate to legal protection to employees in the matter of employment, health of employees, safety provisions, and union-management relations.

73. Discuss various applications of job analysis.

Answer: Job analysis is useful or applied in the following fields:

1. Organizational Design: Job analyses are useful in classifying jobs and interrelationship among them. Responsibility commensurate with authority and accountability for various jobs can be specified so as to minimize duplication or overlapping. In order to improve Organizational efficiency, sound decisions concerning, hierarchical positions and functional differentiation can be taken on the basis of information obtained through job analysis.

2. Requirement and Selection: Job analysis provide information about the task, responsibilities, knowledge and skill required for a job. It is helpful for recruitment and selection of employee. Job analysis provides understanding of what an employee is expected to do on the job.

3. Performance Appraisal: Job analysis determines performance standards of the job. So an employee performance is compared with the standard set with the help of job analysis.

4. Training and Development: Job analysis provides valuable information required to identify training needs to design training programs and to evaluate training effectiveness.

5. Human Resource Planning: Job analysis is an essential element of effective human resource planning. It helps in determining quality of human resources required in an organisation. It also provides useful information for forecasting manpower requirements in term of knowledge and skills.

6. Health and Safety: Job analysis reveals unhealthy and hazardous environmental and operational conditions in various jobs. Heat, noise, dust, fumes etc. are examples of such condition. On the basis of such information, management can develop measures to ensure the health and safety of employees.

7. Job Evaluation: On the basis of job analysis, worth of different jobs are determined. It is helpful in developing appropriate wage and salary structure.

8. Labor Relation: Information obtained through job analysis is helpful to both management and trade unions for collective bargaining. It is also helpful to resolve disputes and grievances originated in the workplace.

74. Define promotion.

Answer: The term “promotion” covers a change and calls for greater responsibilities, and usually involves higher pay and better terms and conditions of service. Promotion may be defined as “an upward advancement of an employee in an organisation to another job, which commands better wage, better prestige and higher opportunities, responsibilities, and authority, better working environment, hours of work and facilities, and a higher rank.”

According to L.D. White, "Promotion means an appointment from a given position to a position of higher grade, involving a change of duties to a more difficulties type of work and greater responsibility, accompanied by change of title and usually an increase of pay."

Thus, promotion means progress from a lower to a higher class with the change of duties and responsibilities. When an employee is promoted, it leads to the increase in his salary and grade also. But only increment in salary is not called promotion. Also if the employee is promoted and there is no increase in the employee's pay, it is called a 'dry' promotion.

75. What are the four components of 360 degree appraisal?

Answer: Performance appraisal has come to occupy a vital place in human resource function. 360 system involves evaluation of a manager by everyone above, alongside and below him. Several corporations like General Electric, Reliance Industries, Crompton Greaves, Godrej soaps, and Wipro, Infosys, Thermax, etc. are making use of this technique.

There are four integral components of 360 Degree Appraisal:

- | | |
|--------------------------|-----------------------------|
| (1) Self-Appraisal | (3) Subordinate's Appraisal |
| (2) Superior's Appraisal | (4) Peer Appraisal |

76. What are the limitations of MBO?

Answer: MBO suffers from the following drawbacks:

1. Difficulty in Goal Setting- It is often blue-collar workers are unable to set their job goals.
2. Problem of Participation- Traditional hierarchical structures and authoritative attitudes do not allow active participation of subordinates in goal-setting. In practice, leadership style of many managers may not be compatible with participative goal-setting.
3. Lack of Understanding- MBO often fails due to lack of knowledge about the philosophy and process of MBO. Failure to carefully monitor the system is also a problem.
4. Time-Consuming and Expensive- MBO programme involves considerable time, energy and expenditure. It is difficult to administer because continuous interaction between superior and the subordinate is required.
5. Inflexibility- MBO can be self-defeating if it fails to take into consideration the deeper emotions of people. Rating of every individual on the basis of specific targets may make it difficult to compare the ratings.

77. Explain the objectives of job evaluation.

Answer: Job evaluation has various objectives, which are given below:

- i. To provide a basis for wage negotiations with trade unions.
- ii. To provide a framework for periodic reviews and revision of wage rates.
- iii. To develop a consistent wage policy.
- iv. To establish a rational basis for incentive and bonus schemes.
- v. To determine equitable wage differentials between different jobs in the organisation.
- vi. To eliminate wage inequities.
- vii. To enable management to gauge and control the payroll costs.
- viii. To minimize wage discrimination on the basis of age, sex, caste, region and religion, etc.

78. Discuss material and non-material incentives.

Answer: Incentive is the important motivational factor. Every organisation provided financial incentives and non-financial incentives to its employees to motivate them. It also provide opportunity for hard working and ambitious workers to earn more. It helps in minimizing absenteeism and in improving productivity.

Therefore, every organization provided two types of incentives to its employees:

- (a) Material incentives, and
- (b) Non-material incentives.

(a) Material Incentives:

Material incentives are the primary needs of the individuals which must be satisfied. It includes food, cloth and shelter. It is provided by the employer to its employee directly.

Material incentives are of two types:

1. Individual Incentives, and
2. Group Incentives.

(b) Non-Material Incentive Plans:

Non-material incentive plans are mostly used in administration field. It stress on the higher needs of employee. It assists for promotion and nomination to higher posts. It is provided through appreciation letters, merit certificates, medals, more meaningful involvement in decision-making and opportunity for self-growth. In this plan, for any welfare activities, an employee doesn't get any financial incentives rather provided with non-financial incentives, which sustain the morale of that employee.

79. what are the features of profit sharing?

Answer: The different features are:

1. The payment is in addition to normal wages and allowances.
2. It is an agreement made between an employer and his employee at the unit level or at the industrial level.
3. Such agreement as voluntary.
4. The profit-sharing is not based on individual merit or performance. Rather it is a reward for collective effort.
5. Workers share the profits only and do not contribute to the company's loss.
6. The employee participating in the scheme must have some minimum years of service or other qualification.

80. What are the different kinds of pension?

Answer: Pensions are of different types, they are:

1. Superannuation Pension- Superannuation pension given to an officer who retires at the prescribed age. It was maintain in rules of Central Civil Service.
2. Retiring Pension- Retiring pension given to an officer who retires after completing a fixed period of qualifying services.
3. Invalid Pension- Invalid pension, given to an employee who retires from service because of his mental weakness or bodily weakness, permanently incapacities for his work. But it is certified by the appropriate medical authority.
4. Compensatory Pension- Compensatory pension granted to an officer whose permanent post is abolished and the Government is unable to provide him with an alternative post on such equal rank of post is offered to him, but not accepted by him
5. Compassionate Allowances- Such allowances are granted to a public servant, when pension is not admissible on account of a public servant's removal from service for misconduct, insolvency or inefficiency.
6. Compulsory Retirement Pension- Such pension is granted to a government servant, when he is compulsorily retired as a penalty.
7. Extra-ordinary Pension- Extra-ordinary pension are provided for-
 - (a) Injury Pension.
 - (b) Family Pension.

94. What is the importance of HR audit?

Answer: Importance of HR Audit:

1. To ensure the effective utilization of an organisation's human resources.
2. To review statutory compliances with a myriad of administrative regulations.
3. To instill a sense of confidence in management and the human resources function that it is well managed and prepared to meet potential challenges.
4. To maintain or enhance the organization's and the department's reputation in the community.
5. To perform a "due diligence" review for shareholders or potential investors/owners.

95. Critically discusses the principal methods of wage and salary payment.

Answer: Pay is a motivational factors. According to Manson Haire, Pay in one form or another is certainly one of the mainspring of motivation in our society. The survival services depend on the

level of remuneration offered. Therefore a salary system so designed that it attract, retain and motivate the employee towards the organisation. Also it is the responsibility of manager in the organisation to motivate the employee towards the work place.

Every task in the organisation is effectively done if there are a right number of employees with the right level of talent and skill and right incentive. An adequate and sound salary structure is the “sine qua non” for Organizational efficiency and effectiveness. Inadequate compensation creates strikes, intensive tensions rivalries, frustration, poor performance and low morale of the employees.

Methods of Wage Payment: Generally there are two methods of wage payment:

1. Time wage system
2. Piece wage system.

1. Time Wage System: Under this system, wages are paid on the basis of time spent on the job irrespective of the amount of work done. The unit of time may be a day, a week, and a fortnight or a month. In the past, daily wages have been the most common basis and therefore, it came to be known as the “Day wage system.”

2. Piece Wage System: Under this system, remuneration is based on the amount of work done on output of a worker. One unit of output is considered as one piece and a specific rate of wage is paid per piece. Greater is the number of pieces produced by a worker, higher is his remuneration, thus, a workman is paid in direct proportion to his output. It is called payment by results.

96. What are the functions of HRD?

Answer: The functions are:

1. Performance appraisal
2. Employee Training
3. Employee Development
4. Organizational Change
5. Organizational Development
6. Career planning and development
7. Involvement in social and religious Organisations
8. Involvement in Quality Circles
9. Involvement in Workers Participation in Management
10. Job rotation
11. Rewards
12. Feedback and Counseling

97. What are the six steps in training?

Answer: Important steps in training are:

1. Discovering or identifying training needs.
2. Preparing the instruction or getting ready for the job.
3. Preparing the trainee.
4. Presenting the operation.
5. Try out the trainee’s performance.
6. Follow-up or rewards and feedback.

98. What is profit sharing?

Answer: Profit-sharing plan is an important supplement to wages and a good financial incentive, the purpose of profit-sharing is to distribute additional profit among employees in the form of bonus or incentives, which may be paid in cash or transferred to their account. The company contributes a portion of its pretax profits to a pool that is distributed among eligible employees.

The amount distributed to each employee may be based on employee’s basic salary. It means the employees, who get higher salaries receive a slightly higher amount of profits. This is actually done on an annual basis.

According to the International Labour Organisation, “Profit-sharing is a method of industrial remuneration under which an employer undertakes to pay to his employees, a share in the net profits of the enterprise in addition to their regular wages. The main objective of profit-sharing is to create unity of interests and the spirit of cooperation.”

99. Briefly explain the importance of career planning.

Answer: Importance of career planning are:

1. To attract competent persons and retain them in the organisation.
2. To provide suitable promotional opportunities,
3. Map out careers of employees suitable to their ability, and their willingness to be trained and developed for higher positions.

4. To ensure better utilisation of managerial reserves within an organisation.
5. To reduce employee dissatisfaction and turnover.
6. To correct employee placement.
7. To improve employee morale and motivation by matching their skills to job requirements.
8. To achieve higher productivity and organisation developments.
9. To provide guidance and encourage employees needs to fulfill their potentials.

100. Is performance appraisal advantageous?

Answer: The advantages of performance appraisal are:

1. SWOT Analysis – Performance Appraisal gives a complete idea of the employee's strength, weaknesses and based on that their opportunities and threats.
2. Career Planning – On the basis of one's own SWOT analysis, an employee can have his career
3. Suitable Placement – Performance appraisal enables a company to give suitable placement to an employee based on their talents and skills.
4. Self-Development – Performance Appraisal is very much a positive activity which enables an employee to know his own weaknesses and also enables him to remove their weaknesses and lead to self-development.
5. Effective Training Program – Training programmes can be drawn out on the basis of the needs of employees to remove their weaknesses.
6. Sound Personnel Policies – Personnel policies for promotions, transfer must be sound and objective. Performance Appraisal provides valuable information and reliable data for such decisions.
7. Employee-Employer Relations – Will be healthy if performance Appraisal information will be used for personnel management. This will minimize grievances and improve confidence in the management.
8. Higher Employee Productivity – Employer morale will be high because there can be a system of rewards for employees with higher performance. This will improve organisation productivity.
9. Human resource planning – Performance Appraisal will help in potential human resource planning.

101. Why is training needed?

Answer: Training is needed for following purposes:

- | | |
|---|---------------------------------------|
| 1. To match the Employee specifications with the job Requirements and Organizational needs. | |
| 2. Organizational viability and the transformation process. | |
| 3. Technological Advances. | 9. To improve Organizational climate |
| 4. Organizational Complexity. | 10. To improve health and safety |
| 5. Human Relations. | 11. To prevent obsolescence |
| 6. Change in the job assignments | 12. Effect personal growth |
| 7. To increase productivity | 13. Minimize the resistance to change |
| 8. To improve quality of the products and services | 14. To act as a mentor |

102. Do you think reskilling can prove to be beneficial to both the organisation and the employees?

Answer: Reskilling means an employees, where he get chance to proceed towards a new career path with the same employer. It further provides a chance to the personnel to make use of their already acquired skills in conjunction with the newer opportunities and challenges faced by the organisation.

Reskilling employees should be on ongoing process. In the reskilling process both employees and employers have more trust and commitment Therefore, reskilling can prove to be beneficial to both the organisation and also to the employees.

The importance of reskilling has been discussed in the following:

1. Reskilling employees should be never-ending process.
2. It help employees to accelerate skill development
3. It enhance job satisfaction, reduces employee turnover.

4. It mainly focus on employee's performance, what they do best for the firm.
3. It provides not only information on personnel, but also gets information on strength of employees on different position.
6. Reskilling employees to be effective through distance mode, the role, responsibility and performance of the training institution.

103. What is learning?

Answer: According to Burgoyne and Hodgson, "Learning is a process through which an individual goes through qualitative changes in comparison to what has been conceived by him or her earlier in life."

Learning is the process through which an individual acquire some knowledge or skill which is helpful not only in his present life, but also in his future life. He utilise that acquire knowledge and skill, in different field. Learning is a natural or never ending process.

It effects the individuals. By this individual are totally change. It is a process through which individual learn how to adjust with the prevailing or complex situation. It is a continuous or life long process, throughout the life, individual learn something.

104. Explain the importance of management development.

Management development is necessary for the following reasons:

1. Today, labor-management relations are complex. Workers are better educated and more aware. More competent managers are needed to manage to modern workforce.
2. Management needs education and training to understand and adjust to changes in socioeconomic forces. Changes in public policy, social justice, industrial democracy, ecology, cultural anthropology are the main socioeconomic changes.
3. Management of state enterprises, public utilities and civic bodies improve operational efficiency,
4. The size and complexity of organizations are increasing. Managers need to be developed to handle the problems of complex organizations in the face of increasing competition.
5. Management development programmes are required to train and develop professional managers.
6. Business and industrial leaders are increasingly recognition their social and public responsibilities.

105. Discuss the advantages or benefits of total quality management.

Answer: Advantages and Benefits of TQM:

1. It Channelises the procedures necessary to achieve quality performance. Quality cannot be achieved instantly. It requires a systematic and long- term planning and strategic approach by focusing on defining the quality policies, goals and objectives. All the organizations adopting Statistical Quality Control (SQC) and Statistical Process Control (SPC) techniques and developing and using a system of evaluation. The aim of the organizations is to achieve the desired and objective quality performance.
2. It helps examine critically and continuously all processes to remove non-productive activities and waste. The organization always aims at improving productivity asset, leads to reduction in cost resulting in increased unprofitability. A continuous effort to identify the problems and to resolve them helps to reduce the waste. Thus, the culture of well-being improves housekeeping, cost effectiveness and safety.
3. It gears organisations to fully understand the competition and develop an effective combat strategy. The dynamic changes has been taken place especially in the global market and also in the open market policies adopted by a large number of organisations, which help to increase competition among them.

It is essential for each and every organisation today to understand the competition and develop and adopt suitable strategies to meet the challenge. It also helps to understand the pulse of the customer. Therefore, the market gives an edge to the organisation to meet the competition.

4. It helps to develop good procedure for communication and acknowledging good work. Improper procedures and inadequate communication create misunderstanding, confusion, low productivity,

poor quality, low morale and so on Total Quality Management bring together members of different levels of management.

107. Briefly describe the concept of strategic human resource management.

Answer: The concept of Strategic Human Resource Management (SHRM), defined as the integration of HRM with the strategic goals which improve business performance for achieving Organizational goals. It mainly accepting the HR function of the company's strategies through planned HR activities such as, recruiting, selecting, training and rewarding personnel.

The strategic of HRM is mainly related to the culture, style and structure of the organisation. In the strategic of HRM, line managers is responsible for managing human resources, who basically manage people at work. HR policies, practices and activities are aligned with the objectives and strategies of the organisation.

108. What are the importance of redeployment?

Answer: The importance of redeployment has been discussed in the following:

- (i) It offers employees unique opportunities such as multiple career pathways and opportunities for development.
- (ii) It promote the organisation as an employee of choice.
- (iii) Reinforce work ethos and commitment to the spirit of service.
- (iv) The employee is to be consulted on any proposed appointment
- (v) Individual employee's entitlement to privacy must be respected throughout the process and information then can only be released with their agreement.
- (vi) Any redeployment process must fit easily within the overall restructuring programme and be easy to understand and administer within a reasonable time.
- (vii) Retain people who are familiar with the Organizational networks, culture and behavior and ethical standards.
- (viii) Retain institutional knowledge and specialised competencies.

109. Discuss the objectives of management development.

Answer: Management Development means development of the managerial activities or development of manager, as manager play an important role in the management.

Objectives of management development is:

- 1. To provide opportunities to executives to fulfill their career aspiration.
- 2. To sustain good performance of manager to prepare him for higher jobs in future.
- 3. To ensure required number of managers with the needed skills to meet the present and anticipated future needs of the organization.
- 4. To ensure that the managerial resources of the organization are utilized optimally.
- 5. To improve the performance of manager at all levels of activities.
- 6. To replace elderly executive who have risen from the ranks by highly competent and academically qualified professionals.

110. What are the limitations of training?

Answer: Training is considered as one of the lesser developed areas of public personnel administration- In many organisations it is failed due to its weakness in policies, procedures and practices relating to training activities.

It is failed due to the following reasons:

- 1. Lack of coordination among the training staff and other staff.
- 2. There is no clear training policy and have not proper linkage with HRD policy.
- 3. Top management have little confidence about the training methods which ensuring development of human resources.
- 4. Lack of efforts to make better utilisation of the trainees.
- 5. Organizational arrangements, budgetary allocations, staff resources, aids etc. are not adequate and properly placed.
- 6. Lack of seriousness in the procedures of training for ensuring effectiveness of training.

7. Lack of evaluation of training at various stages. The outcomes of training programmes are not mentioned.

111. What are the objective of capacity building?

Answer: Following are the objective of capacity-building:

1. For implementing and evaluating what worked, what did not and what was learnt in the process.
2. For bringing suitable modifications.
3. For identifying required resource to achieve identified outcomes.
4. For developing specific outcomes to achieve strategies and tactics.
5. For prioritizing the areas for improvement

112. What are the measures required for making workers participation in management successful?

Answer: The following steps are taken for making successful workers participation in management:

- (1) Participation should be a continuous process. Adequate time must be allowed to let it take roots. It is a slow and steady process. It should be start from the shop floor level to the boardroom level.
- (2) Proper training and education should be provided to the workers and their representatives, about the process of participative management.
- (3) Workers should be made aware of the benefits of participation.
- (4) Workers' participation has looked after the workers interest on one side and efficiency, productivity, quality and profitability on the other side.
- (5) Employers should adopt a progressive outlook. They should consider organisation a joint endeavour in which workers have an equal say. Employer should be made conscious of their obligation to workers and the benefits of participative management. They should provide security to workers.
- (6) Strong, enlightened and truly representative trade union should be developed. Only one union should be recognised in each industrial unit to represent the workers.
- (7) Employers and workers should agree on the objectives of industry. They would recognise and respect the rights and obligations of each other.
- (8) Mere legislation cannot make participation successful. A true spirit of mutual cooperation and commitment to participation must be developed on the part of both management and labour. Both are in trust with each other.

113. What is meant by collective bargaining?

Answer: Collective bargaining is the process, where terms and conditions of employment are determined by mutual agreement between the employer and the employees. This process is called 'collective' as both employer and employees participate in groups rather than as individuals and bargaining refers to arriving at a stage of agreement using methods like discussion, exchange of ideas and facts, and negotiation rather than confrontation.

Collective bargaining is bipartite in nature because only the employers and the employees are involved in the bargaining process. The idea is that the employer and employee should not make decision unilaterally or with the intervention of any third party.

In 1973, the International Labour Office Workers Manual defines collective bargaining as "negotiation about working conditions and terms of employment between an employer, a group of employers or one or more employers' organisations. On the one hand, and one or more representative workers' organisations, on the other with a view to arrive at an agreement."

114. How trade union was originated?

Answer: According to an old Sanskrit proverb, strength lies in the organisation. This is true for those who earn their living by service under a private employer or state. Trade unions have become vital part of organisation. It is true that if the employees do not organise themselves, it would be difficult for them to get better working condition and improve their life.

The idea of employees association first developed in private industry in the nineteenth century Socialism At that time workers were feel that employers are getting more profit by using their collective strength and employees could expect little, from their employers in the matter of wages

and working conditions. As a result they were organized themselves into Trade Unions which arose in the wake of the Industrial Revolution.

At that time attitude of the government towards these unions was not good but time changes everything. In the initial stages, the authorities not only refused to recognize such bodies but vigorously prohibited the services from joining them. But in the recent years the pressure of the public employees on the governments became so pronounced that they latter had to submit to the wishes of the former.

Such change is due to two grounds-moral and practical. From moral point of view it was realised that the public services must have a voice in determining their own condition of Work. From practical point of view the co-operation of the employees with the employer was essential to stimulate the interest of the employees in their work and prevent administrative abuses. Such a participation was considered essential from efficiency and economy point of view.

Generally, Trade Union is formed by the employees of subordinate public services. Object of this union is to improve the wages, and other conditions of service of their members. If their demands are not fulfilled they do not hesitated to resort to strikes.

116. Define conciliation.

Answer: Conciliation is the process by which representatives of workers and employers are brought together before a third party. It involves friendly intervention of a neutral person or group of persons to help the parties to settle their dispute peacefully.

A Conciliation Officer, appointed by the government to settle the dispute. He investigates the dispute and sent his report to the government. He submits his report within 14 days from the date of commencement of conciliation proceedings. He has no power to force a settlement but assist the parties to reach an agreement.

The task of a conciliation officer is administrative and not judicial. If the dispute was not settled by a conciliation officer, government may constitute a Board of Conciliation. A Board of Conciliation consists of a chairman and two or four other members. The chairman is an independent person and its members are appointed by the dispute parties itself in equal number.

If any party fails to appoint any person as their representative Government shall appoint such person as their representative. The Board investigates the dispute and submits its report within two months. Conciliation method saves a lot of time and expenditure of the disputed parties.

117. What are the measures for improving industrial relations?

Answer: Following are the requirements for a sound industrial relations:

- | | | |
|------------------------------|--------------------------|---------------------------|
| (1) Participative Management | (4) Sound Human Resource | (6) Constructive Attitude |
| (2) Collective Bargaining | Policies | (7) Employee Welfare. |
| (3) Responsible Union | (5) Grievance Procedure | |

118. What is meant by incentives?

Answer: Incentives refer to those psychological stimulations which activate and motivate persons to do more work. Research has revealed that there is highly positive correlation between incentive and consequence. Every person needs incentive. It is difficult to attain the goal without inspiration. Employees do work only when it is gainful for them to do so.

In the words of George R. Terry, "Incentive means that which incites or has a tendency to incite action."

Thus, it can be said that incentive is that attraction which motivates the employees to do more production. Incentive is taken as synonym of temptation or allurements.

119. What is the scope of workers' participation?

Answer: 1. Social Decisions- Hours of work, welfare measures, work rules, safety, health, sanitation and noise control.

2. Personnel Decisions- Recruitment and selection, promotions and transfers, grievance settlements, work distribution

3. Economic Decisions- Methods of manufacturing, automation, layoffs, shut-downs, mergers and acquisitions and other financial aspects.

120. What is the scope of human resources management?

Answer: The scope of HRM is very wide.

1. Personnel Aspect: This is concerned with man power planning, recruitment, selection, placement, transfer, promotion, training and development, lay off and retrenchment, remuneration, incentives, productivity etc.

2. Welfare Aspect: It deals with working conditions and amenities such as canteen, creches, rest and lunch rooms, housing, transport, medical assistance, education, health and safety, recreation facilities etc.

3. Industrial Relations Aspect: This covers union- management relations, joint consultations, collective bargaining, grievance and disciplinary procedures, settlement of disputes etc.

121. Define job specifications.

Answer: Job specifications specify the minimum acceptable qualifications required by the individual to perform the task efficiently. Based on the information obtained from the job analysis procedures, job specification identifies the qualifications, appropriate skills, knowledge, abilities, and experience required to perform the job.

It also specifies not only educational qualifications but also certain personality characteristics that may be required specifically for a job. At times, individuals with certain temperamental qualities may also be specified in job specifications. In other words, this process identifies the particular qualities needed in an individual to perform the job.

By reading them, the candidate should also get a fair idea as to the expectations of the organisation. Another inherent factor is that the matching of the qualifications need to be done in such a manner that a matching exists with job requirements.

122. What does employee assistance programme include?

Answer: Employee assistance programmes include:

(i) Counselling to overcome death of a loved one, children-parent relation, husband-wife relation, alcoholism, drug abuse, depression, etc.

(ii) Legal assistance in property disputes, husband-wife separation, cheating cases etc.

(iii) Building better health- Pre-employment medical check-ups, teaching relaxation techniques, special diets, onsite physical rehabilitation, ergonomics, onsite gym, etc.

123. What is the importance of merit rating?

Answer: Importance of Merit Rating:

1. It is helpful to measure the performance of employees. On the basis of performance, we can utilize him in better works.

2. After telling the weak points of employees, we can increase the performance of employees.

3. It is the helpful to promote of employees.

4. Merit rating tells the strength and weakness of employee with proper record. So, it is helpful to give more training to employee. With training, we can convert his work points into strength points.

124. What are the steps involved in domestic enquiry?

Answer: The domestic enquiry requires the following procedure for providing proper justice to the employee or to the management:

1. Opportunity provided to the employee for cross examining witnesses.

2. Enquiry officer is required to record his findings with reasons in his report.

3. Enquiry officer should be independent. He may be a senior officer of the organisations as mentioned in the standing orders of the organisation.

4. Witness is to be examined in the presence of the employee.

5. Employee has to be given a fair opportunity

5. Employee has to be given a fair opportunity to produce his witnesses, for his defense.

6. Opportunity provided to the other party to be heard in good faith.

125. What is the importance of HRM in recent time?

Answer: Human resource management has become very significant in recent time, due to the following reasons:

1. Increase in the size and complexity of organisation.
2. Growing expectations of society from employers.
3. Rapid technological development.
4. Increasing proportion of women in the work force.
5. Rapidly changing jobs and skills requiring long term manpower planning.
6. Risk of professional and knowledgeable workers.
7. Growth of powerful nationwide trade union.
8. Revolution in information technology that might affect the work force.

126. How is data collected for HR audit?

Answer: For the purpose of HR audit, data are collected by the outsider and insider. In collecting data, outsider reports are more important than the insider.

i. Asking Questions of the Data:

Most of the time data is found to be misleading. Therefore, the most purposes, trend comparisons may be preferable.

ii. Interpreting the Data:

After asking questions about the data, it is the responsibility of the HR department to assist the management in analyzing and interpreting the data.

iii. Stimulating Remedial Action:

Most organisations in the public sector are generating more than the adequate quantity of data. The main purpose of it is to stimulate remedial action. In some cases, the action may require consultation between the supervisor and the higher management.

127. Explain the meaning of stress.

Answer: The word stress is derived from the Latin term “stringers” which means “to draw tight”. Some defines stress as the non-specific response of the body to any demands made on it Stress is different from anxiety which is a state of uncertainty.

It is also different from agitation which is the physical part of anxiety. Stress also differ from frustration, which is blocked goal attainment.

Stress is a pressure condition causing hardship. It is an internal phenomenon and a mental attitude. If stress is the condiment strain is the salt and if there is an imbalance in condiment-salt relationship, the result is impala-table. Stress is generally believed to have a deleterious effect on health and performance.

128. What is the meaning and definition of selection?

Answer: Meaning of Selection:

Selection refers to the process by which qualified applicants are selected by means of various tests in pre-determined numbers, out of large number of applicants.

Definitions of Selection:

Following are the main definitions of selection:

- (1) According to Dale Yoder, “Selection is the process in which candidates for employment are divided in two classes those who are to be offered employment and those who are not.”
- (2) According to Weihrich and Koontz, “Selecting manager is choosing from among the candidates the one who best meets the position requirements.”

129. What are the steps involved in employee grievance procedure?

Answer:

- (i) Identify grievances- Employee dissatisfaction should be identified by the managers if they are not expressed.
- (ii) Define correctly- Management has to define the problem properly and accurately, after it is identified/acknowledged.
- (iii) Collect data- Complete information should be collected from all the parties relating to the grievance. Information should be classified as facts, data, opinions etc.
- (iv) Analyse and solve- Information should be analysed, alternative standard to the problem should be developed and best solution selected.

- (v) Prompt redressal- The grievance should be redressed by implementing the solution.
- (vi) Follow up- Implementation and follow-up of the solution must be followed up at every stage in order to ensure effective and speedy implementation.

130. What do you mean by QWL?

Answer: The quality of work life (QWL) is defined as the favourableness or otherwise of the job environment to the people. Some definitions interpret it as the degree to which employees are able to meet their personal needs through their experience in the organisation.

The improvements in QWL are aimed at the enhancement of human dignity and growth by creating appropriate processes in which all the stakeholders, that is, management, unions, and employees, collectively work together to decide upon the workable actions and changes/improvement for achieving the twin objectives of improving the living standards of employees and also the efficacy of the organisation.

131. What is the main difference between wages and salary?

Answer: Wage: Wage represents hourly rates of pay which is given to workers for manual or physical work. Thus wage is given to compensate the unskilled workers for their services rendered to organisation. Wages may be based on hourly, daily, weekly or even monthly basis. Wages may be based on number of units produced (i.e. piece wage system) or time spent on job.

Salary: Salary refers to the monthly rate of pay, irrespective of the number of hours put in by an employee. Salary is given to office employees, foremen, managers, professional and technical staff. It is based on monthly and yearly basis. Thus time period for which salaries are paid is generally higher than in case of wage payments. Salary is always based on time spent on job.

132. What is the role of HRM?

Answer:

1. Advisory Role – HRM advises management on the solutions to any problems affecting people, personnel policies and procedures.
 - i. Personnel Policies – Organisation Structure, Social Responsibility, Employment Terms & Conditions, Compensation, Career & Promotion, Training & Development and Industrial Relations.
 - ii. Personnel Procedures – Relating to manpower planning procedures, recruitment and selection procedures, and employment procedures, training procedures, management development procedures, performance appraisal procedures, compensation procedures, industrial relations procedures and health and safety procedures.
2. Functional Role – The personnel function interprets and helps to communicate personnel policies. It provides guidance to managers, which will ensure that agreed policies are implemented.
3. Service Role – Personnel function provides services that need to be carried out by full time specialists. These services constitute the main activities carried out by personnel departments and involve the implementation of the policies and procedures.

133. What are the HRM models?

Answer: In recent years there has been relative agreement among HRM.

The model developed by the American Society for Training and Development (ASTD) identifies nine human resource areas:

- | | |
|-------------------------------|---|
| 1. Training and Development | 6. Personnel Research and Information systems |
| 2. Organisation Development | 7. Compensation or Benefits |
| 3. Organisation or Job Design | 8. Employee Assistance |
| 4. Planning | 9. Union or Labour Relations |
| 5. Selection and Staffing | |

134. What are the benefits of training program?

Answer: They are:

- | | |
|--|----------------------------------|
| 1. Personal growth. | 5. Increased safety. |
| 2. Development of new skills. | 6. Confidence building. |
| 3. Higher earning capacity. | 7. Improves morale of employees. |
| 4. Helps to adjust with changing technology. | 8. Less supervision. |

9. Chances of promotion.

10. Increased productivity.

135. Define the structure of HR department.

Answer: An organization can be structured in many different ways, depending on their objectives. The structure of an organization will determine the modes in which it operates and performs. Organizational structure affects Organizational action in two big ways.

First, it provides the foundation on which standard operating procedures and routines rest. Second, it determines which individuals get to participate in which decision-making processes, and thus to what extent their views shape the organization's actions.

The structure of one industrial organization differs from that of another organization and it depends upon:

- | | | |
|-----------------------------|--|--|
| 1. Size of the organization | 2. Nature of the product
being manufactured | 3. Complexity of the
problems being faced |
|-----------------------------|--|--|

137. What is the scope of HRM?

Answer: Scope of HRM:

1. Human Resource Management embraces a very wide field of activities.
2. The HR manager plays multiple roles like a researcher, a counselor, a bargainer, a mediator, a peacemaker and a problem solver, etc.
3. Employee selection, employee remuneration, employee motivation, employee health and safety, industrial relations, employee education, etc.

138. What is the performance appraisal?

Answer: Performance appraisal refers to knowing about the level of performance of the employees working in an organisation. This knowledge is obtained by comparing the actual performance of an employee with the expected performance or with standard performance. It informs about the skill of the employee in respect of his work. In order to make this appraisal comparative, similar standards are fixed for all those employees doing similar work.

Performance appraisal is done usually by immediate boss. It is from performance appraisal that one comes to know whether an employee needs training or not. Performance appraisal also serves as the basis of promotion and transfer. It is also referred to as Merit Rating.

139. Discuss the role of HR department in evaluating human resources effectiveness.

Answer: The roles of HR department are:

- (1) Policy Formulation- Human resource department formulates new human resource policies and revises the existing policies. The department also prepares programmes which basically concerning recruitment, selection, training, etc.
- (2) Advising- The duty of HRM department to advice all other departments in areas relating to the management of human resource, industrial relations, etc.
- (3) Assistance and Service- HRM department provides information and infrastructure and it conducts human resource research and maintains HR records. It also help to develop collaboration between trade union and management.
- (4) Monitoring and Control- HRM department conducts HR audit and helps other departments in proper implementation of human resource policies and programmes. As a controllers, the HR department also reviews the work of line department which concern accident, grievances, absenteeism, labour turnover, disciplinary actions, etc.

140. What is management by objectives?

Answer: The concept of management by objectives (MBO) was developed by Peter Druker in the year of 1954. Peter Druker called it management by objectives and self-control. Generally, MBO has become an effective and operational techniques of performance appraisal and also a powerful philosophy of managing.

It is also known as work planning and review or goal setting approach to appraisal. Therefore, MBO deals appraisal of performance against clear, time bound and mutually agreed job goals. Performance Appraisal through MBO.

141. What are the three different approaches of change management.

Answer: There are mainly three popular approaches to managing change:

- (1) Lewin's classic Three-step model of the change process,
- (2) Action Research, and
- (3) Organizational development.

142. What are the basic features of stress?

Answer: Some main features of stress has been analyzed in the following:

- i. Generally, stress has positive value and it also offers an opportunity for potential gain.
- ii. It is also based on industrialism. It emerges from the capitalist class of people in the society.
- iii. Stress is an additive phenomenon. It builds up overtime.
- iv. Stress is a condition which is arising from the interaction of people.
- v. Stress can be either a positive or a negative influence on employee performance.

143. What are the main issues of industrial relation?

Answer: The main issues involved in the industrial relations are:

- | | |
|--|---|
| (a) Collective bargaining | (e) Machinery for the settlement of industrial disputes |
| (b) Workers' participation in management | (f) Ethical code and discipline. |
| (c) Grievances and their redressal | |
| (d) Standing orders | |

144. What does a training policy incorporates?

Answer: A training policy must incorporate the following:

- (i) It must clarify the approach of the organisation towards the development of employees.
- (ii) It must serve as a guideline for framing and implementing training programme.
- (iii) Providing information to all employees affected by training.
- (iv) To fix the priorities of the organisation regarding main fields of training.
- (v) To provide proper opportunities of advancement to the employees on the basis of training.

145. What is meant by job enlargement?

Answer: Job enlargement involves adding more tasks to a job. It is a horizontal expansion and increases jobs scope and gives a variety of tasks to the jobholder. It is essentially adding more tasks to a single job. It definitely reduces boredom and monotony by providing the employee more variety of tasks in the job.

Thus, it helps to increase interest in work and efficiency. In one study it was found that by expanding the scope of job, workers got more satisfaction, committed less errors, and customer service improved. However, research has provided contrary evidence also in that enlargement sometimes may not motivate an individual in the desired direction.

146. Mention the changing roles of the HR manager.

Answer: 1. Flatter organisations – The reducing levels of hierarchy mean that more people report to one manager.

2. Employee empowerment – Knowledge workers need to be provided with greater autonomy though information sharing and provision of control over factors that affect performance.

3. Team work – modern workers do not remain confined to a single function but can do more than one function. Employees contribute to organisation are as members of the team.

4. Ethical management – Ethical issues pose fundamental questions about fairness, justice, truthfulness and social responsibility.

147. Mention the skills required by the manager.

Answer: While analyzing the skills of a manager, R.L. Katz speaks of following three types:

1. Technical Skills: These enable a manager to use techniques, methods, processes and equipment effectively in performing specific jobs. These skills are developed through experience and education. These are most important for operating managers.

2. Human Skills: These refer to the ability to work effectively with others on a person-to-person basis, and to build up cooperative group relations to accomplish the Organizational goals. These include the ability to communicate, motivate and lead. These are also called human relations

abilities, which enable a manager to handle human resources in such a way that personal satisfaction is achieved and Organizational goals are attained.

3. Conceptual Skills: These enable a manager to consider an enterprise as a whole and evaluate the relationships which exist between various parts or functions of a business. In long-range planning, top managers need these skills. The higher one rises in the management hierarchy, the greater the need of conceptual skills. For example, members of the Board of Directors have to rely heavily on their conceptual abilities in making decisions.

To sum up, while human skills are important at all levels of management, conceptual skill is essentially critical in top executive positions, and technical skill is an essential ingredient in low-level management.

148. Who are line managers?

Answer: Line Managers translate the objectives into action, they are responsible to develop and utilise the manpower. In all the components of HR i.e. career planning training, performances appraisal and Organizational development, line-managers have specific responsibilities.

Since line-managers are in close proximity with the operation people, it is their responsibility to create and develop such conditions. Creating such conditions in work place is a pre-condition in realizing the HR objective by line-managers. Line-managers need to define the capabilities of employee. By developing such capability profile of employees, they can facilitate skill and competency mapping for other strategic decisions.

PART II: MULTIPLE CHOICE QUESTIONS

Que:1 Human resource management emphasis-

- a. Development of people
- b. Punishment of people
- c. Adoption of people
- d. None of these

Answer: a

Que:2 Human resource management is amalgam of-

- a. Job analysis, recruitment and selection
- b. Social behavior and business ethics
- c. Organizational behavior personal management and industrial relation
- d. Employer and employees

Answer: c

Que:3 Planning, organizing and controlling of procurement, development, compensation, integration of human resources to the end that objectives of individual, organisation and society are achieved given by-

- a. Storey
- b. Flipppo
- c. Vetter
- d. F.W. Taylor

Answer: b

Que:4 Operative functions of HRM includes-

- a. Procurement, development, compensation & motivation
- b. Maintenance
- c. Integration and emerging trends
- d. All of these

Answer: d

Que:5 Basic managerial functions of HRM are-

- a. Planning, organising, staffing
- b. Planning, organising and co-ordinating
- c. Planning, organising, directing and controlling
- d. None of these

Answer: c

Que: 6 Which of the following statement is/are correct?

- a. HRM is a strategic management functions
- b. Under HRM employee is treated as resource
- c. HRM is the management of skills, talent and abilities
- d. HRM lacks the organisation to achieve its goals

Answer: b

Que:7 Following are the characteristics of HRM except-

- a. Pervasive function
- b. Interdisciplinary function
- c. Integrating mechanism
- d. Job oriented

Answer: d

Que: 8 Challenges faced by Human resource management includes-

- a. Technological changes, workforce diversity, globalisation
- b. Productivity, career planning
- c. Compensation management
- d. Downsizing and voluntary retirement scheme

Answer: a

Que: 9 The process of familiarizing the new employees to the organisation rules and regulations is known as-

- a. Placement
- b. Induction
- c. Recruitment
- d. Selection

Answer: b

Que: 10 Human resource management means-

- a. A method which an organisation collects, maintains and reports information on people and jobs
- b. The process of integrating the employees' needs and aspirations with Organizational needs
- c. The process of bringing people and organisation together so that the goals of each are achieved
- d. The efforts to make life worth living for workers

Answer: c

Que: 11 Training process is-

- a. Short term
- b. Medium term
- c. Long term
- d. None of these

Answer: a

Que: 12 OJT stands for-

- a. On the job training
- b. On the job technique
- c. On the job technology
- d. Off the job training

Answer: a

Que:13 On the job training includes-

- a. Coaching
- b. Conference
- c. Understudy
- d. All of these

Answer: d

Que:15 ----- is the process of imparting or increasing knowledge or skill of an employee to do a particular job.

- a. Training
- b. Development
- c. Motivation
- d. Leadership

Answer: a

Que: 16 Methods of training and development are-

- a. Off the job
- b. On the job
- c. Both (a) and (b)
- d. None of these

Answer: c

Que:17----- is a device or situation that replicates job demands at on the job site.

- a. Brainstorming
- b. Simulation
- c. Artificial intelligence
- d. Transactional analysis

Answer: b

Que: 18 Management developments –

- a. Is a short term in nature
- b. Focuses on employees' current job
- c. Is an informal activity
- d. Aims at overall development of a manager

Answer: d

Que:19 Off the job training method includes:

- a. Vestibule training
- b. Syndicate
- c. Sensitivity training
- d. All of these

Answer: d

Que: 20 Simulation technique of off the job method includes:

- a. Role playing
- b. In-basket exercise
- c. Case study
- d. Management game
- e. All of these

Answer: e

Que:21 Relative worth of a job is known by-

- a. Job design
- b. Job analysis
- c. Job evaluation
- d. Job change

Answer: c

Que: 22 Methods of job evaluation are-

- a. Qualitative method
- b. Quantitative method
- c. Both (a) and (b)
- d. None of these

Answer: c

Que: 23 Quantitative job evaluation method are-

- a. Ranking method
- b. Point rating method
- c. Factor comparison method
- d. Both (b) and (c)

Answer: d

Que: 24 Qualitative job evaluation method are-

- a. Ranking
- b. Grading
- c. Point Rating
- d. Both (a) and (b)

Answer: (d)

Que: 25 Process of studying and collecting information about a job is known as-

- a. HRP
- b. Job design
- c. Job analysis
- d. Job evaluation

Answer: (c)

Que: 26 Jobs analysis results in-

- a. Job description
- b. Job specification
- c. Job evaluation
- d. All of (a), (b) and (c)

Answer: (d)

Que: 27 Job description is a statement containing items like-

- a. Job title, location and duties
- b. Machines, tools and equipment
- c. Materials, working conditions and hazards.
- d. All of these.

Answer: (d)

Que: 28is a factual statement of tasks & duties involved in a job.

- a. Job description
- b. Job specification

c. Job Analysis

Answer: (a)

Que: 29 Job Specification is a statement of-

a. Min qualification required for o job

b. Technical job requirement

Answer: (a)

Que:30 Job analysis is helpful in-

a. HRP, recruitment and selection

b. Training and development

Answer: d

Que: 31 ----- arranges the job in numerical order from highest rank to lowestrank on the basis of duties and responsibilities.

a. Ranking method

b. Grading method

Answer: a

Que: 32 ----- a predetermined groups or classes are established and jobs areassigned to each classification:

a. Ranking method

b. Grading method

Answer: b

Que: 33 ----- the more compensable factor a job possess the more points areassigned to it:

a. Ranking method

b. Grading method

Answer: c

Que:34 ----- few key jobs are selected and compared in terms of common factors:

a. Factor comparison method

b. Ranking method

Answer: a

Que: 35 ----- is the systematic, periodic and impartial rating of an employee excellence in matters pertaining to his present job and his potential for a better job.

a. Performance appraisal

b. Compensation and motivation

Answer: a

Que: 36 Traditional method of performance appraisal includes-

a. Confidential reports

b. Paired comparison method

Answer: d

Que: 37 Modern method of performance appraisal are:

a. Assessment centre method

b. Management by objectives

Answer: d

Que: 38 ----- is a performance appraisal technique in which appraisers ratecritical employee behavior.

a. MBO

b. BARS

Answer: b

d. Job evaluation

c. Machines to be used

d. None of these

c. Job evaluation and performance appraisal

d. All of these

c. Point rating method

d. Factor comparison method

c. Point rating method

d. Factor comparison method

c. Point rating method

d. Factor comparison

c. Grading method

d. Point rating method

c. Training and Development

d. Performance indicator

c. Free form or easy method

d. All of the above

c. BARS (Behaviorally anchored rating scale)

d. All of these

c. BOS

d. BOSS

Que: 39 ----- is a performance appraisal technique that involves agreement between employee and manager on goals to be achieved in a given period.

- a. Rating scales
- b. BARS
- c. BOS
- d. MBO

Answer: d

Que: 40 The combination of peer, superior, subordinate and self-review appraisal is known as-

- a. 360° appraisal
- b. Human resource accounting system
- c. All round review
- d. Feed forward

Answer: A

41. Attracting and orient new employees, effective compensation system, and effective work environment are examples of:

- A. Objectives of the Human Resources department
- B. Employee objectives of the Human Resources department
- C. Activities of the Human Resources department
- D. Strategies of the Human Resource Management

Answer: A

42. Which one of the following is/are incorrect statement?

- A. Management is coordination of Organizational resources to achieve set goals.
- B. Administration is more related to private organisation
- C. HRM concerned with the people's dimension in organisations.
- D. Management is more associated with private enterprises.

Answer: B

43. As part of management practice, HRM is focused on;

- A. Managing employee
- B. Managing materials
- C. Managing money
- D. Managing production

Answer: A

44. Which of the following statement is/are correct?

- A. HRM is a strategic management functions
- B. HRM lacks the organisation to achieve its goals
- C. Under HRM employee is treated as resource
- D. HRM is the management of skills, talent and abilities

Answer: C

45. Anything that a firm does especially well compared to rival firms is called as

- A. Comparative Analysis
- B. Correlative Analysis
- C. Competitive Analysis
- D. Business Analysis

Answer: C

46. The goals set by Human Resources to assist employees to achieve personal goals that will enhance their contribution to the organization are called:

- A. Societal objectives
- B. Organizational objectives
- C. Employee objectives
- D. Functional objectives

Answer: C

47. Which of the following correctly defines the Human Resource Department?

- A. Service department.
- B. Functional department
- C. Authority department
- D. Line Management

Answer: B

48. Among the objectives of HRM, Which one is/ are strive on planning and satisfying social as well as ethical needs of the society.

- A. Functional objectives
- B. Societal objectives
- C. Personal objectives
- D. Organizational objectives

Answer: B

49. All are true about objectives of human resource management except;

- A. To secure the integration of individual or groups within the organisation
- B. To identify and satisfy individual and group needs
- C. To ensure the unavailability of competent and willing workforce to an organization.
- D. It should be independent to overall objectives of the organization

Answer: C

50. Government regulations have direct impact on human resource management of a given organization. In which of legislation and regulations the government cannot affect HRM practices.

- A. Through equal employment opportunity regulations.
- B. Through sex and age discrimination regulations.
- C. Through Informal Organizations
- D. Through Compensation regulation

Answer: C

51. Which one of the following is different from other

- A. Technological advancement
- B. Leadership style and experience
- C. Demographic factors
- D. Economical Change

Answer: B

52. _____ is any situation, event, circumstance or factor that directly or indirectly affect the function of a particular organization.

- A. External environment
- B. Economic conditions
- C. Technological advancement
- D. Internal environment

Answer: D

53. Which term describes the process of gathering, analyzing and synthesizing information about the jobs that are being done and any new jobs that are envisaged?

- A. Job description
- B. Job specification
- C. Job analysis
- D. Human resource inventory

Answer: A

54. A job _____ is a written statement of the job's activities, the equipment required for it, and the working conditions in which it exists.

- A. Job Analysis
- B. Job Specification
- C. Job Design
- D. Job Description

Answer: B

55. The first step in human resource planning process should be;

- A. Assessing future demand
- B. Assessing future supply
- C. Analysis of Organizational plans and objectives
- D. Analyzing the gap between demand & supply

Answer: A

56. Which of the following provides necessary information for job evaluation?

- A. Job Enrichment
- B. Job Ranking
- C. Job Description
- D. Job Enlargement

Answer: C

57. What does the factual statement of the duties and responsibilities mean?

- A. Job analysis
- B. Job evaluation
- C. Job specification
- D. Job description

Answer: C

58. What is the correct order for the steps in job analysis

- A. Collection of Job Analysis information, preparation for Job Analysis, and Use of Job Analysis information
- B. Collection of Job Analysis information, use of Job analysis information, written documentation of the job analysis information
- C. Preparation for Job Analysis, collection of job analysis information, use of job analysis information
- D. depending on the job any option could be right

Answer: A

59. From job designing techniques, which one is enriching the job with more responsibilities?

- A. Job enlargement
- B. Job enrichment
- C. Job rotation
- D. Job specification

Answer: B

60. The activity that orients new employee to the organisation, to fellow employee, to their supervisors, & to the policies of the organisation is called:

- A. Job analysis
- B. Employee induction
- C. Human resource planning
- D. Recruitment & Selection

Answer: B

61. Among the following sentences, which one is **false**?

- A. The aim of preliminary interview is to assess the applicant's suitability for the job.
- B. Job knowledge tests are used to measure how well the applicant can do a sample of the work that is to be performed.
- C. During interview, the interviewers should put the interviewee at ease & record immediately every fact they heard from interviewee.
- D. In order to avoid any possible discrimination against disabled or handicapped applicants, physical examination should be on job aspects only.

Answer: A

62. Which one of the following terms refers to an interview conducted when an employee quits a firm?

- A. Situational interview
- B. Appraisal interview
- C. Exit interview
- D. Screening interview

Answer: C

63. Which one is **not** a step in the selection process?

- A. Filling out an application form
- B. Taking a physical examination
- C. Taking an employment test
- D. Employee screening

Answer: D

64. All of the followings are source of internal recruiting **except**:

- A. Transfer
- B. Promotion
- C. College recruitment
- D. Retained employees

Answer: C

65. Which one of the following is **not** among internal factors which governing recruitment?

- A. Image of the organisation
- B. Working Conditions of the organisation
- C. Quality of the recruitment process
- D. Career opportunities in other organisations

Answer: D

66. All are advantages of using internal source for recruitment **except**:

- A. It may facilitates the organisation to access for "new blood"
- B. The company has better knowledge of the strength and weakness of job candidates
- C. Job candidates have better knowledge of the organisation and its operations.
- D. It can boost the existing employee morale and performance

Answer: A

67. Miss. Chaltu is preparing a written statement that summarizes a minimum acceptable qualification that the incumbent must possess to perform the job successfully. This statement is referred to as a _____

- A. Position description
- B. Job summary
- C. Job specification
- D. Job description

Answer: C

68. All are required criteria for effective appraisal system **except**:

- A. It should be reliable and valid
- B. It should be job related
- C. It should emphasized on personality rather than performance
- D. It should be conduct by qualified appraiser

Answer: C

69. Which one of the following is **not** among problems in performance appraisal?

- A. Lack of objectivity for some traits.
- B. Perceiving one factor as having significant for overall decision.
- C. Basing evaluation on the employees' recent behavior only.
- D. Raters bias on employees' race, religion, gender, or age.

Answer: C

70. Among the following sentences, which one is **false** about performance appraisal?

- A. It is periodical rating of an employee's excellence in his/her present job.
- B. To measure employee performance, there should be standard against which result will be compare.
- C. It is a one-time activity during one workers employment time
- D. In order to make it is an effective; there should be communication of appraisal result

Answer: C

71. Which one of following is/are **incorrect** statement?

- A. Training usually provides for lower level management in the organisation.
- B. Training alleviates problems that arise due to lack of knowledge, skills and abilities.
- C. Training complements development.
- D. Development was solve all Organizational problem compared with training.

Answer: C

72. Training is most effective in resolving:

- | | |
|-------------------------|------------------------|
| A. Skills gaps | C. Skills gaps |
| B. Attitudinal problems | D. Behavioral problems |

Answer: A

73. _____ is one of a problem in performance appraisal, which is due to consistently rating employees near the average.

- A. Strictness
- B. Recent behavior bias
- C. Central tendency
- D. Personal bias

Answer: C

74. All are benefits of training **except**;

- A. It helps to increase the output quality and quantity
- B. It helps each individual member to utilize and develop his/her potential
- C. It results in reduced cost of production through economical & best use of materials and equipment.
- D. It result more supervision cost & higher safety problem in the organisation
- E. The availability of trained personnel ensures long-term stability & flexibility in the organisation.

Answer: D

75. A good compensation policy and benefit package not helps to;

- A. Give proper return to the workers for their contributions to the organisation.
- B. Minimizes the labor dissatisfaction & volunteer turnover.
- C. Promote employee turnover
- D. Create harmonious industrial relation

Answer: C

76. Which one of the following is not among indirect compensation?

- | | |
|--------------------------------|------------------------------------|
| A. Basic monthly salary | C. Medical and insurance benefits |
| B. Payment for time not worked | D. Education and training benefits |

Answer: A

77. All are factors which may affect wage and salary policies in a given organisation **except**;

- | | |
|---------------------------------|--------------------------------------|
| A. Age and size of organisation | D. Discipline policy of organisation |
| B. Government regulation | E. Competitors wage and salary level |
| C. Employees' wage policy | |

Answer: D

78. Among the following disciplinary penalty, which one should be the last option?

- | | |
|--------------------|-------------------|
| A. Dismissal | C. Down grading |
| B. Written warning | D. Salary fine up |

Answer: A

79. Output of goods and services per unit of input of resources used in a production process is

- A. Partial Productivity
- B. Productivity
- C. Single productivity
- D. Process

Answer: B

80. In strategic human resource management, Human Resource strategies are generally aligned with

- A. Business strategy
- B. Marketing strategies
- C. Finance strategy
- D. Economic strategy

Answer: A

81. _____ is a voluntary separation or a termination initiated by the employee himself/herself.

- A. Dismissal
- B. Discharge
- C. Resignation
- D. Retrenchment

Answer: C

82. _____ is one of external factor, which affects organisations compensation package and it, is emphasized on how much other employers paid for comparable jobs within the area.

- A. Labor market condition
- B. Area wage rate
- C. Cost of living
- D. Collective bargaining

Answer: A

83. Human Resource Management is process of

- A. Acquiring Employees
- B. Training Employees
- C. Appraising and Compensating Employees
- D. All of above

Answer: D

84. The term procurement stands for

- A. Recruitment and selection
- B. Training and development
- C. Pay and benefits
- D. Health and safety

Answer: D

85. The scope of human resource management includes

- A. Procurement
- B. Development
- C. Compensation
- D. All of the above

Answer: D

86. Means orderliness, obedience and maintenance of proper subordination among employees and a check or restraint on the liberty of individual.

- A. Indiscipline
- B. Discipline
- C. Regulations
- D. Attitude

Answer: B

87. Which one of the following is/are not objectives of discipline

- A. To develop the feeling of cooperation among employees.
- B. To maintain good industrial relations in the organisation
- C. To promote morale and efficiency among the employees.
- D. To develop a sense of intolerance and veneration for human dignity.

Answer: D

88. Which one of the following is considered as cause of indiscipline in the organisations

- A. Ineffective leadership.
- B. Lack of a well-defined code of conduct to guide behavior on both sides.
- C. Effective supervision.
- D. Divide and rule policy of management.

Answer: C

89.mean the relationships between employers and employees in business organisations.

- A. Industrial relations
- B. Trade unions
- C. Labor unions
- D. Organisations relations

Answer: A

90. Which one of the followings is poor employer-employee relations
- A. Dis-satisfaction with job evaluation and performance appraisal methods
 - B. Dilution of supervision and command
 - C. Interesting nature of work
 - D. Lack of job security poor Organizational culture
- Answer: C
91.is a process in which the representatives of the organizations and of the employees meet and attempt to negotiate a contract governing the employer-employee union relationship
- A. Labor relations
 - B. Collective bargaining
 - C. Discipline
 - D. Management by objectives
- Answer: A
92. The basic purpose of human resource planning is to
- A. Identify the human resource requirements
 - B. Identify the human resource availability
 - C. Match the HR requirements with the HR availability
 - D. All of the above
- Answer: D
93.Refers to improvement in pay, prestige, position and responsibility of an employee within his or her organisation.
- A. Promotion
 - B. Transfer
 - C. Demotion
 - D. Dismissal
- Answer: A
94. Promotion is not aimed at:
- A. To motivate employees to higher productivity
 - B. To recognize and reward the efficiency of an employee
 - C. To fill up lower vacancies form within the organization
 - D. To build loyalty, moral and a sense of belongingness in the employee
- Answer: C
95. Which one of the following statement is/are **incorrect**?
- A. A transfer involves a change in the job of an employee without a change in responsibilities.
 - B. Promotion involves a change in which a significant increase in responsibility, status and income occurs.
 - C. Transfers are irregular and infrequent, as in banks and other government establishments.
 - D. Promotions are infrequent, if not irregular.
- Answer: C
96. Which one of the following is not considered as reason for employees transfer
- A. Correction of faulty initial placement of an employee
 - B. Shortage of employees in one department or plant
 - C. Removal of the compatibilities between the workers and his or her boss.
 - D. Family related issues cause transfers
- Answer: C
97. Human resource replacement costs includes:
- A. Recruitment and selection costs
 - B. Training and development costs
 - C. Only separation costs.
 - D. All of the above
- Answer: C
98. Which one is the value of separation for organization
- A. Increased labor costs
 - B. Replacement of strong performers
 - C. Reduced innovation
 - D. The opportunity for greater diversity
- Answer: D
99. Which one of the following is/are not causes of separation of employees from the organization?
- A. Layoff
 - B. Turnover
 - C. Demotion
 - D. Retirement
- Answer: C

100. Causes of Employee Turnover:

- A. Low Wage And Salaries
- B. Poor Working Conditions
- C. Poor Quality Of Supervision
- D. All of the above

Answer: D

101. Types of retirement that initiated by the worker himself/herself called as

- A. Permanent retirement
- B. Employee Turnover
- C. Temporary retirement
- D. Employee discipline

Answer: C

102. Involuntary termination of employment usually initiated by the employer is called as

- A. Dismissal
- B. Demotion
- C. Resignation
- D. Retirement

Answer: A

103. Which one is considered as reasons for dismissal:

- A. Unsatisfactory performance
- B. Misconduct and other disciplinary problems
- C. Lack of qualification for the job
- D. All of the above

Answer: D

104. Which one is the process of using computers for salary fixation, salary payment, salary calculations, fixation and calculation of various allowances, fixation and calculation of various employee benefits, welfare measures and fringe benefits?

- A. E-training and development
- B. E-compensation management
- C. E-incentive system
- D. E- fringe system

Answer: B

105. Which one of the following is false statements

- A. Employee service consist items like company newspaper, company or purchasing service, for which a direct money value for the individual employee cannot be readily established.
- B. Employee benefit applies to those items for which a direct monetary value to the individual employee can be established, as in case of pension, medical insurance, or holiday pay
- C. Employee service consist items like company newspaper, company or purchasing service, for which a direct money value for the individual employee can be readily established.
- D. Most human resource management textbooks are used words interchangeably.

Answer: C

106. Employee benefits and services are alternatively known as

- A. Fringe benefits
- B. Employee benefits
- C. Hidden payroll.
- D. All of the above

Answer: D

107. The most common kind of job evaluation methods include

- A. Point method
- B. Factor comparison
- C. Job ranking/classification
- D. All of the above

Answer: D

108. The Monetary benefits paid to workers in recognition of their outstanding performance/ payment by result is called as

- A. Fringes benefits
- B. Salary and wages
- C. Incentives
- D. Performance appraisal

Answer: C

109. Which one is the not internal factors that have an impact on pay structure of organization

- A. Top level management
- B. Economic developments
- C. Job evaluation and performance appraisal
- D. Labor budget

Answer: B

110. Which one of the following statement is incorrect

- A. Government rules and regulations, executive's orders, and laws have their influence on an organisation's compensation policy.

- B. Salary and wage pattern in the industry and community could have an impact on the compensation policies and practices of organisations.
- C. The supply and demand relationships in the labor market will never determine the wage and salary level in organisation.
- D. Labor union and labor relations laws also influence pay plan design.

Answer: C

111. The only activity of human resource, which has impact on all other functions regarding personnel, which one?
- A. Performance appraisal
 - B. Job evaluation
 - C. Compensation
 - D. Recruitment and selection

Answer: C

112. A Systematic determination of the value of each job in relation to other jobs in the organisation is called
- A. Remuneration
 - B. Performance appraisal
 - C. Job evaluation
 - D. Job analysis

Answer: C

113. Conducting wage and salary survey is useful to ensure external equity by providing information about
- A. The labor market condition
 - B. Pay ranges and incentives plan
 - C. Length of workday
 - D. All of the above

Answer: D

114. Which one of the following are the correct steps to job evaluation?
- A. Gather information on the job being evaluated, determining the method of evaluation, grading jobs according to their importance and determining factors that are to be used in determining the worth of different jobs to the organisation.
 - B. Gather information on the job being evaluated, determining factors that are to be used in determining the worth of different jobs to the organisation, determining the method of evaluation and grading jobs according to their importance.
 - C. Gather information on the job being evaluated, grading jobs according to their importance and determining factors that are to be used in determining the worth of different jobs to the organisation and determining the method of evaluation.
 - D. Determining the method of evaluation, Gather information on the job being evaluated, grading jobs according to their importance and determining factors that are to be used in determining the worth of different jobs to the organization.

Answer: B

115. The human resource management function that deals with every type of rewards individuals receive in exchange for performing Organizational task is called as
- A. Compensation
 - B. Promotion
 - C. Advancement
 - D. Job evaluation.

Answer: A

116. Which one is the correct steps of training process
- A. Assessment of training needs; establishment of training goals; developing training programs; implementation of training programs; and evaluation of results
 - B. Assessment of training needs; developing training programs; establishment of training goals; implementation of training programs; and evaluation of results
 - C. Assessment of training needs; implementation of training programs; establishment of training goals; developing training programs; and evaluation of results
 - D. Developing training programs; Assessment of training needs; establishment of training goals; implementation of training programs; and evaluation of results

Answer: D

117. Which one is learning of general knowledge on a particular subject?

- A. Training
B. Development
C. Education
D. Management
Answer: C
118. Employees Training programs not aimed at
A. To increase efficiency
B. To increase productivity and quality
C. To enhance labor turnover
D. To increase job satisfaction
Answer: C
119. Which one is incorrect?
A. On-the-job training refers to learning by doing.
B. Corporate needs determined by analyzing company strengths and weaknesses.
C. Good example of On-the-job training is vestibule
D. Off-the-job training: are used away from workplaces
Answer: C
120. The actual posting of an employee to a specific job is called
A. Orientation
B. Recruitment
C. Placement
D. Induction
Answer: C
121. Employee development methods Includes all except;
A. Job rotation
B. Lectures
C. Assistant-to-positions
D. Committee Assignment
Answer: B
122. is a 'linking function' - joining together those people who are seeking jobs with jobs to be filled.
A. Recruitment
B. Selection
C. Induction
D. Placement
Answer: A
123. Which one of the followings is not special inducements mechanism?
A. Motivation
B. Compensation
C. Career opportunities
D. Image or reputation
Answer: A
124. Which one is alternatives methods to Recruitment
A. Subcontracting
B. Overtime
C. Temporary employees
D. All of the above
Answer: D
125. Which one of the following is advantages internal sources of recruitment?
A. Suitability
B. Reliability
C. Economical
D. Uncertainty
Answer: D
126. is the most effective means to search potential employees from outside the organization.
A. Employment Agencies
B. Advertisement
C. On Campus Recruitment
D. Employee Recommendations
Answer: B
127. is the process of choosing individuals who have relevant qualifications to fill jobs in an organization.
A. Recruitment
B. Selection
C. Induction
D. Placement
Answer: B
128. The process of receiving and welcoming an employee when he/she first joins a company and giving him the basic information he/she needs to settle down quickly and start work.
A. Recruitment
B. Placement

C. Induction

D. Selections

Answer: C

129. The objectives of performance appraisal include the following points expect:

- A. To improve the future performance of the employee
- B. To set objectives for individual performance
- C. To assess training and development needs of the worker
- D. To assess future potential for promotion

Answer: A

130. Who should make performance appraisal?

- A. Appraisal by immediate boss or superior
- B. Evaluation by peer /Self-evaluation
- C. Appraisals by subordinate
- D. All of the above

Answer: A

131. Identify the managerial function out of the following functions of HR managers

- A. Procurement
- B. Development
- C. Organizing
- D. Performance appraisal

Answer: C

132. Which of the following properly describes the role of line managers and staff advisors, namely HR professionals?

- A. Staff the advisors focus more on developing HR programs while line managers are more involved in implementation of those programs
- B. Line managers are concerned more about developing HR programs whereas staff advisors are more involved in implementing such programs
- C. Staff advisors are solely responsible for developing, implementing and evaluating the HR programs while line managers are not all involved in any matters concerning HR
- D. Line managers alone are responsible for developing, implementing and evaluating the HR programs while staff advisors are not all involved in any matters concerning HR

Answer: A

133. The final process of a job analysis is the preparation of two statements, namely,

- A. Job observation and job description
- B. Job specification and job observation
- C. Job analysis and job design
- D. Job description and job specification

Answer: D

134. Which of the following terms is not associated with job analysis

- A. Task
- B. Duty
- C. Position
- D. Competitor

Answer: D

135. The system of ranking jobs in a firm on the basis of the relevant characteristics, duties, and responsibilities is known as

- A. Job evaluation
- B. Job design
- C. Job specification
- D. Job description

Answer: A

136. Moving employees from one job to another in a predetermined way is called

- A. Job rotation
- B. Job reengineering
- C. Work mapping
- D. Job enrichment

Answer: A

137. The appraisal process consists following steps:

- A. Establish performance standards, Measure actual performance, Compare actual performance with standards, Discuss the appraisal with the employees and If necessary, initiate corrective action.
- B. Measure actual performance, Establish performance standards, Compare actual performance with standards, Discuss the appraisal with the employees and If necessary, initiate corrective action.

- C. Compare actual performance with standards, Establish performance standards, Measure actual performance, Discuss the appraisal with the employees and If necessary, initiate corrective action.
- D. Discuss the appraisal with the employees, Establish performance standards, Measure actual performance, Compare actual performance with standards, and If necessary, initiate corrective action.

Answer: A

138. Which one of the following statement is correct?

- A. Sexual Harassment is a form of unlawful sex discrimination.
- B. Sexual harassment is unwanted verbal or physical behavior of a sexual nature that occurs in the workplace
- C. Sexual harassment has favorable effects on the victim's performance at work.
- D. Inform employees about the policy prohibiting sexual harassment is one remedies of harassment

Answer: C

139. Types of sexual harassment in workplace that employer, supervisor, or co-worker does or says things that make the victim feel uncomfortable is

- A. Hostile environment sexual harassment
- B. This for that, when the trade is based on sex, it is illegal.
- C. Quid-Pro-Quo Harassment
- D. Remedial for sexual harassment

Answer: A

140. Which one is a remedy for sexual harassment?

- A. Revise the sexual harassment policy periodically.
- B. Keep thorough records of complaints, investigations, and actions taken.
- C. Issue a strong policy statement condemning such behavior
- D. All of the above

Answer: D

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2) ORGANISATIONS BEHAVIOR

Q1. Organization structure primarily refers to

- a. how activities are coordinated & controlled
- b. how resources are allocated
- c. the location of departments and office space
- d. the policy statements developed by the firm

Answer: a

Q2. The purpose of job enrichment is to

- a. expand the number of tasks an individual can do
- b. increase job efficiency
- c. increase job effectiveness
- d. increase job satisfaction of middle management

Answer: b

Q3. Strategic planning as a broad concept consists of

- a. corporate strategy and business strategy
- b. strategy formulation and strategy implementation
- c. inputs and outputs
- d. environmental analysis and internal analysis

Answer: b

Q4. According to Herzberg, which of the following is a maintenance factor?

- a. Salary
- b. Work itself
- c. Responsibility
- d. Recognition

Answer: d

Q5. A major problem with a task force type of management is

- a. there is no logical basis for task force information
- b. its status is too inflexible
- c. accountability
- d. lack of planning

Answer: b

Q6. Individuals such as Albert Einstein, Edwin Land and Steven Jobs lead through which type of power?

- a. Legitimate
- b. Reward
- c. Expert
- d. Charismatic

Answer: c

Q7. Communication begins with

- a. encoding
- b. idea origination
- c. decoding
- d. channel selection

Answer: b

Q8. Functional managers are responsible

- a. for a single area of activity
- b. to the upper level of management and staff
- c. for complex Organizational sub-units
- d. for obtaining copyrights and patents for newly developed processes and equipment

Answer: a

Q9. Policies are sometimes defined as a(n)

- a. shortcut for thinking
- b. action plan
- c. substitute for strategy
- d. substitute for management authority

Answer: d

Q10. The problem-solving process begins with

- a. clarification of the situation
- b. establishment of alternatives
- c. identification of the difficulty
- d. isolation of the cause

Answer: c

Q11. A study of the culture and practices in different societies is called

- a) Personality
- b) Anthropology
- c) Perception
- d) Attitudes

Answer: b

Q12. _____ is known as “the father of scientific management.”

- a) Fredrick W. Taylor
- b) Henry Fayol
- c) Robert Owen
- d) None of these

Answer: a

Q13. _____ a young Welsh factory owner was one of the first to emphasise the human needs of employees: He refused to employ young children

- a) Andrew Ure
- b) J.N. Tata
- c) Robert Owen
- d) None of these

Answer: c

Q14. _____ Embodies a team concept, is based on the principle of mutual contribution by employer and employees

- a) Autocratic model
- b) Custodial model
- c) Supportive Model
- d) Collegial Model

Answer: d

Q15. Contribution/s of human relations movement is/are

- a) Great Depression
- b) Labour Movement

Answer: d

Q16. Edward Tolman is related to

- a) Behaviorist Framework
- b) Cognitive approach

Answer: b

Q17. Forces affecting Organizational behavior are

- a) People
- b) Environment

Answer: d

- c) Hawthorne Studies
- d) All of these

- c) Social Cognitive Framework
- d) None of these

- c) Technology
- d) All of the above

Q18. Hawthorne Studies is related to which stage of the Organizational behavior evolution

- a) Industrial revolution
- b) Scientific management

Answer: d

- c) Organizational behavior
- d) Human relations movement

Q19. In present context, challenges for OB are

- a) Employee expectation
- b) Workforce diversity

Answer: d

- c) Globalization
- d) All of the above

Q20. “Leadership motivates the people to work and not the power of money”, this concept is related to

- a) Autocratic model
- b) Custodial model

Answer: b

- c) Supportive Model
- d) Collegial Model

Q21. Organizational behavior is a field of study backed by a body of associated with growing concern for people at workplace

- a) Theory
- b) Research

Answer: d

- c) Application
- d) All of the above

Q22. Organizational behavior is

- a) A science
- b) An art

Answer: c

- c) A science as well as an art
- d) None of the above

Q23. The field of Organizational behavior examines such questions as the nature of leadership, effective team development, and

- a) Interpersonal conflict resolution; motivation of individuals
- b) Organizational control; conflict management

Answer: a

- c) Motivation of individuals; planning
- d) Planning; development

Q24. The term ‘psychology’ is derived from the word ‘psyche’, which means ‘soul’ or ‘spirit’

- a) Latin
- b) French

Answer: c

- c) Greek
- d) None of these

Q25. The field of Organizational behavior is primarily concerned with

- a) The behavior of individual and groups.
- b) How resources are effectively managed.
- c) Control processes and interactions between Organisations, external context.
- d) Both a and c.

Answer: d

Q26. The study of Organizational behavior has certain basic assumptions. They are

- a) An industrial enterprise is an Organisation of people.
- b) These people must be motivated to work effectively.
- c) The goals of the employee and the employer may not necessarily coincide.
- d) All of the above.

Answer: d

Q27. Which of the following represents the correct sequencing of historical developments of Organizational Behavior?

- a) Industrial revolution → Scientific management → Human relations movement → OB
- b) Industrial revolution → Human relations movement → Scientific management → OB
- c) Scientific management → Human relations movement → Industrial revolution → OB
- d) None of these.

Answer: a

Q28. Which of the following frameworks is used in the development of the overall model of OB?

- a) The cognitive framework
- b) The behavioristic framework
- c) The social learning framework
- d) All of the above

Q29. Which of the following frameworks is based on the expectancy, demand and incentive concepts

- a) The cognitive framework
- b) The behavioristic framework
- c) The social learning framework
- d) The supportive framework

Answer: a

Q30. Which of the following forms the basis for the autocratic model of OB

- a) Obedience
- b) Authority
- c) Power
- d) Dependence on boss

Answer: c

Q31. “Might is right” is the motto of

- a) Autocratic Model
- b) Custodial Model
- c) Supportive Mode
- d) Collegial Model

Answer: a

Q32. Which one of the following is the definition given by Fred Luthans

- a) “Organizational behavior is to understand, predicting and controlling human behavior at work”
- b) “Organizational behavior is subset of management activities concerned to human behavior”
- c) “Organizational behavior is a branch of social sciences that seeks to build theories”
- d) “Organizational behavior is a field of study that investigates the impact on behavior”

Answer: a

Q33. Which of the following is not correct for the Organizational behavior?

- a) Organizational behavior is an integral part of management
- b) Organizational behavior is a disciplinary approach
- c) Organizational behavior helps in analysis of behavior
- d) “Organizational behavior is goal-oriented

Answer: b

Q34. The _____ is based on the environment. Though _____ like thinking, expectations and perception do exist, and they are not needed to manage or predict behavior.

- a) Behavioristic approach, Cognitive processes,
- b) cognitive processes, behavioristic approach
- c) Social cognitive, behavioristic approach
- d) Cognitive processes, social cognitive

Answer: a

a. Human c. Human Behavior
b. Employer d. Employees
(Answer: c. Human Behavior)

a. Character
b. improvement
c. Behavior
d. Rewards
(Answer: c Behavior)

a. Individuals, Organization, Society
b. Society, Organization, Nation
c. Employee, Employer, Management
d. Individual, Groups, Organization.
(Answer: d. Individual, Groups, organization.)

a. Leadership
b. Perception
c. Job Design
d. Technology
(Answer: d. Technology)

a. Training
b. Absenteeism
(Answer: c. Employee Turnover)
c. Employee Turnover
d. Strikes

a. Positively
b. Negatively
(Answer: b. Negatively)

a) Processing
b) systematic
(Answer: c. ever changing)

a) Wages
b) bonus
(Answer:a) Wages)
c) rewards
d) promotions

a) Communication
b) knowledge
c) experience
d) Interpersonal Skills
(Answer: d. Interpersonal Skills)

a) Elton Mayo
b) Hendry Fayol
c) F.W.Taylor
d) Robert Owen

Answer: c. W.Taylor

a) William Gilbreth
b) Hendry Fayol
c) F.W.Taylor
d) Elton Mayo

Answer: d. Elton Mayo

a) Technical, Human and Conceptual b) Technical, behavioral and Conceptual

c) Systematic, Human and Conceptual

d) Technical, Human and cognitive

Answer: a) Technical, Human and Conceptual

Q49) The 3 Theoretical Framework of OB are

a) Cognitive, Social and Technical

c) leadership, attribution, motivation

b) Cognitive, Behavioristic, Social

d) attribution, Perception and motivation

Answer: b) Cognitive, Behavioristic, Social

Q50) _____ explains internal processes of choice among different behaviors

a) Equity Theory

c) Goal attain theory

b) Expectancy theory

d) Goal setting Theory

Answer: b) Expectancy theory

Q51) _____ explains how and why people react when they feel unfairly treated

a) Equity Theory

c) Goal attain theory

b) Expectancy theory

d) Goal setting Theory

Answer: a) Equity Theory

Q52) _____ focuses on how to set goals for people to reach

a) Equity Theory

c) Goal attain theory

b) Expectancy theory

d) Goal setting Theory

Answer: d) Goal setting Theory

Q53) Concerning Organizational cultures,

a. a strong culture is a more productive environment

b. a weak culture is a more productive environment

c. the specific culture that contributes to positive effectiveness is well known

d. the stronger the culture, the more influential it is on employee behavior

Answer: d. the stronger the culture, the more influential it is on employee behavior

Q54) Shared Organizational values are

a. unconscious, affective desires or wants that guide society's behavior

b. influenced by international values

c. different for the various components of a diverse work force

d. a myth

Answer: c. different for the various components of a diverse work force

Q55) Which of the following best explains why an employee behaves as s/he does?

a. The environment is the most important consideration in understanding individual employee behavior.

b. Both the environment and individual differences are important considerations in understanding individual employee behavior.

c. Neither the environment nor individual differences are important considerations in understanding individual employee behavior.

d. Employee personality and attitudes are primarily dictated by the environment.

Answer: b. Both the environment and individual differences are important considerations in understanding individual employee behavior.

Q56) In order from lowest to highest, what are Maslow's five classes of needs?

a. Social-esteem-physiological-safety-self-actualization

b. Physiological-safety-social-self-actualization-esteem

c. Physiological-safety-social-esteem-self-actualization

d. Self-actualization-esteem-safety-social-physiological

Answer: c. Physiological-safety-social-esteem-self-actualization

Q57) A lack of clarity concerning what will happen is referred to as

a. temporal

b. predisposition

c. uncertainty

d. negation

Answer: c. uncertainty

Q58) Employees with relatively weak higher- order needs are _____ concerned with variety and autonomy.

a. less

c. very

b. more

d. extremely

Answer: a. less

Q59) Which of the following is a strategy of job design that increases job depth by meeting employees needs for psychological growth?

a. Job rotation

c. Job enlargement

b. Job enrichment

d. Job engagemnt

Answer: b. Job enrichment

Q60) What is the key word in understanding organization structure?

a. Control

c. Process

b. Change

d. Delegation

Answer: a. Control

Q61) organization structures

a. affect group behavior more than individual behavior

b. change rapidly to meet environmental and market changes

c. contribute positively to Organizational performance

d. can be defined simply as activities that occur regularly

Answer: d. can be defined simply as activities that occur regularly

Q62) Groups created by managerial decision in order to accomplish stated goals of the organization are called

a. formal groups

c. task groups

b. informal groups

d. interest groups

Answer: a. formal groups

Q63) Continued membership in a group will usually require

a. supporting the group leader

c. encouraging cohesiveness in the group

b. conforming to group norms

d. developing a status system

Answer: b. conforming to group norms

Q64) The definition of communication implies that

a. communication is mostly verbal

c. most communication is in a vertical direction

b. communication is mostly written

d. understanding must occur to have communication

Answer: d. understanding must occur to have communication

Q65) The Least used communication channel in an organisation is usually

a. upward

c. diagonal

b. downward

d. Horizontal

Answer: d. horizontal

Q66) _____ means the mental action or process of acquiring knowledge and understanding through thought, experience, and the senses.

a) Learning b) development c) Cognition d) Training

Answer: c) Cognition

Q67) _____ framework is based o the concept of Expectancy, demand and Intention of the human being.

a) Behavioristic

c) Cognitive

b) Expectancy

d) Social learning

Answer: c) Cognitive

Q69) every individual set his goal and he also know the _____ which will take him to achieve the goal.

- a) Process
- b) Behavior
- c) Event
- d) way

Answer: b) Behavior

Q72) Behavioral framework based on _____ behavior and _____ environmental variables.

- a) Observable — Non Observable
- b) Observable — Observable
- c) Non Observable — Observable
- d) Non observable — Non Observable

Answer: b) Observable — Observable

Q73) Human can project _____ behavior for _____ stimulus and he exhibit a response depending on environmental consequences.

- a) different — different
- b) same — same
- c) same — different
- d) different — same

Answer: d) different — same

Q74) As per _____ Behavior is not the outcome of stimulus alone, but it is an outcome which also depends on contingent environmental consequences of a behavior

- a) Behavioristic Framework
- b) Cognitive Framework
- c) Sinner Framework
- d) Behavior Theory

Answer: a) Behavioristic Framework

Q75) The social cognitive theory states that the person and the external situations are _____ with each other along with the behavior itself to determine the behavior.

- a) related
- b) linked
- c) interdependence
- d) combined

Answer: c) interdependence

Q76) _____ states that along with cognitive and external situation the experiences faced through relevant past events determines what a person becomes and this will create an impact in subsequent behavior.

- a) Behavioristic Framework
- b) Cognitive Framework
- c) Social Cognitive Framework
- d) Social Framework

Answer: c) Social Cognitive Framework

Q80) People process visual experiences into cognitive models. They help in future action is

- a) Symbolizing
- b) Forethought
- c) Observational
- d) Self-Answer: regulatory

Answer: a) Symbolizing

Q81) Employees plan their actions is called as

- a) Symbolizing
- b) Forethought
- c) Observational
- d) Self-regulatory

Answer: b) Forethought

Q82) Employees learn by observing the performance of the referent group (peers, supervisors and high performers) and the consequences of their actions is referred as.

- a) Symbolizing:
- b) Forethought
- c) Observational
- d) Self-regulatory

Answer: c) Observational

Q83) Employees self-regulate their actions by setting internal standards

- a) Self-reflective
- b) Forethought
- c) Observational
- d) Self-regulatory

Answer d) Self-regulatory

Q84) Employees reflect back on their actions (how did I do?) and perceptually determine how they believe then can successfully accomplish the task in the future given the context

- a) self-reflective
- b) Forethought
- c) Observational
- d) Self-regulatory

Answer a) self-reflective

Q85) OB Helps to understand behavior of human in _____.

- a) work place and Society
- b) work place only
- c) Society only
- d) Department only

Answer: b) work place only

Q86) OB does Not contributed to improve

- a) Motivation
- b) Efficiency
- c) interpersonal relations
- d) Communication

Answer c) interpersonal relations

Q87) Common uniform, canteen, office does not mean common treatment is a limitation of

- a) Organizational Cultural
- b) Organizational Structure
- c) Organizational Behavior
- d) Organizational Value

Answer: c) Organizational Behavior

Q88) Due to emphasis on productivity & efficiency employee are not allowed work with harmony with one another is a limitation of

- a) Organizational Cultural
- b) Organizational Structure
- c) Organizational Behavior
- d) Organizational Value

Answer: c) Organizational Behavior

Q89) If modern day managers do not positively address and manage work force diversity of the following may become negative outcomes for an Organization except

- a) more difficult communication
- b) Increased creativity and innovation
- c) more interpersonal conflicts
- d) potential for higher employee turnover

e) Answer: b) Increased creativity and innovation

Q90) The structure of an OB model includes 3 levels of analysis individual, group and Organizational systems. Issues that influence all 3 levels in various ways and thus affect behavioral dynamics are

- a) change and stress
- b) Organizational culture and commitment
- c) Power and politics
- d) work design and technology

Answer: a) change and stress

Q91) some of OB's challenges and opportunities include all of the following except

- a) reinforcing the importance of traditional methods of management
 - b) offering specific insights to improve interpersonal and people skills
 - c) helping us learnt to cope in a continues changing world
 - d) facilitating the improvement of quality and employee productivity
- Answer: a) reinforcing the importance of traditional methods of management

Q92) A program that asks managers to reconsider how work would be done and the organization structured if they were starting to develop the company from the beginning is

- a) reengineering
- b) MBO
- c) TQM
- d) Diversity training

Answer: a) reengineering

Q93) Which of the following is not a contributing discipline of OB

- a) Anthropology
- b) Psychology
- c) physiology
- d) sociology

Answer: c) physiology

Q94) _____ is a Study of individual Behavior

- a) Anthropology
- b) Psychology
- c) political science
- d) sociology

Answer: b) Psychology

Q95) _____ is a Study of Group Behavior

- a) Anthropology
- b) Psychology
- c) physiology
- d) sociology

Answer: d) sociology

Q96) _____ is a Study of man, his work and Culture

- a) Anthropology
- b) Psychology
- c) Social psychology
- d) sociology

Answer: a) Anthropology

Q97) _____ focuses on the influence of people on one another

- a) Anthropology
- b) Psychology
- c) Social psychology
- d) sociology

Answer: c) Social psychology

Q98) the job satisfaction of an employee depends on the

- a) Behavior b) attitude
- c) Personality d) employer

Answer: b) attitude

Q99) The success of each organization is depending upon the performance of

- a) Employer b) management
- c) Vendor d) employee

Answer: d) employee

Q100) A satisfied employee will be a

- a) Motivator to others b) manager c) High performer d) Team Leader

Answer: c) High performer

Q101) _____ is not a capability of an employee having Positive attitude

- a) Focus b) creativity c) Pessimism d) Confidence

Answer: c) Pessimism

Q102) which one is not a benefit to employee which results through positive attitude of an employee

- a) Promotion b) Less stress c) Job security d) enjoying life

Answer: a) Promotion

Q103) Belief, opinion, knowledge, emotions feelings intention are the components of

- a) OB b) Job satisfaction c) Attitude d) Personality

Answer: c) Attitude

Q104) Components of Attitude can majorly be segregated in to _____ types

- a) 7 b) 4 c) 3 d) 6

Answer: c) 3

Q105) The attitude based on Beliefs, opinion, Knowledge, or information about the particular event which the employee possesses is under _____ component of Attitude.

- a) Behavioral b) Cognitive c) Affective d) Positive

Answer: b) Cognitive

Q106) The attitude based on the concept that “every individual will have an Intention to react in a certain way toward something is “ under _____ component of Attitude.

- a) Behavioral b) Cognitive c) Affective d) Positive

Answer: a) Behavioral

Q107) The attitude based on Feelings, sentiments and emotions of any person is under _____ component of Attitude.

- a) Behavioral b) Cognitive c) Affective d) Positive

Answer: c) Affective

Q108) _____ is the only component of attitude which is visible and can be observed directly.

- a) Behavioral b) Cognitive c) Affective d) Positive

Answer: a) Behavioral

Q109) The statement “My friends are good” is an example of _____ component of attitude

- a) Behavioral b) Cognitive c) Affective d) Positive

Answer: b) Cognitive

Q110) The statement “I don’t feel comfortable in crowd” is an example of _____ component of attitude.

- a) Behavioral b) Cognitive c) Affective d) Positive

Answer: c) Affective

Q111) The statement “I am going to apologies for my mistake” is an example of _____ component of attitude.

- a) Behavioral b) Cognitive c) Affective d) Positive

Answer: a) Behavioral

Q112) _____ component of attitude is a result of family condition, childhood experiences etc...

- a) Behavioral b) Cognitive c) Affective d) Positive

Answer: c) Affective

Q113) Which is not a method used for changing the attitude of Employee

- a) use of fear b) Providing new information
c) Performance appraisal d) Giving Feedback

Answer: c) Performance appraisal

Q114) Among the following which is not a problem in changing the attitude of the employee

- a) Insufficient Information b) Resistant by employee
c) Cognitive Dissonance d) Cognitive Dissonance

Answer: b) Resistant by employee

Q115) Motivation includes

- a) job enrichment b) Job rotation c) Job enlargement d) all of the above

Answer: d) all of the above

Q116) “The combination of characteristics or qualities that form an individual’s distinctive character” is the definition of

- a) Personality b) Motivation c) Attitude d) behavior

Answer: a) Personality

Q117) The family condition and impact of the parents is the main base for the personality of a person. Later it might change by _____.

- a) thinking b) external influences c) own ability d) learning experiences

Answer: b) external influences

Q118) Every individual is _____ by their personality.

- a) Intellectual b) Specific c) Unique d) systematic

Answer: c) Unique

Q119) Sometimes due to any hard situation _____ of an individual will change but will take a long time.

- a) objective b) attitude c) motivation d) Personality

Answer: d) Personality

Q120) From the below which is not an outcome from person having good personality

- a) good Performer b) Good team player c) Lead a team well d) Make Profit

Answer: d) Make Profit

Q121) The five personality traits as per Big Five Personality Traits are

- a) Extroversion, Agreeableness, Conscientious, Emotional Stability, Openness to experience
- b) Extroversion, Agreeableness, Friendly, Emotional Stability, Openness to experience
- c) Extroversion, Agreeableness, Courage, Friendly, Openness to experience
- d) Extroversion, Agreeableness, Conscientious, Emotional Stability, Easy going

Answer: a) Extroversion, Agreeableness, Conscientious, Emotional Stability, Openness to experience

Q121) Outgoing, talkative, social are part of _____ Personality Trait as per big 5 personality trait

- a) Friendly b) Openness to experience c) Introversion d) Extroversion

Answer: d) Extroversion

122) Trust, nature, cooperative are part of _____ Personality Trait as per big 5 personality trait

- a) Agreeableness b) Emotional Stability c) Openness to experience d) Introversion

Answer: a) Agreeableness

123) Dependable, responsible are part of _____ Personality Trait as per big 5 personality trait

- a) Emotional Stability b) Conscientious c) Openness to experience d) Introversion

Answer: b) Conscientious

124) Relaxed and Secure are part of _____ Personality Trait as per big 5 personality trait

- a) Agreeableness b) Emotional Stability c) Openness to experience d) Introversion

Answer: b) Emotional Stability

125) Sensitive and intellectual are part of _____ Personality Trait as per big 5 personality trait

- a) Agreeableness b) Emotional Stability c) Openness to experience d) Introversion

Answer: c) Openness to experience

126) _____ are the theories which gives an Idea about what employees wants or needs and what are the key factors the managers can utilize to motivate the employees.

- a) Maslow theory b) Herzberg Theory c) Process Theory d) Content Theory

Answer: d) Content Theory

127) _____ theory states the ways or process by which the needs can be converted into behavior or performance.

- a) Maslow theory b) Expectancy Theory c) Process Theory d) Content Theory

Answer: c) Process Theory

128) _____ are stimulated by events and people external to themselves. They show their feelings, learn by talking, and work well in groups.

- a) positive personalities b) Introverts c) Extroverts d) none of the above

Answer: c) Extroverts

128) _____ prefers private reflection, self-examination, and self-discovery. They hide their feelings, prefer to work alone, and learn by watching.

- a) Private personalities b) Introverts c) Extroverts d) none of the above

Answer: b) Introverts

129) MBTI test the personalities in _____ categories

- a) 3 b) 4 c) 5 d) 6

Answer: b) 4

130) As per MBTI _____ personality people like real-life examples, prefer practical exercises, and get the facts while possibly missing the main idea.

- a) Introversion b) Sensing c) intuition d) Thinking

Answer: b) Sensing

131) Psychological process by which individuals organize and interpret their sensory impressions in order to give meaning to their environment is definition of

- a) Attitude
- b) thinking
- c) Perception
- d) Personality

Answer: c) Perception

Q132 A Process of receiving, selecting, organizing, interpreting, checking and reacting to sensory stimuli or data so as to form a meaningful and coherent picture of the world is

- a) Attitude
- b) thinking
- c) Perception
- d) Communication

Answer: c) Perception

Q133) The _____ theory states that human mind will receive or accept only those information which it feels that it is relevant.

- a) Perception theory
- b) Selective Perception
- c) relevance Theory
- d) none of the above

Answer: b) Selective Perception

Q134) _____ deals with how the social perceiver uses information to arrive at causal explanations for events.

- a) Attribution theory
- b) Social Perception Theory
- c) Selective Perception
- d) social Theory

Answer: a) Attribution theory

Q135) _____ is the sequence of psychological steps that a person uses to organize and interpret information from the outside world.

- a) Perceptual process
- b) Thinking process
- c) Selection Process
- d) Sequential theory

Answer: a) Perceptual process

Q136) Which of the following is not a step in perceptual Process?

- a) Object
- b) selection
- c) Perception
- d) Response

Answer: c) Perception

Q137) Putting people into a convenient group on basis of some characteristics and make an assumption to perceive is called as

- a) Stereotyping
- b) Perception
- c) Perceiving
- d) Group perception

Answer: a) Stereotyping

Q138) Stereotyping generally affects the _____

- a) organization Structure
- b) Behavior
- c) Interpersonal Relations
- d) Communication

Answer: c) Interpersonal Relations

Q139) “Girls are not good at sports” is an example of

- a) Perception
- b) Halo effect
- c) Stereotyping
- d) Individual Personality

Answer: c) Stereotyping

Q140) _____ is our perception of one personality trait influences how we view a person’s entire personality.

- a) Perception
- b) Halo effect
- c) Stereotyping
- d) Individual Personality

Answer: b) Halo effect

Q141) _____ is the process of stimulating people to actions to accomplish the goals.

- a) Bonus
- b) Motivation
- c) Performance-based Incentive
- d) Promotion

Answer: b) Motivation

142) _____ contains the theories which gives an Idea about what employees want or needs.

- a) Expectancy theory
- b) Maslow theory
- c) Process Theory
- d) Content Theory

Answer: d) Content Theory

143) Which of the following is not an example of Content Theory?

- a) Maslow Theory
- b) Herzberg's Theory
- c) Expectancy theory
- d) Alderfer's ERG theory

Answer: c) Expectancy theory

144) _____ theory emphasis that, Unsatisfied need can influence the behavior satisfied one will not act as a motivator.

- a) Maslow Theory
- b) Herzberg's Theory
- c) Expectancy theory
- d) Alderfer's ERG theory

Answer: a) Maslow Theory

145) Maslow says that Human beings are full of needs & wants. And these needs will lead to their?

- a) Job
- b) Behavior
- c) Attitude
- d) Motivation

Answer: b) Behavior

146) The person will try for the complex level need when his _____ is satisfied.

- a) Basic need
- b) family
- c) Income
- d) Job

Answer: a) Basic need

147) In _____ the needs are arranged in an order as per their importance (basic to complex)

- a) Maslow need Theory
- b) Herzberg theory
- c) Satisfaction theory
- d) Mayo theory

Answer: a) Maslow need Theory

148) The individuality, humanness and mental health of the person will improve _____ the level of need he satisfied.

- a) less than
- b) Greater than
- c) at Par with
- d) None of the above

Answer: c) at Par with

Q149) Salary, and basic working condition will come under _____ Needs

- a) Safety
- b) Physiological need
- c) social need
- d) Organizational

Answer: b) Physiological need

Q150) _____ need improves the confidence level of an employee when satisfied.

- a) Social
- b) Safety
- c) Basic
- d) Esteem

Answer: d) Esteem

Q151) Which of the following is not a part of the hygiene factor of two-factor theory

- a) Company policy
- b) Administration
- c) responsibilities
- d) Interpersonal Relations

Answer: c) responsibilities

152) Responsibility, Advancement etc are an example of

- a) Motivators
- b) hygiene factors
- c) improvement factors
- d) advance factors

Answer: a) Motivators

153) The higher-order needs specified by Maslow is considered as _____ as per Herzberg.

- a) Motivators
- b) hygiene factors
- c) improvement factors
- d) advance factors

Answer: a) Motivators

154) Expectancy theory is a theory comes under _____ theory

- a) Process
- b) Content
- c) Attribution
- d) perception

Answer: a) Process

155. All of the following topics and areas of concentration generally constitute the field of OB except

A. International influences.

B. Interpersonal communication.

C. Group structure and process.

D. Leadership.

Ans: A

156. Which is not the Maslow's needs?

A. Esteem
B. Control

C. Self-actualization
D. Social

Ans: B

157. The approaches to Organizational changes are

A. Structural approach
B. Value centered approach

C. Technological approach
D. All of the above

Ans: D

158. The structure of an OB model includes three levels of analysis: individual, group, and organization systems. Issues that influence all three levels in various ways and thus affect behavioral dynamics are

A. change and stress.
B. Organizational culture and commitment.

C. power and politics.
D. work design and technology.

Ans: A

159. Who is the developer of 'Two Factors theory' of Motivation?

A. Herzberg
B. Lawless, David. J.

C. A. H. Maslow
D. Porter, Lyman W. and Hackman

Ans: A

160. Engaging in work behavior and striving hard to perform well for the primary purpose of fulfilling one's own satisfaction, pride and happiness is called

A. Social Motivation
B. Intrinsic Motivation

C. Extrinsic Motivation
D. Esteem Motivation

Ans: B

161. Hygiene factors related to the work context includes

A. Relations with supervisor
B. Supervision

C. Company Policy and Administration
D. All of the above

Ans: D

162. Which of the following is/are importance of Motivation?

A. Success in competition
B. Increases Morale

C. Measurement of Managerial action
D. All of the above

Ans: D

163. Some of OB's challenges and opportunities include all of the following except

A. reinforcing the importance of traditional methods of management.
B. offering specific insights to improve interpersonal and people skills.
C. helping us learn to cope in a continuously changing world.
D. facilitating the improvement of quality and employee productivity.

Ans: A

Q164. "Leadership is the activity of influencing people to strive willingly for group objectives." This statement is given by

A. George R. Terry
B. Harris Thomas A.

C. Davis, Keith
D. Rensis Likert

Ans: A

165. In Vroom's Expectancy Theory, Valence means

A. Strength of an individual's preference for a particular outcome
B. Salary
C. Supervision
D. Knowledge of planning

Ans: A

166. Which is not correct about the nature of leadership?

<u>A.</u>	Ideal Conduct
<u>B.</u>	Leadership is a personal quality

<u>C.</u>	Dynamic Process
<u>D.</u>	Unity of Accounting

Ans: D

167. Which of the following is a phenomenon in which group pressures for conformity deter the group from critically appraising unusual, minority, or unpopular views?

- A. Group conformity
- B. Group shift
- C. Group think
- D. Compromise
- E. Risk transfer

Ans: C

168. What is brainstorming?

- A. A technique used to build group cohesiveness
- B. A technique that tends to restrict independent thinking
- C. A process for generating ideas
- D. A process used mainly when group members cannot agree on a solution
- E. The most effective means of generating answers

Ans: C

169. Vroom and Yetton's leadership theory could also be described as a _____ theory.

- A. Contingency
- B. Decision
- C. Behavioral
- D. Trait
- E. Cognitive dissonance

Ans: B

170. What does a positive Organizational culture do?

- A. uses positive reinforcement instead of punishment
- B. rarely uses rewards
- C. emphasizes individual growth
- D. emphasizes building on the organisation's strengths
- E. emphasizes Organizational vitality

Ans: C

171. Organisations that promote a spiritual culture _____.

- A. Have organized religious practices
- B. Adopt a corporate religion
- C. Recognize that people have both a mind and a spirit
- D. De-emphasize community in the work place
- E. Tend to downplay the importance of employee satisfaction

Ans: C

173. Charismatic leaders are perceived as initiators and managers of change rather than custodians of the status quo.

- A. True
- B. False

Ans: A

174. _____ studies behavior as it relates to concerns such as absenteeism, turnover, productivity, and performance.

- A. Psychology
- B. Kinetics
- C. Organizational behavior
- D. Ergonomics

Ans: C

175. A number of approaches may be used to bring about effective change within an Organisation, often called intervention strategies, these include:

- A. Survey research and feedback.
- B. Sensitivity training and team building.
- C. Grid training.
- D. All of the above.

Ans: D

176. The knowledge, language, values, customs, and material objects that are passed from person to person and from one generation to the next in society is called

- A. Culture
- B. The latent function
- C. The manifest function
- D. Social perspective

Ans: A

177. Which approach is adopted by attribution theories?

- A. Behavioral perspective
- B. Social cognitive perspective
- C. Cognitive behavioral perspective
- D. Social constructionist perspective

Ans: B

178. Attribution theories posit that there is constant bidirectional interaction between which two factors?

- A. Between physiology and cognition
- B. Between groups and individuals
- C. Between construction and interpretation
- D. Between cognition and the environment

Ans: D

Q179. Attribution theory says that when we observe behavior, we attempt to determine whether its cause is:

- A. typical or unusual
- B. internal or external
- C. Individual or external
- D. Consistent or erratic
- E. Distinctive or normal

Ans: B

Q180. When we judge someone on the basis of our perception of the group to which he or she belongs, we are using the shortcut called:

- A. Grouping.
- B. Stereotyping.
- C. Categorizing.
- D. Contrasting.
- B. Heredity.

Ans: B

Q181. An individual's personality is determined by all the following except:

- A. Environment.
- B. Heredity.
- C. Situational factors.
- D. Perceptual process.

Ans: D

Q182. In reference to personality, what is a psychological construct?

- A. A mental concept that influences behavior via the mind-body interaction.
- B. A mental concept that leads to self-awareness via the mind-body interaction.
- C. A mental concept that remembers events via the mind-body interaction.
- D. A mental concept that suppresses behavior via the mind-body interaction.

Ans: A

Q183. In terms of personality theories, what are development theories?

- A. Development theories are concerned with how we develop theories in psychology.
- B. Development theories are concerned with how develop implicit theories.
- C. Development theories are concerned with how personality degenerates as we age.
- D. Development theories are concerned with how personality develops as we age.

Ans: D

Q184. The five needs expressed in Maslow's hierarchy are:

- A. Psychological, safety, social, esteem and self-actualisation.
- B. Physiological, safety, social, esteem and self-actualisation.

- C. Physiological, safety, responsibility, motivation and self-actualisation.
- D. Physiological, intrinsic, social, esteem and self-actualisation.

Ans: B

Q185. Which of the following is a contemporary theory of motivation?

- A. McGregor's Theory X and Theory Y.
- B. Maslow's hierarchy of needs.
- C. Three needs theory.
- D. Herzberg's motivation-hygiene theory.

Ans: C

Q186. A strong Organizational culture increases behavioral consistency and, therefore, can act as a substitute for:

- A. Followership.
- B. Socialization.
- C. Institutionalization.
- D. Formalization.

Ans: D

Q187. The ultimate source of an organisation's culture is:

- A. Its founders.
- B. The business planning process.
- C. Top management.
- D. The country in which it operates

Ans: A

Q188. Which statement is true?

<u>A.</u>	Perception is the means by which stimuli affect an organism or individual
<u>B.</u>	Human behavior is generally determined on the basis of 'what is perceived', rather than on 'what is'
<u>C.</u>	Behavior is determined only by perceived stimuli; in other words, a stimulus that is not perceived has no effect on human behavior
<u>D.</u>	All of the above

Ans: D

199. Which of the following represents the correct sequencing of historical developments of Organizational Behavior?

- A. Industrial revolution→Scientific management→Human relations movement→OB
- B. Industrial revolution→Human relations movement→Scientific management→OB
- C. Scientific management→Human relations movement→Industrial revolution→OB
- D. Human relations movement→Scientific management→Industrial revolution→OB

Answer: A

200. Which of the following is most likely to be a belief held by a successful manager?

- A. Technical knowledge is all that is needed for success.
- B. It is not essential to have sound interpersonal skills.
- C. Technical skills are necessary, but insufficient alone for success.
- D. Effectiveness is not impacted by human behavior.

Answer: C

201. Organizational behavior is_____

- A. Science
- B. An art
- C. A science as well as an art
- D. Neither science nor art

Answer: C

202. Which of the following is least likely to be considered a manager?

- A. an administrator in charge of fund-raising activities in a non-profit organisation
- B. a lieutenant leading an infantry platoon
- C. a doctor who acts as head of the physiotherapy department at a public hospital
- D. An IT technician who enables communication between all of a company's employees

Answer: D

203. Organizational behavior focuses at 3 Levels-

- A. Individuals, Organisation, Society
- B. Society, Organisation, Nation
- C. Employee, Employer, Management
- D. Individual, Groups, Organisation

Answer: D

204. Communication begins with _____

- A. Encoding
- B. Idea organisation
- C. Decoding
- D. Channel selection

Answer: B

205. The field of Organizational behavior examines such questions as the nature of leadership, effective team development, and _____

- A. Organizational control; conflict management
- B. Interpersonal conflict resolution; motivation of individuals
- C. Motivation of individuals; planning
- D. Planning; development

Answer: B

206. Designing an organisation's structure, such as who reports to whom, defines the _____ function.

- A. Planning
- B. Leading
- C. Controlling
- D. Organizing

Answer: D

207. Which of the following is not an interpersonal role of management according to Mintzberg?

- A. A high school principal handing out graduation diplomas
- B. A department head relocating the department after a fire
- C. A shift foreman reprimanding a worker that arrived late
- D. A project manager listening to a team presentation

Answer: B

208. According to Mintzberg, when a manager searches the organisation and its environment for opportunities and initiates projects to bring about change, the manager is acting in which role?

- A. Negotiator
- B. Entrepreneur
- C. Monitor
- D. Resource allocator

Answer: B

209. Which of the following is most likely to be a belief held by a successful manager?

- A. Technical knowledge is all that is needed for success.
- B. It is not essential to have sound interpersonal skills.
- C. Technical skills are necessary, but insufficient alone for success.
- D. Effectiveness is not impacted by human behavior.

Answer: C

210. Person perception is:

- A. The process of how we manage, experience, and adjust our emotions
- B. The process by which we form impressions and process information about people
- C. The process by which we adjust to different cultural situations
- D. The process by which we learn cultural norms and standards of behavior

Answer: B

211. Miss Dasash Kossu is having a conversation with her best friend. She is revealing how she sees herself and includes her attributes, characteristics and qualities. Dasash is revealing information about her

- A. Self-concept
- B. Self-definition
- C. The independent self
- D. The interdependent self

Answer: A

212. Which of the following is true about our self-descriptions?
- A. Age is not a factor that shapes our self-descriptions
 - B. Cognitive abilities do not connect to our self-descriptions
 - C. Cultural heritage does not shape our self-descriptions
 - D. Our cultural experiences shape the way we see ourselves and our self-descriptions

Answer: D

213. Self-efficacy connects to which of the following.
- A. Self-esteem
 - B. Leadership
 - C. Confidence
 - D. Persuasion

Answer: C

214. Eric Erickson believed that this was a major crisis and task associated with the development of an individual's personality. It is:
- A. Cultural identity
 - B. Bicultural identity
 - C. Identity formation
 - D. Fluid identity

Answer: C

215. What is the trait approach to personality?
- A. Assumes that people are motivated by unconscious emotional conflicts
 - B. Assumes that each individual has stable personality characteristics
 - C. Assumes that people's thoughts and beliefs are central to personality
 - D. Assumes that people have an innate tendency to become self-actualized

Answer: B

216. Roger's defines the _____ as an organized, consistent, conceptual gestalt composed of perceptions of the characteristics of the 'I' or 'me'.
- A. The self-concept
 - B. The work concept
 - C. The team concept
 - D. None of the above

Answer: A

217. Scientific management were more concerned with the problems at the -----level as
- A. Higher level
 - B. Middle
 - C. Operating
 - D. Lower level

Answer: C

218. ----- is that phase of business enterprise that concerns itself with the overall determination of institutional objectives and policies necessary to be followed in achieving those objectives

Answer: D

219. School of thought has developed on the idea that there is no single method to find solutions to managerial problems.
- A. System approach
 - B. Empirical
 - C. Contingency
 - D. Operational

Answer: C

220. Approach of management heavily concentrates on people's aspect of management.
- A. Human relation
 - B. System
 - C. Empirical
 - D. Management science

Answer: A

221. is the art of knowing exactly what you want men to do and then seeing that how they do it in the best and cheapest way
- A. General management
 - B. Scientific management
 - C. Administration
 - D. organization behavior

Answer: B

222. is an example of internal source of recruitment
- A. Advertisement
 - B. Trade unions
 - C. Employment exchange
 - D. Promotion

Answer: B

223. is the act of increasing the knowledge and skills of an employee for doing a job.
- A. Training
 - B. Induction
 - C. Placement
 - D. Orientation

Answer: B

224. is a statement of expected results expressed in quantitative terms for a period
- A. Plan
 - B. Budget
 - C. Schedule
 - D. Program

Answer: A

225. means an individual should receive orders and instructions from only one superior
- A. Unity of command
 - B. Span of control
 - C. Scalar chain
 - D. Span of management

Answer: A

226. is the activity of influencing people to strive willingly for group of objectives
- A. Motivation
 - B. Leadership
 - C. Communication
 - D. Management

Answer: B

227. is a situation where a moral conflict arises
- A. Ethical issues
 - B. Conflicts
 - C. Demonization
 - D. Behavior

Answer: A

228. MBO gives emphasis on.....
- A. Top management
 - B. Middle management
 - C. Objectives
 - D. Lower management

Answer: C

229. The combination of characteristics or qualities that form an individual's distinctive character" is the definition of ____
- A. Personality
 - B. Motivation
 - C. Attitude
 - D. Behavior

Answer: A

230. The family condition and impact of the parents is the main base for the personality of a person. Later it might change by _____
- A. Thinking
 - B. External influences
 - C. Own ability
 - D. Learning experiences

Answer: B

231. Sometimes due to any hard situation _____ of an individual will change but will take a long time.
- A. Objective
 - B. Attitude
 - C. Motivation
 - D. Personality

Answer: D

232. From the below which is not outcome from person having good personality
- A. Good Performer
 - B. Good team player
 - C. Lead a team well
 - D. Make Profit

Answer: D

233. The five personality traits as per Big Five Personality Traits are
- A. Extroversion, Agreeableness, Conscientious, Emotional Stability, Openness to experience
 - B. Extroversion, Agreeableness, Friendly, Emotional Stability, Openness to experience
 - C. Extroversion, Agreeableness, Courage, Friendly, Openness to experience
 - D. Extroversion, Agreeableness, Conscientious, Emotional Stability, Easy going

Answer: A

234. Outgoing, talkative, social are part of _____ Personality Trait as per big 5 personality trait
- A. Friendly
 - B. Openness to experience
 - C. Introversion
 - D. Extroversion

Answer: D

235. Trust, nature, cooperative are part of _____ Personality Trait as per big 5 personality trait
- A. Agreeableness
 - B. Emotional Stability
 - C. Openness to experience
 - D. Introversion

Answer: A

236. Dependable, responsible are part of _____ Personality Trait as per big 5 personality trait
- A. Emotional Stability
 - B. Conscientious
 - C. Openness to experience
 - D. Introversion

Answer: B

237. . Relaxed and Secure are part of _____ Personality Trait as per big 5 personality trait
- A. Agreeableness
 - B. Emotional Stability
 - C. Openness to experience
 - D. Introversion

Answer: B

238. _____ are the theories which gives an Idea about what employees wants or needs and what are the key factors the managers can utilize to motivate the employees.
- A. Maslow theory
 - B. Herzberg Theory
 - C. Process Theory
 - D. Content Theory

Answer: D

239. _____ is our perception of one personality trait influences how we view a person's entire personality.
- A. Perception
 - B. Halo effect
 - C. Stereotyping
 - D. Individual Personality

Answer: B

240. _____ are stimulated by events and people external to themselves. They show their feelings, learn by talking and work well in groups.
- A. positive personalities
 - B. Introverts
 - C. Extroverts
 - D. Personality

Answer: C

241. _____ theory states the ways or process by which the needs can be converted into behavior or performance.
- A. Maslow theory
 - B. Expectancy Theory
 - C. Process Theory
 - D. Content Theory

Answer: C

242. Every individual is _____ by their personality.
- A. Intellectual
 - B. Specific
 - C. Unique
 - D. systematic

Answer: C

243. _____ intervene(s) between people's perceptions and their overt behavior.
- A. Intuition
 - B. Cognition
 - C. Attributions
 - D. Intention

Answer: C

244. Which one of the following characteristics is not necessarily true about groups?

- A. Group members are interdependent.
- B. Groups have two or more members
- C. Groups have assigned goals.
- D. Groups have shared fates.

Answer: C

245. What sorts of groups are defined by the organisation's structure?

- A. Informal
- B. Formal
- C. Friendship
- D. Interest

Answer: B

246. When do informal groups appear?

- A. In response to the need for social contact
- B. In reaction to formal groups
- C. As a result of social needs
- D. Most frequently in bureaucracies

Answer: A

247. Which of the following statements is true?

- A. All task groups are also command groups.
- B. All command groups are also task groups.
- C. All task groups are also friendship groups.
- D. All command groups are also informal groups.

Answer: B

248. The group type that is determined by the organisation chart is the _____ group.

- A. Job
- B. Work
- C. Command
- D. Social

Answer: C

249. Which of the following statements most accurately describes interest groups?

- A. They are longer lasting than friendship groups.
- B. They develop because individual members have one or more common characteristics.
- C. They are formed because of some common objective.
- D. They are governed by labor laws.

Answer: C

250. Which of the following is not one of the most common reasons people join groups?

- A. Security
- B. Status
- C. Equity
- D. Power

Answer: C

251. What are the five stages of group development?

- A. Generation, implementation, construction, production, termination
- B. Introduction, development, production, deterioration, adjournment
- C. Initiation, evolution, maturation, degeneration, termination
- D. Forming, storming, norming, performing, adjourning

Answer: D

252. Which stage in group development is most characterized by uncertainty?

- A. Introduction
- B. Storming
- C. Forming
- D. Evolution

Answer: C

253. Which of the following is not one of the problems that occur when conflict is encouraged?

- A. Increased group viability
- B. Time lost on the job
- C. Lingering hurt feelings
- D. reductions in cooperation

Answer: A

254. The _____ perspective focuses on productive conflict resolution starting both before and after the behavioral stage of conflict occurs, in order to minimize the negative effects on the organization.

- A. Interactionist conflict
- B. Task conflict

C. Managed conflict

D. Process conflict

Answer: C

255. The first stage of the conflict process is termed _____.

A. Cognition and personalization

C. Potential opposition or incompatibility

B. Behavioral manifestation

D. Intention

Answer: C

256. The categories of causes or sources of conflict include all of the following except _____.

A. Communication

C. Personal variables

B. Structure

D. Group interaction

Answer: D

257. Which of the following is not considered one of the potential sources of conflict?

A. Value similarities

C. Group size and specialization

B. Too much communication

D. Too little communication

Answer: A

258. High job specialization can lead to _____ conflict.

A. Communication

C. Personal-variable

B. Structural

D. Job-related

Answer: B

259. Stage II of the conflict process deals with conflict being _____.

A. Perceived and felt

C. Overt and covert

B. Apparent and experienced

D. Internalized

Answer: A

260. In which stage are conflict issues defined?

A. Potential opposition

C. Intuitions

B. Cognition and personalization

D. Behavior

Answer: B

261. ____ creates both barriers and opportunities for workgroup interaction

A. Performance evaluation

C. Authority

B. Formal regulations

D. Physical work setting

Answer: B

262. In assessing intentions, cooperativeness is the degree to which _____.

A. One party attempts to satisfy the other party's concerns

B. One party attempts to resolve conflict

C. Both parties work toward a common goal

D. There is an absence of conflict

Answer: A

263. When one party perceives its interests are being opposed or set back by another party, this is known as:

A. Competition

C. Dysfunctional conflict

B. Conflict

D. Equity

Answer: B

264. Which is not one of the five conflict-handling intentions?

A. Collaborating

C. Accommodating

B. Competing

D. Resisting

Answer: D

265. Which of the following conflict-handling orientations might involve attempting to find a win-win solution?

A. Avoiding

C. Accommodating

B. Collaborating

D. Compromising

Answer: B

266. Which of the following is not a conflict-resolution technique?

- A. Creating superordinate goals
- B. Appointing a devil's advocate
- C. Exercising authoritative command
- D. Generating additional resources

Answer: B

267. Negotiation can be defined as a process in which two or more parties exchange goods or services and attempt to agree upon _____.

- A. The exchange rate for those goods and services
- B. Acceptable bargaining strategies for obtaining the goods and services
- C. A model of the negotiation process for resolving differences
- D. The monetary value of the exchanged items

Answer: A

268. The techniques such as interviews, questionnaires, etc. are used in the _____ stage related to management of change.

- A. Training
- B. Diagnosis
- C. Recruitment
- D. Selection

Answer: C

269. Nowadays a lot of stress is being put on the _____ of the employee in the organisation

- A. Character
- B. Improvement
- C. Behavior
- D. Rewards

Answer: A

270. Which of the following are the basic sources of stress

- A. Productivity
- B. Social Stressors
- C. Physiological
- D. Thoughts

Answer: A

271. Which of the following is not Examples of environmental stressors are

- A. Weather
- B. Traffic
- C. Financial problems
- D. Substandard housing

Answer: C

272. Which one of the following is not Examples of physiological stressors are

- A. Menopause
- B. Giving birth
- C. Sleep disturbances
- D. Relationship problems

Answer: D

273. Which one of the following is not the characteristics of Positive Stress

- A. It improves performance
- B. It feels exciting
- C. It motivates
- D. Depression

Answer: D

274. The following is not the characteristics of Negative Stress

- A. It causes anxiety
- B. It feels unpleasant
- C. It decreases performance
- D. Improve performance

Answer: D

275. Which of the following statements is not true

- A. Positive stress is short-term
- B. Negative stress can be short or long-term
- C. Negative stress can lead to mental as well as physical problems
- D. Negative stress is perceived within our coping abilities

Answer: D

276. Which of the following are the physical symptoms of anxiety

- A. Racing heart
- B. Sweaty palms
- C. Flushed cheeks
- D. All of the above

Answer: D

277. Anxiety can cause the following moods **EXCEPT**

- A. Irritable
- B. Nervous
- C. Anxious
- D. None

Answer: D

278. What thoughts come to the mind when you're under negative stress

- A. You think that you can cope with the situation
- B. You think that you cannot cope with the situation
- C. You think that everything will get fine eventually
- D. You think that you will get help immediately

Answer: B

279. Which of the following statements is true

- A. Moodiness is a cognitive symptom of stress
- B. Moodiness is an emotional symptom of stress
- C. Poor judgement is an emotional symptom of stress
- D. Agitation is cognitive symptom of stress

Answer: B

280. Aches, shallow breathing and sweating, frequent colds are

- A. Physical symptoms of stress
- B. Behavioral symptoms of stress
- C. Emotional symptoms of stress
- D. Cognitive symptoms of stress

Answer: A

281. Top-level managers engage chiefly in ____ planning or long-range planning.

- A. Human resource planning
- B. Financial Planning
- C. Strategic Planning
- D. Succession Planning

Answer: C

282. Training starts with-----

- A. Organisation analysis
- B. Introduction
- C. Selection
- D. Planning

Answer: A

283. To be people smart ____ intelligence is required.

- A. High
- B. Spiritual
- C. Interpersonal
- D. Intrapersonal
- E.

Answer: C

284. The creative process model includes preparation, incubation, insight, and ____

- A. Verification
- B. Thinking
- C. Achievement
- D. Creativity

Answer: A

285. The ability is to apply specialized knowledge or expertise. All jobs require some specialized expertise, and many people develop their technical skills on the job. ____ program can be used to develop this type of skill.

- A. Sensitivity Training
- B. Vocational and on-the-job training
- C. Mentoring
- D. Coaching

Answer: B

286. The keys to empowerment may be ____ to understand but they are ____ to implement

- A. Easy; easy
- B. Easy; hard
- C. Hard; easy
- D. Hard; hard

Answer: B

287. ____ and ____ may help to overcome resistance to change.

- A. Power and politics
- B. Authority and threat
- C. Education and communication
- D. Social and political pressure

Answer: A

288. Attributes that have a positive connotation in our culture tend to be positively related to group productivity. They include

- | | |
|---------------------|----------------------|
| A. Authoritarianism | C. Sociability |
| B. Dominance | D. Unconventionality |

Answer: C

289. It refers to intentional behaviors that are designed to enhance or protect a person's influence and self-interest.

- | | |
|----------------------------|-----------------------|
| A. Organizational politics | C. Assertive behavior |
| B. Organizational culture | D. None |

Answer: A

290. The extent to which a manager can use extrinsic and intrinsic rewards to control other people is called:

- | | |
|-----------------|---------------------|
| A. Influence | C. Coercive power |
| B. Reward power | D. Legitimate power |

Answer: B

291. The ability to control another's behavior because the individual wants to identify with the power source is:

- | | |
|-------------------|-----------------|
| A. Referent power | C. Influence |
| B. Expert power | D. Reward power |

Answer: B

292. An informal group that attempts to influence people outside the group by pooling the resources and power of its members is known as

- | | |
|---------------------|-----------------------------------|
| A. A coalition | C. An ingratiation group |
| B. An upward appeal | D. An impression management group |

Answer: A

293. Is the right of a superior to give orders to subordinates, take decisions etc.

- | | |
|-------------------|-------------------|
| a. Authority | c. Accountability |
| b. Responsibility | d. Power |

Answer: A

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3. LEADERSHIP AND CHANGE MANAGEMENT

PART I Multiple choice questions (Some of answers are underlined)

1. Which of the following statements concerning the rational and emotional aspects of leadership is false?
a) Leaders can use rational techniques and/or emotional appeals in order to influence followers
b) Leadership includes actions and influences based only on reason and logic
c) Aroused feelings can be used either positively or negatively
d) Good leadership involves touching others' feelings
2. To many, the word management suggests a) Dynamism b) Risk-taking **c) Efficiency** d) Creativity
3. According to the text, leadership is often more associated with a) Consistency b) Planning
c) Paperwork **d) Change**
4. This is a conventional distinction made between managers and leaders.
a) Managers maintain while leaders develop b) Managers innovate while leaders administer
c) Managers inspire while leaders control d) Managers originate while leaders imitate
5. Which of the following statements about leaders versus managers is false?
a) Leadership is a value-laden, activity, management is not

- b) Leaders focus on risk taking, managers perform functions such as planning and controlling
c) Leaders are thought to do things right, managers do the right things
- d) Leaders develop, managers a) People are poorly motivated
 6. Theory y assumes which of the following b) People achieve little satisfaction from work
c) People are committed to Organizational activities
- d) People seek to avoid work
 7. Theory X assumes which of the following
 a) People regard work as normal activity c) People seek out responsibility
b) People achieve little satisfaction from work d) People are self-motivated
8. A democratic leadership style has which of the following characteristics
a) Split power b) Dictatorial leader
- c) Genuine d) Answer A & B
 9. Participative leadership has which of the following characteristics
 a) Believe success arises from leaders and staff working together
 b) Employs a clear chain of command
 c) Takes the view that rewards and punishment motivate staff
d) Seeks to involve staff in the decision making process.
10. Transactional leadership has which of the following characteristics?
a) Takes the view that rewards and punishment motivate staff.
- b) Seeks to ensure staff understand issues facing the organisation
 c) Seeks to involve staff in the decision making process.
 d) Believe success arises from leaders and staff working together
11. Transformational leadership has which of the following characteristics?
 a) Believe success arises from leaders and staff working together.
 b) Seeks to involve staff in the decision making process
c) Employs a clear chain of command
- d) Takes the view that rewards and punishment motivate staff.
 12. Which of the following is reward Power
a) Leader can reward staff who comply with instructions
- b) Leader is able to exercise power because of their charisma and reputation
 c) Leader can punish staff who do not comply with instructions
 d) Leader has power because of expert knowledge
13. Which of the following is expert power
 a) Leader can exercise power as a result of their position in the organisation
b) Leader has power because of their expert knowledge
- c) Leader has power because subordinates trust him/her.
 d) Leader can punish staff who do not comply with instructions.
14. Which among the following is not a leadership style
 a) Transactional leadership b) Transformational leadership
c) Transmission leadership d) Paternalistic leadership
15. Which is a quality not possessed by a leader
 a) Paternalistic b) Delegating c) Motivational **d) Stressful**
16. Which of these is not a principle of great man theory?
 a) Leaders are born not made.
 b) Great men rise up in times of crisis.
 c) We can learn from the biographies of great leaders.
d) A great leader is only great in certain situations.
17. In leadership trait theory what is a trait?
 a) A list of the things that make leaders different to everyone else.
 b) A list of the key things that a leader should do to be great.

c) The list of key behaviours a leader exhibits.

d) A list of key characteristics that makes a leader great.

18. Contingency theory is based on the assumption that the ideal leader:

a) Shapes their leadership style depending on the situation

b) Provides clear instructions to the followers so that they know what they are doing.

c) Knows what their strengths are and makes the most out of them.

d) Spends time with their followers and therefore listens and responds to their needs.

19. A transactional leader is one who

a) Inspires people and has strong interactions with them

b) Does deals with people in order to get them to do things the leader wants

c) Is the ideal form of leadership

d) Works for long-term goals of the organisation

20. What is a transformational leader?

a) Someone who is involved in Organizational change

b) A leader, like Taylor, who provided new ways of carrying out management

c) A leader who inspires the workers to new levels by offering them a vision of a better future.

d) A leader who tries to transform their staff by giving them rewards for what they do.

21. What is the social construction of leadership?

a) The view that all leadership is social and what matters is how leaders interact with others.

b) Leadership is a made up idea that therefore we should pay more attention to more significant aspects of the organisation.

c) What counts as good leadership is a construction of the perceptions of the followers.

d) Leadership is something that the leader constructs as they meet with

d) Leadership is something that the leader constructs as they meet with others

22. Which of the following statements concerning the rational and emotional aspects of leadership is false?

a) Leaders can use rational techniques and/or emotional appeals in order to influence followers

b) Leadership includes actions and influences based only on reason and logic

c) Aroused feelings can be used either positively or negatively

d) Good leadership involves touching others' feelings

23. This is a conventional distinction made between managers and leaders.

a) Managers maintain while leaders develop

c) Managers inspire while leaders control

b) Managers innovate while leaders administer

d) Managers originate while leaders imitate

24. Which of the following statements about leaders versus managers is false?

a) Leadership is a value-laden, activity, management is not

b) Leaders focus on risk taking; managers perform functions such as planning and controlling

c) Leaders are thought to do things right, managers do the right things

d) Leaders develop, managers

25. According to the text, which of the following statements is true?

a) Leadership and management have some unique functions with an area of overlap

b) A good leader can be a good manager, but the reverse is never true

c) Leadership and management are not related

d) Leadership and management are effectively the same for all practical purposes

26. What best describes the leader-follower relationship?

a) The relationship is a one-way street

b) Leadership and followership are the same thing

c) Leadership and followership merge and are linked concepts

d) It is based on the idea of 'one-man leadership'

27. Ideal leaders according to a survey were commonly characterized as all of the following except

a) Honest b) Competent

c) Forward-looking d) Cooperative

28. People who become leaders in any field tend to first stand out by virtue of their

a) Interpersonal skills

c) Emotional intelligence

b) Technical proficiency

d) Intercultural competence

29. In an organisation, one can gain valuable perspectives and insights through close association with an experienced person willing to take one under his/her wing. Such an individual is often called a

a) Supervisor **b) Facilitator** c) Role model d) Mentor

30. The process by which an older and more experienced person helps to socialize and encourage younger Organizational colleagues is called

a) Evaluating b) Consulting **c) Mentoring** d) Networking

31. Which role focuses on bringing about order and consistency by drawing up formal plans?

a) Leadership **b) management**

c) Task structure d) initiating structure

32. Which statement regarding leadership is true?

a) All leaders are managers.

c) All managers are leaders.

b) Formal rights enable managers to lead effectively.

d) All leaders are hierarchically superior to followers.

33. What are three situational criteria identified in the Fiedler model?

a) job requirements, position power, and leadership ability

b) charisma, influence, and leader-member relations

c) leader-member relations, task structure, and position power

d) task structure, leadership ability, and group conflict

34. The reconceptualization of the contingency model by Garcia and Fiedler is called theory

a) Situational **b) cognitive resource**

c) Evaluative d) leadership recognition

35. Which path-goal leadership style leads to greater satisfaction when tasks are ambiguous or stressful?

a) directive b) supportive c) participative d) mixed

36. According the Path-Goal Theory, what leader is friendly and shows concern for the needs of followers?

a) The achievement-oriented leader b) the directive leader

c) The laissez-faire leader **d) the supportive leader**

37. Power is

a) a means for leaders to achieve goals

c) a goal in and of itself

b) defined by leaders' hopes and aspirations

d) not an influence on leaders' goals

38. Leaders achieve goals, and power is

a) Defined by leaders' hopes and aspirations b) usually used by poor leaders

c) A means of achieving goals **d) a strong influence on leaders' goals**

39. _____ is change that is the result of specific and conscious actions by leaders or followers to change the organisation.

a) Unplanned b) Convergent

c) Evolutionary **d) Revolutionary**

40. Leaders in high power distance cultures would be most characterized by:

a) Expecting feedback from employees.

c) Seeking notoriety for the organisation.

b) Relying on formal structures to accomplish tasks.

d) Focusing on team efforts.

41. The trait approach to leadership suggests that:

a) Leaders have special innate qualities.

c) Traits are based on social class.

b) Leadership traits are clearly visible.

d) Traits cannot be measured.

42. Followers will only follow a charismatic leader if:

a) They believe change is needed.

c) They have clear rewards waiting for them.

b) They are motivated.

d) They are confident.

43. In addition to basic managerial functions of planning, organizing, staffing, directing, and controlling, leaders are ascribed:

- a) Procedural and external roles.
- b) Procedural and internal roles.
- c) Strategic and internal roles.
- d) Strategic and external roles.**

44. Tools used by a person to properly manage time.

- a) To do list
- b) Effective file management
- c) Action programs
- d) All of the above**

45. Which of the following is not a means of interpersonal time management

- a) MS word
- b) Google search engine**
- c) MS excel
- d) MS spreadsheet/ notepad

46. Time management has been considered to be a subset?

- (a) Project Management
- (b) attention management
- (c) Action management
- (d) All of the above**

47. Another name activity log is:

- (a) Mass communication
- (b) face to face communication
- (c) Activity Diary or a Job Activity Log**
- (d) virtual reality log

48. The meta activity with a goal to maximize overall benefit is known as

- (a) It is important to understand the joint actions people perform when they are together,
- (b) It is important to understand how people label and evaluate at different times.
- (c) It is important to understand the opposing forces that pull communicators in different directions.
- (d) None of the above**

49. Time management is not aided by a range of

- a) Skills
- b) Tools
- c) techniques
- d) Meditation**

50. Negative time management includes

- a) Depression
- b) Suicide
- c) A and b both**
- d) Be organized

51. Time Stress can't be managed by

- a) To do lists
- b) Action programs
- c) Setting priorities
- d) Thinking about an action**

52. Negative stress is usually the outcome of

- a) a poor attitude towards a stressor (being reactive)
- b) poor time management practices
- c) and failing to prioritise one's activities
- d) All of the following**

53. Symptoms, of distress exclude

- a) Headaches
- b) Time management**
- c) Fatigue
- d) Gastrointestinal problems

54. _____ is increasing Leadership rapidly:

- A. Strategy
- B. Command
- C. Control
- D. Getting others to follow

Answer - D. getting others to follow

55. Regarding leadership, which statement is false?

- A. Leadership does not necessarily take place within a hierarchical structure of an organisation
- B. When people operate as leaders their role is always clearly established and defined
- C. Not every leader is a manager
- D. All of the above

Answer - B. When people operate as leaders their role is always clearly established and defined

56. _____ are the approaches to the study of leadership which emphasize the personality of the leader:

- A. Contingency theories
- B. Group theories
- C. Trait theories
- D. Inspirational theories

Answer - C

PART II MULTIPLE CHOICE

57. Skills used by a person to properly interact with others include.

- a) Communication b) Listening
c) Attitude d) **All of the above**
58. Which of the following is not a means of interpersonal skill
a) Communication b) **Cultural differences**
c) Motivation d) Leadership
59. In order to understand verbal and nonverbal communication which of the following things should we do?
(a) Accept cultural differences (b) Studying your own culture
(c) Learn about other **cultures** (d) **All of the above**
60. They maintain friendly, pleasant relations with you, regardless, whether you agree with them or not. Good communicators command your respect and goodwill. You are willing to work with them again, despite their differences. Match the above statement with one of the followings:
(a) Precision (b) Credibility (c) Control (d) **Congeniality**
61. Another name for interpersonal communication is:
(a) Mass communication (b) face to face public communication
(c) **Dyadic communication** (d) virtual reality
62. When your text says that interpersonal communication can be thought of as a constellation of behaviors, it means that
(a) **It is important to understand the joint actions people perform when they are together.**
(b) It is important to understand how people label and evaluate relationships.
(c) It is important to understand the opposing forces that pull communicators in different directions.
(d) None of the above; interpersonal communication is not a constellation of behaviors.
63. Which among the following is not a stress buster
a) Social gathering b) Meditation
c) **Workaholic** d) Deep breathing
64. Types of stress include
a) **'OM' mantra** b) Daily chores
c) Internal factors d) Psychological stress
65. Negative stress includes
a) Depression b) Suicide c) **A and b both** d) Be present
66. Stress can't be managed by
a) To do lists b) Action programs
c) Setting priorities d) **Thinking about an action**
67. Positive type of stress excludes
a) **Depression** b) Increased Creativity
c) Higher Productivity d) Improved Self-Esteem
68. Negative stress is usually the outcome of
a) a poor attitude towards a stressor (being reactive) c) and failing to prioritise one's activities
b) poor time management practices d) **All of the following**
69. Symptoms, of distress exclude
a) Headaches b) **Time management**
c) Fatigue d) gastrointestinal problems
70. Workplace interpersonal skills does include
a) Listening skills b) Negotiation and Problem-solving
c) **A and B** d) Only A
71. Non-verbal communication includes
a) Negotiation and Problem-solving b) Decision-making
c) **Signs and gestures** d) A and B
72. Which of the following statements concerning the rational and emotional aspects of leadership is false?
A. Leaders can use rational techniques and/or emotional appeals in order to influence followers

B. Leadership includes actions and influences based only on reason and logic

C. Aroused feelings can be used either positively or negatively

D. Good leadership involves touching others' feelings.

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A. Consistency B. Planning

C. Paperwork **D. Change**

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B. Leaders focus on risk taking; managers perform functions such as planning and controlling

C. Leaders are thought to do things right, managers do the right things

D. Leaders develop, managers

77. Theory y assumes which of the following

a) People are poorly motivated

c) People are committed to Organizational activities d) People seek to avoid work

b) People achieve little satisfaction from work

78. Theory X assumes which of the following

a) People regard work as normal activity

c) People seek out responsibility

b) People achieve little satisfaction from work

d) People are self-motivated

79. A democratic leadership style has which of the following characteristics

a) Split power b) Dictatorial leader

c) Genuine d) Answer A & B

80. Participative leadership has which of the following characteristics

a) Believe success arises from leaders and staff working together

b) Seeks to involve staff in the decision making process

c) Takes the view that rewards and punishment motivate staff

d) Seeks to pick up the mood of the audience

81. Work and personal life influence each other by:

a) The quality of your relationships with people in work and personal life influence each other.

b) The satisfaction you achieve on the job contributes to your general life satisfaction.

c) An unsatisfied job can lead to increased stress.

d) All of the above

82. I want to raise my grade to "A". The goal is-

a) Specific b) Unimaginative

c) Impossible to reach d) Not very inspiring

83. What does the WIN strategy stand for-

a) Willie interferes nicely

b) What's interesting now

c) Where is Nigel

d) what's important now

84. When a student encounters problems while trying to reach a goal and then claims that she is a failure is an example of-

a) Realistic thinking b) The best way to reach a goal

c) Distortion of thinking d) Adjustment of thinking process

85. Clearly stated goals are the best if they are-

a) Specific b) Realistic c) Written **d) All of these**

86. The overall goal of action in any achievement setting is assumed to be the desire to:

a) avoid developing competence and incompetence

b) develop and demonstrate competence, and to avoid demonstrating incompetence

- c) demonstrate competence and incompetence
d) develop competence and demonstrate incompetence
87. With task- and ego-goal orientations, people can be:
a) high in both goals, low in both goals, or high in one and low in the other
b) high or low in both goals d) only high in ego orientation
c) only high in task orientation
88. Individuals who focus on task mastery or improvement (a high task-goal orientation) are more likely to:
(a) persist in the face of failure, exert greater effort, set impossible goals and remain interested in the task
(b) persist in the face of failure, exert greater effort, set challenging goals and remain interested in the task
(c) persist in the face of failure, exert less effort, set impossible goals and remain interested in the task
(d) persist in the face of failure, exert less effort, set challenging goals and lose interest in the task
89. What are the types of ideal's are there in human life-
a) Short, medium and long b) short and medium
c) Long and short d) medium and long
90. A role model must- **a) instruct and inspire** b) corrupt c) dishonest
91. Innovation means
a) dreaming of new things **b) making dreams come true**
c) having the capacity of convincing d) related to experience
92. Ethics are- a) Guiding principles b) universal principles
c) Moral code of conduct d) set of basic beliefs
93. The blue hat of creativity focuses on- a) Facts and information b) creativity
c) Managing thinking process d) possibilities
94. The green hat of creativity focuses on- a) Facts and information **b) creativity**
c) Managing thinking process d) possibilities
95. The white hat of creativity focuses on- a) Facts and information b) creativity
c) Managing thinking process **d) neutral and objective**
96. The capacity to learn and adapt to the requirements for survival in one's culture is called:
(a) Intelligence **(b) Memory** (c) Emotion (d) Learning
97. _____ are the outcome of _____ and _____, which are always definite.
a) Values, realization, understanding c) Intelligence, values, emotions
b) Beliefs, emotions, thoughts d) Thoughts, ideas, beliefs
98. _____ is the participation at different levels at larger order-
a) Values b) beliefs c) intelligence d) emotions
99. I will attain an A grade by the end of the semester is _____ range of goal-
a) Long and short b) Short and long c) Long and long d) Short and short
100. Studies of self-awareness have found that _____
a) self-awareness is not necessary for one to have a self-concept
b) self-awareness is not necessary for one to have a self-concept
c) humans are the only animals who are self-aware
d) it may rely on the presence of spindle neurons in the anterior cingulate cortex
101. People are more likely to act in line with personal beliefs than to conform to social pressures when they are _____
a) Privately self-aware b) low in self-esteem c) Publicly self-aware d) not self-regulating
102. Being habitually _____ can contribute to depression and chronic unhappiness.
a) Privately self-conscious b) low in self-regulation
c) Unlikely to engage in TOTE d) motivated to be interdependent with others
103. According to Carver and Scheier's (1981, 1998) control theory of self-regulation, self-awareness allows us to assess how we are doing in meeting our goals and ideas via a(n)

- a) comparison of private and public self-consciousness
- b) assessment of one's self-esteem
- c) Reliance on public self-consciousness rather than negative self-consciousness.

d) cognitive feedback loop

104. A way of conceiving the self in terms of unique, personal attributes and as a being that is separate and autonomous from the group is called the _____ self and is found more in _____ societies.

- a) Interdependent; individualistic
- b) independent; collectivistic
- c) Interdependent; collectivistic
- d) independent; individualistic**

105. The _____ perspective suggests that people are motivated to maintain consistent Beliefs about themselves, even when these beliefs are negative.

- a) Self-verification**
- b) self-esteem
- c) Self-enhancement
- d) self-monitoring

106. There are _____ types of goal setting process. a) Two **b) Three** c) Four d) Five

107. Your body image, or your perception of your body, also contributes to your self-concept. Having a _____ body image is related to feeling confident in jobs where customer contact is required. a) Negative **b) Positive** c) Neutral d) Unfavorable

108. People who are confident in themselves are _____ in leadership and sales positions. **a) Less effective** b) more dissatisfied
c) More effective d) emotionally insecure

109. An organized imagination around a certain theme or extent or problem is known as:

- (a) Fantasy**
- (b) Dream
- (c) Image
- (d) Creative Thinking

110. If we sit down and start visualizing about heaven, the pleasures there in, this would be:

- (a) Fantasy
- (b) Dream
- (c) Day-dreaming
- (d) Imagination**

111. "Problem Solving" and "Creative Thinking" are two main forms of:

- (a) Autistic Thinking
- (b) Directed Thinking
- (c) Image
- (d) Realistic Thinking**

112. The capacity to learn and adapt to the requirements for survival in one's culture is called:

- (a) Intelligence
- (b) Memory**
- (c) Emotion
- (d) Learning

113. Stress reducing techniques are

(a) meditate, breathe deeply, reach out, be patient & tune in to self

- (b) better understanding, allow to do mistakes, live a healthy life, accept changes & avoid fake
- (c) headaches, listening skills, decision making, positive attitude & problem solving
- (d) being in control, listening, attitude, be present & social gathering

114. Which one of the following **FALSE** regarding leadership?

- A. It is the ability to influence a group toward the achievement of goals
- B. It is intrapersonal influence exercised in a situation and directed through the communication process toward the attainment of a specific goal or goals.
- C. Leadership helps to point us in the same direction and harness our efforts jointly.
- D. It is the ability to persuade others to seek defined objectives enthusiastically.

Answer: B

115. Which one is **TRUE** about leadership?

- A. It is the studies of human behaviour in organisation
- B. It creates suitable working environment for employees
- C. It occurs when one individual influence other to do something voluntarily
- D. It is an influence by so many members of a group or organisation

Answer: D

116. According to the text, Leadership is often more associated with

- A. Consistency
- B. Planning
- C. Paper work
- D. Change

Answer: D

117. How you are going to measure Effective Leader behavior?

- A. Know your job B. Be Sensitive
C. Be Firm (Stand up for what you believe is right) D. All are the effective leader behaviour

Answer: C

118. What is the reason that lets leadership is an art?

- A. It is a growing body of knowledge
B. It describes an objective fact about the leadership process
C. It tells how to use leadership skills to attain Organizational goals
D. It is a practice and an intense personal exploration and development

Answer: C

119. To many, the word management suggests

- A. Dynamism C. Efficiency
B. Risk-taking D. Creativity

Answer: C

120. According to the Ohio state studies, which of the following dimensions of leader behavior refers to the extent to which the leader communicates to develop friendship, mutual trust, respect, warmth

- A. Intelligence structure C. Initiating structure
B. Psychological structure D. Consideration structure

Answer: D

121. Which of the following is true about leadership?

- A. Leaders and manager are the same.
B. Leadership is the art of influencing people so that they will strive forcefully toward goal achievement.
C. Leadership and motivation are not related.
D. Leadership is the ability to persuade others to seek defined objectives enthusiastically.

Answer: D

122. According to Warren Bennis, Leaders of effective groups share common characteristics but;

- A. Leaders provide direction and meaning to the people they are leading.
B. Leaders generate trust. C. Leaders reactive and risk rejecting taking.
D. Leaders are surveyors of hope.

Answer: C

123. When do you think is Compromising style may be appropriate?

- A. When consensus and commitment of other parties is important
B. When a high level of trust is presents C. When a long-term relationship is important
D. To reach temporary settlement on complex issues

Answer: D

124. Effective leaders possess:

- A. Passion C. Emotional instability
B. Reject responsibility D. Reject Change

Answer: A

125. Who needs BPR?

- A. Companies at its declining stages. C. Companies in their peak stages
B. Companies in its stable stages. D. All of the above

Answer: D

126. What is **NOT** re-engineering?

- A. Reengineering is not downsizing C. Reengineering is restructuring
B. Reengineering is not automation D. Reengineering is not outsourcing

Answer: C

127. Among the following, all are external forces that affect the organization **but**:

- A. Technology C. Economic forces
B. Strategy issues D. Financial strengthens

Answer: D

128. _____ is the manner and approach of providing direction, implementing plans, and motivating people

A. Leadership style

C. Leading

B. Motivation

D. Decision making style

Answer: A

129. Among the leadership theories, which one represent “portray great leaders as /epic/heroic, mythic, and destined to rise to leadership when needed”

A. Great man Theory

C. Behavioral theory

B. Treat theory

D. Contingency theory

Answer: A

130. A leadership theory that assumes particular personality of height, weight and mood shows as:

A. Great man Theory

C. Behavioral theory

B. Treat theory

D. Contingency theory

Answer: B

131. BEKELE, the team leader, will be mediating a dispute between three team members who are bickering about overtime assignments. He recently learned about the technique of letting the parties involved in the dispute come up with the solution. In working with his employees, CHALA tries to ensure that they are involved in decision making and he encourages them to participate in deciding their work methods and goals. BEKELE’s leadership style can best be described as ;

A. Autocratic

C. Democratic

B. Laissez-faire

D. Despotic

Answer: C

132. Which of the following describes the leadership style in which the leader generally gives the group complete freedom to make decisions and complete the work in whatever way it sees fit?

A. Cultural style

C. Democratic style

B. Autocratic style

D. Laissez-faire style

Answer: D

133. A leader, such as Bill Gates of Microsoft, who can inspire followers above their own self-interests and can have a profound effect on their performance, is known as a (n);

A. Transactional leader

C. Informational leader

B. Directive leader

D. Transformational leader

Answer: D

134. The leadership theory, which is based up on the belief that leaders are exceptional people, born with innate qualities, destined to lead;

A. Situational theory

C. Great man theory

B. Behaviorist theory

D. Michigan theory of leadership

Answer: C

135. According to the Managerial Grid theory, leaders may vary on the degrees of emphasis given to concern for production and concern for people and a combination of concerns may result in five basic leadership styles. Among the five leadership styles, one of the following leader has a high concern for both people and production i.e. strives for maximum performance and employee satisfaction.

A. Impoverished Management

B. Team Management

C. Country Club Management

D. Organization man Management

Answer: B

136. Among the five leadership styles on the Managerial Grid theory, one of the following leaders has high concern for people and a low concern production i.e. the leader strives to maintain good relations and a friendly atmosphere.

A. Team Management

C. Country Club Management

B. Impoverished Management

D. Organization man Management

Answer: C

137. Which of the following is leadership rather than management?

- | | |
|---------------------------------|-----------------------------|
| A. Setting vision and direction | C. Developing system |
| B. Setting up control systems | D. Managing staff workloads |

Answer: A

138. Managerial grid is based on which two dimensions of leadership?

- | | |
|----------------------|----------------------|
| A. People/Process | C. People/money |
| B. People/leadership | D. People/production |

Answer: D

139. In the team management style of managerial grid, concern for people is...

- | | |
|---------------|-----------|
| A. Irrelevant | C. High |
| B. Low | D. Middle |

Answer: C

140. According to Fiedler's contingency model, which of the following situational characteristic (situational favorableness) is important determinant of how favorable a situation is for leading?

- | | |
|----------------------------|---------------------|
| A. Position power | C. Task structure |
| B. Leader/member relations | D. All of the above |

Answer: D

141. Which of the following is/are the **NOT** common characteristics of autocratic leaders?

- | | |
|--|---|
| A. Closely supervises employees | D. The leader believes that pay is just the only a reward |
| B. Highly conscious about his/her position | |
| C. Two-way communication | |

Answer: C

142. _____ leadership is best when in emergency situations and a situation that call urgent action, whereas _____ leadership can apply when organizations have highly skilled and well-trained professionals.

- | | |
|----------------------------|------------------------------|
| A. Autocratic; Democratic | C. Autocratic; Laissez faire |
| B. Autocratic; Situational | D. Situational; Democratic |

Answer: C

143. The essence of _____ leadership style is that "a leadership of service above self".

- | | |
|---------------------|------------------|
| A. Democratic | C. Servant |
| B. Transformational | D. Laissez-faire |

Answer: C

Assume there are two leaders in your work unit who are very different in their leadership style. GADISSA believes that he is an **agent of change** by **creating, communicating, and modeling** a vision for the organisation or work unit, and inspires and gives them a "can do" attitude that makes the vision achievable. On the other hand, ABEBAYEHU feels that his role should be motivates subordinates by rewarding them for high performance and reprimand or punish low performers. Most of the workers believe that both leaders are well trained, but KASSAHUN has a special "spark" that employees feel when they work with him.

Based on this, answer questions no 144, 145, and 146.

144. GADISSA is a _____ leader.

- | | |
|---------------------|------------------|
| A. Transactional | C. Theory x |
| B. Transformational | D. Laissez-faire |

Answer: B

145. That special "spark" that people notice when they work with GADISSA may be termed:

- | | |
|------------------|------------------|
| A. Transactional | C. Laissez-faire |
| B. Charisma | D. Structure |

Answer: B

146. ABEBAYEHU is a _____ leader.

- A. Transformational
- B. Transactional

- C. Charismatic
- D. Laissez-faire

Answer: B

147. _____ is a conflict between an individual's values, goals, and needs and it arises when acting in accordance with one value, goal, or need makes it impossible to fulfill some other value, goal, or need.

- A. Intrapersonal conflicts
- B. Interpersonal conflict

- C. Intergroup conflict
- D. Interdependent conflict

Answer: A

148. Chief executive officer may decide between to decrease employees' salary or to fire few employees to stay in the market. This is an example of _____.

- A. Approach-approach conflict
- B. Avoidance-avoidance conflict
- C. Approach-avoidance conflict
- D. Interdependent Conflict

Answer: B

149. Which of the following is/are a win-win orientation of conflict resolution?

- A. Forcing
- B. Problem solving

- C. Compromising
- D. Smoothing

Answer: B

150. Which of the following is/are a lose-lose orientation of conflict resolution?

- A. Problem solving
- B. Forcing

- C. Compromising
- D. Yielding

Answer: C

151. Leadership style that improve organization efficiency

- A. Transformational
- B. Transactional

- C. Behavioral
- D. Servant

Answer: B

152. What is **NOT** one characteristic of the democratic leadership style?

- A. Leader asks before doing anything
- B. Leader enforces and relies on discipline
- C. Leader works together with the members as a group
- D. There is a mutual synergy between the leader and the team

Answer: B

153. _____ is the process of identifying, understanding, and adapting outstanding practices and processes from organizations anywhere in the world to help your organization improve its performance."

- A. Standardization
- B. Business process re-engineering

- C. Benchmarking
- D. Consolidation

Answer: C

154. Which one of the following is correct regarding the steps of change?

- A. Refreezing – changing – unfreezing
- B. Refreezing – unfreezing _ changing

- C. Changing-unfreezing-refreezing
- D. Unfreezing- changing- refreezing

Answer: D

155. _____ is a rapid, dramatic, and broadly focused change which involves a bold attempt to quickly find new ways to be effective.

- A. Revolutionary change
- B. Remedial change

- C. Incremental change
- D. Developmental change

Answer: A

156. In which of the following type of change can reengineering, restructuring, and quantum innovation be categorized?

- A. Revolutionary change

- B. Developmental change

C. Remedial change

Answer: A

157. _____ concentrates on improving an already successful environment through improving aspects of an organisation such as expand the number of customers served, or duplicate successful products or services.

Answer: B

158. Which of the following is/are not the methods managers can use to overcome resistance to change?

A. Education/Communication

C. Permit direct confrontation

B. Involve employees

D. Use power

Answer: C

159. According to Lewin's three step change model, which of the following step is concerned with making individuals (employees) aware that the present behavior is inappropriate, irrelevant and inadequate by showing discrepancies between desired and actual performance?

A. Unfreezing

C. Refreezing

B. Moving/Changing

D. Transforming

Answer: A

160. According to Lewin's three step change model, _____ refers to the process of providing support to assure the change becomes permanent.

A. Unfreezing

C. Refreezing

B. Changing

D. Transforming

Answer: C

161. Which of the following approaches to manage planned Organizational change are highly participative arrangements, composed of people from most levels of the organisation to produce meaningful Organizational change?

A. Lewin's three-step change model

C. Lussier's change model

B. Parallel learning structures model

D. Appreciate inquiry model

Answer: B

162. Among the following in situation planned change is needed

A. When the Chief Executive Officer suddenly leaves the organisation.

B. When a firm experience significant public relations problem

C. When poor product performance quickly results in loss of customers

D. When fundamental process change is needed and proactively organize

Answer: D

163. Which of the following environment has direct influence on the health of the organization such as customers, competitors, suppliers..etc.

A. Micro-environment

C. Internal environment

B. Task-related environment

D. General Environment

Answer: B

164. _____ is the process of identifying the number and strength of driving and restraining force.

A. Strategic analysis

C. SWOT analysis

B. Portfolio analysis

D. Force Field analysis

Answer: D

165. Which of the following represents the relationship between Organizational culture and change?

A. Culture and change are naturally compatible.

C. Culture can change in months but not weeks.

B. Culture tends to be very resistant to change.

D. Culture can never be purposely change

Answer: C

166. Which one of the following statement pairs is incorrect about forces for and against Organizational change?

- A. Internal, employees
- B. External forces, threat of acquisition

- C. External force, slow decision process
- D. Internal force, felt conflict or stress

Answer: C

167. The primary objective of BPR is;

- A. Increasing stocks
- B. Flexibility

- C. Cutting cost
- D. Improving productivity

Answer: A

168. Which of the following is/are not the source(s) of conflict in Organizational setting?

- A. Incompatible Goals
- B. Resources availability

- C. Different Values and Beliefs
- D. Task Interdependence

Answer: B

169. Which of the following is/are **NOT** outcomes of conflict?

- A. Increased motivation and creativity
- B. Poor work relationships

- C. Increased productivity
- D. Number of identified alternatives increased

Answer: C

170. Which comes first in the business Process Reengineering Life Cycle (PRLC)?

- A. Initiating change
- B. Process diagnosis

- C. Reconstruction
- D. Envisioning new processes

Answer: D

171. _____ concentrates on improving an already successful environment through improving aspects of an organization such as increasing customer base or introducing a product expansion.

- A. Remedial Change
- B. Incremental Change

- C. Social Change
- D. Developmental Change

Answer: D

172. The fundamental purpose for the existence of any organization is described by its

- A. Policies
- B. Vision

- C. Mission
- D. Strategies

Answer: C

173. What category of change involves work processes, methods, and equipment?

- A. Technology
- B. People

- C. Structure
- D. Competitors

Answer: A

174. In which of the following types of change, the top management has to ensure proper Organizational philosophy, instill culture and value system among employees and practice ethical approach in business.

- A. Process-oriented change
- B. Cultural change

- C. Strategic change
- D. Structural change

Answer: B

175. Which one of the following change involves a major transformation in an industry?

- A. Incremental change
- B. Continuous change

- C. Project-based change
- D. Discontinuous change

Answer: D

176.is the fundamental rethinking and radical redesign of business process to achieve dramatic improvements in critical, contemporary measures of performance, such as cost, quality, service, and speed.

- A. Business process reengineering
- B. Total quality management

- C. Outsourcing
- D. Radical structuring

Answer: A

177. Managers' options for change essentially fall into what four categories

- A. Environment, Technology, Mission and goal
- B. Structure, Technology, People and strategy

- C. Mission, Structure, People and procedure
- D. Mission, Environment, Process and method

Answer: B

178. Which one of the following is management technique that focuses on finding the ways to continuously make incremental improvements to work procedures that drive down cost and drive up quality of organization's products or services?

- A. Business process reengineering
- B. Total quality management
- C. Outsourcing
- D. Radical structuring

Answer: B

179. Reengineering, restructuring, and quantum innovation are the three important instruments for

- A. Revolutionary change
- B. Developmental change
- C. Remedial change
- D. Incremental change

Answer: A

180. Reengineering is about;

- A. Business outsourcing
- B. Business reinvention
- C. Business improvement
- D. Business modification.

Answer: B

181. Improvement in product quality, product design, production flow, employee morale are the benefit of

- A. Business process reengineering
- B. Business outsourcing
- C. Total quality management
- D. Radical structuring

Answer: C

182. Which one of the following is a good example of evolutionary change?

- A. Business process reengineering
- B. Business outsourcing
- C. Total quality management
- D. Radical structuring

Answer: C

183. Among the following in situation planned change is needed

- A. When the Chief Executive Officer suddenly leaves the organization.
- B. When a firm experienced significant public relations problems
- C. When poor product performance quickly results in loss of customers.
- D. When fundamental process change is needed.

Answer: D

184. Which of the following statement is true about the evolutionary model of Organizational change but;

- A. Evolutionary change features gradual adaptation of the an organization to changes in its external environment
- B. Organizational change moves through the phases of change without repeating an earlier phase
- C. Organizational change happens in phases developing a need for change, moving the organization to the new state, and stabilizing the change.
- D. Each phase blends into the next phase the phases have no distinct boundary.

Answer: A

Although You-go, Inc., has been in business for 30 years, the company and its employees seemingly have been in a constant state of change. Mr. Garuma has been President of You-go, Inc. for the last 15 years. During this time, he has had to change the strategic focus of the company three times. The employees have become vocal recently about the decrease in their bonus checks and their desire for increased profits. It seems as though his competition is always introducing new products into the market, and Yougo, Inc.'s niche products are constantly changing. Moreover, the government has been active in passing new legislation to increase the control of the product packaging and product contents. The technology used to manufacture the products has continually changed to make the process more efficient.

(Answer the question number **185**, **186** and **187** based on above case)

185. The technology change in the manufacturing process of You-go, Inc.'s products to make the process more efficient is the result of a competitor lowering its price. Therefore, it was a (n) _____.

- A. External force of change
- B. Internal force of change
- C. Marketplace force of change
- D. Economic force of change

Answer: A

186. Mr. Garuma has had to change the strategic focus of the company three times. The change in strategic focus of the New Ideas, Inc., is a (n) _____.

- A. External force of change
- B. Internal force of change
- C. Marketplace force of change
- D. Economic force of change

Answer: B

187. When the employees express their concern about their bonus checks, which of the following types of forces of change is constraining Mr. Garuma?

- A. External force of change
- B. Labor market force of change
- C. Internal force of change
- D. Social force of change

Answer: C

188. Which of the following leadership styles describes a leader who provides little direction or support?

- A. Telling
- B. Selling
- C. Participating
- D. Delegating

Answer: A

189.Leadership style is appropriate if the employees 'readiness /maturity level is from moderate to low.

- A. Telling
- B. Selling
- C. Participating
- D. Delegating

Answer: B

190. Which of the following leadership styles describes a leader who provides high supportive behavior and low task behavior?

- A. Telling
- B. Selling
- C. Participating
- D. Delegating

Answer: C

GIRMA, has been a departmental supervisor and feels that in order to be a leader to the employees she supervises, he has to many times utilize a different type of leader behavior. Recently, he met with the employees to let them know what he expected of them and the schedules they had for the products to be shipped. He also gave some specific assignments to individuals and the tasks he expected to be completed. GIRMA really enjoys the time that he sometimes gets to spend with the employees so they can see that he is friendly and has concern for the employees. He also likes to consult with the employees for suggestions prior to making a decision. Prior to the start of a new fiscal year, GIRMA always meets with the employees to establish challenging goals and expectations for the followers to perform at their highest level.

(Answer the Questions no. 191, 192, 193, 194 based on above case)

191. When Mr GIRMA has recently met with the employees to let them know both what he expected of them and also the product schedules and assignments, he was performing which of the following leadership styles

- A. Directive leader
- B. Supportive leader
- C. Participative leader
- D. Achievement-oriented leader

Answer: A

192. When GIRMA gets to spend time with the employees so they can see that he is friendly and has concern for the employees, he is performing which of the following leadership styles

- A. Directive leader
- B. Supportive leader
- C. Participative leader
- D. Achievement-oriented leader

Answer: B

193. When GIRMA consults with the employees for suggestions prior to making a decision, he is performing which of the following leadership styles

- A. Directive leader
- B. Supportive leader
- C. Participative leader
- D. Achievement-oriented leader

Answer: C

194. When GIRMA meets with the employees to establish challenging goals and expectations for the followers to perform at their highest level, he is performing which of the following leadership styles

- A. Directive leader
- B. Supportive leader
- C. Participative leader
- D. Achievement-oriented leader

Answer: D

195......occurs when each party wishes to maintain or maximize the amount of influence that it exerts in the relationship and the social setting.

- A. Economic conflict
- B. Power conflict
- C. Incompatible Goals conflict
- D. Values and beliefs conflict

Answer: B

196. Which one of the following is **NOT** a condition that cause conflict in Organizational setting

- A. Different in values and beliefs
- B. Task independence
- C. Unclear job boundaries
- D. Incompatible goals and targets

Answer: B

197. Which one is **NOT** types of intrapersonal conflicts?

- A. Approach-approach conflict
- B. Avoidance –avoidance conflict
- C. Approach-avoidance conflict
- D. Only Avoidance conflict

Answer: D

198.are conflicts between two or more organizations.

- A. Intrapersonal conflicts
- B. Interpersonal conflicts
- C. Inter-Organizational conflicts
- D. Inter-group conflicts

Answer: C

199. Which one of the following is NOT conflict stimulation techniques?

- A. Stimulating competition
- B. Communication
- C. Consistent Organizational structure
- D. Bringing in outside person

Answer: C

200. From conflict stimulation methods, which one is more risky way of stimulating competition?

- A. Communication
- B. Stimulation of competition
- C. Bringing in outside person
- D. Constant organization structure

Answer: A

201. Among the following, one is not conflict resolution method.

- A. Win-win orientation
- B. Win-lose orientation
- C. Approach-approach orientation
- D. Lose-lose orientation

Answer: C

202. Planned Organizational change is most commonly triggered by the need to respond to new threats or opportunities presented by;

- A. The organization Culture
- B. Development in the external environment
- C. The internal environment
- D. Actions by the organization's management

Answer: B

203. According to Kurt Lewin, the final stage of his three-stage model of change is called

- A. Unfreezing
- B. Refreezing
- C. Support and facilitation
- D. Moving/Changing

Answer: B

204. What are the two discrete types of change agents?

- A. Supervisors and Managers
- B. Human and non-human
- C. Transformational and Charismatic leaders
- D. Internal and external

Answer: B

205. What best describes changes in legal, political, economic and technological forces that change the dynamics of competitions within industries?

- A. Industry dynamic changes
- B. Industry shifts
- C. Competition shifts
- D. External company dynamic change

Answer: D

206. The three stages of the change life cycle are:

- A. Implementation, Sustenance, and Evaluation
- B. Innovation, Implementation, and Evaluation
- C. Preparation, Implementation, and Evaluation
- D. Innovation, preparation, and Evaluation

Answer: C

207. Which of the following forces does drive Organizational change internally?

- A. Demographic
- B. Strong R& D
- C. Globalization
- D. Economic

Answer: B

208. Which one is the act of stimulating someone or oneself to take a desired course of action?

- A. Leadership
- B. Management
- C. Motivation
- D. Communication

Answer: C

209. The best way to lead is to focus on the human aspects of groups by giving concern for the people is

- A. Task oriented leadership
- B. Person oriented leadership
- C. Initiating structure
- D. Achievement drives

Answer: B

210. To actuate or direct the behavior of individuals a manager requires three basic skills:

- A. Leadership, Motivational, and Communication skills
- B. Creative, Invention and Innovation skills
- C. Planning, Organizing, Staffing Leadership and Controlling skills
- D. Top, Middle and Lower level management skills

Answer: A

211.exists among a set of businesses when the businesses' economic value together is greater than their economic value separately.

- A. Leadership
- B. Synergy
- C. Motivation
- D. Delegation

Answer: B

212......is a process of influencing people.

- A. Motivation
- B. Leadership
- C. Delegation
- D. Controlling

Answer: B

References

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3. Other relevant books to Organizational behavior, management, Psychology, etc.



3: INNOVATION, STRATEGY AND PROJECT MANAGEMEN

- 1) Entrepreneurship
- 2) Management information system
- 3) Strategic Management
- 4) Project Management

1) ENTREPRENEURSHIP

Multiple choice questions with respective answers - I

1. an entrepreneur who starts business with the help of natural talent is called
 - A. Pure entrepreneur
 - B. Included entrepreneur
 - C. Spontaneous entrepreneur
 - D. Motivated entrepreneur.

Answer: C
2. A training program which is instrumental in making a person successful entrepreneur is known as
 - A. Technical consultancy
 - B. Entrepreneurial development program
 - C. Self-employment training
 - D. Achievement motivation training

Answer: B
3. An entrepreneur who introduces new goods technology and better combination of an enterprise is an----- entrepreneur.
 - A. Fabian
 - B. Innovative
 - C. Drone
 - D. Cognitive

Answer: B
4. The entrepreneur draws up the advice and services of experts and introduces changes that reflects a complete break up from the existing of things.
 - A. Cognitive
 - B. Empirical
 - C. Retail
 - D. Rational.

Answer: A

5. An entrepreneur who is a dynamic person and is interested in establishing a business enterprise is called-----entrepreneur.

- A. Technical
- B. Trading
- C. Professional
- D. First generation

Answer: C

6. A __ entrepreneur is a “Craftsman” .

- A. Motivate
- B. Spontaneous
- C. Classical
- D. Technical

Answer: D

7. ----- entrepreneur is an individual who plans, develops and manages a corporate enterprise.

- A. Business
- B. Corporate
- C. Service
- D. Induced.

Answer: B

8. A person who owns , operate and takes risk of a business venture.

- A. Manager
- B. Employee
- C. Entrepreneur
- D. Entrepreneurship.

Answer: C

9. The primary motivating force behind entrepreneur is.

- A. Fame
- B. Money
- C. Achievement
- D. Recognition.

Answer: B

10. Who can become an entrepreneur?

- A. Only a graduate
- B. Only a rich man
- C. People above 30 years
- D. Anyone.

Answer: D

11. People who work for someone else.

- A. Director
- B. Employee
- C. Entrepreneur
- D. Owner

Answer: B

12.. _____is the most important function of an entrepreneur according to Schumpeter.

- A. Innovation
- B. Organizing
- C. managing
- D. Exploring the market opportunities.

Answer: A

13.._____has a vital role in the economic growth of a country.

- A. Manager
- B. Employee
- C. Entrepreneur
- D. Entrepreneur.

Answer: D

14.Urges a person to move or behave.

- A. Risk bearing capacity
- B. Motivation
- C. Training
- D. Objectives.

Answer: B

15.An _____ is his own boss.

- A. Entrepreneur
- B. Entrepreneur
- C. Manager
- D. Director.

Answer: B

16. Who introduces the need hierarchy theory?

- A. Hagen
 - B. Schumpeter
 - C. Maslow
 - D. Dan hot.
- Answer: C

17. Innovation means-----.

- A. Invention
 - B. Creating something new
 - C. Imagination
 - D. None of these.
- Answer: B

18. There are----- basic elements in the process of motivation.

- A. 5
 - B. 2
 - C. 6
 - D. 3.
- Answer: D

19. The word entrepreneur is derived from the----- word.

- A. Latin
 - B. French
 - C. Greek
 - D. None of these.
- Answer: B

20. ----- is a situation where the individuals do not get any jobs.

- A. Unemployment
 - B. Under employment
 - C. Employment
 - D. None of these.
- Answer: A

21. The collection and use of information from published sources is called -----.

- A. Desk research
 - B. Techno economic survey
 - C. Primary data
 - D. None of these.
- Answer: A

22.is the process of evaluating the project idea with the limitations and constraints of entrepreneur.

- A. Pre-feasibility study
 - B. Economic analysis
 - C. Feasibility analysis
 - D. Techno economic analysis.
- Answer: C

23. _____ is the 1st phase in the life cycle of a project.

- A. Construction
 - B. Normalization
 - C. The pre-investment
 - D. Development stage.
- Answer: C

28.P E R T stands for.

- A. Program evaluation and review technique.
 - B. Project evaluation and review technique.
 - C. Preparation and evaluation of review technique.
 - D. None of these.
- Answer: A

30. _____ is the combination of activities and of a project.

- A. Network
 - B. Design
 - C. Techniques
 - D. None of these.
- Answer: A

31. The initial capital used to start a business is called.

- B. A bridge capital
 - C. Seed capital
 - D. Margin money
 - E. Redundant capital.
- Answer: B

33. intended to cover the time tag between the sanctioning and disbursement of a term loan or to cover the time tag in receiving the proceeds of a public issue.

- A. Bridge loan
 - B. Seed capital
 - C. Margin money
 - D. Redundant capital.
- Answer: A

44 is the advance given to cover the finance requirement during the time gap between sanctioning and disbursement of term loan by financial institutions.

- A. Incentive
- B. Bridge capital
- C. Subsidy
- D. Venture capital.

Answer: B

45 is the work of scientist.

- A. Invention
- B. Innovation
- C. Both
- D. None.

Answer: A

46. Which of these is not an environmental barrier to entrepreneurship

- A. Lack of skilled labor
- B. Custom of people
- C. Lack of fund
- D. Lack of infrastructure.

Answer: B

47. Which of these is a social barrier to entrepreneurship

- A. low sales
- B. Custom of people
- C. Both
- D. None.

Answer: C

48. An inner urge in an individual to do sometimes is called _____

- A. Persistence
- B. Initiative
- C. Competency
- D. Creativity.

Answer: B

49. Project for industrial development is an _____ project.

- A. Quantifiable
- B. Non-Quantifiable
- C. Sectoral
- D. Crash.

Answer: A

50 _____ is the work of entrepreneurs.

- A. Invention
- B. Innovation
- C. Both
- D. None.

Answer: B

51. Additional capital costs are incurred _____ project to same time.

- A. Quantifiable
- B. Non-Quantifiable
- C. Sectoral
- D. Crash.

Answer: D

52. Large scale projects are an example of _____ project.

- A. Quantifiable
- B. Magnitude
- C. Sectoral
- D. Crash.

Answer: B

53 _____ is the final report.

- A. Feasibility report
- B. Interim report
- C. Project report
- D. Progress report.

Answer: C

54. Which of the following is not included in utilities?

- A. Raw material
- B. Water
- C. Power
- D. Efficient disposal.

Answer: A

55 skill helps an entrepreneur to establish an enterprise.

- A. Communication
- B. Decision making
- C. project development
- D. Management.

Answer: C

56 skills are necessary for an entrepreneur to deal with many people.

- A. Communication
- B. Decision making
- C. project management
- D. Management.

Answer: A

57 refers to manner in which a company's inputs are transferred into output process.

- A. Proces
- B. Method
- C. Technology
- D. Method.

Answer: C

58 is the huge investment in plant and machinery.

- A. Labor intensive
- B. Capital intensive
- C. large scale
- D. Medium scale

Answer: B

59. the discount rate must be determined in advance for the

- A. Payback period
- B. Time adjusted rate of return method
- C. A R R
- D. N P V Method.

Answer: D

60. Which one of the following is not a discounted cash flow technique.

- A. A R R
- B. I R R V
- C. N P V
- D. P I .

Answer: A

62 report is a document where all the details obtained from technical analysis , financial analysis , profitability analysis etc. are put together.

- A. Feasibility
- B. Project
- C. Both
- D. None.

Answer: B

63 Analysis is concerned with identification of project demand potential and selection of optimal technology.

- A. Techno economic
- B. Social cost benefit
- C. Network
- D. Financial.

Answer: A

69. N P V ,P I and -----are the three discounted cash flow techniques.

- A. A R R
- B. I R R
- C. N T V
- D. Urgency.

Answer: B

70. The discount rate at which present value of cash inflows equals to the presentvalue of cash outflows is called.

- A. A R R
- B. I R R
- C. N T V
- D. Urgency.

Answer: B

76. Which of the following is not a phase in the project life cycle?

- A. Pre-investment phase
- B. Construction phase
- C. Normalization phase
- D. Growth phase.

Answer: D

77. Which of the following is not a network technique?

- A. C P M
- B. P E R T

C. S W O T
ANSWER C

D. L O B

84 _____ analysis is a technique commonly used to assess expected product profitability.

A. P E R T

C. B E

B. C P M

D. SWOT

ANSWER: D

85 _____ represents the activities and events of a project in a logical sequence.

A. Network diagram

C. Arrow diagram

B. project graph

D. All of these.

Answer: C

86. A single lump sum which is given by a govt. to an entrepreneur to cover the cost is known as

A. Subsidy

C. Bounties

B. Concession

D. None of these.

Answer: A

87. _____ entrepreneurs neither introduce new changes nor adopt new methods innovated by others.

A. Technical

C. Induced

B. Fabian

Answer: B

88. According to Schumpeter, is the most important function of a modern entrepreneur.

B. Innovation

D. Skill

C. Invention

E. Creativity.

Answer: A

89. Which of the following is a psychological factor affecting entrepreneurial growth?

A. Legitimacy of entrepreneurship

C. Need for achievement

B. Social status

D. None of these.

Answer: C

90. The capacity to develop new ideas, concepts and process is known as

A. Innovation

C. Skill

B. Invention

D. Creativity.

Answer: C

91. A person who works within an organization and having entrepreneurial capabilities.

A. entrepreneur

C. Manager

B. Entrepreneur

D. Chief executive.

Answer: B

92. _____ is a catalytic agent of change.

A. Organizer

B. Entrepreneur

D. Visionary.

Answer: B

93. Entrepreneur is a person or a group of persons who bears _____.

A. Risk

C. Certainty

B. Loss

D. None of these.

Answer: A

94. The function performed by entrepreneur is called _____.

A. Management

C. Entrepreneurship

B. Enterprise

D. Administration.

Answer: C

95. The concept of entrepreneurship involves _____ key elements.

A. 6

B. 7

C. 4

D. 3

Answer: C

96. Entrepreneurship is a-----.

A. Person

B. Process of action

C. Object

D. None of these.

Answer: B

97. Enterprise is a-----.

A. Object

B. Person

C. Process of action

D. None of these.

Answer: A

98. The reward for the entrepreneur is-----.

A. Salary

B. Wage

C. Profit

D. None of these.

Answer: C

107 ----- operated from within the organization itself.

A. Entrepreneur

B. Intrapreneur

C. Organizer

D. None of these.

Answer: B

99. The willingness to face the losses arising from the uncertainties in the field of business bravely called

A. Risk bearing

B. Loss

C. Uncertainty

D. Certainty.

Answer: A

100. Entrepreneurs are imitating the successful innovations made by other entrepreneurs.

A. Imitating

B. Fabian

C. Rational

D. Cognitive

Answer: A

101. Entrepreneurs are shy and lazy .

A. Drone

B. Cognitive

C. Fabian

D. Trading.

Answer: C

102. entrepreneurs undertakes a trading activity.

A. Business

B. Technical

C. Low-tech

D. Trading.

Answer: D

103. entrepreneur undertakes agricultural activities.

A. Pure

B. Service

C. Agricultural

D. Induced.

Answer: C

104. A ----- entrepreneur is an individual who plans, develops and manages a corporate enterprise.

A. Corporate

B. Motivated

C. Industrial

D. None of these.

Answer: A

105. entrepreneurs are concerned only with developing alternative marketing strategies to promote the business.

A. Technical

B. Industrial

- C. Trading
- D. Non-technical.

Answer: D

106. entrepreneurs are motivated by psychological and economic rewards.

- A. Professional
- B. Pure
- C. Induced
- D. None of these.

Answer: B

107. entrepreneurs follow the traditional method of production.

- A. Drone
- B. Rational
- C. Fabian
- D. Imitating.

Answer: A

108. entrepreneur hardly introduces anything revolutionary and follows the principle of rule of thumb.

- A. Cognitive
- B. Rational
- C. Empirical
- D. None of these.

Answer: C

109. entrepreneur who starts business with the help of his natural talents.

- A. Induced
- B. Spontaneous
- C. Growth
- D. Classical entrepreneur.

Answer: B

110. is a stereo-typed entrepreneur.

- A. Professional
- B. Modern
- C. Classical
- D. None of these.

Answer: C

111. is the miner state of mind.

- A. Desire
- B. Strivings
- C. Motivation
- D. None of these.

Answer: C

112. is the last need of Maslow's needs hierarchy theory.

- A. Self-actualization need
- B. Physiological needs
- C. Social needs
- D. Safety needs.

Answer: A

113. is essential for every business

- A. Capital
- B. Risk
- C. Profit
- D. None of these.

Answer: A

114. is the most important socio-economic problem faced by the developing countries.

- A. Over problem
- B. Unemployment
- C. Lack of technology
- D. None of these.

Answer: B

115. E O U stands for

- A. Export oriented unit
- B. Export output units
- C. Export output undertakings
- D. None of these.

Answer: A

116. Less developed nations are labor rich nations due to-----.

- A. Growing population
- B. Less population
- C. Lack of education
- D. None of these.

Answer: A

117. is the life blood of every business

- A. Finance
- B. Profit

C. Technology

Answer: A

D. Human resources.

118. consists of individuals assistance to entrepreneurs.

A. Project

B. Support system

Answer: B

C. Target groups

D. none of these.

119. TDA stands for

A. Teaching development authority

B. Tax development authority

Answer: C

C. Trade development authority

D. None of these.

120. is a scientifically evolved web plan devised to achieve a specific objective within a specified period of time.

A. Management

B. Administration

Answer: C

C. Project

D. Appraisal.

121. opportunities do not involve any kind of changes to the existing state of affairs.

A. Break through

B. Complementary

Answer: C

C. Additive

D. none of these.

122. By adopting -----opportunities , the entrepreneur can better utilize the existing resources and the existing character of a business.

A. Additive

B. Complementary

Answer: A

C. Break through

D. Economic.

123. PERT uses -----time estimates for activities.

A. 4

B. 3

Answer: B

C. 6

D. 1.

124. PERT is----- based

A. Cost

B. Value

Answer: C

C. Time

D. none of these.

125. CPM is based

A. Time

B. Value

Answer: C

C. Time

D. none of these.

126. Small scale units require ----- capital investment.

A. Lesser

B. Huge

Answer: A

C. High

D. none of these.

127. The word entrepreneur means-----.

A. To protect

B. To service

Answer: C

C. To undertake

D. To create

130. ----- is an economic leader.

A. Manager

B. Entrepreneur

Answer: B

C. Intrapreneur

D. none of these.

131. The term entrepreneur was 1st used in the business filed by:

A. Richard cotillion

B. J.B. Say

Answer: A

C. Drunker

D. F.H.Knight.

132. is hesitant to divide from the traditional method of functioning.

a. Drone entrepreneur

C. Classical entrepreneur

B. Fabian entrepreneur

D. Adoptive entrepreneur.

Answer: A

133. entrepreneurs follow the footsteps of their predecessors.

a. Drone

c. Classical

b. Fabian

d. Cognitive.

Answer: B

134. entrepreneur follows the principle of rule of thumb

A. Cognitive

C. Rational

B. Empirical

D. Professional.

Answer: B

135. A----- entrepreneur is one who promotes and operates a retail business.

A. Corporate

C. Retail

B. Industrial

D. Technical.

Answer: C

136. entrepreneur is one who taken up those venture as which suit the current marketing needs.

A. Classical

C. Non-technical

B. Modern

D. none of these.

Answer: B

138. an entrepreneur is one who carries out business or service activities quite successfully on a small scale basis.

a. Large scale

c. 1st generation

b. Medium scale

d. Small scale.

Answer: D

139. is an urge to achieve the goals

a. Skill

c. Motive

b. Knowledge

d. none of these.

Answer: C

140. means the collection and retention of information in one's mind.

a. Skill

c. Knowledge

b. Motive

d. none of these.

Answer: C

141. means the ability to practice knowledge.

a. Skill

c. Knowledge

b. Motive

d. none of these.

Answer: A

142. The high risk leads to-----.

a. Profit

c. Uncertainty

b. Loss

d. none of these.

Answer: A

143. Resources are scarce which demands are-----.

a. Unlimited

c. Scarce

b. Limited

d. none of these.

Answer: A

144. The development of nation depends on the development of-----.

a. Entrepreneurship

b. Export

- c. Import d. None of these.

Answer: A

184 ----- is the drive to achieve goal

- A. Motivation C. Portfolio
B. Need for achievement D. none of these.

Answer: A

145. After screening the ideas, they are translated into project-----.

- a. Portfolio c. Proposal
b. Profiles d. none of these.

Answer: B

146. The element of job to be completed in a specific time is known as-----.

- a. Event c. Network
b. Activity d. Slack.

Answer: B

147. Activities lying on the critical path are known as activities.

- a. Critical c. Succeeding
b. Preceding d. Concurrent.

Answer: A

148. Which of the following is a technique of project identification?

- a. desk research c. CVP analysis
b. Sensitivity analysis d. none of these.

Answer: A

149. Which of the following is not a technique of financial analysis.

- a. Ratio analysis c. Cash flow analysis
b. Risk analysis d. Fund flow analysis.

Answer: B

150. ----- is described as break earning point.

- A. Cash flow C. Ratio
B. Fund flow D. break even.

Answer: D

151. The skill to people and to influence their behavior is known as-----.

- A. Diagnostic C. Technical
B. Conceptual D. Human relation.

Answer: D

152. ----- analysis is carried out to ascertain technical soundness of the project.

- A. Techno-economic C. Financial
B. Technical D. Pre- investment appraisal.

Answer: B

153. ----- skill relates to accounting and financing control, marketing, and production planning and inventory control and to manage people who work in the enterprise.

- A. Communication C. Project development
B. Decision making D. Management.

Answer: D

154. ----- is the financial and promotional assistance provided by the govt. to the industries for boosting up industrial development in all regions particularly in backward areas.

- A. Seed capital C. Subsidy
B. Incentive D. none of these.

Answer: B

155. An imitating entrepreneur is one

- a. who introduces new method of production b. who adopts method used by others

- c. who adopts old techniques

Answer: B

- d. who does not like to bear risk

156. Drone entrepreneurs are characterized by

- a. Rigid ways
b. Liberal attitude

Answer: A

- c. Conservative thinking
d. Flexible attitude

157. A Fabian entrepreneur is one

- a. who takes maximum risk
b. who is very aggressive

Answer: D

- c. who is frequently induces new product in business
d. who is timid and caution

158. A spontaneous entrepreneur is one

- a. who is motivated by others to start an enterprise
b. who is induced by governmental policy
d. who has strong conviction and confidence in his in-born ability

Answer: D

- c. who is motivated by psychological rewards

159. Which of the following is not a Managerial function of entrepreneur?

- a. Accounting
b. Organizing

Answer: A

- c. Staffing
d. Planning

160. The most suitable type of entrepreneur for a developing economy like Ethiopia is:

- a. Innovative
b. Imitative

Answer: B

- c. Fabian
d. Drone

161. Which of the following is not a personal characteristic often found in an entrepreneur?

- a. self-confident
b. Independent
c. perceptive

Answer: D

- d. follower

162. An individual who starts, creates and manages a new business can be called:

- a. Leader
b. Manager

Answer: C

- c. Entrepreneur
d. Professional

163. Role of entrepreneurs includes:

- a. Employment generation
b. Wealth creation & Poverty reduction

Answer: D

- c. Rural Development
d. All of the above

164. An entrepreneurs plays an important role in:

- a. Economic development
b. Political development

Answer: A

- c. Religious development
d. None of the above

165. Many entrepreneurs fail due to

- a. Lack of motivation
b. Lack of technical skills

Answer: D

- c. Lack of business knowledge
d. All of the above

166. _____ defines an entrepreneur as one, who always searches for change, responds to it and exploits it as an opportunity

- a. Richard Canilton
b. Peter F Drucker

Answer: B

- c. Joseph Schumpeter
d. Henry Fayol

167. The term concept of entrepreneurship originated in

- a. 18th century
b. 17th century

- c. 16th century
 - d. 15th century
- Answer: C

168. In relation to Ethiopian Industries, entrepreneurship is

- a. Necessary
- b. Unnecessary
- c. Burden
- d. Wastage of time & money

Answer: A

169. _____ Shows the process of creating something new.

- a. Innovation
- b. Business model
- c. Modeling
- d. Creative flexibility

Answer: A

170. The goals should be _____ for the success of business plan

- a. Generalized
- b. Specific
- c. Limitless
- d. Imaginary

Answer: B

171. In relation to Ethiopian industries entrepreneurship is:

- a. Necessary
- b. Burden
- c. Unnecessary
- d. Wastage of time & money

Answer: A

172. Entrepreneur is:

- a. Innovator
- b. Problem solver
- c. Risk taker
- d. All of these

Answer: D

173. An entrepreneur plays an important role in:

- a. Economic development
- b. Religious development
- c. Political development
- d. None of these

Answer: A

174. An entrepreneur is:

- a. Born
- b. Born & made both
- c. Made
- d. None of these

Answer: B

175. Entrepreneurs are helpful in bringing about:

- a. Balanced industrial development
- b. Unbalanced industrial development
- c. Scattered industrial development
- d. None of these

Answer: A

176. Entrepreneur in employment opportunities:

- a. Increase
- b. Decrease
- c. Neither increase nor decrease
- d. None of these

Answer: A

177. Innovation theory first was given by:

- a. David McClelland
- b. Peter F. Drucker
- c. Joseph A. Schumpeter
- d. Richard Cantillon

Answer: C

178. Entrepreneur? is:

- a. English language
- b. Latin language
- c. Russian language
- d. French language

Answer: D

179. The characteristic of an entrepreneur is:

- a. need to achieve
- b. risk bearing capacity
- c. optimist
- d. all of the above

Answer: D

180. Innovation means:

- a. execution of new ideas
- b. implementation of new ideas
- c. operation of new ideas
- d. separation of new ideas

Answer: B

181. Role of entrepreneur can be depicted

- a. giving emphasis on village and cottage industries
- b. starting big business
- c. imitating other business
- d. doing trading business

Answer: A

182. Entrepreneurship played a pivotal role in bringing social stability by:

- a. maximizing profit
- b. increasing own wealth
- c. alleviating of poverty
- d. developing business

Answer: C

183. X-efficiency theory indicates the use of resources in terms of

- a. efficiency
- b. inefficiency
- c. proper
- d. improper

Answer: B

184. Most of EDPs have

- a. Three phase
- b. Four phase
- c. Five phase
- d. Six phase

Answer: A

185. According to Schumpeter's Theory of Innovation, innovation involve:

- a. New products
- b. Opening of new market
- c. New method of production
- d. All of the above

Answer: D

186. Entrepreneurial development programme provides

- a. Self-employment
- b. Increase in skills of entrepreneur
- c. Education and Training
- d. All of the above

Answer: D

187. The fundamental of in entrepreneurship is:

- a. Entrepreneurship development
- b. Entrepreneurial disposition
- c. Innovation
- d. Profitable enterprise

Answer: B

188. The basic objective of Entrepreneurial development programme (EPD) is:

- a. Select product
- b. Formulate the project
- c. Acquire managerial skill
- d. All of the above

Answer: D

189. Entrepreneurial development programme provides

- a. Self-employment
- b. Increase in the skills of entrepreneur
- c. Education and training
- d. All of the above

Answer: D

190. Entrepreneurship Development Programme (EDP) may be defined as:

- a. Training Programme
- b. Committee meeting
- c. Community programme
- d. Social service

Answer: A

191. A project or a business undertaking especially a commercial one involving a risk and uncertainty is called

- a. an enterprise
- b. a unit
- c. a venture
- d. an industry

Answer: A

192. The entrepreneur should ensure that the opportunity must be compatible with

- a. fund availability
- b. man power availability
- c. ability to do
- d. all above

Answer: D

193. The basic purpose of economic analysis, resources should be valued in terms of their

- a. economic cost
- b. production cost
- c. price cost
- d. opportunity cost

Answer: D

194. The financial plan for meeting the cost of the project depends on how accurately estimated with

- a. cost
- b. technical know how
- c. economic phisibility
- d. environmental opportunity

Answer: A

195. The investigation will help him to reach a conclusion as to the feasibility and prospect of the whole proposal is depend on

- a. discovery of an idea
- b. preliminary investigation
- c. detailed investigation
- d. framing of plan

Answer: B

196. Internal environmental factor includes

- a. number of workers
- b. amount of investment
- c. both a and b
- d. none of the above

Answer: C

197. Commercial exploitation of indigenous or imported technology and knowhow is another source of

- a. product profile
- b. project idea
- c. market character
- d. none of the above

Answer: B

198. Success of enterprise depends on:

- a. Both entrepreneur and enterprise are good
- b. Only entrepreneur is good
- c. Only enterprise selection is suitable
- d. All of the above.

Answer: A

199. In SWOT analysis Strength and weakness relates to:

- a. Entrepreneur
- b. Environment
- c. All of the above
- d. None of the above

Answer: A

200. Business or project ideas can be generated from:

- a. Internal
- b. External
- c. Both Internal & External
- d. None of the above

Answer: C

201. Selecting a project out of projects identified is called:

- a. Referencing process
- b. Zeroing in process
- c. Picking process
- d. Handling in process

Answer: B

202. In SWOT analysis Opportunities and Threats relates to:

- a. Entrepreneur
- b. Environment
- c. All of the above
- d. None of the above

Answer: B

203. Entrepreneurship development process includes:

- a. Selecting potential targets
- b. Choosing the right location
- c. Tying up with Institutions
- d. All of the above

Answer: D

204. External environment factors are

- a. Economic
- b. Social
- c. Technical
- d. All of the above

Answer: D

205. Opportunity means a chance to do:

- a. new things
- b. old things
- c. new and old things
- d. None of the above

Answer: A

206. Which of the following is not the factor of internal environmental analysis?

- a. Production
- b. marketing
- c. Competitive
- d. Finance

Answer: C

207. Indirect –action elements of external environment includes:

- a. Political
- b. legal
- c. Socio-cultural
- d. All of the above

Answer: D

208. Internal environment is also called:

- a. Specific environment
- b. Micro environment
- c. Both (a) and (b)
- d. None of the above

Answer: C

209. Good sources of information for an entrepreneur about competitors can be obtained from

- a. Websites
- b. Product information leaflets
- c. Company reports and published accounts
- d. All of the above

Answer: D

210. From the following which one is factor affecting entrepreneurial growth:

- a. Social
- b. Economic
- c. Psychological
- d. All of the above

Answer: D

211. The level at which an individual is viewed by society is called

- a. Financial status
- b. Qualification
- c. Social status
- d. Achievement

Answer: C

212. External environment factor includes:

- a. Economic factor
- b. Technological factor
- c. Social factor
- d. All the above

Answer: D

213. _____ factor is an essential factor of external environment analysis:

- a. Physical
- b. Competition
- c. Financial
- d. Organizational

Answer: B

214. Which of the following is not the internal business environment?

- a. Organizations mission & vision
- b. Company culture & image
- c. Value system
- d. Suppliers

Answer: D

215. The final step in entrepreneurship development process is:

- a. Discovery
- b. Developing a business plan
- c. Harvesting
- d. Managing the company

Answer: C

216. While identifying the business opportunities the entrepreneur must include:

- a. Economic trends
- b. Change in customer base
- c. Market trends
- d. All the above

Answer: D

217. The most dynamic force, shaping entrepreneurs destiny is:

- a. Social factor
- b. Technological factor
- c. Competitive factor
- d. Political factor

Answer: B

218. Internal environment factors includes:

- a. Resources of the organization
- b. Board of directors
- c. Shareholders
- d. All of the above

Answer: D

219. To start an entrepreneurial activities, first process is to:

- a. develop a business plan
- b. discover a new thought
- c. accumulate fund
- d. manage the business

Answer: C

220. Once the opportunity is identified, an entrepreneur needs to create a:

- a. comprehensive business plan
- b. discovery
- c. capital fund
- d. budget

Answer: A

221. Mission of a business house should have holistic approach towards the:

- a. quality control
- b. family
- c. maximization of profit
- d. society and the nation

Answer: D

222. Labor unions generally collectively bargain with the management for:

- a. higher wages
- b. better working conditions
- c. better working environments
- d. all of the above

Answer: D

223. To maintain quality of the product and increase goodwill, a business houseshould plan to recruit human resource by avoiding:

- a. skilled labor
- b. knowledgeable person
- c. nepotism
- d. experienced person

Answer: A

224. Political environment of a state can improve the entrepreneurial growth bystages of:

- a. legislature
- b. execution
- c. judiciary
- d. all the above

Answer: B

225. In venture capital, there is

- a. High risk
- b. Normal risk
- c. No risk
- d. None of the above

Answer: A

226. For establishing new and risky business units in Ethiopia Venture Capital is

- a. Unnecessary
- b. Necessary
- c. Extremely necessary
- d. Wastage of capital

Answer: A

227. Loans given by commercial banks is:

- a. Short-term
- b. Long-term
- c. Medium term
- d. All of the above

Answer: C

228. Venture capital is a source of investment for:

- a. Start-up companies
- b. Developing companies
- c. Existing companies
- d. All of the above

Answer: B

229. Venture Capital investment is also referred to

- a. risk capital
- b. patient risk capital

- c. Both (a) and (b)
Answer: C
- d. None of the above

230. Venture Capital is the money provided by an outside investor to finance

- a. a new business,
b. a growing business
c. troubled business.
d. All of the above

Answer: D

231. Methods of Venture Capital financing includes

- a. Equity
b. Equality
c. Troubled business.
d. None of the above

Answer: A

232. The full form of MSME is

- a. Mini, small and Medium Enterprise
b. Micro, small and Medium Enterprise
c. Micro, small and Moderate Enterprise
d. Mini, small and Many Enterprise

Answer: B

233. The Manufacturing Enterprise are defined in terms of

- a. investment in Agriculture
b. investment in Services
c. investment in Plant & Machinery.
d. Infrastructure in Plant & Machinery.

Answer: C

234. There are two important sources of entrepreneurial finance, one is

- a. Internal funding
b. External funding
c. Owners? Equity
d. Both (b) and (c)

Answer: D

235. Internal and external environment are considered under the term

- a. physical facilities
b. environmental facilities
c. industrial facilities
d. none of the above

Answer: A

236. State Industrial Development Corporation is to provide assistance in the form of

- a. Technical assistance
b. Developmental assistance
c. Term loans
d. None of the above

Answer: C

237. Problems faced by the most entrepreneurs:

- a. Paucity of funds
b. Competition
c. Legal formalities
d. All of the above

Answer: D

238. Which of the following is true with respect to problems faced by women entrepreneurs?

- a. Significant entrepreneurial zeal and motivation
b. There are no Socio-religious-political barriers
c. Mostly preoccupied with household activities and responsibilities
d. Abundance of awareness and dynamism

Answer: C

239. Which of the following is false with respect to prospects of entrepreneurship in Ethiopia?

- a. Communication and transportation links improve
b. Investment has been coming in on various fronts in recent years
c. Abundance of funds
d. The regions educational attainments helps capture international mainstreams

Answer: C

240. The activity which occurs when the new venture is started is called:

- a. Motivation
b. Business skills
c. Departure point
d. Achievement

Answer: C

241. Women entrepreneur in Ethiopia are in:

- a. Backward stage
- b. Developed stage
- c. Developing stage
- d. none of these.

Answer: C

242. Problems faced by the women entrepreneur does not include:

- a. Lack of confidence
- b. Competition from male entrepreneurs
- c. Family responsibilities
- d. none of the above

Answer: D

243. Innovation can best be defined as _____.

- a. **The generation of new ideas.**
- b. The evolution of new ideas.
- c. The opposite of creativity.
- d. The successful exploitation of new ideas.

244. Which of these statements best describes the context for entrepreneurship?

- a. Entrepreneurship takes place in small businesses.
- b. Entrepreneurship takes place in large businesses.
- c. **Entrepreneurship takes place in a wide variety of contexts.**
- d. Entrepreneurship does not take place in social enterprises.

245. Entrepreneurship can best be described as _____.

- a. a process that requires setting up a business.
- b. taking a significant risk in a business context.
- c. having a strong vision.
- d. **a process involving innovation, new products or services, and value creation.**

246. Entrepreneurial development is the key to achieve all-round ----- through acceleration of industrial and entrepreneurial activities.

- a. **economic development**
- b. increase in profits
- c. shareholders value
- d. business development

247. According to sociological approach, entrepreneurship

- a. Process of sensitivity
- b. **Process of role performance**
- c. Process of economic change
- d. All of these

248. Which of the following attitudes Is not generally associated with successful entrepreneurship

- a. Competition and co-operation
- b. Desire to influence others
- c. Innovation and product improvement
- d. **Status quo in business**

249. The function of entrepreneur are:

- a. To imagine a business idea
- b. To study project feasibility
- c. To setup enterprise
- d. **All the above**

250. Which of the following sentence is not a characteristic of entrepreneurship:

- a. Risk taking
- b. Innovation
- c. Creative activity
- d. **Managerial training**

251. Which of the following sentence is inconsistent in the context of entrepreneur:

- a. He is owner of the business
- b. He is risk taker
- c. **He operates production activities**
- d. He searches out business opportunities

252. Maslow's Hierarchy of needs theory is governed by the fact that:

- a. People are universally motivated by needs
- b. People are socially motivated by needs
- c. **People are politically motivated by needs**
- d. None of the above

253. In under developed countries, local mobile phone companies use the same technology used by big companies to manufacture their products. Which of the following type of Entrepreneurs is highlighted above:

- a. Trading Entrepreneurs
- b. **Imitative Entrepreneurs**
- c. First generation Entrepreneurs
- d. Innovative Entrepreneurs

254. All but which of the following is considered to be a myth associated with entrepreneurship?

- a. Successful entrepreneurs are born not made
- b. First ventures are always successful
- c. All entrepreneurs must willingly invest significant sums of money
- d. **Successful entrepreneurs must have a break-through invention**
- e. An entrepreneur faces extraordinary business risks

255. Entrepreneurial culture and growth orientation consists of all of the following except:
- Encouraging employees to generate ideas
 - Focusing on opportunities.
 - The desire to grow at a slow and controlled pace.**
 - Being creative.
256. Entrepreneurship often takes the form of
- A semi-autonomous group (e.g. an internal venture team), operating within the overarching structure of the parent organisation.**
 - A spinout venture from a university to commercial a new invention.
 - A subsidiary of a large corporation developing a new product.
 - A semi-autonomous group operating outside the overarching structure of the parent organisation.
257. A _____ is a professional money manager who makes risk investment from a pool of equity capital to obtain a high rate of return on investments.
- venture capitalist**
 - entrepreneur
 - businessman
 - buyer
258. A business plan is important for all of the following reasons EXCEPT:
- a business plan forces a firm's founders to systematically think through each aspect of their new venture.
 - a business plan provides lenders and investors assurance that they will earn a decent return.**
 - a business plan provides an investor with something to react to.
 - a business plan is a selling document that enables a company to present itself to potential suppliers and business partners.
259. A new venture's business plan is important because _____.
- It helps to persuade others to commit funding to the venture.
 - Can help demonstrate the viability of the venture.
 - Provides a guide for business activities by defining objectives.**
 - All the above.
260. To provide financial assistance to entrepreneurs the government has set up a number of _____.
- financial advisors.
 - financial intermediaries.
 - Industrial estates.
 - financial institutions.**
261. _____ is a form of financing especially for funding high technology, high risk and Perceived high reward projects
- Fixed capital.
 - Current capital.
 - Seed capital.
 - Venture capital.**
262. _____ is a favorable set of circumstances that creates a need for a new product, service, or business.
- A niche
 - A venture
 - A trend
 - An opportunity**
263. Each of the following are ways to identify an opportunity EXCEPT:
- observing trends.
 - solving a problem.
 - trying out alternative uses of existing products.**
 - finding gaps in the marketplace.
264. Entrepreneurs can recognize problems and find ways to solve them through each of the following EXCEPT:
- recognizing problems in emerging trends.
 - identifying a currently available product or service and then building a business around a better version.**
 - framing a problem differently than it's been thought of before, and then proposing an appropriate solution.
 - experiencing a problem in one's own life, and then realizing the solution represents a business opportunity.
265. All of the following are characteristics shared by those who excel at recognizing opportunities EXCEPT:
- brainstorming.**
 - prior experience.

- c. entrepreneurial alertness. d. social contacts and ties with others.
266. All of the following are suitable questions to ascertain Product/Service Desirability EXCEPT:
- a. Does it make sense?
- b. Is the product or service financially feasible?**
- c. Is this a good time to introduce the product or service in the market?
- d. Are there any fatal flaws in the product or service's basic design or concept?
267. All of the following are characteristics of attractive industries EXCEPT:
- a. the industry is young. c. **the industry is crowded.**
- b. the industry is fragmented. d. the industry has high operating margins.
268. _____ is conducted to determine whether a proposed business has sufficient management expertise, Organizational competence, and resources to successfully launch its business.
- a. A marketing plan c. Industry/market feasibility analysis
- b. Financial feasibility analysis d. **Organizational feasibility analysis**
269. Why is the executive summary perhaps the most important section of the business plan?
- a. This section of the plan provides in-depth discussion of the major trends in the industry in which the firm intends to compete.
- b. This section of the plan summarizes the firm's key executives.
- c. If this section of the plan fails to attract an investor's interest, he or she is unlikely to read the remainder of the plan.**
- d. This section of the plan deals with the day-to-day operations of the company.
270. Which of the following might be termed a disadvantage faced by the small business?
- a. Greater flexibility c. Extreme personal commitment of the owner
- b. Greater ability to serve specialized markets** d. More personal service
271. The financial assistance to small business provided by the Small Business Administration takes the form of:
- a. direct loans c. loan guarantees
- b. guidance in locating lenders d. **assistance in filling out paperwork**
272. Key features of a well written business plan would include all of the following except:
- a. financial plan c. an analysis of the market
- b. qualifications of the owner** d. a review of the advertising firms analyzed
273. EDPs course contents contain ____.
- a. General introduction to entrepreneurs. d. **All the above**
- b. Motivation training.
- c. Managerial skills.
274. MSMEs are important for the Nation's Economy because they significantly contribute to
- a. Industrial Production d. **All of the above**
- b. Exports
- c. Employment
275. The manufacturing enterprises are defined in terms of investment in ____.
- a. Furniture c. **Plant & machinery**
- b. Stock d. None of these
276. Which of the following is not considered while selecting the region?
- a. Law and order c. Availability of raw materials
- b. Price of land** d. Proximity to the product market
277. Which one of the following is the step involved in setting up a new enterprises?
- a. Creating a business plan c. Selecting the location
- b. Making a product choice d. **Setting up infrastructure**
278. Which of the following is the key factor for choosing the type of financing?
- a. Availability of funds c. Prevailing interest rates
- b. Assets of the venture d. **All of the given options**

279. Following is not involved in EDP

- a. Identification of entrepreneurs for training
- b. Selection of entrepreneurs for training
- c. Developing entrepreneurial capabilities
- d. **Arranging infrastructural facilities**

280. The distinction between an "entrepreneur" and "small business owner" , if made, revolves around:

- a. really nothing; they are truly one and the same
- b. **the Small Business Administration definitions**
- c. whether the business is an Internet based one or not
- d. the risk taking or re-invention of a business vs. someone who "simply" starts a business or buys an existing one

281. SBA stands for:

- a. Small business accountants
- b. **Small business administration**
- c. Small business adequacy
- d. Small business advisors

282. EDPs course contents contains_____.

- a. General introduction to entrepreneurs.
- b. Motivation training.
- c. Managerial skills.
- d. **All the above**

283. The purpose of soft loan scheme is to encourage units to undertake_____.

- a. modernization of plant and machinery.
- b. replacement of plant and machinery.
- c. renovation of plant and machinery.
- d. **all the above**

284. DIC is headed by General Manager in the rank of_____.

- a. **Joint Director of industries.**
- b. Assistant Director of industries.
- c. Non-departmental officer.
- d. Departmental officer.

285. An individual who starts, creates and manages a new business can be called

- A) A leader
- B) A manager
- C) A professional
- D) An entrepreneur

Answer D

286. Which could provide an individual with the motivation to start a new business venture?

- A) The financial rewards
- B) A desire to be independent
- C) Risk taking
- D) All the above

Answer D

287. Which industrial sector promotes small-scale businesses and Entrepreneurship, and has lower barriers to market entry?

- A) Service
- B) Manufacturing
- C) Distribution
- D) Agriculture.

Answer A

288. Why are small businesses important to a country's economy?

- A) They give an outlet for entrepreneurs.
- B) They can provide specialist support to larger companies
- C) They can be innovators of new products
- D) All the above

Answer D

289. A business arrangement where one party allows another party to use a business name and sell its products or services is known as .

- A) A cooperative
- B) A franchise
- C) An owner-manager business
- D) A limited company.

Answer B

290. Which of the following is the reason for business failure .

- A) Lack of market research
- B) Poor financial control
- C) Poor management
- D) All the above

Answer D

291. A new venture's business plan is important because

- A) It helps to persuade others to commit funding to the venture
- B) Can help demonstrate the viability of the venture
- C) Provides a guide for business activities by defining objectives
- D) All the above.

Answer D

292. Decisions taken by an entrepreneur on behalf of his enterprise are known as .

- A) Organizational decisions.
- B) Personal decisions.
- C) Routine decisions.
- D) Strategic decisions

Answer A

293. Which of the list below does not form Intellectual Property?

- A) Trade marks
- B) Patents
- C) Tangible assets
- D) Copyright

Answer C

259. Which one of the following describes unemployment?

- A) The number of people who voluntarily choose not to work
- B) The number of people who are jobless and are actively seeking work
- C) The number of people who are not actively seeking work
- D) The number of people actively seeking work who find work

Answer B

260. Idea of new product is tested in potential consumers to determine consumer acceptance at stage.

- A) Concept
- B) Product development
- C) Test marketing
- D) Commercialization

Answer C

261. Which one of the following is not considered as one of the building blocks of the model entrepreneur?

- A) Technical skills
- B) Management competencies
- C) Business awareness
- D) Personal attributes

Answer C

262. Which of the following factors does the macro-environment not include?

- A) Political and regulatory factors
- B) Customer needs in a given market
- C) Social and demographic factors
- D) Technological changes

Answer B

263. An entrepreneur who owns more than one business at a time is called .

- A) An intrapreneur
- B) a corporate entrepreneur
- C) a portfolio entrepreneur
- D) None

Answer C

264. The purpose of soft loan scheme is to encourage units to undertake.

- A) Modernization of plant and machinery
- B) Replacement of plant and machinery
- C) Renovation of plant and machinery
- D) All the above

Answer D

265. Business means

- A) Commerce
- B) Industry and commerce
- C) Trade and commerce
- D) Selling and buying of goods

Answer B

266. The term Capitalization is used in relation to .

- A) Sole-proprietorship
- B) Partnership
- C) Joint stock companies
- D) Cooperative societies

Answer C

267. Business risks can be .

- A) Avoided
- B) Reduced
- C) Ignored
- D) Erased

Answer B

268. The oldest and owned by one person business organization is .

- A) Partnership.
- B) Sole proprietorship
- C) Joint stock company
- D) Co-operative undertaking

Answer B

269. A person owning and running a small firm, is known as .

- A) A manager-Owner
- B) An owner-Manager
- C) A professional adapter
- D) An enterprise worker

Answer B

270. Entrepreneurship can best be described as .

- A) A process that requires setting up a business.
- B) Taking a significant risk in a business context.
- C) Having a strong vision.
- D) A process involving innovation, new products or services, and value creation.

Answer D

271. Every entrepreneur should draw an for his project to ensure the timely completion of all activities involved in setting up an enterprise.

- A) Cost structure
- B) Implementation plan
- C) Market structure
- D) Production structure

Answer B

272. The reasons why people become an entrepreneurs

- A) They want to change the world
- B) They embrace opportunity
- C) They seek freedom and control
- D) All

Answer D

273. Of the following one is not Characteristics of successful entrepreneurs

- A) a clear vision
- B) believe in self and abilities
- C) Focus on problems rather than solutions
- D) All

Answer C

274. Of the following one is Common myth about entrepreneurs

- A) The only requirement is a good idea
- B) Launching a company quickly leads to wealth.
- C) Only money motivates employees
- D) All of the above

Answer D

275 Entrepreneurs boost economic growth by introducing innovative technologies, products, and services.

- A) True
- B) False

Answer A

276. From the entrepreneurial process Once the opportunity is identified, an entrepreneur needs to create a comprehensive_____

- A) Developing a Business Plan
- B) Resourcing
- C) Managing the company
- D) Harvesting

Answer A

277. _____is a favorable set of circumstances that create a need for a new product, service or business.

- A) Opportunity
- B) Small business
- C) Threats
- D) Strength

Answer A

278. Of the following one is Ways/Approaches to Identify an Opportunities

- A) Observation trends (Environmental trends)
- B) Solving a Problem
- C) Finding Gaps in the Marketplace
- D) All

Answer D

279. _____is the process of generating a novel or useful idea

- A) Innovation
- B) Creativity
- C) Entrepreneurship
- D) All

Answer B

280. _____is the stage during which a person considers an idea or things about problem; it is the mulling thing over phase

- A) Incubation
- B) Preparation
- C) Insight
- D) Elaboration

Answer A

281. _____ is a detailed analysis that considers all of the critical aspects of a proposed project in order to determine the likelihood of it succeeding

- A) PERT Analysis
- B) A feasibility study
- C) SWOT Analysis
- D) PESTEL Analysis

Answer B

282. Product/service feasibility analysis will be conducted to evaluate

- A) business idea is viable before spending resources on it
- B) product or service being proposed in the sense that it is what customers want and that it will have an adequate market
- C) To get the product right the first time
- D) All

Answer D

283. Of the following one is not part of feasibility analysis

- A) Industry/ market feasibility
- B) Organizational feasibility
- C) Financial feasibility
- D) None

Answer D

284. Of the following one is not elements of business plan

- A) Literature review
- B) Executive summary
- C) Financial Analysis
- D) Marketing plan

Answer A

285. _____ is a document in which a business opportunity, or a business already under way, is identified, described and analyzed, examining its technical, economic and financial feasibility.

- A) A Business Plan
- B) Marketing plan
- C) Financial plan
- D) Cost plan

Answer A

286. Of the following one is Components Of a Business Model

- A) Value proposition
- B) Key resources
- C) Key activities
- D) All of the above

Answer D

287. Tips to Creating A Successful Startup Business Mode do not include

- A) Determine your target market in advance
- B) Stick to a budget
- C) Don't be afraid to change your business model
- D) None of the above

Answer D

288. Of the following Elements of a Strong Business Mode Components

- A) Identify your specific audience
- B) Create a demand generation strategy
- C) Determine key business partners
- D) All of the above

Answer D

289. _____ is the group of founders, key employees, and advisers that move a new venture from an idea to a fully functioning firm.

- A) A new-venture team
- B) Size of the Founding Team
- C) Qualities of the Founders
- D) The Management Team and Key Employees

Answer A

290. Of the following one is responsibilities of board of directors in the business venture

- A) Appoint the firm's officers (the key managers)
- B) Declare dividends
- C) Oversee the affairs of the corporation
- D) All of the above

Answer D

291. _____ is the cost of a product or service

- A) Product
- B) Place
- C) Price
- D) Promotion

Answer C

292. The following are specific steps that an entrepreneurial organization can take to build a strong ethical culture

- A) Lead by Example
- B) Establish a Code of Conduct
- C) Implement an Ethics Training Program
- D) All of the above

Answer D

293. Types of loan that are used to replenish the working capital amount to finance the purchase of more inventories, boost output, finance credit sales to customers or take advantage of cash discounts is called_____

- A) long term loan
- B) short term loan
- C) intermediate loan
- D) unsecured loan

Answer B

294. Sources of business fund is **not** include

- A) from revenues
- B) suppliers who may extend credit
- C) loans from financial institutions
- D) None

Answer D

295. One is types of Equity Financing

- A) represents the personal investment of the owner (owners) in business
- B) It typically does not require collateral and offers the investor some form of ownership position in the venture.
- C) The investor shares in the profits of the venture, as well as any disposition of assets on a pro rate basis
- D) All

Answer D

296. It is last stage of product development, the entrepreneur after incorporating necessary amendments based on consumer suggestions and comments; it can launch full scale production activities.

- A) Prototype development
- B) Market test
- C) commercialization
- D) Idea screening

Answer C

297. One is advantages of Public Stock Sales

- A) Ability to raise large amounts of capital
- B) Improved access for future financing
- C) Improved corporate image
- D) All

Answer D

298. One is **not** the basic characteristics of the growth stages of product development include:-

- A) Customers are now familiar with the merits and demerits of the product
- B) sales volume increases very rapidly
- C) A proportional rise in profits occurs
- D) None

Answer D

299.____ Patents are granted for any new or original ornamental design for an article of manufacture

- A) Design
- B) Utility
- C) Plant
- D) All

Answer A

300. One is importance factors Differences Between Goods and Service

- A) Nature of the product
- B) Customer involvement in production
- C) Quality control problems
- D) All

Answer D

301. Types of loans provided by the Micro finance institutions include_____

- A) Loans for agriculture
- B) Loans for materials lease
- C) Loans for personal cases
- D) All

Answer D

302._____ extends protection to authors, composers, and artists, and it relates to the form of expression rather than the subject matter

- A) Copyright
- B) Patent right
- C) Design patent
- D) All

Answer A

303. _____is the ability to bring something new into existence, whether a new solution to a problem, a new method, or device or a new artistic objects or form

- A) Creativity
- B) Entrepreneurship

C) Innovation

D) All

Answer A

304. All are success factors of entrepreneurs Except

A) Uncertainty of income

D) None

B) Risk of losing entire capital

C) Long hours of hard work

Answer D

305. From the following one is **not** push factors of entrepreneurship?

A) unemployment

C) disagreement with previous work

B) community attitude

D) Opportunity to reap unlimited profit

Answer D

306.____ is one who is motivated by his/her natural talent to begin a business, this kind of entrepreneurs is very confident in their natural blessings from God.

A) Spontaneous Entrepreneur

C) Induced entrepreneurs

B) Motivated entrepreneurs

D) Pure entrepreneurs

Answer A

307. According to Definition by the Central Statistics Authority (CSA) **Business** are engaged in handicraft and informal work sectors are called.

A) Micro Enterprise

C) Informal trade organizations

B) Small trade organizations

D) Industry

Answer A

308. All are major areas of Small business **except**

A) service business

C) Whole sale business

B) retail business

D) Industry

Answer D

309. The following is common causes for failure of small business **Except**

A) Managerial incompetence/ inexperience

C) under capitalizations

B) weak control system

D) Hard working culture

Answer D

310. One is **not** problems of small business of Ethiopia?

A) Scarcity of capital

C) Inadequate infrastructure facilities

B) Limited and unequal access to institutional credit markets

D) Well facility of infrastructure

Answer D

311. Of the following one is **not** entrepreneurial traits

A) Mental ability

C) Business secrecy

B) Clear objectives

D) An ability to Develop a business plan

Answer D

312. All are Advantages of Small Scale Industries except?

A) specialized in the production of consumer commodities.

B) helps the system in scaling down the extent of unemployment as well as poverty.

C) helpful in distributing national income in more efficient and equitable manner

D) Create unbalance between supply & demand

Answer D

313. All of the following are factors that attract people to become entrepreneurs except:-

A) Opportunities

C) Profit

B) Challenges

D) None

Answer D

314 Of the following which one is not among the personality of Entrepreneurs?

A) Self-nurturing

B) Intolerance for uncertainties

C) Self-disciplines

D) intelligence

Answer B

315. The most widely used two criterion to define Small Business include:-

A) Capital and technology

C) technology and employees

B) Capital and employees

D) Capital and gender

Answer B

316. All of the following are the characteristics of the Small Business, but:-

A) owner is also the manager

C) No or few management layer

B) Capital intensive

D) Limited resource

Answer B

317. The common cause for the failure of small Businesses includes

A) unwise use of resources

C) inconvenient Personal behavior

B) Managerial incompetence

D) All of these

Answer D

318 Entrepreneurs may also engage in to in International trade. Some of the most common challenges associated with International trade include:-

A) Lack of proper information

C) Shortage of Forex

B) Lack of experiences

D) All

Answer D

319 Among the following one is the risks related with entrepreneurship?

A) financial risk

C) Psychic Risk

B) social risk

D) all are answers

320. From the following one is push factors of entrepreneurship?

A) unemployment

C) disagreement with previous work

B) community attitude

D) all

Answer D

321. ____ is a business which is independently owned and operated not dominated in its field of operation and meets certain standard of number of employee and capital.

A) micro business

C) large industry

B) Small business

D) large business

Answer B

322. ____ is based on the fact that people can be stimulated to greater creativity by meeting with others and participating in organized group experience.

A) brain storming

C) hobbies

B) vestibule training

D) new business ideas

Answer A

323. Of the following one is Importance of Financial Records of enterprises

A) To provide useful information to the users of financial reports

B) To provide information about the cash flows to which an entity is subjected

C) To disclose the obligations and economic resources of an entity

D) All

Answer D

324. _____ is a process that helps enterprises to improve their capacity by assessing and changing inefficient patterns business operation.

A) Business Analysis

C) Business Diagnosis

B) SWOT

D) PESTEL

Answer C

Answer D

325. ____ is an economic leader.

A. Manager

C. Intrapreneur

B. Entrepreneur

D. Executives.

Answer: B

326 is a catalytic agent of change.

- A. Organizer
- B. Entrepreneur
- C. Top executive
- D. Visionary.

Answer: B

327. Entrepreneur is a person or a group of persons who bears --.

- A. Risk
- B. Loss
- C. Certainty
- D. None of these.

Answer: A

328. The concept of entrepreneurship involves key elements.

- a. 6
- (b) 7
- D, 3.
- (c) 4

Answer: C

329. Entrepreneurship is a --.

- A. Person
- a. Process of action
- b. Object
- c. None

Answer: B

329. Enterprise is a --.

- A. Object
- B. Person
- C. Process of action
- D. None of these.

Answer: A

330. The reward for the entrepreneur is --.

- a. Salary
- b. Wage
- c. Profit
- d. None of these.

Answer: C

331. The willingness to face the losses arising from the uncertainties in the field of business bravely called.

- A. Risk bearing
- B. Loss
- C. Uncertainty
- D. Certainty.

Answer: A

332. Entrepreneurs are imitating the successful innovations made by other entrepreneurs.

- A. Imitating
- B. Fabian
- C. Rational
- D. Cognitive.

Answer: A

333. Entrepreneurs are shy and lazy .

- B. Drone
- C. Cognitive
- D. Fabian
- E. Trading.

Answer: C

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2) MANAGEMENT INFORMATION SYSTEM (MIS)

MULTIPLE CHOICE QUESTIONS WITH DETAILED ANSWERS

1. Data encryption concept is used for _____ purposes.

- A. data hidden
- B. data display
- C. data processing
- D. data transfer

Answer: D

2. The _____ is monitors the activities of the computer system

- A. processor.
- B. ram.
- C. rom
- D. operating system

Answer: D

3. EDI stands for:

- A. electronic data interchange
- B. electrical data interchange
- C. work flow automation software
- D. enhanced data interchange

Answer: A

4. Accounting, finance, marketing, and human resources are known as

- A. executive information systems
- B. functional business areas
- C. geographic information system
- D. local information system

Answer: B

5. Relational calculus is a

- A. procedural language.
- B. non- procedural language.
- C. data definition language.
- D. high level language.

Answer: B

6. SDLC stands for?

- A. software design life cycle
- B. software development life cycle
- C. system design life cycle
- D. system development life cycle

Answer: D

7. A combination of a MIS and DSS called _____ which helps topmanagers make decisions.

- A. gis
- B. eis
- C. epi
- D. cam

Answer: B

8. The most creative and challenging phase of system life cycle is

- A. feasibility study
- B. maintenance
- C. design
- D. none of the above

Answer: C

9. The most important feature of spiral model is

- A. requirement analysis
- B. risk management
- C. quality management
- D. configuration management.

Answer: B

10. Which of these items is a major component of today's IT infrastructure?

- A. data management technology
- B. networking
- C. technology services
- D. all of me above

Answer: D

11. A computer security protocol for logging in would be an example of the component of an information system:

- A. software
B. hardware
Answer: D
- 12. Relational calculus is a**
A. Procedural language.
B. None- Procedural language.
Answer: B
- 13. The view of total database content is**
A. Conceptual view
B. Internal view.
Answer: A
- 14. ODBC stands for**
A. Object Database Connectivity.
B. Oral Database Connectivity
Answer: D
- 15. Architecture of the database can be viewed as**
A. Two levels.
B. Four levels.
Answer: C
- 16. The database schema is written in**
A. HLL
B. DML
Answer: C
- 17. In the architecture of a database system external level is the**
A. Physical level.
B. Logical level.
Answer: D
- 18. In a Hierarchical level model records are organized as**
A. Graph.
B. List .
Answer: D
- 19. The DBMS language component which can be embedded in a program is**
A. The data definition language (DDL)
B. The data manipulation language(DML)
Answer: B
- 20. Which one of the following statement is false?**
A. The data dictionary is normally maintained by the database administrator.
B. Data elements in the database can be modified by changing the data dictionary.
C. The data dictionary contains the name and description of each data element.
D. The data dictionary is a tool used exclusively by the database administrator.
Answer: B
- 21. Key to represent relationship between tables is called**
A. Primary key
B. Secondary Key
Answer: C
- 22. The full form of DDL**
A. Dynamic Data Language
B. Detailed Data Language
- C. data
D. procedure
- C. Data definition language.
D. High level language.
- C. External view.
D. Physical view.
- C. Oracle Database Connectivity.
D. Open Database Connectivity.
- C. Three levels.
D. One level.
- C. DDL
D. DCL
- C. Conceptual level
D. View level.
- C. Links.
D. Tree.
- C. The database administrator(DBA)
D. A query language.

C. Data Definition Language

D. Data Derivation Language

Answer: C

23. Which database level is closest to the users?

A. External

B. Internal

C. Physical

D. Conceptual

Answer: A

24. Hierarchical model is also called

A. Tree structure

B. Plex Structure

C. Normalize Structure

D. Table Structure

Answer: A

25. Information system that monitor the elementary activities and transactions of the organizations are

A. Management-level system

B. Operational-level system

C. Knowledge-level system

D. Strategic level system

Answer: A

26. Information systems that monitor the elementary activities and transactions of the organizations are:

A. Management-level system

B. Operation-level system

C. Knowledge-level system

D. Strategic level system

Answer: A

27. Projections and responses to queries are information output characteristics associated with a (n)

A. DSS

B. MIS

C. ESS

D. TPS

Answer: C

28. Summary transaction data, high-volume data, and simple models are information inputs characteristic of a (n):

A. DSS

B. MIS

C. ESS

D. TPS

Answer: B

29. Which of the following individuals typically have less formal, advanced educational degrees and tend to process rather than create information?

A. Knowledge workers

B. Executives

C. System analysts

D. Data workers

Answer: D

30. Management information systems usually:

A. Serve managers interested in weekly, monthly, and yearly results, not day-to-day activities.

B. Help managers make decisions that are unique, rapidly changing, and not easily specified in advance.

C. Provide managers with a generalized computing and telecommunications capacity that can be applied to a changing array of problems.

D. Perform and record the daily routine transactions necessary to the conduct of business

Answer: A

31. Decision support systems usually:

A. Serve managers interested in weekly, monthly, and yearly results, not day-to-day activities.

B. Help managers make decisions that are unique, rapidly changing, and not easily specified in advance.

C. Provide managers with a generalized computing and telecommunications capacity that can be applied to a changing array of problems.

D. Perform and record the daily routine transactions necessary to the conduct of business.

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Answer: B

32. Identifying customers and markets using data on demographics, markets, consumer behavior, and trends is an example of a (n):

- A. Operational-level sales and marketing information system.
- B. Knowledge-level sales and marketing information system.
- C. Management-level sales and marketing information system.
- D. Strategic-level sales and marketing information system.

Answer: B

33. Deciding where to locate new production facilities is a(n) example of a manufacturing and production information system operating at the:

- A. Operational level
- B. Strategic Operational level
- C. Management level
- D. Knowledge level

Answer: D

34. Preparing short-term budgets is an example of a finance and accounting information system operating at the:

- A. Operational level
- B. Management level
- C. Knowledge level
- D. Strategic level

Answer: B

35. Tracking employee training, skills, and performance appraisals is an example of a human resource information system operating at the:

- A. Operational level
- B. Management level
- C. Knowledge level
- D. Strategic level

Answer: A

36. Assembling a product, identifying customers and hiring employees are :

- A. Transactions
- B. Phases
- C. Business processes
- D. Business functions

Answer: C

37. Which of the following is a network of facilities for procuring materials, transforming raw materials into intermediate and finished products, and distributing the finished products to customers?

- A. Production Chain
- B. Primary Chain
- C. Supply Chain
- D. Distribution Chain

Answer: C

38. Information systems can facilitate supply chain management by:

- A. Tracking the status
- B. Rapidly communicating orders
- C. Providing product specifications
- D. Doing all of the above

Answer: D

39. Enterprise systems support

- A. Manufacturing processes
- B. Financial and accounting processes
- C. Human resource processes
- D. All of the above

Answer: D

40. A computer security protocol for logging in would be an example of the ____ component of an information system.

- A. Software
- B. Hardware
- C. Data
- D. Procedure

Answer: D

41. Customer numbers and their names would be an example of the ____ component of an order

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management information system.

- A. Software
- B. Hardware
- C. Data
- D. Procedure

Answer: C

42. The quality of your _____ is a large part of the quality of your information system.

- A. Computer Thinking
- B. Time
- C. Challenges
- D. none

Answer: B

43. Which of the following is not a characteristic of good information?

- A. Interchangeability
- B. Relevance
- C. Cost effectiveness
- D. Timeliness

Answer: A

44. If you are recipients of sensitive information, such as might be overheard or contained in a misdirected email, this would not be illegal, but might be unethical to use it.

- A. Active
- B. Passive
- C. Proper
- D. Business

Answer: B

45. A human order taker can be bypassed when using a (n) _____

- A. Office automation system
- B. Management information system
- C. Transaction processing system
- D. Decision support system

Answer: C

46. Expand TPS.

- a. Technology processing systems
- b. Transfer point of sales
- c. Transaction processing systems
- d. None of the above

Answer: Transaction processing systems

47. The tools that support different stages of software development life cycle are called

- a. CAQE tool
- b. CAME tools
- c. CASE Tools
- d. CARE tools

Answer: CASE Tools

48. _____ System can be any organized combination of people, hardware, software, communications networks and data resources that collects, transforms and disseminates information in an organization

- a. Integrated
- b. Horizontal
- c. Information
- d. Vertical

Answer: Information

49. Information systems that monitor the elementary activities and transactions of the organizations are _____

- a. Operational level system
- b. Management level system
- c. Strategic level system
- d. Knowledge level system

Answer: Operational level system

50. The most creative and challenging phase of system life cycle is _____

- a. Maintenance
- b. Design
- c. Feasibility study
- d. None of the above

Answer: Design

51. Summary transaction data, high-volume data, and simple models are information inputs characteristic of _____

- a. Executive Support System (ESS)
- b. Decision Support System (DSS)
- c. Transaction Processing System (TPS)
- d. Management Information System (MIS)

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Answer: Management Information System (MIS)

52. System development is a _____.

- a. It is a development of SRS of a system
- b. Process of successive changes of system from new and changed requirement
- c. All of above
- d. None of the above

Answer: All of above

53. The advantages of creating a prototype are _____

- a. It can serve as means of communication between developers and customers
- b. It allows developers to experiment with number of different design options
- c. None of above
- d. All of above

Answer: All of above

54. Projections and responses to queries are Information output characteristics associated with

- a. Management Information System (MIS)
- b. Executive Support System (ESS)
- c. Decision Support System (DSS)
- d. Transaction Processing System (TPS)

Answer: Executive Support System (ESS)

56. ____ is an organized portfolio of formal systems for obtaining processing and delivering information in support of the business operations and management of an organization.

- a. MIS
- b. DSS
- c. MRS
- d. None of the above

Ans. A

21. EIS should offer the capability to ____ into the data.

- a. Drill down
- b. Drill up
- c. Drill diagonal
- d. All of the above

Ans. A

32. The business re-engineering requires a major change in the ____.

- a. Machine
- b. Mindset
- c. Material
- d. Infrastructure

Ans. B

44. MIS is both an area of ____ and a ____ of scholarly inquiry.

- a. Design, diagnosis
- b. Practice, discipline
- c. Evaluation, implementation
- d. None of these

Ans. A

51. The information of MIS comes from the boot _____ source.

- A. Internal
- B. External
- C. Superficial
- D. internal and external

Ans D. internal and external

52. MIS is normally found in _____ sector

- A. Service
- B. Education
- C. Manufacturing
- D. Marketing

Ans C. Manufacturing

53. Management information system usually NOT serves managers interested in _____ results.

- A. weekly
- B. monthly
- C. yearly
- D. day-to-day

Answer D. day-to-day

54. The Management Information System receives input from the _____

- A. SSL
- B. GPS
- C. TPS
- D. LMS

Answer C. TPS

56. Management information system is _____ human-machine based system.

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- A. an interpreted
- B. an interstellar

Answer C. an integrated

- C. an integrated
- D. an interdependent

57. _____ introduced the principle of competitive advantage.

- A. Peter Drucker
- B. Michael Porter

Answer B. Michael Porter

- C. Philip Kotler
- D. Henry Mintzberg

58. Information technology is the combination of computer science and _____

- A. telecommunications
- B. electronics

Answer A. telecommunications

- C. digital marketing
- D. networking

59. _____ concepts is not used in OOP concepts.

- A. polymorphism
- B. object

Answer D. code generation tools

- C. inheritance
- D. code generation tools

60. _____ is capable of taking decisions on its own.

- A. IoT
- B. AI

Answer B. AI

- C. MIS
- D. VR
- D. Personnel

C. Planning

Answer B. System

67. _____ is an important factor of a management information system.

- A. Information
- B. System

Answer B. System

- C. Planning
- D. Personnel

69. _____ introduced the principle of competitive advantage.

- A. Peter Drucker
- B. Michael Porter

Answer B. Michael Porter

- C. Philip Kotler
- D. Henry Mintzberg

70. The first step in the systems development life cycle (SDLC) is _____.

- a. Design
- b. Analysis
- c. Problem/Opportunity Identification
- d. Development and Documentation

Answer: Problem/Opportunity Identification

71 The _____ will make the automated inventory system understandable to everyone.

- a. programs
- b. statement
- c. document
- d. blocks

Answer: document

72. processing is considered as the classical method of processing data.

- a. Group
- b. Batch
- c. Sequence
- d. Real

Answer: Batch

74. The art of getting things done through people, with the people _____.

- 1. Management
- 2. System
- 3. Management Information System
- 4. Entity

Answer: Management

75. In compilation process the program is placed in the memory in the form ____

- 1. binary
- 2. octal
- 3. hexadecimal
- 4. decimal

Answer: binary

178. CASE Tool is _____.

- 1. Component Aided Software Engineering
- 2. Computer Aided Software Engineering

3. marketing
4. promoting

Answer: feedback

195. Which phase is not available in software life cycle?

1. Testing
2. Maintenance
3. Coding
4. Abstraction

Answer: Abstraction

196. EDP means ____.

1. electronic data processing
2. electronic data projection
3. electronic data process
4. electronic data predict

Answer: electronic data processing

197. The ____ information system deals with the flow of information about people working in the organization.

1. transaction
2. record
3. Personnel
4. Blocked

Answer: Personnel

198. System Development process is also called as ____.

1. System Life Cycle
2. System Development Life Cycle
3. System Process Cycle
4. None of above

Answer: System Development Life Cycle

199. SDLC stands for ____

1. Software development life cycle
2. Software design life cycle
3. System design life cycle
4. System development life cycle

Answer: Software development life cycle

200. A sequence of instructions that works together to perform a task is called a ____

1. statements
2. block
3. Program
4. grouping

Answer: Program

201. Which of the following individuals typically have less formal, advanced educational degrees and tend to process rather than create information?

1. Executives
2. System analysts
3. Knowledge workers
4. Data workers

Answer: Data workers

202. ____ is the real world object, such as a person, place etc.

1. Entity
2. Attribute
3. Records
4. All of above

Answer: Entity

203. In computer the number system of 0 and 1 is called as ____

1. hexadecimal
2. octal
3. decimal
4. binary

Answer: binary

204. Prototype is a ____.

1. Mini model of existing system
2. Working model of existing system
3. Mini model of processed system
4. None of above

Answer: Working model of existing system

205. ____ System can be any organized combination of people, hardware, software, communications networks and data resources that collects, transforms and disseminates information in an organisation

1. Integrated
2. Horizontal
3. Information
4. Vertical

Answer: Information

206. Information systems that monitor the elementary activities and transactions of the organizations are _____

- | | |
|-----------------------------|---------------------------|
| 1. Operational level system | 3. Strategic level system |
| 2. Management level system | 4. Knowledge level system |

Answer: Operational level system

207. The most creative and challenging phase of system life cycle is _____

- | | |
|----------------|----------------------|
| 1. Maintenance | 3. Feasibility study |
| 2. Design | 4. None of the above |

Answer: Design

208. Summary transaction data, high-volume data, and simple models are information inputs characteristic of ____

- | | |
|-----------------------------------|--|
| 1. Executive Support System (ESS) | 3. Transaction Processing System (TPS) |
| 2. Decision Support System (DSS) | 4. Management Information System (MIS) |

Answer: Management Information System (MIS)

209. System development is a _____.

- | | |
|---|----------------------|
| 1. It is a development of SRS of a system | 3. All of above |
| 2. Process of successive changes of system from new and changed requirement | 4. None of the above |

Answer: All of above

210. The advantages of creating a prototype are _____

- | | |
|---|-----------------|
| 1. It can serve as means of communication between developers and customers | |
| 2. It allows developers to experiment with number of different design options | |
| 3. None of above | 4. All of above |

Answer: All of above

211. Projections and responses to queries are Information output characteristics associated with____

- | | |
|--|--|
| 1. Management Information System (MIS) | 3. Decision Support System (DSS) |
| 2. Executive Support System (ESS) | 4. Transaction Processing System (TPS) |

Answer: Executive Support System (ESS)

212. Anis a set of processes and procedures that transform data into information and knowledge.

- | | |
|-----------------------|--------------------|
| A) information system | C) Database system |
| B) Knowledge system | D) Computer system |

Answer: A

213. A system is called when the inputs, process and the outputs are known with certainty.

- | | |
|-------------------|----------|
| A) Probabilistics | C) Open |
| B) Deterministic | D) Close |

Answer: B

214. Which of the following steps is/are the implementation plans involved in MIS?

i) Preparing Organizational plans ii) Planning of work flow iii) Training of personnel
iv) Development of software v) Acquiring computer hardware

- | | |
|---------------------------|-----------------------------|
| A) i, ii and iii only | C) i, ii, iv and v only |
| B) i, ii, iii and iv only | D) All i, ii, iii, iv and v |

Answer: D

215. Which of the following is included in the Office automation systems?

i) Word processing ii) Electronic mail iii) Voice mail iv) Electronic calendaring
v) Audio conferencing

- | | |
|---------------------------|-----------------------------|
| A) i, ii, iii and v only | C) i, ii, iv and v only |
| B) i, ii, iii and iv only | D) All i, ii, iii, iv and v |

Answer: D

216. In a typical network, application processing is shared between clients and one more servers.

- | | |
|----------------------------|---------------------|
| A) client server computing | C) mobile computing |
| B) cloud computing | D) data computing |

Answer: A

217. The is defined as a set of activities performed across the organization creating as output of value to the customer.

- A) development process
- B) business process
- C) quality process
- D) customer focus

Answer: B

218. Which of the following is NOT an objective of MIS?

- A) Facilitate the decisions-making process
- B) Provide requisite information at each level of management
- C) Support decision-making
- D) recruit people for system

Answer: D

219. In MIS system design, the sources of information may be categorized as ... and ..

- A) internal, external
- B) personal, Organizational
- C) useful, unuseful
- D) constructive, destructive

Answer: A

220. What among the following are the primary characteristics that information must process?

- A) Relevance
- B) Availability
- C) Timeliness
- D) Accuracy

Answer: A

221. Which of the following models are developed on the principles of business management, accounting and econometrics?

- A) Behavioral model
- B) Management science models
- C) Operations research models
- D) Policy making models

Answer: B

222-The information of MIS comes from the

- a. Internal source
- b. External source
- c. Both internal and external source
- d. None of the above

(Ans: c)

223-The back bone of any organization is

- a. information
- b. employee
- c. management
- d. capital

(Ans: a)

224-AI is the short form of

- a. Artificial information
- b. Artificial intelligence
- c. Artificial integration
- d. None of the above

(Ans: b)

225-The advantage(s) of transistors are they

- a. Are portable
- b. Are more reliable
- c. Consume less power
- d. All of the above

(Ans: d)

226-The flow of information through MIS is

- a. need dependent
- b. organisation dependent
- c. information dependent
- d. management dependent

(Ans: a)

227-The basic component(s) of DSS is (are)

- a. Database
- b. Model base
- c. DSS software system
- d. All of the above

(Ans: d)

228-GDSS is the short form of

- a. Group Decision Support System
- b. Group Discussion Support System

(Ans: a)

229. Decision trees could be represented in different ways such as

- a. Bottom to top
- b. Left to right
- c. Top to bottom
- d. All of the above

(Ans: d)

230-The types of data transmission modes are

- a. Half duplex. , Duplex. , Singlex
- b. Half duplex. , Duplex. , Simplex
- c. Half duplex. , Duplex. , Half Singlex
- d. Singlex, duplex, half triplex

(Ans: b)

231-The elements of control will consist of

- a. Authority, Direction, Management
- b. Authority, Direction, Information
- c. Authority, Application, Management
- d. Authority, Application, Information

(Ans: a)

232-Internal information for MIS may come from any one of the following department.

- a. Customers care department
- b. HR department
- c. Marketing department
- d. Production department

(Ans: a)

233-Audit gives details about _____ to Account Payable System

- a. Account balance
- b. Transaction
- c. Expenditure
- d. All of the above

(Ans: a)

234-One byte is made of

- a. Four bits
- b. Eight bits
- c. Twelve bits
- d. Sixteen bits

(Ans: b)

235-MIS normally found in a manufacturing organization will not be suitable in the _____.

- a. Service sector
- b. Banking sector
- c. Agriculture sector
- d. All of the above

(Ans: a)

236.____details are given by Management to Marketing Service System.

- a. Customer
- b. Employee
- c. Supplier
- d. None of the above

(Ans: c)

237 Using computers to monitor the activities of workers

- (A) human factors
- (B) computer
- (C) human factors
- (D) computer monitoring

Answer D - computer monitoring

238 A network of online business partners who form an organization to take advantage of business opportunities

- (A) virtual companies
- (B) virtual communities
- (C) supply chain management
- (D) supply chain

Ans: A virtual companies

239 Applications in cognitive science, robotics, and natural interfaces

- (A) artificial intelligence application area
- (B) robotics
- (C) virtual reality
- (D) geographical information system

Ans: A artificial intelligence application area

240 Provide adhoc, interactive for decision making

- (A) decision support systems
- (B) management information system
- (C) management support systems
- (D) enterprise collaboration systems

Ans: A decision support systems

246. Management information systems (MIS)

1. create and share documents that support day-to-day office activities
2. process business transactions (e.g., time cards, payments, orders, etc.)
3. capture and reproduce the knowledge of an expert problem solver

4. use the transaction data to produce information needed by managers to run the business

5. none of the above

247 The term used to describe those people whose jobs involve sponsoring and funding the project to develop, operate, and maintain the information system is

1. information worker
2. internal system user
3. systems owner
4. external system user
5. systems builder

3. systems owner

248. The person who ensures that systems are developed on time, within budget, and with acceptable quality is a

1. systems designer
2. project manager
3. systems owner
4. external system user
5. systems builder

2. project manager

3. systems owner

249. Which one of the following is not a business driver for an information system?

1. business process redesign
2. knowledge asset management
3. proliferation of networks and the Internet
4. security and privacy
5. collaboration and partnership

3. proliferation of networks and the Internet

250 If a university sets up a web-based information system that faculty could access to record student grades and to advise students, that would be an example of a/an

1. CRM
2. intranet
3. ERP
4. extranet
5. none of the above

2. intranet

251 Which of the following is not a technology driver for an information system?

1. enterprise applications
2. object technologies
3. knowledge asset management
4. collaborative technologies
5. networks and the Internet

3. knowledge asset management

252 Which of the following is a deliverable of the system implementation phase in a formal system development process?

1. technical hardware and software solution for the business problem
2. business problem statement
3. statement of the system users' business requirements
4. technical blueprint and specifications for a solution that fulfills the business requirements
5. none of the above

253. Decision makers who are concerned with tactical (short-term) operational problems and decision making are

1. middle managers
2. executive managers
3. supervisors
4. mobile managers
5. none of the above

1. middle managers

254. The general transformation cycle for information is:

1. information to data to knowledge.
2. knowledge to data to information.
3. data to knowledge to information.
4. data to information to knowledge.
5. none of the above.

4. data to information to knowledge.

255 The most important attribute of information quality that a manager requires is:

1. relevance.
2. media.
3. presentation.
4. timeliness.
5. none of the above.

256. To improve the performance of a business process, which of the following is most relevant?

1. Input.
2. Processing.
3. All of the above.
4. Control and feedback

5. Output.

257. Monitoring the legal constraints which a company operates under requires review of:

1. a company's customers.
2. a company's outputs.
3. a company's macro-environment.
4. a company's micro-environment.
5. all of the above.

3. a company's macro-environment.

258. The majority of publically available Internet information sources are:

1. created in XML.
2. structured information.
3. normal information.
4. **unstructured information.**
5. none of the above.

260. Which of the following should be represented on an information flow diagram?

1. Entity
2. **Source**
3. Process
4. Attribute
5. Database

261. A web blueprint depicts:

1. the layout of an individual web page
2. the layout of the home page
3. the layout of an index page
4. **the layout of a website**
5. the layout of a sitemap

262. UML depicts information systems as a collection of:

1. Entities
2. Processes
3. Data
4. Information
5. **Objects**

263. Which of the following statements describes a taxonomy?

1. **A browsable hierarchy**
2. A list of equivalent terms
3. A complex controlled vocabulary showing relationships

264. Which of the following statements about XML schemas is incorrect?

1. Schemas can specify integer values
2. Schemas are defined by XSD tag
3. **All XML documents must have a schema**
4. Schemas provide data oriented data types
5. They offer more flexibility than DTDs

265. Which of the following relates to enterprise interoperability?

1. DFD
2. Information flow diagram
3. **XML**
4. Entity relationship diagram

266. Which of the following is not a type of navigation system for a web site?

1. National
2. Global
3. Contextual
4. Local
5. **Regional**

267. What should not be part of an acceptable use policy?

1. Allowable use of systems
2. Legal obligations
3. **Encryption policies**
4. User responsibilities
5. Account and password responsibilities

268. Use-case analysis focuses upon:

1. data
2. Objects
3. Entities
4. **Actors**

269 Which of the following is part of a static view of information?

1. Logical data model
2. Meta data
3. **Data flow model**
4. Information process model

270. Contemporary Information Systems are interfacing with customers and suppliers using :

1. BPR
2. CRM
3. SCM
4. Both A and B
5. **Both B and C**

271. Information systems that support the business functions that reach out to suppliers are known as:

1. **back office information systems**
2. decision support systems

3. expert information systems

4. front office information systems

272. ____ is an organized portfolio of formal systems for obtaining processing and delivering information in support of the business operations and management of an organisation.

a. MIS

c. MRS

b. DSS

d. None of the above

Ans. A

273. ____ expressly designed for the support of individual and collective decision-making.

a. MIS

c. TPS

b. DSS

d. OIS

Ans. B

274. ____ are formal social units devoted to the attainment of specific goals.

a. Management

c. Decision support system

b. Organisation

d. None of these

Ans. B

276. The cost of information can be ____.

a. Costly

c. Processing

b. Valuable

d. None of the above

Ans. B

277. ____ technology includes computers hardware, software, database management systems, and data communication system.

a. Information

c. Marketing

b. Computer

d. All of the above

Ans. A

280. Management, science, also known as ____, is a field of applied mathematics.

a. Operations research

c. Exchange commission

b. Management accounting

d. System theory

Ans. A

282. ____ can occur at the individual, group, Organizational or extra-Organizational level.

a. Planning

c. Organizing

b. Controlling

d. Scheduling

Ans. A

284. ____ ensuring that performance meets established standards that worker's activities occur as planned and that the organization process.

a. Controlling

c. Leading

b. Planning

d. Organizing

Ans. A

285. ____ is the process of recording, classifying, and summarizing the financial activities of an organization.

a. Planning

c. Accounting

b. Managerial

d. Diagnosis

Ans. C

286. Humans and computers are ____ in their ability to filter and save information.

a. Similar

c. Complementary

b. Different

d. None of the above

Ans. C

287. EDI is an example of ____.

a. Decision-making

c. Coordination

b. Boundary system

d. Modeling

Ans. B

288. Telecommunications means multiple computers interconnected into networks is called ____.

- a. Distributed database
- b. Distributed processing
- c. Central processing
- d. None of the above

Ans. B

289. Newspaper, magazine, radio, television are examples of ____.

- a. Storing information
- b. Retrieving information
- c. Communication information
- d. Acquiring information

Ans. d

290. MRS stands for ____.

- a. Management reporting system
- b. Management resource system
- c. Management retrieves system
- d. None of the above

Ans. A

292. A ____ strategy seeks to achieve competitive advantages by allowing the business unit to make more profit than its competitors.

- a. Focus
- b. Cost leadership
- c. Linkage
- d. Information leadership

Ans. B

295. ____ is a feature provided for ensuring that the transaction is completed with regard to the business rules set by the management.

- a. Advocacy
- b. Authorization
- c. Signature
- d. Policy formulation

Ans. B

296. The architecture of the MIS plan provides:

- a. A way to handle the system or subsystem by way of simplification, coupling, and decoupling of subsystems.
- b. For preparing the schedule of the system in the overall information requirement
- c. Online information on the stocks markets and the accounts balance
- d. None of these

Ans. A

297. Michael hammer defines re-engineer as ____ and radical redesign of business process to achieve the performance such as cost, quality, service, and speed.

- a. Business process
- b. The fundamental rethinking
- c. Organization restructuring
- d. None of the above

Ans. b

298. The ____ calls for trimming and chopping of these designs so that the cost is reduced, service is improved and the customer gets the higher value at a higher speed.

- a. Business process
- b. Radical redesign
- c. The fundamental rethinking
- d. None of these

Ans. B

300. A ____ process in any area of the business organization performs basic steps such as, receive input, measuring, analyzing, documenting, performing, process, record/storing, access, produce, and communicating.

- a. Value
- b. Decision making
- c. Business
- d. Re-engineering

Ans. C

301. A ____ is a measure, an intangible measure, which is difficult to count in clear terms.

- a. Model
- b. Business
- c. Value
- d. Organisation

Ans. C

304. ____ is the process of identifying a problem, developing alternative solutions, and choosing and implementing.

- a. Decision-making
- b. Business

Ans. A

305. Decision-making is a ____ activity.

- a. Intuitive
- b. Cognitive

Ans. b

306. A ____ decision maker approaches a problem by structuring it and applying a well-defined method to lead to a solution.

- a. Intuitive
- b. Systematic

Ans. B

307. ____ systems are interactive information systems that assist a decision-maker in approaching ill-structured problems by offering analytical models and access to database.

- a. Decision making
- b. Systematic

Ans. d

308. The components of DSS –

- a. Data management subsystems
- b. Model management sub-system

Ans. D

309. ____ systems help to analyze historical and current data either on-demand or periodically.

- a. Data access system
- b. Data analysis system

Ans. B

310. A ____ is the actual system that a manager works with during the decision process.

- a. Specific DSS
- b. DSS generators

Ans. A

312. ____ processing involves duplicating, sorting, and filling data. ____ processing with electronic scanners involves transforming and entering the data into an electronic form.

- a. Manual, electronic
- b. Electronic, manual

Ans. a

313. ____, ____, and society need to use a variety of systems to organize the collection, storage, processing, retrieval, and communication of information.

- a. Management, society
- b. Communicating, organisations

Ans. C

315. The first electronic computer, ____ was completed in 1946 at the university of ____.

- a. ENIAC, Pennsylvania
- b. UNIVAC, Pennsylvania

Ans. A

317. ____ managers who act as project managers might be responsible for one or more unique projects and ____ managers supervise teams of workers who must accomplish a specific goal.

- a. Middle, project
- b. Project, middle

Ans. A

- c. Value
- d. Re-engineering

- c. Systematic
- d. Analytic

- c. Cognitive
- d. All the above

- c. Cognitive
- d. Decision support systems

- c. Dialog management sub-system
- d. All of the above

- c. Forecast-oriented data analysis system
- d. System based on accounting models

- c. DSS tools
- d. None of the above

- c. Transforming
- d. None of the above

- c. Individuals, organisations
- d. None of these

- c. ENIAC, Charles Babbage
- d. None of the above

- c. Top, middle
- d. Top, project

318. ____ refers to taking actions that direct and motivate employees to accomplish personal and Organizational goals. ____ establishing a formal reporting structure and a system of accountability among workers.

- a. Organizing, leading
- b. Planning, controlling
- c. Leading, organizing
- d. None of the above

Ans. C

319. Operations can encompass ____.

- a. Only manufacturing
- b. Manufacturing and the provision of services
- c. Services only
- d. Nonprofit organisations

Ans. B

320. ____ refers to the deployment, development, assessment, rewarding, and management of individual Organizational members and worker groups. ____ is the management of raw materials, partially completed goods service.

- a. Inventory control, HRM
- b. Human resource management, Inventory control
- c. Capacity planning, Human resource planning
- d. None of the above

Ans. B

321 The value chain model:

- A) categorizes five related advantages for adding value to a firm's products or services.
- B) sees the supply chain as the primary activity for adding value.
- C) categorizes four basic strategies a firm can use to enhance its value chain.
- D) highlights specific activities in the business where competitive strategies can best be applied.
- E) enables more effective product differentiation.

ANSWER: D

322. Which of the following represent the primary activities of a firm?

- A) Inbound logistics, operations, outbound logistics, sales and marketing, and service
- B) Inbound logistics, operations, outbound logistics, technology, and service
- C) Procurement, inbound logistics, operations, technology, and outbound logistics
- D) Procurement, operations, technology, sales and marketing, and services
- E) Organization infrastructure, human resources, technology, and procurement

ANSWER: A

323. Information systems can be used at the industry level to achieve strategic advantage by:

- A) building industry wide, IT-supported consortia, symposia, and communications networks.
- B) raising the bargaining power of suppliers.
- C) encouraging the entry of new competitors.
- D) enforcing standards that reduce the differences between competitors.
- E) decreasing switching costs.

ANSWER: A

325. Information systems enhance core competencies by:

- A) providing better reporting facilities.
- B) creating educational opportunities for management.
- C) allowing operational employees to interact with management.
- D) encouraging the sharing of knowledge across business units.
- E) fostering synergies among departments.

ANSWER: D

327. A virtual company:

- a) Affect every aspect of a business.
- b) Enable identification of business opportunities and new strategies.
- c) Can be used to combat business challenges from competitors.
- d) Enable business challenges and new strategies.

ANSWER: E

329. Answering the following questions will help management understand Organizational strategy, except:

- A) What are the important structures and reporting relationships within the organisation?
- B) Who holds the financial rights to critical decisions?
- C) What are the key business processes?
- D) What control systems are in place?
- E) What is the culture of the organization?

ANSWER: B

330. Which one of the following is not a factor for consideration in IT/IS outsourcing?

- A) Focusing management's attention on non-core activities.
- B) Helping a company transition to new technologies.
- C) Gaining access to larger pools of talent with more current
- D) Cost reduction achieved through economies of scale. E) Helping to implement new technologies

ANSWER: A

331. A collection of hardware, software, data, people, & telecommunications networks that interact with one another to capture, process, store, & disseminate information.

- A. Management
- B. Decision support system
- C. Management Information System
- D. Operation management

Answer: C

332. _____ is an organized relationship among functioning units or components.

- A. System
- B. Leadership
- C. Operation
- D. Process

Answer: A

333. Which of the following is not true

- A. A system may have one or more input and outputs
- B. Boundary of the system defines the limits of the system
- C. Each subsystem is delineated by its boundaries
- D. A system may only have one input and outputs

Answer: D

334. The boundary of the system defines

- A. Limits of the systems
- B. Outside environment
- C. The internal environment
- D. The company

Answer: A

335. The following key element must be considered to construct a system **except**

- A. Output
- B. Product
- C. Feedback
- D. Environment

Answer: B

336. A major objective of a system is

- A. To produce an output that has a value to its user
- B. Involves the actual transformation of input into output
- C. Enable the processor to handle transformation
- D. Procedure to do activities

Answer: A

337. _____ is the supra-system that operates within an organization.

- A. System
- B. Environment
- C. Technology
- D. Process

Answer: B

338. Which of the following is not characteristics of a system

- A. Are goal seeking
- B. Have sequence
- C. Exhibit entropy
- D. Form a hierarchy

Answer: B

339. One of the following is not components of information system.

- A. People
- B. Hardware
- C. Software
- D. Environment

Answer: D

340. The people resource includes the following except

- A. End users
- B. Customer
- C. Non user
- D. IS specialists

Answer: B

341. Telecommunication technologies and networks like the internet, intranets, and extranets have become essential to

- A. Electronic business and commerce operations of all types
- B. Manual operations
- C. Paper based tasks
- D. Office work

Answer: A

342. Network resources includes the following except

- A. Communication media
- B. Network support

C. People

D. Cables

Answer: C

343. The basic information processing activities that take place in information system include

A. Studying the organization

C. Leadership

B. Managing tasks

D. Input of data resources

Answer: D

344. It is useful to think information as having the dimensions of the following except

A. Time

B. Performance

C. Form

D. Content

Answer: B

345. Information should be provided in a form that is easy to understand

A. Clarity

B. Detailed

C. Presentation

D. Order

Answer: A

346. Operations support system includes

A. Management Information System

C. Executive Information System

B. Decision Support System

D. Transaction Processing System

Answer: D

347. Management support system includes the following except

A. Process Control System

C. Enterprise collaboration system

B. Executive Information System

D. Transaction processing system

Answer: B

348. Record and process data resulting from business transactions.

A. Decision Support System

C. Transaction processing system

B. Process Control System

D. Management Information System

Answer: C

349. _____ provide managerial end users with information products that support much of their day-to-day decision-making needs.

A. MIS

B. TPS

C. DSS

D. EIS

Answer: A

350. One of the following is an area of computer science whose long-range goal is to develop computers that can think, as well as see, hear, walk, talk, and feel.

A. Knowledge management systems

C. Knowledge System

B. Business information systems.

D. Artificial intelligence

Answer: D

351. Many companies become knowledge creating companies or learning organizations in order to survive and flourish in a rapidly changing business environment.

A. Decision Support System

C. Knowledge System

B. Knowledge management systems

D. Process Control System

Answer: B

352. The strategic role of information systems involves using information technology to

A. Develop products, services, and capabilities that give a company strategic advantages

B. Reduce a competitive advantage

D. Influence environmental factor

C. Decrease performance

Answer: A

353. An integrated collection of logically related objects records.

A. Data type

B. Record

C. Database

D. Field

Answer: C

354. Which of the following databases store detailed data needed to support the business processes and operations of business enterprises.

- A. Analytical B. Data warehouse C. Distributed D. Operational

Answer: D

355. Limitations of Database management includes the following except

- A. Increase integrity C. Centralized data bases errors frond, and failures
B. Difficulty and cost of installing D. Decentralized database inconsistency

Answer: A

356. One of the following is benefit of Database management

- A. Disconnect data C. Decreases security of data
B. Reduces duplication of data D. Increase duplication of data

Answer: B

357. Managerial consideration for data resource management includes the following except

- A. Set procedure for data retention C. Distribute hardware
B. Prepare strategic and technical database plans D. Set and enforce procedure for standard

Answer: C

358. One of the following is not true about telecommunications

- A. Better business communication C. Instant transactions
B. Better distribution of data D. Slow down companies work

Answer: D

359. Pervasive telecommunications uses includes the following except

- A. Video conferencing B. Computer C. Mail D. Web-based electronic commerce

Answer: B

360. _____ is any transfer of data within a computer, between a computer and another device, or between two computers.

- A. Data communications B. Network C. Media D. Internet

Answer: A

361. Which of the following is high-frequency radio wave with a short wavelength.

- A. Twisted pair cables C. Microwaves
B. Satellite link D. Optical fiber

Answer: C

362. Which signals transmit voice communications?

- A. Digital B. Modem C. Software D. Analog

Answer: D

363. One of the following is a combination of devices or connected to each other through one of the communication channels.

- A. Network B. Communication C. Signal D. Internet

Answer: A

364. A computer network within a building, or a campus of adjacent buildings, is called

- A. City wide area network C. Metropolitan area network
B. Local area network D. Wide area network

Answer: B

365. In _____ topology all nodes connect to one central device.

- A. Ring B. Mesh C. Star D. Hybrid

Answer: C

366. Which of the following is disadvantage of computer network?

- A. Sharing information C. Sharing HW&SW
B. Centralized administration D. Expensive to install

Answer: D

367. Which of the following is STP advantage?

- A. It is a familiar technology B. Expensive and easy to install

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- C. Most LAN systems are running over UTP D. It require bonding & grounding

Answer: A

368. Each computer or device connected to a network must have

- A. Hardware C. Cable
B. Network interface card D. Software

Answer: B

369. One of the following is a network that uses web technologies to serve an organisation's employees who are located in several sites that are many miles apart from each other.

- A. Internet B. Extranet C. Intranet D. Network

Answer: C

370. _____ are applications designed to improve workflow and communicate among workers regardless of their physical locations.

- A. Decision Support system C. Expert system
B. Management information system D. Office Automation System

Answer: D

371. One of the following is not the use of ICT in business

- A. Enhanced productivity C. Increase costs
B. Encouraged greater customer participation D. Enabled mass customization

Answer: C

372. Which of the following refers to a wide range of online business activities for products and services.

- A. E-commerce C. E-business
B. Information Communication Technology D. Information Technology

Answer: A

373. The type of ecommerce that deals with relationships between and among businesses.

- A. B2C e-commerce C. B2G e-commerce
B. B2B e-commerce D. C2C e-commerce

Answer: B

374. B2C e-commerce reduces transactions costs by the following point except

- A. Increasing consumer access to information C. Reduces market entry barriers
B. Allowing consumers to find most competitive price for a product or service D. Increase market entry barriers

Answer: D

375. One of the following is not forces affecting e-commerce

- A. Economic forces C. Customer force
B. Market forces D. Technology forces

Answer: C

376. Which of the following is not true about the Importance of e-commerce for business

- A. E-commerce decreases profit D. E-commerce makes “mass customization” possible
B. E-commerce serves as an “equalizer”
C. E-commerce allows “network production”

Answer: A

377. The following are current issues in information technology except

- A. Security C. Teaching and Learning with Technology
B. Performance D. Adaptability and Responsiveness

Answer: B

378. Application of information technology includes the following except

- A. E-Judiciary C. E-Legislature
B. E-Security D. E-Manufacture

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Answer: D

379. Common application areas of information technology

- A. Decision support system
- B. Enterprise collaboration systems
- C. Idea creation
- D. Process control systems

Answer: C

380. The planning, organizing, motivating, controlling of people, processes and systems in organization to ensure that its knowledge-related assets are improved and employed.

- A. Knowledge management
- B. Management
- C. Strategies
- D. Knowledge related assets

Answer: A

381. Knowledge-related assets include the following except one

- A. Patents and manuals
- B. Competitors data
- C. Knowledge stored in electronic repositories
- D. Knowledge that is held by teams

Answer: B

382. Why do we need knowledge management?

- A. Marketplaces are not competitive
- B. Rate of innovation is decreasing
- C. Competitive pressures increases the size of the work force
- D. Time available to experience and acquire knowledge has diminished

Answer: D

383. One of the following is not multidisciplinary Nature of KM

- A. Organizational science
- B. Sport science
- C. Information technologies
- D. Technical writing and journalism

Answer: B

384. Content that is directly observable or verifiable fact is called

- A. Information
- B. Knowledge
- C. Data
- D. Wisdom

Answer: C

385. KM Important today for the following reason except

- A. Decreases performance
- B. Globalization of business
- C. Technological advances
- D. Leaner organisations

Answer: A

386. Which of the following is not common controls to protect computers from risks

- A. Data entry controls
- B. Making free entry
- C. Backup
- D. Access controls

Answer: B

387. One of the following is not generic strategies for dealing with competitive forces, enabled by using IT.

- A. Product differentiation
- B. Focus on market niche
- C. High-cost leadership
- D. Strengthen customer and supplier intimacy

Answer: C

388. Emphasizes mathematically based models to study information systems, as well as the physical, technology and formal capabilities of these systems.

- A. Behavioral approach
- B. Sociotechnical view
- C. Sociotechnical systems
- D. Technical approach

Answer: D

389. Single set of hardware, software, databases, telecommunications, people, & procedures configured to collect, manipulate, store, & process data into information.

- A. Computer-based information system
- B. Business information system
- C. Decision support system
- D. Executive system

Answer: A

390. What makes computer powerful?

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- A. Its Accuracy
- B. Its minimum storage
- C. Its slow communication
- D. Its unreliability

Answer: A

391. Which of the following HW component is used to insert data/instruction to the computer?

- A. Output device
- B. Input device
- C. Monitor
- D. System unit

Answer: B

392. _____ is written at later date & provide some discussion, analysis or interpretation of the original primary sources.

- A. Secondary sources
- B. Primary source
- C. Tertiary sources
- D. Documentary source

Answer: A

393. Part of the computer that controls the operation of other component of the compute.

- A. Control unit
- B. ALU
- C. CPU register
- D. Memory

Answer: A

394. Programs used to operate and manipulate computers and their peripheral devices.

- A. Hardware
- B. Software
- C. Technology
- D. Management

Answer: B

395. One of the following is software that permits an organisation to centralize data, manage them efficiently & provide access to stored data by application programs.

- A. Data
- B. Database
- C. Database management system
- D. Knowledge system

Answer: C

396. Which of the following is more suitable for creating and manipulating lists and for combining information from different files.

- A. Traditional file organization
- B. Data management packages
- C. Database technology
- D. Data management software

Answer: D

397. The following are components of Database Management System except

- A. Data definition language
- B. Data manipulation language
- C. Metadata
- D. Data dictionary

Answer: C

398. Logical database model that organizes data in a treelike structure.

- A. Hierarchical DBMS
- B. Relational DBMS
- C. Network DBMS
- D. Object Oriented DBMS

Answer: A

399. Private intranets that are extended to authorized users outside the company.

- A. Intranet
- B. Extranet
- C. internet
- D. Web browser

Answer: B

400. What is a functional unit?

- A. Activities
- B. Individual operating entity which can include departments, centers, and divisions
- C. Operations
- D. Tasks

Answer: B

401. One of the following manages human resource functions.

- A. HRM
- B. MIS
- C. DSS
- D. DBMS

Answer: A

402. Financial and Accounting Management includes the following except

- A. Budgeting
- B. Forecasting
- C. Financial reports
- D. Planning

Answer: D

403. One of the following uses computers to test product designs.

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- A. Operation management
- B. Operation research

- C. Computer-aided engineering (CAE)
- D. Technology

Answer: C

404. Which of the following is not true about Material Requirements Planning?

- A. Focuses on implementation of planning
- B. Focuses on inventory of part
- C. Uses software to monitor and control production process
- D. Manufacturing Resource Planning

Answer: A

405. What is a marketing information system?

- A. Decide where to locate facilities
- B. Central repository for marketing tasks
- C. Decide number, schedule of products
- D. Design new product

Answer: B

406. The following are points of customer relationship management except

- A. Manages information about customers
- B. Interactions with customers, past purchases, and interests
- C. Tracks ongoing correspondence with customer
- D. Tracks production process

Answer: D

407. We can Manages interactions with customers through the following except one

- A. Telephone calls
- B. Web interactions
- C. Other client
- D. Instant Messaging Sessions

Answer: C

408. Who should not Participates in the System Development?

- A. Non user
- B. Network engineer
- C. System analyst
- D. Vendors

Answer: A

409. One of the following is used by project leaders to plan, schedule, and control project.

- A. Project management
- B. Program (Microsoft Project)
- C. Software
- D. Hardware

Answer: B

410. Measure of how suitable system development will be to the company

- A. Feasibility study
- B. Operation schedule
- C. Quality
- D. Product life cycle

Answer: A

411. One of the following is true about documentation.

- A. It's a raw fact or figures
- B. Does not provide full information
- C. Its collection and summarization of data and information
- D. It does not contain all information about single project

Answer: C

412. One of the following is not data and information gathering techniques

- A. Observation
- B. Questionnaire
- C. Joint-application
- D. Write documentation

Answer: D

413. The followings are the reasons to create or modify an information system except

- A. To correct problem in existing system
- B. Competition can lead to change
- C. To reduce performance of existing system
- D. Outside group may mandate change

Answer: C

414. Which of the following is the correct phases of system development cycle?

- A. Support→Implementation→Design→Analysis→Planning
- B. Planning→ Analysis→ Design→ Implementation→ Support
- C. Analysis→ Design→ Planning→ Implementation→ Support

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D. Design→ Implementation→ Support→ Planning→ Analysis

Answer: B

415. Software tools providing automated support for systems development

- A. CASE Tools
- B. Rapid application development
- C. Agile method
- D. Traditional view

Answer: A

416. The procedures to follow when decision is needed can be specified in advance

- A. Structured
- B. Unstructured
- C. Semi-structured
- D. Tactical

Answer: A

417. Which of the following is the manner in which work is organized, coordinated, and focused to produce a valuable product or service?

- A. Management
- B. Business operation
- C. Business processes
- D. Information Systems

Answer: C

418. Examples of business processes includes the following except

- A. Manufacturing and production
- B. Human resources
- C. Sales and marketing
- D. Knowledge management

Answer: D

419. Management information system output is

- A. Data
- B. Summary report
- C. Information
- D. Knowledge

Answer: B

420. One of the following is a field of science and technology that can simulate the ability to think.

- A. Artificial intelligence
- B. Expert system
- C. Information technology
- D. Adaptive Learning Systems

Answer: A

421. Benefits of Enterprise Systems includes the following except

- A. Help to unify the firm's structure and organisation
- B. Efficient operations & customer-driven business processes
- C. Unified platform of technology
- D. Require complex pieces of software

Answer: D

422. Close linkage and coordination of activities involved in buying, making, and moving a product

- A. Logistics
- B. Supply chain management
- C. Customer relationship management
- D. Management information system

Answer: B

423. One of the following is not important dimensions of knowledge

- A. Knowledge is a firm asset
- B. Knowledge has different forms
- C. Knowledge is not situational
- D. Knowledge has a location

Answer: C

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3) STRATEGIC MANAGEMENT

PART I. MULTIPLE CHOICE QUESTIONS WITH DETAILED ANSWERS

1. Strategy is _____.
A. Completely Proactive & Completely Reactive
B. Partly Proactive & Partly Reactive
C. Neither Proactive nor Reactive
D. Proactive Only
Answer: B
2. Strategic management is an important part of any business which helps with _____ formulation and business decisions.
A. Strategy
B. Tactics
C. Procedure
D. Marketing
Answer: A
3. Which of the following is not part of the micro environment?
A. Technology
B. Shareholders
C. Competitors
D. Publics
Answer: A

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4. An organisation can offer standard products at acceptable levels of quality, yet still generate above-average profit margin by adopting _____
- A. Differentiation
 - B. Focus strategy
 - C. Cost leadership
 - D. Market follower strategy

Answer :C

5. SMART objectives are:
- A. Simple, measurable, actionable, realistic, time-bound
 - B. Suitable, marketable, artistic, realistic, targetable
 - C. Serious, meant-to-be, assiduous, realistic, targetable
 - D. Being Discipline

Answer :A

6. What are the three key pillars of marketing strategy?
- A. Research & Development, segmentation, positioning
 - B. Segmentation, targeting, positioning
 - C. Targeting, Research & Development, distribution
 - D. Outdoor Marketing

Answer :B

7. When all customers have the same preferences, marketing strategy is classified as:
- A. Mass marketing
 - B. Niche marketing
 - C. Individual marketing
 - D. Profitability marketing

Answer :A

8. What is the last step of strategic marketing management?
- A. Formulating product marketing strategies
 - B. Defining organisation's mission and goals
 - C. Developing reformulation and recovery strategies
 - D. Budgeting marketing and production resource

Answer :C

9. Which factor should not consider for adopting market penetration?
- A. Market growth
 - B. Increase market share
 - C. Competitive reaction
 - D. Promotional activities

Answer :D

10. Which of the factor should be considered first before adopting a market penetration strategy?
- A. Market growth
 - B. Situation Analysis
 - C. SOWT Analysis
 - D. Market development

Answer :A

11. Which factor is not included in market penetration strategy?
- A. Examining market growth
 - B. Assessing competitive reaction
 - C. Developing high quality product
 - D. Analyzing market potentials

Answer :C

12. What is customer value proposition?
- A. Sum of benefits purchased
 - B. Repeated customers
 - C. A group of customers
 - D. Sum of customers equity

Answer :A

13. Which one is the primary purpose of marketing?
- A. Creating long term relationship between stakeholders

- B. Enhancing mutually beneficial exchange relationships
- C. Profit maximization
- D. Serving customers and society well being

Answer :C

14. 3. In what type of organisations, the focus is more on ideology, social responsibilities, and underlying values rather than revenue generation?

- A. Multinational companies
- B. Public sectors
- C. Small businesses
- D. Non-profit organisations

Answer :D

15. Distinctive competency describes an organisation's _____

- A. Strengths
- B. Weaknesses
- C. Opportunities
- D. Threats

Answer : A

16. These objectives are often employed in mature markets as firms/products enter a decline phase. The goal is to maximize short-term profits and stimulate positive cash flow.

- A. Harvesting objectives
- B. Divest objectives
- C. Hold objectives
- D. Growth objectives

Answer : A

17. Which one does not represent sources of environmental opportunity for organisation?

- A. Changing consumer needs
- B. Unsatisfied buyers group
- C. Distribution and inventory control
- D. New technology for delivering value to the customers

Answer : C

18. In SWOT analysis, which one is internal factor

- A. Technological advancement
- B. Research & Development
- C. Customer trends
- D. Industry/market structure

Answer :B

19. Which firms select small segments within the target market that the larger companies do not want to exploit. Which type of market position does this refer to?

- A. Market niches
- B. Market leaders
- C. Market followers
- D. Market challengers

Answer : A

20. ____ is concerned with the overall purpose or objective of the organisation; for example, making decisions such as mergers, acquisitions or going for joint ventures.

- A. business-unit level strategies
- B. International strategies
- C. Corporate strategies
- D. Operational strategies

Answer : D

21. Large organizations create _____, which assume the role of a separate company and create their own strategies and plans in order to achieve their corporate goals and contribution to the overall organization.

- A. Marketing objectives
- B. Strategic business units
- C. Marketing activities
- D. Business development units

Answer : B

22. Mission statement provides all the benefits to the organisation except

- A. Provide a clear management's vision regarding organisation's long- term direction

- B. Provide guideline for identifying product opportunities
- C. Inspire employees to provide valued service
- D. Develop reformulation and recovery strategies.

Answer : D

23. What is often a high-risk strategy?

- A. Market penetration
- B. Market development
- C. New offering development
- D. Diversification

Answer : D

24. In strategic management, SWOT stands for _____

- A. Strength, Weakness, Opportunity, Threat
- B. Strength, Weakness, Opportunity, Threat
- C. Strong, Weak, Open, Transparent
- D. Strategic Weapons for Worldwide Tactics

Answer : A

25. On what the 'requirement' of marketing mix depends?

- A. Success requirements of market
- B. Capacity measurement of the company
- C. Market sized
- D. Customer value proposition

Answer : A

26. Which matter comes last in evaluating an organisation's marketing mix?

- A. If the costs exceed the benefits
- B. If the marketing mix is internally consistent
- C. If the marketing mix is properly timed
- D. If the organisation can afford the marketing mix

Answer : C

27. In which strategies marketers emphasis mostly on increasing present buyers' usage and consumption rates.

- A. Market penetration
- B. Market development
- C. Diversification
- D. New offering development.

Answer : A

28. Which one of the following statement is incorrect?

- A. A vision is a statement about what an organisation wants to become.
- B. A mission should give shape and direction to an organisation's future.
- C. A vision should stretch an organisation in terms of its current position and performance, and motivated employee want to be part of the organisation's future.
- D. Marketing metrics in firms includes: profit/profitability, gross margin; number of customer complaints; consumer satisfaction; distribution/availability; total number of customers; and relative perceived quality

Answer : B

29. Which marketing strategy give emphasis on creating new offerings for existing markets.

- A. Market penetration
- B. Market development
- C. Diversification
- D. Product development.

Answer : D

30. A process by which one product or service sold by a firm gains a portion of its revenue by diverting sales for another product or service also sold by the firm is known as.....

- A. Contribution
- B. Diversion
- C. Cannibalization
- D. Measurement

Answer : C

31. Managers need an appraisal of operation to determine reasons for the gap between any occurrence of past present and future. The appraisals of operation are what?
- A. Situation analysis
 - B. SWOT analysis
 - C. Environmental scanning
 - D. Distinctive competency

Answer : A

32. Introducing existing products to different geographical areas including international expansion- Which strategy it covers
- A. Market-Penetration Strategy
 - B. Market- Development Strategy
 - C. Product- Development Strategy
 - D. Product-Market Strategy

Answer : B

33. Preplanning of reformulation and recovery strategies, which lead to a faster reaction time in implementing remedial actions. Preplanning of reformulation and recovery strategies, in a word_____.
- A. Pro forma plans
 - B. Marketing Audit plans
 - C. Contingency Plans
 - D. Customer value propositions

Answer : C

34. In which strategies marketers emphasis mostly on increasing present buyers' usage and consumption rates.
- A. Market penetration
 - B. Market development
 - C. Diversification
 - D. New product development.

Answer : A

35. Which marketing strategy give emphasis on creating new offerings for existing markets.
- A. Market penetration
 - B. Market development
 - C. Diversification
 - D. Product development

Answer : A

36. The _____ process commences at corporate level. Here the organization sets out its overall mission, purpose, and values.
- A. Evaluation
 - B. Strategic planning
 - C. Controlling
 - D. Managing

Answer : D

37. Miss. Zinash moved from designing and manufacturing their clothing products into retail. This is an example of:
- A. Intensive strategy
 - B. Economies of scale
 - C. Diversification
 - D. Integrative strategy

Answer : B

38. The following statement by Samsung Electronics: ' Inspire the World, Create the Future.' is an example of:
- A. Vision statement
 - B. Mission statement
 - C. Core value statement
 - D. Marketing strategy

Answer : A

39. Organizational core values are important because they:
- A. Help shape mission statements
 - B. Help increase sales
 - C. Help guide behavior and the recruitment and selection decisions
 - D. Help define market research

Answer : C

40. In SWOT analysis, situations where organizations are able to convert weaknesses into strengths and threats into opportunities, these are called:

- A. Strategic windows
- B. Strategic leverage
- C. Conversion strategies
- D. Vulnerability

Answer : C

41. This is something that at some time in the future may destabilize and/or reduce the potential performance of the organisation.

- A. Threats
- B. Strengths
- C. Weakness
- D. Opportunities

Answer : A

42. _____ is the process that helps managers understand the nature of the industry, the way firms behave competitively within the industry, and how competition is generally undertaken.

- A. The market needs analysis
- B. Portfolio analysis
- C. Strategic market analysis
- D. Organizational analysis

Answer : C

43. Miss. Adanech reformulated their value chain so that they became the fastest high street brand to design, produce, distribute and make fashion clothing available in their shops. This is a good example of:

- A. Market niche strategies
- B. Differentiation strategy
- C. Cost leadership
- D. Focus strategies

Answer : B

44. Which of the following is/are the strategies used by market leader to maintain or grow in market?

- A. Expand total market
- B. Protect market share
- C. Expand market share
- D. All of the above

Answer : D

45. When a company treats every single customer as a separate segment, this is called

- A. Nano marketing
- B. Niche marketing
- C. Micro marketing
- D. Single marketing

Answer : C

46. When a company aims at targeting small markets with an objectives to achieve the maximum profit from that market is

- A. Nano marketing
- B. Niche marketing
- C. Micro marketing
- D. Single marketing

Answer : A

47. To examine whether the company is pursuing its best opportunities with respect to market, products, and channels is the purpose of which one of the following type of marketing control

- A. Marketability control
- B. Profitability control
- C. Efficiency control
- D. Strategic control

Answer : D

48. The BCG (Boston Consulting Group) Matrix is based on

- A. Industry growth rate and business strength
- B. Industry attractiveness and business strength

- C. Industry growth rate and relative market share
- D. Industry attractiveness and relative market share

Answer : C

49. The BCG is also known as

- A. Product portfolio matrix
- B. Industry growth-Market share matrix
- C. Competitive position-Relative growth matrix
- D. None of the above

Answer : A

50. The process of assessing objectives, strengths, weaknesses, strategies and reaction patterns of competitors is classified as

- A. Branding analysis
- B. Premium analysis
- C. Competitor analysis
- D. Corporate analysis

Answer : C

51. Considering competitive positions, the company with the largest share in market in its industry is classified as

- A. Market challenger
- B. Market leader
- C. Market follower
- D. Market niche

Answer : B

52. The market segments must be

- A. Attainable
- B. Measureable
- C. Accessible
- D. All of above

Answer : D

53. The system by which business corporations are directed and controlled is called...

- A. Corporate Governance
- B. Corporate Social Responsibility
- C. Strategic Management
- D. Organizational Planning

Answer: A

54. The kind of strategy which is used by the company to achieve advertising objectives is classified as

- A. Advertising strategy
- B. Advertising objective
- C. Advertising messages
- D. Advertising budget

Answer :A

55. The market segmentation on the basis of continents such as North Ethiopia, South Ethiopia and, East Ethiopia Western Ethiopia is example of

- A. Geographic segmentation
- B. Demographic segmentation
- C. Psychographic segmentation
- D. Behavioral segmentation

Answer :A

56. The consumer's and society's long run interests are considered in

- A. Societal marketing concept
- B. Market concept
- C. Product concept
- D. selling concept

Answer :A

57. The 'inside-out' perspective is referred in

- A. The marketing concept
- B. Societal marketing concept
- C. Selling concept
- D. Product concept

Answer :C

58. Marketing can be defined as

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- A. Creating value for customers
- B. Building strong relationships

- C. Capturing value from customers
- D. All of above

Answer: D

59. The market offering that is essentially intangible is called

- A. Services
- B. Products
- C. Commodity
- D. Competitive edge

Answer :A

60. The loss in sales because of poor quality raw materials have been used in production is concluded in company?

- A. Strengths
- B. Weaknesses
- C. Opportunities
- D. Threats

Answer :B

61. The situation in which company is making more sales with its existing product is classified as

- A. Market development
- B. Market penetration
- C. Product development
- D. Diversification

Answer :B

62. Top management sets the company's

- A. Mission
- B. Objectives
- C. Vision
- D. All of above

Answer :D

63. Considering the strategic planning, the 'Organisations purpose' statement is known as

- A. Vision statement
- B. Mission statement
- C. Value proposition
- D. Business strategy

Answer : B

64. The buying of products such as 'fast food' is an example of

- A. Specialty products
- B. Shopping products
- C. Unsought products
- D. Convenient products

Answer : D

65. The analysis of opportunities and threats include

- A. Internal environment
- B. External environment
- C. Market environment
- D. Product environment

Answer : B

66. _____ is the study of how individuals, groups and organizations select, buy, use and dispose of goods, services, ideas or experiences to satisfy their needs and wants.

- A. Consumer behavior
- B. Product cycle
- C. Purchase behavior
- D. Marketing

Answer : A

67. Customized products and services for customers and interaction to individual customers are part of

- A. Retailers management
- B. Customer relationship management
- C. Company relationship management
- D. Supplier management

Answer : B

68. In market skimming pricing strategy:

- A. Initially price is higher and then it is reduced
- B. Initially price is lower and then it is increased
- C. Initial price is high and is maintained high
- D. Initial price is low and is maintained low

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Answer : B

69. Which of the following pricing strategies is NOT ideal for new products?
- A. Market-Skimming
 - B. Discriminatory Pricing
 - C. Promotional Pricing
 - D. None of these

Answer : B

70. The activity for creating, communicating, delivering and exchanging offerings that benefit the organisation, its stakeholders and society at large is referred to as
- A. Marketing
 - B. Promotion
 - C. Creative planning
 - D. Distribution

Answer : A

71. During the introduction stage of the product life cycle, a/an _____ may be used. This pricing strategy charges a high price to recoup the costs of product development.
- A. Penetration pricing
 - B. Cost-plus pricing
 - C. Skimming pricing
 - D. Mark-up pricing

Answer : C

72. There are five stages in the purchase decision process. What is the first stage?
- A. Information search
 - B. Purchase decision
 - C. Problem recognition
 - D. Post purchase behavior

Answer : C

73. The marketing strategy of developing new products and selling them in new markets is referred to as _____.
- A. Product penetration
 - B. Market development
 - C. Diversification
 - D. Market penetration

Answer : C

74. The first objective in marketing is to discover consumer _____.
- A. Diversity
 - B. Potential
 - C. Objectives
 - D. Needs

Answer : D

75. The idea that an organization should strive to satisfy the needs of consumers while also trying to achieve the organization's goals reflects the _____.
- A. Concept of synergy
 - B. Marketing concept
 - C. Principle of marketing
 - D. Societal marketing concept

Answer : B

76. Product life cycle has.....stages.
- A. Two
 - B. Three
 - C. Four
 - D. One

Answer : C

77. Which of the following is NOT an example of barriers to entry?
- A. Buyer switching costs
 - B. Economies of scale
 - C. Product differentiation
 - D. Expected retaliation

Answer : A

78. The Five Forces Model can be used to:
- A. Plan a firm's global strategy based on internal firm resources
 - B. Understand a firm's strategic internal assets in global markets or regional market

- C. Analyze a firm's competitive position in a specific market segment or similar market segments.
- D. Explain why industry change may force firms to relocate parts of their business to other countries

Answer : C

79. Michael Porter has argued that the most important determinant of a firm's profitability is/are:

- A. Conditions in the home diamond
- B. Industry attractiveness
- C. Economies of scale
- D. Bargaining power

Answer : B

80. What is the term for the action in which managers at an organization analyze the current situation of their organization and then develop plans to accomplish its mission and achieve its goals?

- A. Marketing planning
- B. Strategy formulation
- C. Functional planning
- D. SWOT analysis

Answer : B

81. In the 'five forces model', what is the type of competitive activity that exists between organizations?

- A. The potential for entry into the industry
- B. The threat of substitute products
- C. The power of customers
- D. The level of rivalry

Answer : D

82. What does PEST stand for?

- A. Political, environmental, strategic, testing
- B. Political, environmental, strategic, technological
- C. Political, economic, strategic, technological
- D. Political, economic, social, technological

Answer : D

83. Which one is not an element in the primary activities of a value chain?

- A. Procurement
- B. Inbound logistics
- C. Outbound logistics
- D. Service

Answer : A

84. What is the term used in Ansoff's matrix for increasing market share with existing products in existing markets?

- A. Product development
- B. Market penetration
- C. Diversification
- D. Market development

Answer : B

85. When does an acquisition take place?

- A. Two equal partners decide to work together.
- B. Two equal partners share resources.
- C. Two unequal partners join together
- D. Two unequal partners become one after a buyout

Answer : D

86. What is the starting point of Strategic Intent?

- A. Goal
- B. Objective
- C. Vision
- D. Mission

Answer : C

87. Hierarchy of Strategic Intent:

- A. Vision > Mission > Goals > Objectives > Plans
- B. Mission > Vision > Goals > Objectives > Plans
- C. Plans > Vision > Mission > Goals > Objectives
- D. Goals > Vision > Mission > Objectives > Plans

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Answer : C

88. Low cost, Differentiation and Focus are examples of

- A. Corporate strategies
- B. Operational strategies
- C. Business strategies
- D. Functional strategies

Answer : A

89. Selling all of a company's assets for their tangible worth is called

- A. Divestiture
- B. Concentric Diversification
- C. Liquidation
- D. Unrelated integration

Answer : A

90. Competitive advantage can be best described as

- A. Increased efficiency
- B. What sets an organisation apart
- C. A strength and the organisation's
- D. Intangible resources

Answer : D

91. Which of the following is not a major element of the strategic management process?

- A. Formulation strategy
- B. Implementing strategy
- C. Evaluating strategy
- D. Assigning administrative tasks

Answer : D

92. Which environment can create new markets and new business segments?

- A. Political environment
- B. Economic environment
- C. Sociocultural environment
- D. Technological environment

Answer : D

93. Divestment is what kind of strategy

- A. An asset-reduction strategy
- B. A weakness-reduction strategy
- C. A product-reduction strategy
- D. A cost-reduction strategy

Answer : C

94. The three Organizational levels are

- A. Corporate level, business level, functional level
- B. Corporate level, business unit level, functional level
- C. Corporate strategy level, business unit level, functional level
- D. Organizational level, group level, individual level

Answer : A

95. Anything that a firm does especially well compared to rival firms is referred to as:

- A. Competitive advantage
- B. Comparative advantage
- C. An external opportunity
- D. Opportunity cost

Answer : A

96. Which phase of strategic management is called the action phase?

- A. Strategy formulation
- B. Strategy implementation
- C. Strategy evaluation
- D. Allocating resources
- E. Measuring performance

Answer : B

97. What are the means by which long-term objectives will be achieved?

- A. Strategies
- B. Strengths
- C. Weaknesses
- D. Policies

Answer : A

101. Selling all of a company asset in parts for their tangible worth is called _____

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- A. Unrelated integration
- B. Concentric Diversification

- C. Divestiture
- D. Liquidation

Answer: Liquidation

98. Marketing strategy is a _____ type of strategy

- a. corporate strategy
- b. Growth strategy
- c. functional strategy
- d. business level

Answer: functional strategy

99. Corporate level strategy deals with _____

- a. objectives of specific operations
- b. objectives of the corporate
- c. objectives of specific functions
- d. objective of Single strategic Business Unit

Answer: objectives of the corporate

100. Strategic Management handles _____

- a. management issues
- b. external issues
- c. administrative issues
- d. internal issues

Answer: external issues

101. Strategies are the means by which long term objectives will be achieved

- a. Policies
- b. Strategies
- c. Opportunities
- d. Strength

Answer: Strategies

102. How many cells are in a SWOT matrix?

- a. 6
- b. 9
- c. 2
- d. 3

Answer: 9

103. The magnitude and changes that may affect an organisation is survival owing to all of the following except _____

- a. Demographics
- b. E-commerce
- c. Dubious firms
- d. Merger-mania

Answer: Dubious firms

104. Which strategies improve internal weaknesses by taking advantage of external opportunities?

- A. WO
- B. SO
- C. ST
- D. SW

Answer: WO

105. When an industry relies heavily on government contracts, which forecasts can be the most important part of an external audit.

- a. Competitive
- b. Economic
- c. Political
- d. Multinational

Answer: Political

106. According to the BCG matrix SBU comprising products in an attractive industry but representing little market share would be referred to as _____

- a. a star
- b. a dog
- c. a question mark
- d. a cash cow

Answer: A question mark

107. Which would be classified as a stakeholder?

- a. Banks
- b. Communities

c. Suppliers

d. Communities Banks Suppliers

Answer: Communities Banks Suppliers

108. Strategic business units _____

- a. Carry out strategies assigned by the CEO
- b. Are found in one-business organizations
- c. Implement the marketing function's strategic planning and management decisions
- d. Develop their own unique way of competing

Answer: Develop their own unique way of competing

109. Bargaining power of customers is high if _____

- a. Differentiation of competitor's product is low
- b. The buyer has little information about the market
- c. Switching costs are low for substitute products
- d. The buyer requires a high quality product for own production

Answer: Differentiation of competitor's product is low

110. The sketch of the BCG matrix, what is the label of the horizontal axis?

- a. Market growth rate
- b. Market share
- c. Business strength
- d. Industry growth rate

Answer: Market share

111. Technological advancements can create Competitive advantage besides many other existing powerful advantages for the businesses?

- a. Competitive
- b. Social
- c. Environmental
- d. Economic

Answer: Competitive

112. All of the following are key opportunities and threats in external environment because of political, government and legal forces except _____

- a. Patent law
- b. Cross boarder relationship
- c. Social security program
- d. Tax rate

Answer: Social security program

113. The primary benefit brought from restructuring is _____

- a. increased morale
- b. cost reduction
- c. employee involvement
- d. increased number and Organizational hierarchy

Answer: cost reduction

114. Internal audit is done _____

- a. After external audit
- b. Before external audit
- c. Vertical to external audit
- d. Parallel to external audit

Answer: Parallel to external audit

115. Which of these is not a reason why some firms do no strategic planning?

- a. Laziness
- b. Competitive leadership
- c. Honest difference of opinion
- d. Poor reward structures

131. Developing a vision and mission, identifying an organization's external opportunities and threats, and determining internal strengths and weaknesses are all _____ activities.

- a. strategy-formulation
- b. strategy-implementation
- c. long-range planning
- d. short-range planning

116. The means by which long-term objectives will be achieved are

- a. mission statements
- b. Strategies.
- c. vision statements.
- d. long-term goals.

117. The _____ answers the question "What do we want to become?" whereas _____ Answers the question "What is our business?"
- vision statement; mission statement**
 - short-term objectives; long-term objectives
 - objectives; strategies
 - mission; vision
118. What is the recommended length of an effective mission statement?
- One page
 - Less than 200 words
 - One sentence of 10 to 20 words.
 - There is no recommendation. It can be as long as the management wants.**
119. _____ represents the average score in both EFE and CPM.
- 2.0
 - 3.0
 - 2.5**
 - 4.0
120. All of these, except _____, are part of Porter's competitive forces in industry analysis.
- of new competitors
 - bargaining power of suppliers
 - development of substitute products
 - bargaining power of union**
121. _____ is based on the assumption that the future will be just like the past.
- Delphi forecasts
 - Econometric models
 - Linear regression**
 - Scenario forecasts
122. Shorthand words use to capture a vision or to reinforce old or new values in a firm's culture are called
- Metaphors**
 - Sagas
 - Rituals
 - Symbols
123. An effective information system collects, codes, stores, synthesizes, and _____ information in such a manner that it answers important operating and strategic questions.
- Prints
 - Distributes
 - Presents**
 - Filters
124. _____ is adding new, unrelated products or services for present customers.
- Concentric diversification
 - Horizontal diversification**
 - Conglomerate diversification
 - Product development
125. Two reasons for mergers and acquisitions are
- to increase managerial staff and to minimize economies of scale.
 - to reduce tax obligations and increase managerial staff.
 - to create seasonal trends in sales and to make better use of a new sales force.
 - to provide improved capacity utilization and to gain new technology.**
126. Which strategy would be effective when the new products have a counter cyclical sales pattern compared to an organization's present products?
- Forward integration**
 - Retrenchment
 - Horizontal diversification
 - Market penetration
127. The first option that should be considered for firms in Quadrant II of the Grand Strategy Matrix is the _____ strategy.
- integration
 - intensive**
 - defensive
 - diversification
128. The pie slices within the circles of a _____ reveal the percent of corporate profits contributed by each division.
- QSPM
 - BCG Matrix**

c. SPACE Matrix

d. Grand Strategy Matrix

129. All of the following are stated advantages of a divisional structure except

- a. it allows local control of local situations.
- b. it leads to a competitive climate within a firm.
- c. accountability is clear.
- d. it promotes specialization of labor.

130. _____ approach involves delivering parts and materials as needed rather than being stockpiled

- a. JIT
- b. MBO

- c. PERT
- d. CAD-CAM

131. The fundamental purpose for the existence of any organization is described by its

- a. policies
- b. mission
- c. procedures
- d. strategy

Ans. b

132. The fundamental purpose of an organization's mission statement is to

- a. create a good human relations climate in the organization
- b. define the organization's purpose in society
- c. define the operational structure of the organization
- d. generate good public relations for the organization

Ans. B

149. The acronym SWOT stands for

- a. Special Weapons for Operations Timeliness
- b. Services, Worldwide Optimization, and Transpo Threats
- c. Strengths Worldwide Overcome Threats
- d. Strengths, Weaknesses, Opportunities, and

Ans. d

150. Which of the following is not characteristic of strategic management that makes it different from other types of management?

- a. It is interdisciplinary.
- b. It has an external focus.
- c. It has an internal focus.
- d. It concerns the present direction of the organisation.

Ans. D

153. Which of the following is an issue considered in developing corporate strategies?

- a. What business (es) are we in?
- b. What direction are we going?
- c. What resources do we have to implement our strategies?
- d. What businesses are we in and what to do with those businesses?

Ans. c

154. Which of the following is NOT a major element of the strategic management process?

- a. Formulating strategy
- b. Implementing strategy
- c. Evaluating strategy
- d. Assigning administrative tasks

Ans. d

155. Competitive advantage can best be described as:

- a. increased efficiency.
- b. what sets an organisation apart.
- c. a strength of the organisation.
- d. intangible resources.

Ans. a

156. _____ is the foundation of blue ocean strategy.

- a. Innovation
- b. Value creation

c. Value innovation

d. value cost trade-off

Ans. c

157. The various Organizational routines and processes that determine how efficiently and effectively the organization transforms its inputs into outputs are called:

a. strengths.

c. capabilities.

b. core competencies.

d. customer value.

Ans. b

158. selling all of company assets in parts for their tangible worth is called _____

A. Unrelated integration

C. Divestiture

B. Concentric Diversification

D. Liquidation

Answer: Liquidation

159. The BCG matrix is based on _____

A. Industry Growth rate and Business strength

C. Industry growth rate and relative market share

B. Industry attractiveness and Business strength

D. Industry Attractiveness and Relative Market share

Answer: Industry growth rate and relative market share

160. A possible and desirable future state of an organization is called _____

A. Vision

C. Strategy formulation

B. Mission

D. Strategy implementation

Answer: Vision

161. What do Cash Cows symbolize Stable in BCG matrix?

A. Invest

C. Stable

B. Remain Diversified

D. Liquidate

Answer: Stable

162. What are the guides to decision making?

A. Procedures

C. Policies

B. Rules

D. Goals

Answer: Policies

163. Buying another company by one company means _____

A. Joint venture

C. Merger

B. Acquisition

D. Amalgamation

Answer: Acquisition

164. In strategic thinking, how long is the long term, approximately?

A. 3 to 5 years

C. 1 month to 1 year

B. 2 to 3 years

D. More than 5 years

Answer: More than 5 years

165. Strategy is developed by the visionary chief executive in ____ of strategic management

A. adaptive mode

C. strategic mode

B. planning mode

D. entrepreneurial mode

Answer: entrepreneurial mode

166. Which environment can create new market and new business segments?

A. Technological environment

C. Socio cultural environment

B. Economic environment

D. Political environment

Answer: Technological environment

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167. Low cost, Differentiation and Focus are examples of _____

- A. Business strategies
- B. Corporate strategies
- C. Operational strategies
- D. Functional strategies

Answer: Business strategies

168. The word tactics is most likely to be associated with _____

- A. Business strategy
- B. Operational strategy
- C. Corporate strategy
- D. All of the above

Answer: Operational strategy

169. Stability strategy is a _____ strategy.

- A. corporate level
- B. functional level
- C. strategic level
- D. business level

Answer: corporate level

170. What is the starting point of strategic intent?

- A. Goals
- B. Objectives
- C. Mission
- D. Vision

Answer: Vision

171. Marketing strategy is a _____ type of strategy

- A. corporate strategy
- B. Growth strategy
- C. functional strategy
- D. business level

Answer: functional strategy

172. Corporate level strategy deals with _____

- A. objectives of specific operations
- B. objectives of the corporate
- C. objectives of specific functions
- D. objective of Single strategic Business Unit

Answer: objectives of the corporate

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D. increased number and Organizational hierarchy

B. cost reduction

C. employee involvement

Answer: cost reduction

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- A. After external audit
- B. Before external audit
- C. Vertical to external audit
- D. Parallel to external audit

Answer: Parallel to external audit

188. The concept of ‘Strategic window’ was introduced by ____.

- A. Michael Porter
- B. Peter Drucker
- C. Hamel
- D. Abell

Answer: (D)

189. In what type of organization there is a greater focus on growth and development and also diversification in terms of both products and markets?

- A. Multinational companies
- B. Public sectors
- C. Small businesses
- D. Non-profit organizations

Answer: (A)

190. In what type of organizations, the focus is more on ideology, social responsibilities, and underlying values rather than revenue generation?

- A. Multinational companies
- B. Public sectors
- C. Small businesses
- D. Non-profit organizations

Answer: (D)

191. Functional strategies are sometimes called ____.

- A. Process strategies
- B. Corporate strategies
- C. business-unit level strategies
- D. Operational strategies

Answer: (D)

192. ____ is concerned with the overall purpose or objective of the organization; for example, making decisions such as mergers, acquisitions or going for joint ventures.

- A. business-unit level strategies
- B. International strategies
- C. Corporate strategies
- D. Operational strategies

Answer: (C)

193. The formal-structured approach of SMP is also sometimes called ____ mode.

- A. execution
- B. planning
- C. adaptive
- D. opportunistic

Answer: (B)

194. A basic advantage of the ____ approach is that it generates enough information and employs scientific tools of analysis that enable planners and decision-makers to find solutions even in complex situations

- A. formal-structured
- B. adaptive
- C. entrepreneurial-opportunistic
- D. combination

Answer: (A)

195. The system by which business corporations are directed and controlled is called ____

- A. Corporate Governance
- B. Corporate Social Responsibility
- C. Strategic Management
- D. Organizational Planning

Answer: (A)

196. Corporate governance is primarily guided by ____.

- A. Customers
- B. Shareholders
- C. Employees
- D. Board of Directors

Answer: (B)

197. The affairs of the company are directed and controlled through the ____ who represent the shareholders of the company

- A. Board of Directors
- B. Senior managers
- C. Middle management
- D. Managing Director and the Chief Executive Officer

Answer: (A)

198. The ____ system should clearly address the three major issues of an organization – the corporate objective, whom the organization should be serving, and finally how best to serve their interests.

- A. Corporate Governance
- B. Policymaking
- C. Strategic
- D. Planning

Answer: (A)

199. The interrelationship or interdependence between governance and strategy can be seen through ____ in the organization.

- A. tasks and practices
- B. a chain in the reporting system
- C. structure
- D. processes adopted

Answer: (B)

200. ____ is a new tool for the systematic review of strategy by board members without directly involving themselves with the management of companies.

- A. Strategic review
- B. Management review
- C. Strategic planning
- D. Strategic audit

Answer: (D)

201. In a governed corporation, the focus is not on power (i.e., not on monitoring or controlling the managers) but on ____.

- A. improving decision making
- B. talent retention
- C. social responsibility
- D. sustainability

Answer: (A)

202. Management thinkers like Peter Drucker feel that business definition should strongly focus on the ____.

- A. Shareholders
- B. Suppliers
- C. Customers
- D. Employees

Answer: (C)

203. The ____ of a company is variously called a statement of philosophy, a statement of beliefs, and a statement of purpose.

- A. mission statement
- B. vision statement
- C. quality principles
- D. policy

Answer: (A)

204. ____ involves setting goals or targets which demand stretching of the present resource base and capabilities for their fulfillment.

- A. Strategic intent
- B. Strategic objectives
- C. Social audit
- D. Strategic plan

Answer: (A)

205. ____ can be defined as the alignment of business operations with social values.

- A. Corporate Governance
- B. Corporate Social Responsibility
- C. Business policy
- D. Sustainability

Answer: (B)

206. ____ evaluates or measures a company's performance against planned or laid down social objectives or goals.

- A. Social audit
- B. Strategic intent
- C. Strategic audit
- D. Strategic review

Answer: (A)

207. ____ of a company is one of its special or unique competence which gives that company a clear competitive advantage over its competitors.

- A. Distinctive competence
- B. Core competence
- C. Strategic competence
- D. Threshold competence

Answer: (B)

208. Xerox's competence in photocopying and Canon's competence in optics, imaging, and laser control are examples of ____ competence.

- A. Strategic
- B. Threshold
- C. Distinctive
- D. Core

Answer: (D)

209. ____ is the unique capability that helps an organization in capitalizing upon a particular opportunity.

- A. Core competence
- B. Distinctive competence
- C. Strategic competence
- D. Threshold competence

Answer: (B)

210. Various competencies and resources of an organization can be integrated into a chain of activities that an organization performs to meet customer demand. This is called ____.

- A. value chain
- B. product life cycle
- C. innovation
- D. business process

Answer: (A)

211. In order to secure or sustain competitive advantage, ____ may have to be continuously developed and adjusted to competence levels.

- A. skills
- B. talent
- C. resources
- D. equipment

Answer: (C)

212. In order to improve the competitive position, companies are adopting ____, that is, moving one or more of the functions in the value chain outside.

- A. strategic outsourcing
- B. Business process re-engineering
- C. Corporate restructuring
- D. subcontracting

Answer: (A)

213. The national income, the manufacturing and service sector, capital or financial sector, investment, savings, etc., constitute the ____ environment.

- A. Economic
- B. Sociological
- C. Micro
- D. political

Answer: (A)

214. Prevailing tendencies, course of action, or events taking place over time like movements in national income, inflationary tendencies, growth in industrial production, etc., are known as ____.

- A. Patterns
- B. macro activities
- C. Trends
- D. fluctuations

Answer: (C)

215. A ____ is a detailed and probable view of how the business environment of an organization may develop in the future based on the analysis of key environmental influences and factors of change about which there is a high degree of uncertainty.

- A. Scenario
- B. Vision
- C. Mission
- D. Policy

Answer: (A)

216. In addition to environmental analysis, organizations need to assess their internal strengths and weaknesses. This is done through ____.

- A. SWOT analysis
- B. Scenario building
- C. PEST analysis
- D. Benchmarking

Answer: (A)

217. The focus of ____ is on developing and maintaining a competitive advantage consistent with present resources and market requirements.

- A. dynamic strategy
- B. stability strategy
- C. competitive strategy
- D. generic strategy

Answer: (B)

218. In the BCG model, 'BCG' stands for ____.

- A. Boston Consulting Group
- B. Business Communication Group
- C. Business Consulting Group
- D. Benchmark Consulting Group

Answer: (A)

219. The BCG model is also known as ____.

- A. Johari Window
- B. evaluation matrix
- C. Generic strategy model
- D. portfolio matrix

Answer: (D)

220. In Michael Porter's theory, the four generic strategic options available to companies are cost leadership, focused cost leadership, differentiation and ____.

- A. diversification
- B. focused differentiation
- C. uniqueness
- D. mass customization

Answer: (B)

221. Porter's theory is based on the concepts of ____ and mass marketing and product proposition to be offered by different companies.

- A. niche marketing
- B. differentiated marketing
- C. customized marketing
- D. innovation

Answer: (A)

222. The manner in which the corporate headquarters manages and nurtures individual businesses or SBUs is called ____.

- A. Corporate parenting
- B. Management nurturing
- C. Corporate cultivation
- D. Corporate education

Answer: (A)

223. ____ businesses fit well with parenting characteristics but do not provide enough opportunities to the parent for improvement.

- A. Value trap
- B. Ballast
- C. Heartland businesses
- D. Alien territory

Answer: (B)

224. To ascertain the acceptability and commercial viability of a new product, it is necessary to conduct ____ before launching the product.

- A. User Acceptability test
- B. test marketing
- C. pilot study
- D. survey

Answer: (B)

225. Market development for existing products can take place in two ways: first is through geographic expansion in the existing market segments and second is through ____.

- A. coming up with new features for existing product
- B. new marketing techniques
- C. developing new market segments
- D. more advertisements

Answer: (C)

226. The kind of diversification in which new business has commonalities with the core business or core competence of the company is called ____.

- A. Related diversification
- B. unrelated diversification
- C. concentric diversification
- D. conglomerate diversification

Answer: (A)

227. ____ is less related to the present business and skills and resources (except financial) and may mean venturing into an entirely new area.

- A. Related diversification
- B. Unrelated diversification
- C. concentric diversification
- D. conglomerate diversification

Answer: (B)

228. ____ is defined as cooperation between two or more organizations with a common objective, shared control, and contributions (in terms of resources, skills, and capabilities) by the partners for mutual benefits.

- A. Strategic alliance
- B. Joint venture
- C. Merger
- D. Acquisitions

Answer: (A)

229. A ____ may be defined as a business venture in which two or more independent companies join together, contribute to equity capital in equal or agreed on proportion, and establish a new company.

- A. Strategic alliance
- B. Joint venture
- C. Merger
- D. Acquisitions

Answer: (B)

230. The basic objective behind all strategic alliances is to ____.

- A. secure competitive advantage in the market
- B. increase sales
- C. increase market share
- D. improve operational processes

Answer: (A)

231. ____ is a type of merger that takes place when there is a combination of two or more companies in the same business or product group or product.

- A. Vertical merger
- B. Horizontal merger
- C. Synergic merger
- D. Concentric merger

Answer: (B)

232. ____ is a type of merger that takes place when there is a combination of two or more companies that are NOT in the same business but in related businesses or products.

- A. Horizontal merger
- B. Vertical merger
- C. Synergic merger
- D. Concentric merger

Answer: (B)

233. ____ takes place when a company enters into a downstream activity with respect to the same product line/ flow – for example, a garment manufacturer starts its own retail chain.

- A. Backward integration
- B. Horizontal integration
- C. Acquisition
- D. Forward integration

Answer: (D)

234. ____ takes place when a company acquires a competing business or when two or more companies in competing businesses merge.

- A. Forward integration
- B. Joint venture
- C. Horizontal integration
- D. Vertical integration

Answer: (C)

235. A ____ is characterized by the existence of a large number of small and medium units and no single company has any significant market share.

- A. Emerging industry
- B. Mature industry
- C. Declining industry
- D. Fragmented industry

Answer: (D)

236. A ____ is one that has passed through the transition from a period of fast growth to more modest or stable growth.

- A. Fragmented industry
- B. Emerging industry
- C. Mature industry
- D. Declining industry

Answer: (C)

237. The competitive threat model or the five forces model was developed by ____

- A. Michael E Porter
- B. Hamel
- C. C K Prahalad
- D. Peter Drucker

Answer: (A)

238. The term strategy is derived from a _____ word 'strategos'

- A. Latin
- B. Greek
- C. Chinese
- D. German

239. The term strategy is derived from the word 'strategos' which means

- A. Tactics
- B. Leadership
- C. Generalship
- D. Management

240. Strategic management does not involve

- A. setting objectives
- B. analyzing the competitive environment,
- C. analyzing the internal organization
- D. Analyzing the external organization

241. _____ Ensures that management rolls out the strategies across the organization is the role of

- A. HR Department
- B. Operations Management
- C. Strategic Management
- D. All of the above

242. Strategic management is the management of an organization's resources to achieve its _____

- A. Profit
- B. goals and objectives.
- C. Market Share
- D. Competitive Advantage

243. Different levels of strategic decision making and strategy formulation in any organization Does not include

- A. Financial
- B. Corporate
- C. Functional
- D. Business

244. _____ is the strategy which includes Board of Directors and the Chief Executive officer, is responsible for the organization's financial performance and other non-financial goals

- A. Business
- B. Functional
- C. Corporate
- D. Financial

245. Which of the following doesn't describe Corporate Strategy

- A. what business or businesses should we be in
- B. How does the parent company add value to its subsidiaries?
- C. How does being in one business help us compete in other businesses
- D. How should we compete in other business

246. Different levels of strategic decision making and strategy formulation in any organization include

- A. Corporate Level and Business Level
- B. Corporate Level and Functional Level
- C. Business Level and Functional Level
- D. Corporate, Business and Functional Level

247. Which of the following does not include the characteristics of Strategic Management?

- A. Reactive
- B. Multidimensional
- C. Systematic
- D. Dynamic

248. Which of the following denotes the characteristics of Strategic Management?

- A. Decentralization
- B. Wide-span of management
- C. Searching for new sources of advantage
- D. Multi operational

249. The role of stakeholders includes

- A. Direct Management
- B. Decision Making
- c Investments
- D. All of the above

250. The process of strategic management is a/an _____ one that changes as the Organizational goals and objectives evolve

- A. Continuous
- B. Interesting
- C. Systematic
- D. Stable

251. Which of the following defines what business or businesses the firm is in or should be in?

- A. Business strategy
- B. Corporate strategy
- C. Functional strategy
- D. National strategy

Answer: B

252. Which of the following defines how each individual business unit will attempt to achieve its mission?

- A. Business strategy
- B. Corporate strategy
- C. Functional strategy
- D. National strategy

Answer: A

253. Which of the following focuses on supporting the corporate and business strategies?

- A. Competitive strategy
- B. Corporate strategy
- C. Operational strategy
- D. National strategy
- E. Mission strategy

Answer: C

254. Which one of the following is not primary task of strategic managers?

- A. Establishing strategic objectives
- B. Developing the steps to follow in implementing operational level plans
- C. Defining the business and developing a mission
- D. Developing a strategy
- e. Implementing and evaluating the chosen strategy

Answer: B

255. The task of strategy choice involves:

- A. developing plans and activities which will improve the organization's performance and competitive position
- B. determining how the organization can be more market and efficiency oriented
- C. monitoring whether the organization is achieving good financial performance
- D. keeping the organization free of debt

Answer: A

256. Which one of the following is at the core of strategic management?

- A. Choosing which Organizational objectives to focus on
- B. Being alert for opportunities to change work responsibilities
- C. Adapting the organization to a changing external environment
- D. Choosing whether to make decisions autocratically or on the basis of participation

Answer: C

257. The corporate level is where top management directs:

- A. all employees for orientation
- B. its efforts to stabilize recruitment needs
- C. overall strategy for the entire organisation
- D. overall sales projections

Answer: C

258. The three Organizational levels are:

- A. corporate level, business level, functional level
- B. corporate level, business unit level, functional level
- C. corporate strategy level, business unit level, functional level
- D. corporate strategy level, business level, specialist level

Answer: A

259. Which of the following is an example of competing on quick response?

- A. a firm produces its product with less raw material waste than its competitors
- B. a firm offers more reliable products than its competitors
- C. a firm's products are introduced into the market faster than its competitors'
- D. a firm's research and development department generates many ideas for new products

Answer: C

260. Which one of the following is NOT included in the Porter's Five Forces model:

- A. Potential development of substitute products
- B. Bargaining power of suppliers
- C. Rivalry among stockholders
- D. Rivalry among competing firms

Answer: C

261. What is meant by the term 'Stakeholder'?

- A. A person who is not related with a business.
- B. A person who is related with a business.
- C. A person who owns a business.
- D. A person who purchases the shares of a business.

Answer: B

262. Of the following, which one would NOT be considered one of the components of a mission statement?

- A. The target market for ABC is oil and gas producers as well as producers of chemicals.
- B. ABC shall hire only those individuals who have with sufficient educational levels so as to be of benefit to our customers
- C. The customers of ABC shall include global and local consumers of gas and oil products and domestic users of nontoxic chemicals
- D. The technologies utilized by ABC shall focus upon development of alternative sources of gas and oil so as to remain competitive within the industry

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Answer: B

263. The strategic management process is

- A. a set of activities that will assure a temporary advantage and average returns for the firm.
- B. a decision-making activity concerned with a firm's internal resources, capabilities, and competencies, independent of the conditions in its external environment.
- C. a process directed by top-management with input from other stakeholders that seeks to achieve above-average returns for investors through effective use of the organization's resources.
- D. the full set of commitments, decisions, and actions required for the firm to achieve above-average returns and strategic competitiveness..

Answer: D

264. The goal of the organization's _____ is to capture the hearts and minds of employees, challenge them, and evoke their emotions and dreams.

- A. vision
- B. mission
- C. culture
- D. strategy

Answer: A

265. A firm's mission

- A. is a statement of a firm's business in which it intends to compete and the customers which it intends to serve.
- B. is an internally-focused affirmation of the organisation's financial, social, and ethical goals.
- C. is mainly intended to emotionally inspire employees and other stakeholders.
- D. is developed by a firm before the firm develops its vision.

Answer: A

266. The environmental segments that comprise the general environment typically will NOT include

- A. demographic factors.
- B. sociocultural factors.
- C. substitute products or services.
- D. technological factors.

Answer: C

267. An analysis of the economic segment of the external environment would include all of the following EXCEPT

- A. interest rates.
- B. international trade.
- C. the strength of the U.S. dollar.
- D. the move toward a contingent workforce.

Answer: D

268. Product differentiation refers to the:

- A. ability of the buyers of a product to negotiate a lower price.
- B. response of incumbent firms to new entrants.
- C. belief by customers that a product is unique.
- D. fact that as more of a product is produced the cheaper it becomes per unit.

Answer: C

269. Which of the following is NOT an entry barrier to an industry?

- A. expected competitor retaliation
- B. economies of scale
- C. customer product loyalty
- D. bargaining power of suppliers

Answer: D

270. Switching costs refer to the:

- A. cost to a producer to exchange equipment in a facility when new technologies emerge.
- B. cost of changing the firm's strategic group.

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- C. one-time costs suppliers incur when selling to a different customer.
- D. one-time costs customers incur when buying from a different supplier.

Answer: D

271. New entrants to an industry are more likely when (i.e., entry barriers are low when...)

- A. it is difficult to gain access to distribution channels.
- B. economies of scale in the industry are high.
- C. product differentiation in the industry is low.
- D. capital requirements in the industry are high.

Answer: C

272. Suppliers are powerful when:

- A. satisfactory substitutes are available.
- B. they sell a commodity product.
- C. they offer a credible threat of forward integration.
- D. they are in a highly fragmented industry.

Answer: C

273. The highest amount a firm can charge for its products is most directly affected by

- A. expected retaliation from competitors.
- B. the cost of substitute products.
- C. variable costs of production.
- D. customers' high switching costs.

Answer: B

274. All of the following are forces that create high rivalry within an industry EXCEPT

- A. numerous or equally balanced competitors.
- B. high fixed costs.
- C. fast industry growth.
- D. high storage costs.

Answer: C

275. According to the five factors model, an attractive industry would have all of the following characteristics EXCEPT:

- A. low barriers to entry.
- B. suppliers with low bargaining power.
- C. a moderate degree of rivalry among competitors.
- D. few good product substitutes.

Answer: A

276. Internal analysis enables a firm to determine what the firm

- A. can do.
- B. should do.
- C. will do.
- D. might do.

Answer: A

277. An external analysis enables a firm to determine what the firm

- A. can do.
- B. should do.
- C. will do.
- D. might do.

Answer: D

278. ____ is/are the source of a firm's _____, which is/are the source of the firm's _____.

- A. Resources, capabilities, core competencies
- B. Capabilities, resources, core competencies
- C. Capabilities, resources, above average returns
- D. Core competencies, resources, competitive advantage

Answer: A

279. In the airline industry, frequent-flyer programs, ticket kiosks, and e-ticketing are all examples of capabilities that are

- A. rare.
- B. causally ambiguous.
- C. socially complex.
- D. valuable.

Answer: D

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280. Firms with few competitive resources are more likely

- A. to not respond to competitive actions.
- B. respond quickly to competitive actions.
- C. delay responding to competitive actions.
- D. respond to strategic actions, but not to tactical actions.

Answer: C

281. Competitors are more likely to respond to competitive actions that are taken by

- A. differentiators.
- B. larger companies.
- C. first movers.
- D. market leaders.

Answer: D

281. What can be defined as the art and science of formulating, implementing and evaluating cross-functional decisions that enable an organization to achieve its objectives?

- A. Strategy formulation
- B. Strategy evaluation
- C. Strategy implementation
- D. Strategic management
- E. Strategic leading

Answer: D

282. Which of the following is not a cultural product?

- A. Rites
- B. Emotions
- C. Rituals
- D. Sagas
- E. Symbols

Answer: B

283. Which individuals are most responsible for the success and failure of an organization?

- A. Strategists
- B. Financial planners
- C. Personnel directors
- D. Stakeholders
- E. Human resource managers

Answer: A

284. Which of the following is an element of a firm's remote external environment?

- A. Competition
- B. Political agencies
- C. Suppliers
- D. Trade union

Answer: B

288. Long-term objectives should be all of the following except:

- A. measurable.
- B. continually changing.
- C. reasonable.
- D. challenging.
- E. consistent.

Answer: B

289. What are guides to decision making?

- A. laws
- B. rules
- C. policies
- D. procedures
- E. goals

Answer: C

290. According to Greenley, strategic management offers all of these benefits except that

- A. it provides an objective view of management problems.
- B. it creates a framework for internal communication among personnel.
- C. it encourages a favorable attitude toward change.
- D. it maximizes the effects of adverse conditions and changes.
- E. it gives a degree of discipline and formality to the management of a business.

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Answer: D

291. The vision and mission statement can often be found

- A. in the SEC report.
- B. in annual reports.
- C. on customer receipts.
- D. on supplier invoices.
- E. on community news bulletins

Answer: B

292 Which group would be classified as a stakeholder?

- A. Communities
- B. Banks
- C. Suppliers
- D. Employees
- e. All of these

Answer: e

293. The process of performing an external audit needs to include:

- A. only top level managers, as it's a planning function.
- B. as many managers and employees as possible.
- C. primarily front-line supervisors
- D. between 15 to 20 managers for it to be valid
- E. stockholders and external government agencies

Answer: B

294. Which of the following is not a stage of strategy formulation techniques?

- A. Formulation Framework
- B. Matching stage
- C. External factor evaluation
- D. Decision stage

Answer: B

295. ST Strategies is an important strategy to

- A. Match weakness with opportunities of the firm
- B. Overcome external threats
- C. Obtain benefit from its resources
- D. Overcome its weakness and reducing threats

Answer: B

296. The immediate external environment includes:

- A. Divisions
- B. S. B. U. s
- C. Competitors
- D. Management

Answer: C

297. The_____ comprises economic and social conditions, political priorities and technological developments, all of which must be anticipated, monitored, assessed and incorporated into the executive's decision making.

- A. Internal environment
- B. Task environment
- C. Operating environment
- D. Societal environment

Answer: D

298. Strategic management involves the_____, directing,_____ and controlling of a company's strategy-related decisions and actions.

- A. Financing; marketing
- B. Planning; financing
- C. Planning; organizing
- D. Marketing; planning

Answer: C

299. A strategy is a company's

- A. Value statement
- B. Pricing policy
- C. Game Plan to outsmart competitor
- D. Long-term objective

Answer: C

300. Strategy-formulation concepts and tools

- A. Do not differ greatly for different size and type of organizations

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- B. Differ greatly for different size and type of organizations
- C. Do not differ greatly for profit or nonprofit organizations but differ in small and large organizations
- D. None of the mentioned options

Answer: A

301. Annual objectives

- A. Are not critical to success
- B. Serve as guidelines for action, directing and channeling efforts and activities of organization members
- C. Are not important for employee motivation and identification
- D. Do not provide a basis for Organizational design

Answer: B

302. Annual objectives

- A. Need not to be consistent
- B. Should be easily achievable
- C. Should be measurable
- D. Should be confidential and not to be communicated throughout the organization

Answer: C

303. Which of the following resources is used by all organizations to achieve desired objectives?

- A. Financial resources,
- B. Physical resources,
- C. Human resources
- D. All of the mentioned options

Answer: D

304. Strategic management is

- A. A pure science.
- B. Based mainly on intuition.
- C. Needed mainly when Organizational performance falls.
- D. Based on the use of quantitative and qualitative information.

Answer: D

305. Large-scale, future-oriented plans, for interacting with the competitive environment to achieve company objectives refers to its

- A. Strategy
- B. Goals
- C. Competitive analysis
- D. Dynamic policies

Answer: A

306. Strategic issues require which level of management decisions?

- A. Operative
- B. Top
- C. Front-line
- D. Middle

Answer: B

307. Which of these basic questions should a vision statement answer?

- A. What is our business?
- B. Who are our employees?
- C. Why do we exist?
- D. What do we want to become?

Answer: D

308. _____ is not part of an external audit.

- A. Analyzing competitors
- B. Analyzing financial ratios
- C. Analyzing available technologies
- D. Studying the political environment

Answer: B

309. Strategic management process activate in the sequence of _____

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- A. Environmental scanning, Strategy formulation, Implementation, control and evaluation
- B. Strategy formulation, Environmental scanning, Implementation, control and evaluation
- C. Environmental scanning, Strategy Implementation, formulation, control and evaluation
- D. Strategy formulation, Implementation, control, evaluation, Environmental scanning

Answer: A

311. “A possible and desirable future state of an organization” is called:

- A. Mission
- B. Vision
- C. Strategy implementation
- D. None of above

Answer: B

312. Strategic decisions are based on what managers_____, rather than on what they_____.

- A. Know; forecast
- B. React to; anticipate
- C. Forecast; know
- D. Compromise with; analyze

Answer: C

313. “To improve economic strength of society and function as a good corporate citizen on a local, state, and national basis in all countries in which we do business”. This is a mission statement that contains:

- A. Self-concept
- B. Economic concern
- C. Products or Services
- D. Concern for Public Image

Answer: D

314. Strategic-management audit is known as:

- A. Environmental scanning
- B. Strategy formulation
- C. Strategy control
- D. Strategy evaluation

Answer: A

315. Forecasting tools can be broadly categorized into two groups. Those are:

- A. Qualitative, Operational
- B. Quantitative, Operational
- C. Qualitative, Quantitative
- D. Regression and time series analysis

Answer: C

316. _____ identifies a firm’s major competitors and their particular strengths and weaknesses in relation to a sample firm’s strategic position.

- A. Competitive Profile Matrix
- B. External Factor Evaluation matrix
- C. Internal Factor Evaluation Matrix
- D. Boston consulting group matrix

Answer: A

317. Organizing means an identifiable group of people contributing their efforts towards the attainment of same goal. It is important at the time of:

- A. Environmental scanning
- B. Strategy formulation
- C. Strategy Implementation
- D. Strategy evaluation

Answer: C

318. In a turbulent and competitive free enterprise environment, a firm will succeed only if it takes a(n)_____ stance towards change.

- A. Reactive
- B. Proactive
- C. Anti-regulatory or anti-government
- D. Vision and not mission

Answer: B

319. Which statement best describes intuition?

- A. It represents the marginal factor in decision-making.

- B. It represents a minor factor in decision-making integrated with analysis.
- C. It should be coupled with analysis in decision-making.
- D. It is better than analysis in decision-making.
- E. It is management by ignorance.

Answer: C

320. What are the means by which long-term objectives will be achieved?

- A. Strategies.
- B. Strengths.
- C. Weaknesses.
- D. Policies.
- E. Opportunities.

Answer: A

321. Which of these basic questions should a vision statement answer?

- A. What is our business?
- B. Who are our employees?
- C. Why do we exist?
- D. What do we want to become?
- E. Who are our competitors?

Answer: D

322. When an industry relies heavily on government contracts, which forecasts can be the most important part of an external audit.

- A. economic
- B. political
- C. technological
- D. competitive
- E. Multinational

Answer: B

323. _____ is not part of an external audit.

- A. Analyzing competitors
- B. Analyzing financial ratios
- C. Analyzing available technologies
- D. Studying the political environment
- E. Analyzing social, cultural, demographic and geographic forces

Answer: B

324. Which individuals are most responsible for the success and failure of an organization?

- A. Strategists
- B. Financial planners
- C. Personnel directors
- D. Stakeholders
- e. Human resource managers

Answer: A

325. Long-term objectives should be all of the following except:

- A. Measurable.
- B. Continually changing.
- C. Reasonable.
- D. Challenging.
- e. Consistent.

Answer: B

326. What are guides to decision making?

- A. laws
- B. rules
- C. policies
- D. procedures
- e. goals

Answer: C

327. Which group would be classified as a stakeholder?

- A. Communities
- B. Banks
- C. Suppliers
- D. Employees
- E. All of the given options

Answer: E

328. Typically how many strategic decision levels are in the corporate decision-making hierarchy?

- A. 3
- B. 4
- C. could be more than 5
- D. 2

Answer: A

329. Which type of trend can be exemplified by the increasing numbers of two- income households in a society?

- A. Social
- B. Economic
- C. Cultural
- D. Technological

Answer: B

330. External assessment is performed in which of the strategic management phase?

- A. Strategy formulation stage
- B. Strategy implementation stage
- C. Strategy evaluation stage
- D. All of the given options

Answer: A

331. Political variables have a significant effect on

- A. Strategy formulation and implementation
- B. Strategy formulation and evaluation
- C. Strategy implementation and evaluation
- D. Strategy formulation, implementation and evaluation

Answer: A

332. Strategic decisions ostensibly commit the firm for

- A. 1 -2 years
- B. The short term
- C. one years
- D. A long time, typically five years

Answer: D

333. Social responsibility is a critical consideration for a company's strategic decision makers since

- A. Stockholders demand it
- B. The mission statement must express how the company intends to contribute to the societies that sustain it
- C. It increases a company's profits
- D. It helps make decisions

Answer: B

334. "The perfect search engine would understand exactly what you mean and give back exactly what you want", this statement is included in the mission statement of an online firm and is showing which one of the following components?

- A. Self-concept
- B. Concern for public image
- C. A declaration of attitude
- D. Philosophy

Answer: B

335. Which of the following are signs of weakness in company's competitive position?

- A. A return-on-equity is below 25% and earnings per share of less than Rs. 2.00
- B. A price set by the firm higher than its rivals
- C. A declining market share, poor product quality and few sales in market
- D. Lower revenues and profit margin and narrow product line than the market leader

Answer: C

336. It directs at developing new products before competitors do at improving product quality or at improving manufacturing processes to reduce costs.

- A. Marketing
- B. Opportunity analysis

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C. Research and development

D. Management

Answer: C

337. “Identifying and evaluating key social, political, economic, technological and competitive trends and events”. Which of the followings best describes this statement?

A. Developing an effective mission statement

C. Performing an external audit

B. Conducting an internal audit

D. Formulating strategy

Answer: C

338. What is the central purpose of strategic evaluation?

A. Evaluate effectiveness of strategy to achieve Organizational objectives.

B. Evaluate effectiveness of control system to measure achievements.

C. Evaluate effectiveness of strategies to be implemented efficiently.

D. Evaluate effectiveness of the strategy implementation process.

Answer: A

339. Strategy evaluation at the _____ level involves using specific performance measures-qualitative and quantitative-for each functional are

A. Organizational

C. functional

B. operational

D. production

Answer: C

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4) Project Management

Q1. The **PERT** in project management means program evaluation and _____ technique.

- (A) resource
- (B) reconciliation
- (C) reconsideration
- (D) review

The answer is: (D) review

Q2. “Risk” is usually _____ as the project progresses.

- (A) increased
- (B) reduced
- (C) remained same
- (D) become negligible

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The answer is: (B) reduced

Q3. Assembling project team and assigning their responsibilities are done during which phase of a project management?

- (A) Initiation
- (B) Planning
- (C) Execution
- (D) Closure

The answer is: (A) Initiation

Q4. The basic nature of a project is a/an _____ one.

- (A) permanent
- (B) temporary
- (C) (A) or (B)
- (D) Both (A) and (B)

The answer is: (B) temporary

Q5. A process that involves continuously improving and detailing a plan as more detail become available is termed as

- (A) project analysis
- (B) project enhancing
- (C) progressive deliberation
- (D) progressive elaboration

The answer is: (D) progressive elaboration

Q6. A program is usually a group of

- (A) plans
- (B) people and work
- (C) related projects
- (D) unrelated projects

The answer is: (C) related projects

Q7. Which from the following statement(s) is/are NOT true?

- I.** Projects have defined objectives
 - II.** Programs have a larger scope than projects
 - III.** The projects and programs in a portfolio must be directly related
- (A) I only
 - (B) II only
 - (C) III only
 - (D) II and III only

The answer is: (C) III only

Q8. Projects management is divided in _____ process groups.

- (A) 5
- (B) 7
- (C) 9
- (D) 11

The answer is: (A) 5

9. The probability of completing the project can be estimated based upon the _____ .

- A** Uniform distribution curve
- B** Normal distribution curve.
- C** U-shaped distribution curve
- D** None of the above

Answer: Normal distribution curve.

10. In the initial stage of the project the probability of completing the project is ____ .

- A** Zero
- B** High
- C** Low
- D** Any of the above

Answer: Low

11. The entire process of a project may be considered to be made up on number of sub process placed in different stage called the

- A Technical key resources
- B Work key structure
- C Work Breakdown Structure (WBS).
- D None of the above

Answer: Work Breakdown Structure (WBS).

12. Tool used for comparison of the proposed project to complete projects of a similar nature whose costs are known.

- A Algorithmic model
- B Expert judgment
- C Top down
- D Analogy

Answer: Analogy

13. Each component of the software product is separately estimated and the results aggregated to produce an estimate for the overall job.

- A Algorithmic model
- B Expert judgment
- C Bottom-up
- D Top down

Answer: Bottom-up

14 Following is (are) the component(s) of risk management

- A Risk Assessment
- B Risk Control
- C Risk Ranking
- D All of the above

Answer: All of the above

15 Following are the characteristics of Project Mindset.

- A Time, Responsiveness, Information sharing, Processes, structured planning
- B Time, Project management, Information sharing, Processes, structured planning
- C Time, Responsiveness, Information sharing, capability, structured planning
- D Time, Responsiveness, Information sharing, Processes, project planning

Answer: Time, Responsiveness, Information sharing, Processes, structured planning

16. “Devising and maintaining a workable scheme to accomplish the business need” is

- A Initiating process
- B Planning process
- C Executing process
- D Controlling process

Answer: Planning process

17. Controlling the changes in the project may affect

- A The progress of the project
- B Stage cost
- C Project scope
- D All of the above

Answer: All of the above

18. Following is (are) the tool(s) for changing a process

- A Change Management System (CMS)
- B Configuration Management (CM)
- C Both (A) and (B)
- D None of the above

Answer: Both (A) and (B)

19. A ____ is a set of activities which are networked in an order and aimed towards achieving the goals of a project.

- A Project
- B Process
- C Project management
- D Project cycle

Answer: Project

20. Resources refers to

A Manpower

B Machinery

C Materials

D All of the above

Answer: All of the above

21. Developing a technology is an example of

A Process

B Project

C Scope

D All of the above

Answer: Project

22. The project life cycle consists of

A Understanding the scope of the project

B Objectives of the project

C Formulation and planning various activities

D All of the above

Answer: All of the above

23. Following is(are) the responsibility(ies) of the project manager.

A Budgeting and cost control

B Allocating resources

C Tracking project expenditure

D All of the above

Answer: All of the above

24. Following are the phases of Project Management Life Cycle. Arrange them in correct order: 1.Design, 2. Marketing, 3. Analysis and evaluation, 4. Inspection, testing and delivery

A 3-2-1-4

B 1-2-3-4

C 2-3-1-4

D 4-3-2-1

Answer: 3-2-1-4

25. Design phase consist of

A Input received

B Output received

C Both (A) and (B)

D None of the above

Answer: Both (A) and (B)

26. Project performance consists of

A Time

B Cost

C Quality

D All of the above

Answer: All of the above

27. Five dimensions that must be managed on a project

A Constraint, Quality, Cost, Schedule, Staff

B Features, Quality, Cost, Schedule, Staff

C Features, priority, Cost, Schedule, Staff

D Features, Quality, Cost, Schedule, customer

Answer: Features, Quality, Cost, Schedule, Staff

28. Resource requirement in project becomes constant while the project is in its _____ progress stage.

A 40 to 55%

B 55 to 70%

C 70 to 80%

D 80 to 95%

Answer: 80 to 95%

29. Which of the following is not project management goal?

- A** Keeping overall costs within budget
- B** Delivering the software to the customer at the agreed time
- C** Maintaining a happy and well-functioning development team
- D** Avoiding customer complaints

Answer: Avoiding customer complaints

31 Which of the following is not considered as a risk in project management?

- A** Specification delays
- B** Product competition
- C** Testing
- D** Staff turnover

Answer: Testing

32 The process each manager follows during the life of a project is known as

- A** Project Management
- B** Manager life cycle
- C** Project Management Life Cycle
- D** All of the mentioned

Answer: Project Management Life Cycle

33 A 66.6% risk is considered as

- A** very low
- B** low
- C** moderate
- D** high

Answer: high

34 Which of the following is/are main parameters that you should use when computing the costs of a software development project?

- A** travel and training costs
- B** hardware and software costs
- C** effort costs (the costs of paying software engineers and managers)
- D** all of the mentioned

Answer: all of the mentioned

35 Quality planning is the process of developing a quality plan for

- A** team
- B** project
- C** customers
- D** project manager

Answer: project

36 Which of the following is incorrect activity for the configuration management of a software system?

- A** Internship management
- B** Change management
- C** Version management
- D** System management

Answer: Internship management

37 Identify the sub-process of process improvement

- A** Process introduction
- B** Process analysis
- C** De-processification
- D** Process distribution

Answer: Process analysis

38 An independent relationship must exist between the attribute that can be measured and the external quality attribute.

- A** True
- B** False

Answer: False

39 The basic nature of a project is a/an _____ one.

- A** permanent
- B** temporary
- C** (A) or (B)
- D** Both (A) and (B)

Answer: temporary

40 A process that involves continuously improving and detailing a plan as more detail become available is termed as

- ☐ A project analysis
- ☐ B project enhancing
- ☐ C progressive deliberation
- ☐ D progressive elaboration

Answer: progressive elaboration

41 A program is usually a group of

- ☐ A plans
- ☐ B people and work
- ☐ C related projects
- ☐ D unrelated projects

Answer: related projects

42 Which from the following statement(s) is/are NOT true?

I. Projects have defined objectives

II. Programs have a larger scope than projects

III. The projects and programs in a portfolio must be directly related

- ☐ A I only
- ☐ B II only
- ☐ C III only
- ☐ D II and III only

Answer: III only

43 Projects management is divided in _____ process groups.

- ☐ A 5
- ☐ B 7
- ☐ C 9
- ☐ D 11

Answer: 5

44 If any one factor of a project changes, _____ other factor(s) is/are likely to be affected.

- ☐ A all
- ☐ B one
- ☐ C at least one
- ☐ D at most one

Answer: at least one

45 Business Value =

- ☐ A Tangible Elements
- ☐ B Intangible Elements
- ☐ C Tangible Elements – Intangible Elements
- ☐ D Tangible Elements + Intangible Elements

Answer: Tangible Elements + Intangible Elements

46 Which from the following is NOT a tangible element?

- ☐ A Fixtures
- ☐ B Trademarks
- ☐ C Monetary assets
- ☐ D Stockholder equity

Answer: Trademarks

47 Which from the following is NOT an intangible element?

- ☐ A Utility
- ☐ B Public benefit
- ☐ C Brand recognition
- ☐ D Good will

Answer: Utility

49 The strategy used to correct resource over-allocations by balancing demand for resources and the available supply is known as

- ☐ A resource assignment
- ☐ B resource leveling
- ☐ C resource splitting
- ☐ D resource scheduling

Answer: resource leveling

50 A horizontal bar chart that shows project tasks against a calendar is called

A. milestone

B goal

C Gantt chart

D PERT chart

Answer: Gantt chart

51 The statistical tool that depicts a project's tasks and the relationships between those tasks is known as

A milestone

C Gantt chart

B goal

D PERT chart

Answer: PERT chart

52 Which of the following statement(s) is/are true about a Project?

I. It brings change

II. It has risk

III. The outcome is certain

Which of the following statement(s) is/are true about a Project? I. It brings change II. It has risk III. The outcome is certain

A I only

C I and II only

B II only

D II and III only

Answer: I and II only

53 Which of the following is NOT a part of project management?

A initiating

C closing

B monitoring

D All above are parts

Answer: All above are parts

54 The scope of the work is defined in which phase of the project management?

A Initiating

C Executing

B Planning

D Closing

Answer: Initiating

55 How the project work will be carried out, monitored, and controlled? These questions are answered in which phase of the project management?

A Initiating

C Executing

B Planning

D Closing

Answer: Planning

55 The review of the successes and the mistakes is normally held during _____ phase.

A initiation

C execution

B planning

D closure

Answer: closure

57 The business case and the justification for the project is determined during the _____ phase.

A initiation

C execution

B planning

D closure

Answer: initiation

58 According to Olivier Mesly, the 4 P's critical for the success of a project are:

A plan, processes, people, policy

C plan, processes, potential, policy

B plan, processes, people, power

D plan, processes, potential, power

Answer: plan, processes, people, power

59. PERT stands for .

- A) Programme Evaluation and Research Techniques C) Programme Evaluation and Review Techniques
B) Project Evaluation and Review Techniques. D) Project Evaluation and Research Techniques.

Answer C

60. _____ is used to accomplish the project economically in the minimum available time with limited resources

- A) Project Scheduling. C) Budget Analysis.
B) Network Analysis. D) Critical Planning.

Answer A

61. Of the following one is not among the elements of Baum's project cycle which was developed in 1970, as initial work of the author?

- A) Identification C) Preparation
B) Evaluation D) None of the above

Answer D

62. Controlling the changes in the project may affect

- A) The progress of the project C) Project scope
B) Stage cost D) All of the above

Answer D

63. According to the UNIDO's project cycle model, one of the following is not belongs to the pre-feasibility phase of a project:

- A) Opportunity studies C) Implementation
B) Pre-feasibility studies D) Feasibility studies

Answer C

64. An intermediate stage between a project opportunity study and a detailed feasibility study in UNIDO's project model is:

- A) Pre-feasibility studies D) Implementation
B) Functional studies E) None of the above
C) Appraisal and selection

Answer A

65. Among the project cycle model, which one is developed in our nation?

- A) The Baum's Project cycle model C) The UNIDO's project cycle model
B) The DEPSA's project cycle model D) EPA's project cycle model

Answer B

66. Among the following one is not the source for project idea generation:

- A. Policies review & opportunity studies made by central government ministries
B. Sectorial strategies & sub-sectorial programs of technical ministries
C. Surveys conducted by local governments and regional organisations
D. None of the above

Answer D

67. _____ is a synonym to opportunity study under the UNIDO cycle, which is a very important phase in project planning.

- A) Identification stage C) pre-feasibility study
B) Pre-identification stage D) Appraisal stage
a. Technical Analysis
b. Social Analysis
c. Institutional Analysis
d. Profitability Analysis

Answer C

68. Among the following one may **not** be component of feasibility study of public project:

Answer d

69. Among the feasibility dimension, which one is **not** necessarily conducted on public project?

- a. Environmental impact analysis
- b. Social Analysis
- c. Market Analysis
- d. Technical analysis

Answer C

70. The major objective of market analysis is to:

- a. Determine whether there is a gap between demand and supply
- b. Determine financial profitability of the project
- c. Ensure economic viability of the project
- d. None of the above

Answer A

71. _____ projects are nearest at certain area (proximity to an input) because it is better to transport end products (outputs) than raw materials for the cost involved in transporting raw materials is greater than the cost incurred to transport end products

- a. Rooted Projects B) Tied C) Foot lose D) All

Answer A

72. Infrastructure Conditions of project site selection does not includes

- a. Technical infrastructure
- b. Transport and communication
- c. Social infrastructure (Police, Court, etc)
- d. None

Answer D

73. Of the following one is traditional techniques for project financial evaluation criterias do not consider the time value of money

- A) Payback period
- B) Accounting rate of return
- C) Internal rate of return (IRR)
- D) A&B are correct

Answer D

74. _____ is primarily concerned with the identification of the project demand potential and the selection of the optimal technology.

- A) Techno-economic analysis.
- B) Feasibility analysis.
- C) Input analysis.
- D) Financial analysis.

Answer A

75. _____ is the analysis of costs and benefits of a proposed project with the goal of assuming a rational allocation of limited funds.

- A) Project formulation
- B) Project evaluation
- C) Project appraisal
- D) Project Design

Answer C

76. May be defined as the excess of present value of project cash inflows over that of out flows.

- A) Net present value technique
- B) Average rate of return
- C) Benefit-Cost ratio
- D) Internal rate of return

Answer A

77. _____ is the systematic development of a project idea for the eventual purpose of arriving at an investment decision

- A) Project identification
- B) Project formulation
- C) Project feasibility
- D) Project evaluation

Answer B

78. The process of preparing an inventory of skills needed for effective implementation of the project is called as .

- A) Economic viability
- B) Financial feasibility
- C) Technical feasibility
- D) Managerial competence

Answer D

79. _____ implies the availability or otherwise of plant and machinery and technical know-how to produce the product.

- A) Economic viability
- B) Financial feasibility
- C) Technical feasibility
- D) Managerial competence

Answer C

80. CPM stands for .

- A) Continuous Path Method
- B) Clear Path Method
- C) Critical Path Method
- D) Critical Probabilistic Method

Answer C

81. _____ is primarily concerned with the identification, qualification and evaluation of the project resources.

- A) Techno-economic analysis.
- B) Feasibility analysis
- C) Input analysis
- D) Financial analysis

Answer B

82. Which is included in the project cost, is estimated on the basis of the year when the enterprise breaks even.

- A) Working capital
- B) Cost of capital
- C) Cost of production
- D) Cost of equity

Answer A

83. Which of the following is **not** considered to be a characteristic of a project?

- A) An established objective
- B) Complex tasks
- C) A clear beginning and end
- D) Only for internal use

Answer D

84. Project management is ideally suited for a business environment requiring all of the following except .

- A) Flexibility
- B) Innovation
- C) Speed
- D) Repeatability

Answer D

85. Integration of project management with the organization takes place with the

- A) Master budget
- B) Strategic plan
- C) Process of managing actual projects
- D) Both B and C

Answer D

86. Project mission and objectives, procedures and systems used, and organization resources used typically appear in the section of the final project report.

- A) Analysis
- B) Recommendation
- C) Lessons learned
- D) Financial feasibility

Answer A

87. What are the components of the project report

- A) Requirement of funds
- B) Location
- C) Manpower
- D) All the above

Answer D

88. Market potential of the project report includes

- A) Demand and Supply conditions
- B) Market strategy
- C) After sales service
- D) All the above

Answer D

89. Project risk management is best described as:

- A) Managing responses to threats
- B) Identifying and acknowledging threats and opportunities
- C) Planning responses to threats
- D) Minimizing threats and maximizing opportunities

Answer D

90. Which one of the following statements is true?

- A) An increase in project scope is likely to increase project cost.
- B) A decrease in the project time is likely to increase project quality.
- C) An increase in the project quality requirements is likely to decrease project cost.
- D) A decrease in the project cost is likely to decrease project time.

Answer A

91. The phases of a project life cycle are:

- A) Starting, planning, control and closing.
- B) Concept, definition, development, handover and closure.
- C) Initiation, definition, planning, monitoring and operations.
- D) Concept, definition, implementation and operations

Answer B

92. Who are project team members primarily accountable to?

- A) External stakeholders.
- B) The end users.
- C) The finance director.
- D) The project manager

Answer D

93. The main purpose of the Project Management Plan is to:

- A) Provide justification for undertaking the project in terms of evaluating the benefit, cost and risk of alternative options.
- B) Ensure the project sponsor has tight control of the project manager's activity.
- C) Document the outcomes of the planning process and provide the reference document for managing the project.
- D) document the outcome of the risk, change and configuration management processes

Answer C

94. Project reporting can best be defined as:

- A) Informing stakeholders about the project.
- B) Storing and archiving of project information.
- C) Gathering stakeholder feedback.
- D) Collecting project information.

Answer A

95. Who owns the Project Management Plan (PMP)?

- A) The project team
- B) The chief executive
- C) The project manager
- D) The project support office

Answer C

96. Among the following one is macroeconomic indicators of country

- A) Economic Growth (GDP)
- B) Public Sector Expenditures
- C) Sources of Funds (Revenue)
- D) All

Answer D

97. All are the characteristics of a project **Except**

- A) specific objectives
- B) specific life time
- C) specific location
- D) No clear and detailed financial resource allocation

Answer D

98. Which of the following may best describe a project? It is:

- A) An integral part of the national development strategy
- B) The overall development policy of a country
- C) A cutting edge of development
- D) All of the above

Answer D

99. From the project parameters one is contemporary added

- A) Quality
- B) Cost
- C) time
- D) Customer satisfaction

Answer D

100. According to the UNIDO's project cycle model, one of the following is **not** belongs to the **Pre-investment phase** of a project:

- A) project identification
- B) pre-selection
- C) preparation
- D) None of the above

Answer D

101. Project ideas comes from

- A) Policies review & opportunity studies made by central government ministries
- B) Sectorial strategies & sub-sectorial programs of technical ministries
- C) Surveys conducted by local governments and regional organizations
- D) All

Answer D

102. An intermediate stage between a project opportunity study and a detailed feasibility study in UNIDO's project model is:

- A) Pre-feasibility studies
- B) Functional studies
- C) Appraisal and selection
- D) Implementation

Answer A

103. One is Micro Sources of Project Ideas?

- A) Federal/Central or Regional Governments
- B) Bilateral and Multilateral Agreement
- C) International Development Agencies
- D) Consumer Groups and Associations

Answer D

104. One is the Problems in Project Identification?

- A) Ambiguity regarding the Development Goals of the nation
- B) Priority Issues in the Existing Development Goals
- C) Limited Data and Obstacles in Information Flow and accessibility
- D) All

Answer D

106. Feasibility Study For Commercial Projects does **not** include:

- A) Market and Demand analysis
- B) Raw materials and supplies study
- C) Location, site, and environmental assessment
- D) none

Answer D

105. According to UNIDO Approach classification of industry project raw materials:

- A) Agricultural products
- B) Livestock and forest products
- C) Supply Marketing and Supply Program
- D) A&B

Answer D

106. All are Marketing Costs of project **Except**

- A) advertisement cost
- B) Promotion cost
- C) Distribution cost
- D) Land lease cost

Answer D

107. The followings are Classification of Raw Materials according to UNIDO:-

- A) Agricultural products
- B) Livestock and forest products
- C) Marine products
- D) All

Answer D

108. The following one is not Current Ethiopian Mega projects?

- A) Gorgora
- B) GERD
- C) Coffee Exporting
- D) Koisha

Answer C

109. One is Bitter Consequences Of Poor Project Preparation

- A) Low capacity utilization
- B) Deteriorated financial profitability
- C) Lingering illness or the sudden death syndrome
- D) All

Answer D

110. The major theme of public projects feasibility study includes_____

- A) whether the projects are socially desirable
- B) whether the projects improve the wellbeing of the general public
- C) It enhance the national economic development
- D) All

Answer D

111. _____ Projects are nearest to the market (proximity to the market) because the transportation of the final product is uneconomical.

- A) Routed project
- B) Tied projects
- C) Foot lose project
- D) All

Answer B

112. The Traditional project Financial evaluation method or techniques include

- A) ARR
- B) IRR
- C) Net present value
- D) A&C

Answer A

114. The major components of the financial cost-benefit dimension and the aspects that require detailed analysis include

- A) Investment cost estimation Revenue estimation
- B) Estimation of production costs & expenses Profitability analysis
- C) Cash flow estimation and evaluation Financial ratio analysis
- D) All of the above

Answer D

115. Of the following one is not General Guidelines For Estimating Costs And Benefits

- A) Project Inputs, Outputs, and Prices
- B) Impacts of Inflation
- C) Estimating the Economic Life of a Project
- D) None

Answer D

116. The purpose of financial analysis is to provide financial information to

- A) Potential investors,
- B) Promoters

C) Financers to make decision on whether a fund should be invested in the project

D) All

Answer D

117. The project financial analysis should indicate

A) The most viable alternative

C) It indicate how funds will be obtained for investment, D) All

B) It Indicate critical alternatives of the project

Answer D

118. The Initial Investment cost of the project does not include

A) Cost of land

C) Project study costs

B) Cost of building

D) Cost of vehicles

Answer C

119. Of the following one is Administrative costs of project

A) Wages and salaries

C) Cost of vehicles

B) Cost of building

D) All

Answer A

120. _____ is a systematic and periodic gathering, analyzing and interpreting of inputs, information on the effects and impacts of a development Program/project in order that it may be adjusted where necessary.

A) Evaluation

C) Implementation

B) Monitoring

D) All of the above

Answer A

121. _____ Creating a system of control and accountability, which can provide rapid feedback to policy makers, planners and managers on the performance and potential problems of development programs and projects are very crucial

A) Monitoring

C) Evaluation

B) Implementation

D) Cost benefit Analysis

Answer A

122. _____ refers to a person's characteristic approach to work, including such things as organization; priority setting, and handling of paperwork and e-mail.

A) Work habits

C) Socialization

B) Work culture

D) A&B

Answer D

123. People procrastinate (Delay) for many different reasons. The common ones are

A) The fear of success

C) A way of rebelling against being controlled

B) Negative evaluation of your work

D) All

Answer D

124. Of the following one is Financial Statements

A) Income Statement

C) Owner's equity statement

B) Balance Sheet

D) All

Answer D

125. _____ refers to determining the strengths and weaknesses of competitors and designing ways to take opportunities or tackle threats posed by competitors.

A) Marketing Research

C) Competitive analysis

B) Marketing Information

D) Marketing Intelligence

Answer C

126. Technical Viability of the business does not include

- A) Technology & its source
- B) Production process

- C) Infrastructure and Facilities
- D) Marketing Practices

Answer D

127. The **PERT** in project management means program evaluation and _____ technique.

- A) Resource
- B) reconciliation
- C) reconsideration
- D) review

Answer D

128. “Risk” is usually _____ as the project progresses.

- A) increased
- B) reduced
- C) remained same
- D) become negligible

Answer B

129. Assembling project team and assigning their responsibilities are done during which phase of a project management?

- A) Initiation
- B) Planning
- C) Execution
- D) Closure

Answer A

130. The basic nature of a project is a/an _____ one.

- A) permanent
- B) temporary
- C) A&B
- D) None

Answer B

131. A process that involves continuously improving and detailing a plan as more detail become available is termed as

- A) project analysis
- B) project enhancing
- C) progressive deliberation
- D) progressive elaboration

Answer D

132. A program is usually a group of

- A) plans
- B) people and work
- C) related projects
- D) unrelated projects

Answer C

133. Which of the following is not project management goal?

- A) Keeping overall costs within budget**
- B) Delivering the software to the customer at the agreed time**
- C) Maintaining a happy and well-functioning development team**
- D) Avoiding customer complaints**

Answer D

134. Project managers have to assess the risks that may affect a project.

- A) True**
- B) False**

Answer B

135. Which of the following is not considered as a risk in project management?

- A) Specification delays**
- B) Product competition**
- C) Testing**
- D) Staff turnover**

Answer C

136. The process each manager follows during the life of a project is known as

- A) Project Management**
- B) Manager life cycle**
- C) Project Management Life Cycle**
- D) All of the mentioned**

Answer C

137. Quality planning is the process of developing a quality plan for

- A) team**
- B) project**
- C) customers**
- D) project manager**

Answer B

138. If any one factor of a project changes, _____ other factor(s) is/are likely to be affected.

- A) all**
- B) one**
- C) at least one**
- D) at most one**

Answer C

139. Business Value =

- A) Tangible Elements**
- B) Intangible Elements**
- C) Tangible Elements – Intangible Elements**
- D) Tangible Elements + Intangible Elements**

Answer D

140. Which from the following is NOT a tangible element?

- A) Fixtures**
- B) Trademarks**
- C) Monetary assets**
- D) Stockholder equity**

Answer B

141. Which from the following is NOT an intangible element?

- A) Car**
- B) Public benefit**
- C) Brand recognition**
- D) Good will**

Answer A

142. Which from the following represents the correct project cycle?

- A) Planning→Initiating→Executing→Closing**
- B) Planning→Executing→Initiating→Closing**
- C) Initiating→Planning→Executing→Closing**
- D) Initiating→Executing→Planning→Closing**

Answer C

143. The strategy used to correct resource over-allocations by balancing demand for resources and the available supply is known as

- A) resource assignment**
- B) resource leveling**
- C) resource splitting**
- D) resource scheduling**

Answer B

144. A horizontal bar chart that shows project tasks against a calendar is called

- A) milestone**
- B) goal**
- C) Gantt chart**
- D) PERT chart**

Answer C

145. The statistical tool that depicts a project's tasks and the relationships between those tasks is known as

- A) milestone**
- B) goal**
- C) Gantt chart**
- D) PERT chart**

Answer D

146. Which of the following is NOT a part of project management?

- A) initiating**
- B) monitoring**
- C) closing**
- D) All above are parts**

Answer D

147. How the project work will be carried out, monitored, and controlled? These questions are answered in which phase of the project management?

- A) Initiating
- B) Planning

Answer B

148. The review of the successes and the mistakes is normally held during _____ phase.

- A) initiation
- B) planning

- C) Executing
- D) Closing

- C) execution
- D) closure

Answer D

149. According to Olivier Mesly, the 4 P's critical for the success of a project are:

- A) plan, processes, people, policy
- B) plan, processes, people, power

- C) plan, processes, potential, policy
- D) plan, processes, potential, power

Answer B

150. A _____ is a set of activities which are networked in an order and aimed towards achieving the goals of a project.

- A) Project
- B) Process

- C) Project management
- D) Project cycle

Answer A

151. Resources refers to

- A) Manpower
- B) Machinery

- C) Materials
- D) All of the above

Answer D

152. The project life cycle consists of

- A) Understanding the scope of the project
- B) Objectives of the project

- C) Formulation and planning various activities
- D) All of the above

Answer D

153. Following is(are) the responsibility(ies) of the project manager.

- A) Budgeting and cost control
- B) Allocating resources

- C) Tracking project expenditure
- D) All of the above

Answer D

154. Design phase consist of

- A) Input received
- B) Output received

- C) Both (A) and (B)
- D) None of the above

Answer C

155. Project performance consists of

- A) Time
- B) Cost

- C) Quality
- D) All of the above

Answer D

156. In the initial stage of the project the probability of completing the project is ____ .

- A) Zero
- B) High

- C) Low
- D) Any of the above

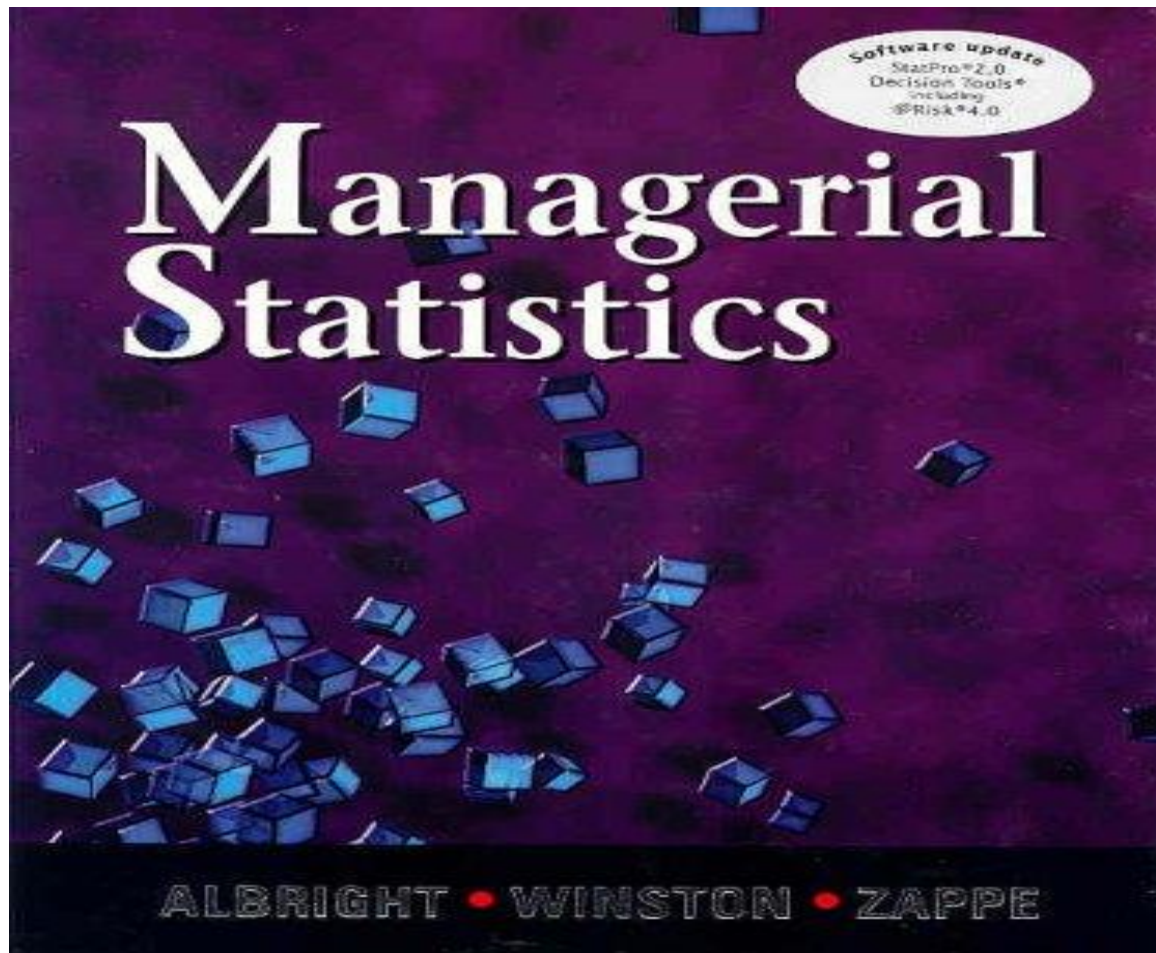
Answer D

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4: MANAGERIAL STATISTICS AND BUSINESS RESEARCH1

1. Business Research Methods
2. Statistics for Management I
3. Statistics for Management II
1. Business Research Methods

1) Process of obtaining a numerical description of the extent to which a person or object possesses some characteristics

- a) Measurement b) Scaling c) Questionnaire d) Interview

Answer: A

2) Measurement that involves monitoring a respondent's involuntary responses to marketing stimuli via the use of electrodes and other equipment is called

- a) Projective Techniques b) Physiological measures
c) Depth Interviews d) Multi-dimensional Scales

Answer: B

3) Method that involves the selection of items by a panel of judges on the basis of their relevance, the potential for ambiguity, and the level of the attitude they represent

- a) Cumulative scale b) Arbitrary Scale
c) Item Analysis d) Consensus Scaling

Answer: D

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- 4) Scale in which the respondent directly compares two or more objects and makes choices among them is
a) Ranking Scale b) Rating Scale c) Graphic Scale d) None of these

Answer: A

- 5) Original source from which researcher directly collects the data that has not been previously collected
a) Primary data b) Secondary Data c) Tertiary Data d) None of these

Answer: A

- 6) Technique in which the respondents and/or the clients communicate and/or observe by use of the internet
a) Online Ethnography b) Online Interview
c) Online Questionnaire d) Online Focus Group

Answer: D

- 7) Issue to be considered for the secondary data include which of the following
a) Sufficiency b) Reliability c) Suitability d) All of the above

Answer: D

- 8) Method that involves recording the behavioral pattern of people, objects and events in a systematic manner to obtain information about the phenomenon of interest
a) **Observation** b) Online Survey c) Schedules d) Warranty Cards

Answer: A

- 9) Technique that allow several members of a hiring company to interview a job candidate at the same time is
a) **Panel Interview** b) Self-administered interview
c) Mail Interview d) Electronic Interview

Answer: A

- 17) Qualitative methods are probably the oldest of all the scientific techniques, the method of qualitative research is:
a) Questionnaire b) Attitude Scales **c) Depth Interview** d) Observation

Answer: C

- 18) In validity of measurement scales, validity can be measured through several methods like
a) Content b) Criterion c) Construct **d) All of the above**

Answer: D

- 19) The test of reliability is an important test of sound measurement. The methods to evaluate reliability of scales are:
a) Convergent b) Delegating measurement strategies
c) Split-Halves Method d) None of the above

Answer: C

- 20) The most common scales used in research are
a) Nominal b) Ratio c) Ordinal **d) All of the above**

Answer: D

- 21) In scale construction technique, scale can be developed by
a) Ratio Scale **b) Cumulative Scale** c) Nominal scale d) Ordinal scale

Answer: B

- 22) The criteria for good scale is developed by
a) Reliability b) Practicability c) Sensitivity **d) All of the above**

Answer: D

- 24) The main problem in questionnaire is
a) Accessible to Diverse Respondent
b) Greater Anonymity
c) Shows an inability of respondent to provide information

d) None of these

Answer: C

- 25) What are the two types of sampling methods?
a) Random or probability sampling and non-probability sampling
b) Probability sampling and random sampling
c) Probability sampling and non-random sampling d) All of the above
- 26) It is a special non-probability method used when the desired sample characteristic is rare, which sampling
a) Panel Sampling b) Snowball sampling
c) Convenience sampling d) Purposive Sampling
- 27) The university book shop selects 200 of its more than 8000 customers to participate in a study on service quality in the shop. The book Shop has established a _____ for use in its research.
a) Population b) Field setting
c) Dependent grouping d) Sample
- 28) A good sampling frame must be
a) Relevant b) Complete
c) Precise d) All of the above
- 29) How many different sample of size 3 can be taken from the population comprising 5 elements? a) 7 b) 12 c) 5 d) 10
- 30) When sample size increases, which of the followings correct?
a) The standard error remains unchanged b) The standard error increases
c) The standard error declines d) None of the above
- 31) In case the population has a normal distribution, then the sampling distribution of the mean
a) Has a mean equal to the population mean b) Has normal distribution
c) Both a and b d) None of these
- 32) In which of the following sample designs, maps rather than lists or registers are used as the sampling frame?
a) Simple random sample b) Cluster sample
c) Area Sample d) none of these
- 33) Suppose that a population with $N = 200$ has $\mu = 30$. What is the mean of the sampling distribution of the mean for sample of size 40?
a) Not possible to determine as this information is inadequate c) 25
b) 40 d) 30
- 34) A sample study is a study of
a) Whole population b) Only representative items
c) 51 items d) None of these
- 35) Among the following methods which is not a probability sampling method? a) Systematic sampling b) Stratified sampling
c) Cluster sampling d) Quota sampling
- 36) Among the following methods which is not the non-probability sampling method?
a) Convenient sampling b) Quota sampling
c) Judgement sampling d) Systematic sampling
- 37) Which of the following is the example of random sampling techniques?
b) Taking the name of every person in a telephone book
c) Generating a list of numbers by picking numbers out of a hat and matching these numbers to names in the telephone book
d) Taking every tenth or twentieth name from a list of everybody in the telephone book
e) All of the above

- 38) Pat Robertson is running for parliament in the General Election. She needs to know the intended choices of the voters and will undertake a survey. All the voters on the Electoral Register in her constituency would be the study's
- Sample
 - Dependent variable
 - Population
 - Independent variable
- 39) What are the types of Random or probability sampling?
- Area sampling and Judgmental sampling
 - Stratified sampling and Area sampling
 - Judgmental sampling and Quota sampling
 - Sequential sampling
- 24) Greg Beck of Quality Market Research tells placement student John to go out and select for personal interview ten men and ten women. Greg is using _____ sampling for this phase of the research.
- Random
 - Stratified
 - Quota
 - Area
- 25) When there is a significant difference between the statistic and parametric values, it means that
- Sample statistic is representative of the population parameter
 - Static value is used to approximate parameter
 - The difference is real
 - None of the above
- 26) The process of selecting a number of participants for a study in such a way that they represent the larger group from which they were selected is known as
- Research Design
 - Sampling
 - Data collection
 - Random assignment
- 27) If the standard error of the population is reduced by 50 per cent, the sample size becomes
- Double
 - Increase 6 times
 - Increase 4 times
 - None of the above
- 28) Which of the following is not likely to be used to stratify a sample for a study investigating the use of a computerized algebra program?
- Gender
 - Ethnicity
 - Socio-economic status
 - Number of siblings in the home
- 29) Which of the following is not a random sampling technique?
- Purposive sampling
 - Stratified Sampling
 - Cluster sampling
 - Systematic sampling
- 30) Which frequency expresses the number of items in an interval as a proportion or fraction of the total number of items in the data set?
- Relative frequency
 - Percentage Frequency
 - Cumulative frequency
 - None of the above
- 31) Which steps involves in processing operations of data after collection of data?
- Coding
 - Classification
 - Editing
 - Tabulation
- 32) Which is type of frequency distribution?
- Continuous or grouped frequency distribution
 - Discrete or ungrouped frequency distribution
 - Cumulative Frequency Distribution
 - All of the above
- 33) In which analysis, when there is a single measurement of each of the n sample objects or where there are several measurements of each of the n observations but each variable is analysed in isolation?
- Univariate Analysis
 - Bivariate Analysis
 - Multivariate Analysis
 - None of these
- 34) If a group of N observations is arranged in ascending or descending order of magnitude, then the middle value is called
- Mean
 - Median
 - Mode
 - None of these

- 35) If one knows that the yield and rainfall are closely related then one want to know the amount of rain required to achieve a certain production. For this purpose we use analysis
a) Regression Analysis b) Coefficient of Correlation
c) Scatter Plots/Diagram d) None of these
- 36) When two attributes are present or absent together in the data and actual frequency is morethan the expected frequency is called
a) Positive Association b) Negative Association
c) Independent Association d) None of these
- 37) Which is not type of test of significance for small sample?
a) t- test b) z-test c) F-test d) Q-test
- 38) Which test is the part of the parametric test?
a) Sign Test b) Run Test for Randomness
c) Kruskal-Willis Test d) z-test
- 39) Which analysis comes under inferential analysis?
a) Univariate Analysis b) Bivariate Analysis
c) Multivariate Analysis d) Hypothesis Testing
- 38) The procedure of classifying the answers to a question into meaningful categories is called
a) Coding b) Classification c) Editing d) Tabulation
- 39) Which of the following constitute the essential elements of coding ?
a) Mutually exclusive b) Single Dimension c) Code Sheet d) all of these
- b) 20) Whichamong the following is type of frequency?
a) Relative frequency b) Percentage frequency
c) Cumulative frequency d) All of the above
- 40) A bar chart or graph showing the frequency of occurrence of each value of the variable beinganalyzed is called
a) Bar Chart b) Histogram
c) Candle stick d) None of these
- 41) A chart is a style of bar-chart used primary to describe price movements of a security, derivative, or currency over time is called
a) Leaf and stem b) Histogram
c) Candle Stick d) Bar chart
- 42) A group of observations is the quotient obtained by dividing the sum of all the observations by their number, is called
a) Mean b) Median c) Mode d) None of these
- 43) Which analysis is the simultaneous analysis of two variables? a) Univariate Analysis
b) Bivariate Analysis
c) Multivariate Analysis d) None of these
- 44) The assumption of normal distribution for the variable under consideration or some assumption for a parametric test is not valid or is doubtful then we use
a) Parametric Test Test
b) Non-Parametric Test d) All of the above
c) Both Parametric Test and Non-Parametric
- 45) What is abbreviation of ANOVA?
a) Analysis of variance b) Analysis of variation
c) Analysis of variant d) None of these
- 46) The_research leads to discovery of new theories and development ofexisting theories.**
a) exploratory c) Pure
b) experimental d) applied

Answer: Pure

47) A set of logically interrelated statements in the form of empirical assertions about

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properties of infinite class of events or things is known as _____

- a) concept
- b) construct
- c) Theory
- d) hypothesis

Answer: Theory

48) _____ research seeks to explain what is happening in a particular situation.

- a) ascriptive
- b) causal
- c) Formulative
- d) None

Answer: causal

49) _____ research is a fact finding investigation

- a) descriptive
- b) Formulate
- c) causal
- d) None

Answer: descriptive

50) _____ building broadly consists of observation, induction and deduction.

- a. concept
- b. construct
- c. Theory
- d. hypothesis

Answer: Theory

51) The _____ method consists of studying several individual cases and drawing generalization.

- a. Induction
- b. Retroduction
- c. deduction
- d. None

Answer: Induction

52) _____ follows an approach which is from “general to specific”.

- a. Retrodictions
- b. deduction
- c. induction
- d. None

Answer: deduction

53) A _____ is an abstraction formed by generalizations from particulars.

- A. concept
- B. hypothesis
- C. Theory
- D. construct

Answer: concept

54) _____ research is a management tool that can be used for creating business strategies, managing production and managing growth

- a. educational
- b. Social
- c. descriptive
- d. business

Answer: business

55) A _____ is a concept that is not directly observable.

- a. hypothesis
- b. Theory
- c. concept
- d. construct

Answer: construct

56) The research leads to discovery of new theories and development of existing theories.

- a. experimental
- b. applied
- c. exploratory
- d. Pure

Answer: Pure

57) An _____ is a procedure agreed upon for translation of a concept into measurement of some kind.

- a. Operational definition
- b. hypothesis
- c. proposition
- d. concept

Answer: Operational definition

58) _____ research is a preliminary study of a new problem about which the

researcher has little or no knowledge.

- a. exploratory
- b. Pure
- c. applied
- d. experimental

Answer: exploratory

59) _____ research is a preliminary study of a new problem about which the researcher has little or no knowledge.

- a. A. applied
- b. B. Basic
- c. C. experimental
- d. D. exploratory

Answer: exploratory

60) The major use of _____ research is explanation of the state of affairs, as it exists at present

- a. causal
- b. descriptive
- c. Formulative
- d. None

Answer: descriptive

61) _____ research deals with practical problems.

- a. applied
- b. Basic
- c. experimental
- d. exploratory

Answer: applied

62) A _____ is a statement about observable phenomena that may be judged as true or false.

- a. concept
- b. hypothesis
- c. proposition
- d. construct

Answer: proposition

63) Business research means the discovery of new knowledge in the field of _____

- a. General
- b. Business
- c. Management
- d. administration

Answer: Business

64) A hypothesis is a _____ about the predicted relationships among events or variables

- a. prediction
- b. conclusion
- c. Statement
- d. None

Answer: Statement

65) A _____ is an abstraction formed by generalizations from particulars.

- a. concept
- b. Constructs
- c. deduction
- d. induction

Answer: concept

66) _____ research is mainly concerned with generalizations and with the formulation of a theory.

- a. exploratory
- b. applied
- c. Basic
- d. experimental

Answer: Basic

67) _____ is a set of logically interrelated statements in the form of empirical assertions about properties of infinite class of events or things.

- a. Theory
- b. conclusion
- c. Abstract
- d. None of these

Answer: Theory

68) In _____ research, the researchers try to find out answers for unsolved questions related with business problems.

- a. administration
- b. Business
- c. Management
- d. None

Answer: Business

69) A theory explains and predict about a _____

- a. principles
- b. conclusion
- c. Phenomenon
- d. None

Answer: Phenomenon

70) _theory represents the common view of the nature of the relationship between theory and research.

- a. rational
- b. deduction
- c. Induction
- d. None

Answer: deduction

99. A _____ analysis determines the cost of each production item used to produce goods and services.

- A. financial
- B. technical
- C. Marketing
- D. investment

Answer: financial

100. _____ is regarded as reasoning from the general to particular.

- 1. deduction
- 2. Induction
- 3. rational
- 4. None

Answer: deduction

108. The research that is especially carried out to test and validate the study hypotheses is termed

- (a) Fundamental research
- (b) Applied research
- (c) Conclusive research
- (d) Exploratory research

Answer: (C)

109. The research studies that explore the effect of one thing on another and more specifically, the effect of one variable on another are known as

- (a) Causal research
- (b) Applied research
- (c) Conclusive research
- (d) Exploratory research

Answer: (A)

114. Marketing department of a business organisation carries out research related to:

- (a) Product
- (b) Pricing
- (c) Promotion
- (d) All the above

Answer: (D)

115. Demand forecasting and quality assurance and management are part of

- (a) Personnel and human resource management
- (b) Marketing function
- (c) Financial and accounting research
- (d) Production and operations management

Answer: (A)

125. Which of these is not a step in the problem identification process?

- (a) Discussion with subject experts
- (b) Review of existing literature
- (c) Theoretical foundation and model building
- (d) Management decision making

Answer: (D)

138. In a research proposal, the time-bound dissemination of the study with the major phases of the research has to be presented using the

- (a) CPM
- (b) GANTT charts
- (c) PERT charts
- (d) All the above

Answer: (D)

172. Observation is a direct method of collecting

- (a) Primary data
- (b) Secondary data
- (c) Both
- (d) Published data

Answer: (A)

173. Observing the remains or the leftovers of the consumers' basket is referred to as

- (a) Structured observation
- (b) Unstructured observation
- (c) Trace analysis
- (d) Mechanical observation

Answer: (C)

174. In case one wants to know why some people use plastic bags for carrying their groceries even after the imposition of a ban on plastic bags by the Delhi Government, one may use the observation method to collect the data. (True/False)

Answer: False

175. Usually the observation method entails that the observation is disguised, i.e., carried out without the respondent's knowledge. (True/False)

Answer: False

175- Hypothesis refers to

- A. The outcome of an experiment
- B. A conclusion drawn from an experiment
- C. A form of bias in which the subject tries to outguess the experimenter

D. A tentative statement about the relationship

176- Statistics is used by researchers to

- A. Analyze the empirical data collected in a study**
- B. Make their findings sound better
- C. Operationally define their variables
- D. Ensure the study comes out the way it was intended

177- A literature review requires

- A. Planning
- B. Good & clear writing
- C. Lot of rewriting
- D. All of the above**

178- A literature review is based on the assumption that

- A. Copy from the work of others

B. Knowledge accumulates and learns from the work of others

- C. Knowledge disaccumulates
- D. None of the above option

179- A theoretical framework

- A. Elaborates the r/s among the variables
- B. Explains the logic underlying these r/s
- C. Describes the nature and direction of the r/s
- D. All of the above**

180- Which of the following statement is not true?

- A. A research proposal is a document that presents a plan for a project
- B. A research proposal shows that the researcher is capable of successfully conducting the proposed research project

C. A research proposal is an unorganized and unplanned project

- D. A research proposal is just like a research report and written before the research project

181- Preliminary data collection is a part of the

- A. Descriptive research
- B. Exploratory research
- C. Applied research
- D. Explanatory research

182- Conducting surveys is the most common method of generating

- A. Primary data**
- B. Secondary data
- C. Qualitative data
- D. None of the above

183- After identifying the important variables and establishing the logical reasoning in theoretical framework, the next step in the research process is

- A. To conduct surveys
- B. To generate the hypothesis
- C. To focus group discussions
- D. To use experiments in an investigation

184- The appropriate analytical technique is determined by

- A. The research design
- B. Nature of the data collected

C. Nature of the hypothesis

D. Both A & B

185- Hypothesis refers to

A. The outcome of an experiment

B. A conclusion drawn from an experiment

C. A form of bias in which the subject tries to outguess the experimenter

D. A tentative statement about the relationship

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C. Knowledge disaccumulates

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C. Qualitative data

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C. To focus group discussions

D. To use experiments in an investigation

193. - The appropriate analytical technique is determined by

A. The research design

B. Nature of the data collected

C. Nature of the hypothesis

D. Both A & B

194. One of the category of the statistical method is

A managerial statistics

B decision science

C inferential statistics

D industry statistics

Answer: inferential statistics

195. The branch of statistics in which the data is collected according to ordinal scale or nominal scale is classified as

A distribution statistics

B sampling statistics

C parametric statistics

D non-parametric statistics

Answer: non-parametric statistics

196 The time frame to complete a transaction in bank is classified as

A parameters

C mixer

B process

D sampler

Answer: process

199. The scale which is used to determine the ratios equality is considered as

A satisfactory scale

D exponential scale

B ratio scale

Answer: ratio scale

C goodness scale

200 The examples of variables in statistical phenomenon consists

A job satisfaction

C leadership ability

B consumer behaviors

D all of above

Answer: all of above

201 The procedures of descriptive statistics and control charts which are used to improve the process are classified as

A statistical tools

C serial tools

B parallel tools

D behavioral tools

Answer: statistical tools

202 The analytical study of breakeven point and decisions related to investments in uncertain conditions is an example of

A statistics in personnel management

C statistics in marketing

B statistics in finance

D statistics in production

Answer: statistics in finance

203 The measurement scale which allows the researchers and statisticians to perform certain operations on the data collected from respondents is classified as

A interval scale

C validity scale

B flow measuring scale

D reliability scale

Answer: interval scale

206 The model which consists of management philosophy, behavioral tools and statistical methods as key steps towards improvement is considered as

A serial improvement process model

D statistics improvement process model

B behavioral improvement process model

C quality improvement process model

Answer: quality improvement process model

212 The scale used in statistics which provides the difference of proportions as well as magnitude of differences is considered as

A satisfactory scale

C goodness scale

B ratio scale

D exponential scale

Answer: ratio scale

214. The analysis of labor turnover rates, performance appraisal, training programs and planning of incentives are examples of role of

A statistics in personnel management

C statistics in marketing

B statistics in finance

D statistics in production

Answer: statistics in personnel management

215 The focus groups, individual respondents and panels of respondents are classified as

A pointed data sources

C secondary data sources

B itemized data sources

D primary data sources

Answer: primary data sources

216 The variables whose measurement is done in terms such as weight, height and length are classified as

A continuous variables

B measuring variables

C flowchart variables

Answer: continuous variables

D discrete variables

217 The technique used to analyze unemployment rate, inflation rate anticipation and capacity utilization to manufacture goods is classified as

A data supplying technique

C data importing technique

B forecasting technique

D data exporting technique

Answer: forecasting technique

218 The numerical methods and graphical methods are specialized procedures used in

A social statistics

C descriptive statistics

B business statistics

D education statistics

Answer: descriptive statistics

219 The measure of how well is a technique, concept or process is considered as

A continuity of variables

C validity

B goodness of variables

D reliability

Answer: validity

220 The branch of statistics which considers the ratio scale and interval scale is considered as

A parametric statistics

C distribution statistics

B non-parametric statistics

D sampling statistics

Answer: parametric statistics

221 The reports on quality control, production and financial accounts issued by the companies are considered as

A external secondary data sources

C external primary data sources

B internal secondary data sources

D internal primary data sources

Answer: internal secondary data sources

222 In every phenomenon, the process of thought that focus on identifying, controlling and reduction of variations in data is classified as

A parallel thinking

C statistical thinking

B serial thinking

D managerial thinking

Answer: statistical thinking

223 The scale which categorize the events in collectively exhaustive manner and mutually exclusive manner is classified as

A discrete scale

C valid scale

B continuous scale

D nominal scale

Answer: nominal scale

224 The type of questions included in questionnaire to record responses in which the respondent can answer in any way are classified as

A multiple choices

C open ended questions

B itemized question

D close ended questions

Answer: open ended questions

225 The numerical or descriptive measure which is associated with variable to describe entire population of statistical phenomenon is classified as

A mixer

C parameter

B sampler

D process

Answer: parameter

226 The model which consists of management philosophy, behavioral tools and statistical methods as key Steps towards improvement is considered as

A serial improvement process model

C quality improvement process model

B behavioral improvement process model

D statistics improvement process model

Answer: quality improvement process model

227 The collection of all the elements such as group of variables for research is classified as

A statistical process

C data

B marginal error

D population

Answer: population

228 According to the types of questionnaires, the structured undisguised questionnaire is the one in which the purpose of study is

A non-interval respondents

C not disclosed to respondents

B disclosed to respondents

D none of above

Answer: not disclosed to respondents

229 The characterization, collection and presentation of particular set of data in organized way is classified as

A descriptive statistics

C social statistics

B education statistics

D business statistics

Answer: descriptive statistics

230 The data measurement which arises from a specific measuring process is classified as

A reliable data

C continuous data

B valid data

D discrete data

Answer: discrete data

231 The measurement scale which allows the ranking of numbers rather than arithmetic operations on data is classified as

A valid scale

C ordinal scale

B discrete scale

D continuous scale

Answer: ordinal scale

233 The measurement scale in which the values are categorized to represent qualitative differences and ranked in meaningful manner is classified as

A valid scale

C ordinal scale

B discrete scale

D continuous scale

Answer: ordinal scale

235 The characteristics that are intended to be analyzed and investigated for a given population are classified as

A exponents

C variables

B constants

D exponential base

Answer: variables

337 The type of questions included in questionnaire to record responses in which the respondents have set of alternatives are classified as

A open ended questions

C multiple choices

B close ended questions

D itemized question

Answer: close ended questions

338 The type of rating scale which allows respondents to choose most relevant option out of other stated options is classified as

A marking rating scale

C itemized rating scale

B graphical rating scale

D pointed rating scale

Answer: itemized rating scale

340 The type of variable which can take fixed integer values is classified as

A flowchart variable

C continuous variable

B discrete variable

D measuring variables

Answer: discrete variable

341 The data which is generated within the company such as routine business activities is classified as

A external primary data sources

B internal primary data sources

C external secondary data sources

Answer: internal secondary data sources

D internal secondary data sources

344 The branch of statistics which deals with development of particular statistical methods is classified as

A industry statistics

C applied statistics

B economic statistics

D mathematical statistics

Answer: mathematical statistics

345 The type of variable which can take any numerical figure for calculation is classified as

A continuous variable

C flowchart variable

B measuring variable

D discrete variable

Answer: continuous variable

346 The tools such decision making by nominal groups, brain storming and term buildings are all considered as

A serial tools

C statistical tools

B behavioral tools

D parallel tools

Answer: behavioral tools

347 The structured undisguised questionnaire is the one in which the purpose of study is

A not disclosed to respondents

C interval respondents

B disclosed to respondents

D ratio respondents

Answer: disclosed to respondents

348 The reports published by International Labor Organisation and International Monetary Fund are considered as

A external primary data sources

C external secondary data sources

B internal primary data sources

D internal secondary data sources

Answer: external secondary data sources

349 The subset of selected population is called

A descriptive portion

C inferential portion

B elementary portion

D sample

Answer: sample

350 The analysis based on study of price fluctuations, production of commodities and deposits in banks is classified as

A sample series analysis

C numerical analysis

B time series analysis

D experimental analysis

Answer: time series analysis

351 The scale which is used in determination of categorical information is called

A discrete scale

C valid scale

B continuous scale

D nominal scale

Answer: nominal scale

352 The collection of observations for all the variables related to some research or findings is classified as

A data

C statistical process

B population

D mesokurtic

Answer: data

354 The statistical method which facilitate the decision making process for population sample results is classified as

A decisional procedure

C elementary statistics

B inferential statistics

D social methodology

Answer: inferential statistics

358 Point out the correct statement.

a) Some cumulative distribution function F is non-decreasing and right-continuous

b) Every cumulative distribution function F is decreasing and right-continuous

- c) Every cumulative distribution function F is increasing and left-continuous
d) None of the mentioned

Answer: d

Explanation: Every cumulative distribution function F is non-decreasing and right-continuous.

359. Which of the following of a random variable is a measure of spread?

- a) variance
b) standard deviation
c) empirical mean
d) all of the mentioned

Answer: a

Explanation: Densities with a higher variance are more spread out than densities with a lower variance.

366. A good research should possess all of the following qualities except,

- A. It should be systematic
B. It should be logical
C. It should be vague
D. It should be empirical

Answer: C

367. What is defined as statement or a set of predictive statements, capable of being tested by scientific methods that relates an independent variable to some dependent variable?

- a. Research Problem
b. Research Hypothesis
C. Research Design
D. Problem statement

Answer: B

368. Quite often you hear that a problem clearly stated is a problem half solved. This statement signifies the need for defining

- A. Data Analysis
B. Research Problem
C. Research Design
D. Data collection

Answer: B

369. Which one of the following is not a distinguishing feature of descriptive research?

- A. The researcher can only report what has happened and what is happening
B. The researcher explains the state of affairs as it exists at present
C. The researcher cannot put his/her value judgments
D. The researcher has a full control over the study variables

Answer: D

370. Suppose you are interested to investigate the attitude of people towards some event. What a kind of research design is the most appropriate for your study?

- A. Qualitative research design
B. Quantitative research design
C. Experimental research design
D. Conceptual research design

Answer: A

371. One of the main objectives of research is to portray the accurate characteristics of a particular situation or group. Studies with this objective are termed as;

- A. Descriptive Research studies
B. Diagnostic Research studies
C. Explanatory Research studies
D. Hypothesis Testing Research studies

Answer: A

372. Mr. Kasahun, one of the researchers in XYZ Company, has been aimed to come up with a best solution for the immediate reduction of the company's sales volume. What a kind of research should he undertake to reach on a best conclusion?

- A. Pure Research
B. Fundamental Research
C. Basic Research
D. Applied Research

Answer: D

373. One of the following is not a common part of research design?

- A. Study Population
C. Data collection techniques

B. Methods of data analysis

D. Literature Review

Answer: D

374. Which of the following scale measurements of data involves only naming of variables?

A. Ordinal Scale B. Ratio scale C. Nominal Scale D. Interval scale

Answer: C

375. Which one of the following terms denotes the process of systematically applying statistical and logical techniques to explain the collected raw data?

A. Data Analysis B. Data Transformation C. Data Collection D. Data Processing

Answer: A

376. One of the following terms denotes the process of assigning numerical value or other symbols to answers from respondents.

A. Coding B. Editing C. Classification D. Tabulation

Answer: A

377. In research work, it is usually difficult for researchers to collect data from the whole population. Due to this researchers usually pick up small units from the total population. This method of investigation is called

A. Census Method C. Election Process
B. Mapping Method D. Sampling Method

Answer: D

378. A good questionnaire should possess all of the following characteristics except,

A. The questions should measure what they are supposed to measure.
B. It must stimulate the respondents to participate in the data collection process.
C. It should not undermine the cultural beliefs of the respondents.
D. It should carry an ambiguous statement that confuses the respondents.

Answer: D

379. All of the following are characteristics of a good sample except,

A. It should be viable C. It should maximize sampling errors
B. It should be representative D. It should be able to control for systematic bias

Answer: C

380. Which one of the following is a non-probability sampling technique?

A. Systematic sampling C. Stratified sampling
B. Purposive sampling D. Cluster sampling

Answer: B

381. Suppose a researcher begin with a small population of known individuals and expands the sample by asking those initial participants to identify others that should participate in the study. Which sampling technique did the researcher used?

A. Purposive Sampling C. Volunteer sampling
B. Convenience sampling D. Snowball sampling

Answer: D

382. Which type of non-probability sampling includes participants who are readily available and agree to participate in a study?

a. Convenience Sampling C. Dimensional Sampling
b. Quota Sampling D. Purposive Sampling

Answer: A

383. Purposive sampling is a non-probability sampling technique in which

A. participants are chosen arbitrarily for their unique characteristics, experiences, or attitudes
B. participants are chosen and then refer others with similar or different characteristics
C. researchers select any readily available individuals as participants
D. researchers systematically select participants from a sampling frame

Answer: A

384. Which type of Probability Sampling includes “selection of sampling units in sequences separated on lists by the interval of selection”?

- a. Cluster Sampling
- b. Simple Random Sampling
- c. Stratified Random Sampling
- d. Systematic Sampling

Answer: D

385. Suppose that a researcher initially divide the population in to separate groups to collect relevant data from the study population. Then, the researcher randomly selected some units from each group. Which sampling method does the researcher applied?

- A. Stratified sampling
- B. Cluster sampling
- C. Simple Random Sampling
- D. Systematic sampling

Answer: A

386. A complete list of all the sampling units is called:

- a. Sampling design
- b. Sampling frame
- c. Population frame
- d. Cluster

Answer: B

387. What is a sampling unit?

- a. The population.
- b. The basic unit containing the elements of the population to be sampled.
- c. All the individual elements of the final sample, drawn together.
- d. The method used to collect the sample.

Answer: B

388. Which one of the following is a non-probability sampling method?

- a. Quota sampling
- b. Systematic sampling
- c. Cluster sampling
- d. Stratified random sampling

Answer: A

389. Which of the following is not a possible motive for doing research?

- A. Desire to get degree with its consequential benefits
- B. Desire to face a challenge in solving problems
- C. Desire to get intellectual joy of doing some creative work
- D. Desire of feeling superior over other persons

Answer: D

390. One of the following is a type of research also called preliminary research, aimed at discovering, identifying and formulating a research problem and hypothesis.

- A. Descriptive research
- B. Analytic research
- C. Exploratory research
- D. Evaluation research

Answer: C

391. All of the following are considered as goals of descriptive research except?

- A. To provide an accurate profile of a group
- B. To describe a processes, mechanism or relationship
- C. To extend a theory or principle into new areas or issues
- D. To provide a verbal or numerical picture about a phenomenon

Answer: C

392. Research is

- A. a mere search for new knowledge through book reviews
- B. a method of finding a solution to any problem
- C. a scientific way to search for truth of any problem
- D. a random, unplanned process of discovery

Answer: C

393. Which of the following is the first step in starting the research process?

- A. Searching sources of information to locate the problem.
- B. Identification of research problem
- C. Survey of related literature
- D. Searching for solutions to the problem

Answer: B

394. A reasoning where we start with certain particular statements and conclude with a universal statement is called

- A. Deductive Reasoning
- B. Abnormal Reasoning
- C. Inductive Reasoning
- D. Transcendental Reasoning

Answer: C

395. Which of the following type of researches gathers data in numerical form which can be put into categories, or in rank order, or measured in units of measurement.

- a. Quantitative Research
- b. Qualitative Research
- c. Descriptive research
- d. Pure research

Answer: A

396. Which of the following is not an essential quality of a researcher?

- A. Spirit of free enquiry
- B. Reliance on observation and evidence
- C. Systematization or theorizing of knowledge
- D. Fear of exploring new thing

Answer: D

397. Quantitative research involves

- A. Interviewing people to find out their deeply held views about issues
- B. Collecting data in numerical form
- C. More rigor than qualitative research
- D. Interviewing every member of the target population

Answer: B

398. Which of the following types of research involve the gathering of primary data by watching people?

- A. Experimental Research
- B. Causal Research
- C. Informative Research
- D. Observational Research

Answer: D

399. Why do you need to review the existing literature?

- A. To give your dissertation a proper academic appearance with lots of references
- B. Because without it, you could never reach the required word count
- C. To find out what is already known about your area of interest
- D. To help in your general studying

Answer: C

400. Hypothesis refers to

- A. The outcome of an experiment
- B. A conclusion drawn from an experiment
- C. A form of bias in which the subject tries to outguess the experimenter
- D. A tentative statement about the relationship

Answer: D

401. Which of the following statement is not true?

- A. A research proposal is a document that presents a plan for a project
- B. A research proposal shows that the researcher is capable of successfully conducting the proposed research project
- C. A research proposal is an unorganized and unplanned project
- D. A research proposal is just like a research report and written before the research Project

Answer: C

402. Research method is applicable in all of the following fields, EXCEPT;

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- a. Religion
- b. Health care
- c. Business
- d. Government offices

Answer: A

403. All of the following are true statements about action research, EXCEPT;

- a. Data are systematically analyzed
- b. Data are collected systematically
- c. Results are generalizable
- d. Results are used to improve practice

Answer: C

404. "Income distribution of employees" in a specific organization is an example of which of following type of variable?

- a. Discontinuous variable
- b. Continuous variable
- c. Discrete variable
- d. Erroneous variable

Answer: B

405. There is no relationship between higher motivation level and higher efficiency" is an example of which type of hypothesis?

- a. Alternative
- b. Null
- c. Co relational
- d. Directional

Answer: B

406. Which of the following is not a role of hypothesis?

- a. Determine feasibility of conducting the study
- b. Guides the direction of the study
- c. Identifies relevant and irrelevant facts
- d. Provides framework for organizing the conclusions

Answer: A

407. "In the traditional learning experiment, the effect of practice on performance is investigated". Performance in this context is a(an)

- a. Independent variable
- b. Extraneous variable
- c. Dependent variable
- d. Control variable

Answer: C

408. The final step in the research process is to:

- a. Conduct a statistical analysis of data
- b. Report the research results
- c. Dismantle the apparatus
- d. Clean the laboratory

Answer: B

409. Which of the research designs involves the surveying of same sample over time and makes repeated observations to describe patterns of change and help establish the direction and magnitude of causal relationships

- a. Descriptive research designs
- b. Cross-Sectional Design
- c. Longitudinal Design
- d. Exploratory Design

Answer: C

410. Data collection that focuses on providing an accurate description of the variables in a situation forms the basis of which type of study

- a. descriptive study
- b. exploratory study
- c. causal study
- d. diagnostic study

Answer: A

411. A condition that exists when an instrument measures what it is supposed to measure is called

- a. validity
- b. accuracy
- c. reliability
- d. Transparency

Answer: A

412. A critical review of the information, pertaining to the research study, already available in various sources is called

- a. Research review
- b. Research design
- c. Data review
- d. Literature review

Answer: D

413. Which of the following presents a problem, discusses related research efforts, outlines the data needed for solving the data and shows the design used to gather and analyze the data?

- a. Research Question
- b. Research Proposal
- c. Research Design
- d. Research Methodology

Answer: B

414. What would not be a consideration during the research design stage?

- A. The availability of literature
- B. The availability of participants
- C. The type of methods that would be used
- D. The type of analysis that would take place

Answer: A

415. What should not be included in a research proposal?

- a. A summary of existing work in the area
- b. The proposed methods to collect data
- c. The results that will be obtained
- d. An acknowledgement of any ethical issues

Answer: C

416. Research problem is selected from the standpoint of

- a. Social relevance
- b. Financial support
- c. Researcher's interest
- d. Availability of relevant literature

Answer: C

417. In order to pursue the research, which of the following is priorly required?

- a. Developing a research design
- b. Formulating a research question
- c. Deciding about the data analysis procedure
- d. Formulating a research hypothesis

Answer: B

418. How to judge the depth of any research?

- a. By research title
- b. By research duration
- c. By research objectives
- d. By total expenditure on research

Answer: C

419. Why do you need to review the existing literature?

- a. To make sure you have a long list of references
- b. Because without it, you could never reach the required word-count
- c. To find out what is already known about your area of interest
- d. To help in your general studying

Answer: C

420. A formal document that presents the research objectives, design of achieving these objectives, and the expected outcomes/deliverables of the study is called

- a. Research design
- b. Research proposal
- c. Research hypothesis
- d. Research report

Answer: B

421. The existing company information is an example of which data?

- a. Primary data
- b. Secondary data
- c. First hand data
- d. Source data

Answer: B

422. Which of the following would occur in a longitudinal study?

- A. Measures are taken from different participants over an extended period of time
- B. Participation is expected to last for a minimum of 24 hours
- C. Measures are taken from same participants on different occasions usually over extended period of time
- D. Measures are taken from participants in at least 6 different countries

Answer: C

423. SPSS is an acronym of the following?

- a. Statistical Predictions for Social Sciences.
- b. Sexual Preferences for the Sixties and Seventies.
- c. Statistical Package for the Social Sciences.
- d. Special program for surgical services.

Answer: C

424. Final stage in the Research Process is

- a. Problem formulation
- b. Data collection
- c. Data Analysis
- d. Report Writing

Answer: D

425. The first page of the research report is

- a. Appendix
- b. Bibliography
- c. Abstract
- d. Title Page

Answer: D

426. ANOVA, which stands for Analysis of Variance, is

- a. a government body which collects social statistics.
- b. a statistical software package for business research.
- c. a statistical test used to analyze the difference between the means of more than two groups
- d. a statistical test used to analyze the statistical significance the model parameters

Answer: C

427. If your experimental design measures what it is intended to measure, we say that the design has a high level of:

- a. Reliability.
- b. validity
- c. accuracy
- d. Transparency

Answer: B

428. Which of the following does not correspond to characteristics of research?

- a. Research is not passive
- b. Research is systematic
- c. Research is not a problem-oriented
- d. Research is not a process

Answer: C

429. A researcher is interested in studying the challenges facing a given business company. So, what tool should he prefer to gather the required data for the study from the managers?

- a. Experiment
- b. Interview
- c. Questionnaire
- d. Observation

Answer: B

430. Diagnostic research studies is a category of research that aims to

- A. Achieve new insights of a concept
- B. Analyze characteristics of some thing
- C. Determine the frequency within which something occurs
- D. Test the relationship between the variables

Answer: C

431. Descriptive research studies is a category of research that aims to

- A. Achieve new insights of a concept
- B. Analyze characteristics of some thing
- C. Determine the frequency within which something occurs
- D. Test the relationship between the variables

Answer: B

432. Research objectives falls in to a number of categories that include

- A. Planning to get answers for what, why and where type of questions
- B. Considering the logic behind the methods we use in the context of the research
- C. Formulative, concept and planning for research methods
- D. Exploratory, descriptive, diagnosis and experimentation research

Answer: D

433. One of the following is a widely used approach to scaling questions which involve a series of five or seven answers.

- A. Linear numeric scale
- B. Likert scale
- C. Forced ranking scale
- D. Graphic rating scale

Answer: B

434. Which section of research proposal describes how you will use the data you collect?

- a. Data analysis
- b. Literature review
- C. Scope of the study
- D. Sampling

Answer: A

435. Which section should contain an extensive up-to-date review of the important work carried out previously, on the problem under study?

- a. Introduction
- b. Literature Review
- C. Research Methodology
- D. Results

Answer: B

436. Which form of analysis is concerned with the description of individual variable in a given data set?

- a. Bi-Variate analysis
- b. Univariate analysis
- C. Tri-Variate analysis
- D. Multi-Variate analysis

Answer: B

437. An brief interview conducted by a trained moderator among a small group of respondents (typically made up of 6 to 10 participants) in an unstructured and natural manner is a

- a. Depth Interview
- b. Case Study
- C. Focus Group Discussion
- D. Observation

Answer: C

438. Which sources of data are original in nature and directly related to the issue or problem and current data?

- a. Primary data
- b. Secondary data
- C. Tertiary data
- D. Indirect data

Answer: A

439. Which type of method of collecting data involves presentation of oral verbal stimuli and reply in terms of oral – verbal responses?

- a. Interview Method
- b. Observation Method
- C. Questionnaire Method
- D. Experimentation method

Answer: A

440. The data collected by a party not related to the research study but collected these data for some other purpose and at different time in the past is categorized as.

- a. Primary data
- b. Tertiary data
- C. Secondary data
- D. Indirect data

Answer: C

441. Which section of research proposal sets the scene for a naive reader who knows nothing about your research?

- a. Abstract
- b. Statement of the Problem
- C. The Purpose of the Study
- D. The Background to the Study

Answer: D

442. Which of the following denotes “a systematic and scientific procedure of data collection, compilation, analysis, interpretation, and implication pertaining to any business problem?”

- a. Business research methods
- b. Experimental research
- C. Non-empirical studies
- D. Co-relational analysis

Answer: A

443. Which type of research presents a picture of the specific details of a situation, social setting or relationship and the major purpose of which is to describe characteristics of a population or phenomenon?

- a. Exploratory research
- b. Descriptive research
- c. Pure research
- d. Qualitative research

Answer: B

444. A good research possesses all of the following qualities except

- a. Purpose clearly defined
- b. Research process detailed
- c. Research design thoroughly planned
- d. Findings presented ambiguously

Answer: D

445. One of the following is an operation carried in the analysis of data step of the research process, in involve examining the collected raw data to detect errors and correct them.

- a. Tabulation
- b. Classification
- c. Editing
- d. Coding

Answer: C

446. What is a research design?

- a. A way of conducting research that is not grounded in theory.
- b. The choice between using qualitative or quantitative methods.
- c. The style in which you present your research findings
- d. A framework for every stage of the collection and analysis of data.

Answer: D

447. What is a cross-sectional design?

- a. A study of one particular section of society.
- b. One that is devised when the researcher is in a bad mood.
- c. The collection of data from more than one case at one moment in time.
- d. A comparison of two or more variables over a long period of time.

Answer: C

448. Which of the following should be mainly included in a research proposal?

- a. Your academic status and experience.
- b. The difficulties you encountered with your previous reading on the topic.
- c. Your choice of research methods and reasons for choosing them.
- d. Your family background and religious setting

Answer: C

449. Closed ended questions are those that:

- a. have a fixed range of possible answers.
- b. prevent respondents from allocating themselves to a category.
- c. encourage detailed, elaborate responses.
- d. relate to the basic demographic characteristics of respondents.

Answer: A

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2) STATISTICS I

1. Which of the following is the probability calculus of beliefs, given that beliefs follow certain rules?

- a) Bayesian probability
- b) Frequency probability
- c) Frequency inference
- d) Bayesian inference

Answer: a

Explanation: Data scientists tend to fall within shades of gray of these and various other schools of inference.

2. Point out the correct statement.

- a) Bayesian inference is the use of Bayesian probability representation of beliefs to perform inference
- b) NULL is the standard missing data marker used in S
- c) Frequency inference is the use of Bayesian probability representation of beliefs to perform inference
- d) None of the mentioned

Answer: a

Explanation: Frequency probability is the long run proportion of times an event occurs in independent, identically distributed repetitions.

3. Which of the following can be considered as random variable?

- a) The outcome from the roll of a die
- b) The outcome of flip of a coin
- c) The outcome of exam
- d) All of the mentioned

Answer: d

Explanation: The probability distribution of a discrete random variable is a list of probabilities associated with each of its possible values.

4. Which of the following random variable that take on only a countable number of possibilities?

- a) Discrete
- b) Non Discrete
- c) Continuous
- d) All of the mentioned

Answer: a

Explanation: Continuous random variable can take any value on some subset of the real line.

5) The runs scored by a batsman in 5 ODIs are 31,97,112, 63, and 12. The standard deviation is

- a. 24.79
- b. 23.79
- c. 25.79
- d. 26.79

Answer: Option c

Explanation:

Here, first, we need to find mean

$$\text{Mean} = \frac{\text{Total sum of the numbers in data sets}}{\text{Total numbers in the data sets}}$$

$$= 31+97+112+12 = 315/5 = 63$$

$$\text{Standard deviation} = [1/n (x(n)-\text{mean})^2]^{0.5}$$

$$= 25.79$$

6) Find the mode of the call received on 7 consecutive day 11,13,13,17,19,23,25

- a. 11
- b. 13
- c. 17
- d. 23

Answer: Option b

Explanation: Mode = The value that appears most frequent; here, the number 13 repeated twice.

7) Find the median of the call received on 7 consecutive days 11,13, 17, 13, 23,25,19

- a. 13
- b. 23
- c. 25
- d. 17

Answer: Option d

Explanation:

$$\text{Median} = \frac{(n+1)}{2}$$

Where,

n = number of terms = 7

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The median is the middle value of the data sets, so first, we need to arrange the number in ascending order 11,13,17,19,23,25 the middle one is $7+1/2 = 4^{\text{th}}$ number so, the 4^{th} number is 17

8) Find the mode and median of the 9 consecutive number 12,7,8,14,21,23,27,7,11

- | | |
|---------|---------|
| a. 12,9 | c. 7,12 |
| b. 7,9 | d. 11,9 |

Answer: Option c

Explanation: Mode = The value that appears most frequent = 7 which is repeated twice. And,

$$\text{Median} = \frac{(n+1)}{2}$$

Where n = number of terms = 9

The median is the middle value of the data sets, so first, we need to arrange the number in ascending order 7,7,8,11,12,14,21,23,27 the middle one is $9+1/2 = 5^{\text{th}}$ number so, the 5^{th} number is 12

9) When the Mean of a number is 18, what is the Mean of the sampling distribution?

- | | |
|-------|-------|
| a. 21 | c. 27 |
| b. 18 | d. 23 |

Answer: Option b

Explanation: In sampling distribution, the Mean of a number is equal to the Mean of the sampling distribution; hence the Mean of the number is 18 the Mean of the sampling distribution is 18.

10) If the probability of hitting an object is 0.8, find the variance

- | | |
|---------|---------|
| a. 0.18 | c. 0.14 |
| b. 0.16 | d. 0.12 |

Answer: Option b

Explanation:

Given,

$$P = 0.8$$

$$q = 1-p$$

$$= 1 - 0.8$$

$$= 0.2$$

Therefore, mean = $q = 0.2$

And we know that variance = $pq = (0.2)(0.8) = 0.16$

11) If the probability that an object dropped from a certain height will strike the ground is 80 percent and if 12 objects are dropped from the same place, find the mean and variance.

- | | |
|-------------|-------------|
| a. 9.6,1.92 | c. 9.6,1.82 |
| b. 8.6,1.92 | d. 8.6,1.82 |

Answer: Option q

Explanation:

Given,

$$p = 80\% = 0.8 \text{ and } q = 1-p = 20\% = 0.2 \text{ and } n = 12$$

Therefore,

$$\text{Mean} = np = (12)(0.8) = 9.6$$

And,

$$\text{Variance} = npq = (9.6)(0.2) = 1.92$$

12) Find the mean of tossing 4 coins

- | | |
|------|------|
| a. 1 | c. 3 |
| b. 2 | d. 4 |

Answer: Option b

Explanation:

Here, $p = \frac{1}{2}$ and $q = \frac{1}{2}$

$N = 4$

Therefore, **Mean** = $np = 4 \cdot \frac{1}{2} = 2$

13) Variance of a constant 'x' is

- | | | | |
|----|-------|----|---|
| a. | 0 | c. | x |
| b. | $x/2$ | d. | 1 |

Answer: Option a

Explanation:

We know that, $V(a) = E(x^2) - (E(a))^2$
 $= x^2 - x^2 = 0$

14) $E(X) = \lambda$ is used for which distribution?

- | | | | |
|----|------------------------|----|--------------------------|
| a. | Binomial distribution | c. | Bernoulli's distribution |
| b. | Poisson's distribution | d. | Laplace distribution |

Answer: Option b

Explanation: In Poisson's distribution, a positive constant called λ is used, which is the mean and variance of the distribution. The Poisson distribution predicts how many of a certain type of event will occur in a bounded area or during a given period, provided that the events occur independently and cannot occur simultaneously. The events are sometimes called "outcomes" or "observed occurrences."

15) The Mean of a constant 'x' is

- | | | | |
|----|-------|----|---|
| a. | 0 | c. | x |
| b. | $x/2$ | d. | 1 |

Answer: Option c

Explanation: The mean of the constant x is x.

16) If $P(x) = 0.8$ and $x = 3$, then find the value of $E(x)$

- | | | | |
|----|-----|----|-----|
| a. | 2.6 | c. | 2.2 |
| b. | 2.8 | d. | 2.4 |

Answer: Option d

Explanation: We know that, $E(x) = x P(x) = 0.8 \cdot 3 = 2.4$

17) If $P(1) = P(2)$ in Poisson's distribution, find the value of mean

- a. $\sqrt{2}$
- b. $\sqrt{3}$
- c. $\sqrt{5}$
- d. $\sqrt{7}$

Answer: Option a

Explanation: We know the formula of Poisson's distribution,

$$P(x) = \frac{(e^{-\lambda} \lambda^x)}{x!}$$

$$P(2) = \frac{(e^{-\lambda} \lambda^2)}{2!}$$

$$P(1) = \frac{(e^{-\lambda} \lambda^1)}{1!}$$

Given $P(1) = P(2)$

$$\frac{(e^{-\lambda} \lambda^1)}{1!} = \frac{(e^{-\lambda} \lambda^2)}{2!}$$

$$\lambda = \frac{\lambda^2}{2}$$

$$2 = \lambda^2$$

$$\lambda = \sqrt{2}$$

18) If $P(1) = \lambda P(5)$ in Poisson's distribution, find the value of mean.

- a. 33.81 c. 63.81
b. 53.81 d. 43.81

Answer: Option d

Explanation: We know the formula of Poisson's distribution,

$$P(x) = \frac{(e^{-\lambda} \lambda^x)}{x!}$$

$$P(5) = \frac{(e^{-\lambda} \lambda^5)}{5!}$$

$$P(1) = \frac{(e^{-\lambda} \lambda^1)}{1!}$$

Given $P(1) = P(5)$

$$\frac{(e^{-\lambda} \lambda^1)}{1!} = \frac{(e^{-\lambda} \lambda^5)}{5!}$$

$$\lambda = \frac{\lambda^{\text{B}}}{120}$$

$$120 = \lambda^4$$

$$\lambda = 43.81 = 43$$

19) Find the expectation of random variable a ?

a	0	1	2	3	4
F(a)	1/7	2/7	3/7	4/7	5/7

- a. 5.71 c. 6.71
b. 4.71 d. 8.71

Answer: Option b

Explanation:

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We know that,

$$\begin{aligned} E(X) &= 0(1/7) + 1(2/7) + 2(3/7) + 3(4/7) + 4(5/7) \\ &= 0 + 2/7 + 6/7 + 12/7 + 20/7 \\ &= 5.71 \end{aligned}$$

20) If K is the Mean of Poisson distribution, then the variance is given by

- | | |
|----------|--------------|
| a. $K/2$ | c. K^2 |
| b. K | d. $K^{1/2}$ |

Answer: Option b

Explanation: For a discrete probability distribution, the variance is given by the following equation

$$\text{Variance} = \sum_{x=0}^n X^2 P(x) - \mu^2$$

Where μ = Mean

$$\text{And, } P(x) = \frac{(e^{-k} k^x)}{x!}$$

Here, $\mu = k$

Variance = k

21) If K is the Mean of Poisson distribution, then the standard deviation is given by

- | | |
|---------------|----------|
| a. $\sqrt{k}$ | c. K |
| b. K^2 | d. $k/2$ |

Answer: Option a

Explanation: A Poisson distribution with mean k is given by Variance = k

Therefore,

$$\text{Standard Deviation} = \sqrt{\text{variance}} = \sqrt{k}$$

22) Find the arithmetic mean of the set of data: 6,1,5,8, and 10

- | | |
|------|------|
| a. 4 | c. 6 |
| b. 5 | d. 7 |

Answer: Option c

Explanation: If we want to calculate the AM, we need to find the total number in the data set. In the given question, total number = 5

$$\text{So, A.M} = \frac{6+1+5+8+10}{5} = 30/5 = 6$$

23) Calculate the geometric Mean of 1,3,9,3

- | | |
|------|------|
| a. 1 | c. 3 |
| b. 2 | d. 4 |

Answer: Option c

Explanation:

In the given question, the total number is 4, so by using the formula to determine the geometric Mean, we have,

$$\begin{aligned} \text{G.M} &= (1 \times 3 \times 9 \times 3)^{1/4} \\ &= (81)^{1/4} \\ &= (3^4)^{1/4} \\ &= 3 \end{aligned}$$

24) Find the variance of the given data set: 3,9,5,6,7

- | | |
|------|------|
| a. 1 | c. 3 |
| b. 2 | d. 4 |

Answer: Option d

Explanation: If we want to calculate the variance, the first thing you need to do is find the Mean of the given data set,
Therefore,

$$\text{Mean} = \frac{3+9+5+6+7}{5} = \frac{30}{5} = 6$$

Then, we need to find the Variance $V = (3-6)^2 + (9-6)^2 + (5-6)^2 + (6-6)^2 + (7-6)^2 / 5$
 $= 9+9+1+0+1 / 5 = 20/5 = 4$

25) Find the mean, mode and median of the given sets of data: 5,8,12,17,12,14,6,8, 12, and 10

- | | |
|-------------|-------------|
| a. 11,12,10 | c. 11,12,13 |
| b. 10,12,13 | d. 10,12,11 |

Answer: Option d

Explanation:

Mean = $(5+8+12+13+12+14+6+8+12+10) / 10 = 10$

Mode = Mode is the most repeated value of the given data set.

= 12 (12 repeated 3 times in the set of data)

For median, first we need to arrange the value in ascending order in the given data set: 5,6,8,8,10,12,12,12,14,17. Here, the numbers 10 and 12 are the middle values. The average of the given number is $12+10/2 = 11$. Hence, 11 is the median for the given data set. So, the value of Mean, mode, and median are 10,12,11

26) Find the mean mode and median of the messages received on 7 consecutive days 7,13,5,9,6,5,10

- | | |
|----------|----------|
| a. 7,8,9 | c. 8,8,9 |
| b. 8,9,9 | d. 6,8,9 |

Answer: Option b

Explanation:

Mean = $(9+13+5+9+6+5+9) / 7 = 56/7 = 8$

Mode = Mode is the most repeated value of the given data set. = 9 (repeated 3 times in the set of data)

For median, first, we need to arrange the value in ascending order in the given data set: 5,5,6,9,9,9,13. Here, the number 9 is placed in the middle. Hence, 9 is the median for the given data set. So, the value of Mean, mode, and median are 8,9,9

27) Calculate the range of the given sets of data 7,47,8,42,47,95,42,96,2

- | | |
|-------|-------|
| a. 6 | c. 71 |
| b. 94 | d. 84 |

28) Find the mean deviation according to the Mean of the given data sets 7,47,8,42,47,95,42,96,3

- | | |
|--------|--------|
| a. 11 | c. 112 |
| b. 111 | d. 113 |

Answer: Option b

Explanation: If we want to calculate the mean deviation according to the Mean. First, we need to calculate the Mean of the given data sets

Therefore, **Mean** = $7+47+8+42+47+95+42+96+3 / 9 = 43$

Now, we need to find the deviation to calculate mean deviation i.e.,

$(43-7) + (47-43) + (43-8) + (43-42) + (47-43) + (95-47) + (43-42) + (96-43) + (43-3) = 222$

So,

$$\text{Mean Deviation according to mean} = \frac{\text{Total deviation}}{2} = \frac{222}{2} = 111$$

29) Find the mean deviation according to median of the given data sets 7,47,8,42,47,95,42,96,3

- | | |
|--------|--------|
| a. 99 | c. 101 |
| b. 100 | d. 102 |

Answer: Option c

Explanation:

If we want to calculate the mean deviation according to the median, first, we need to calculate the median of the given data sets

Therefore, to calculate the median, first, we need to arrange the number in ascending order

3,7,8,42,42,47,47,95,96

SO, **Median** = 42

Now, we need to find the deviation to calculate mean deviation according to median i.e.,

$(42-3) + (47-7) + (42-8) + (42-42) + (42-42) + (47-42) + (47-42) + (95-42) + (96-42) =$

So,

$$\text{Mean Deviation according to median} = \frac{\text{Total deviation}}{2} = \frac{202}{2} = 101$$

30) Find the variance of the given data sets 7,47,8,42,47,95,42,96,3

a. 1028.78

c. 1029.78

b. 1018.78

d. 1019.78

Answer: Option c

Explanation: If we want to calculate the variance, first, we need to calculate the Mean of the given data sets

Therefore, **Mean** = $7+47+8+42+47+95+42+96+3/9 = 43$

Now, we need to find the square of deviation to calculate variance i.e.,

$(43-7)^2 + (47-43)^2 + (43-8)^2 + (43-42)^2 + (47-43)^2 + (95-47)^2 + (43-42)^2 + (96-43)^2 + (43-3)^2 =$

$= 1296 + 16 + 1225 + 1 + 16 + 2304 + 1 + 2809 + 1600$

$= 9268$

So,

$$\text{Variance} = \frac{\text{Square of Total deviation}}{\text{Total number in data sets}} = \frac{9268}{9} = 1029.78$$

31) Find the standard deviation of the given data sets 7,47,8,42,47,95,42,96,3

a. 29.09

c. 31.09

b. 30.09

d. 32.09

Answer: Option c

Explanation:

If we want to calculate the standard deviation, first, we need to calculate the Mean of the given data sets

Therefore, **Mean** = $7+47+8+42+47+95+42+96+3/9 = 43$

Now, we need to find the square root to calculate the variance i.e.,

$(43-7)^2 + (47-43)^2 + (43-8)^2 + (43-42)^2 + (47-43)^2 + (95-47)^2 + (43-42)^2 + (96-43)^2 + (43-3)^2 =$

$= 1296 + 16 + 1225 + 1 + 16 + 2304 + 1 + 2809 + 1600$

$= 9268$

$$\text{So, Variance} = \frac{\text{Square of Total deviation}}{\text{Total number in data sets}} = \frac{9268}{9} = 1029.78$$

Now,

$$\text{Standard deviation} = \text{square root of the variance} = \sqrt{\text{Variance}} = \sqrt{1029.78} = 32.09$$

32) Find the coefficient of variation of the given data sets 7,47,8,42,47,95,42,96,3

a. 72.64

c. 30.39

b. 74.62

d. 78.58

Answer: Option b

Explanation:

If we want to calculate the coefficient, we need to calculate the Mean of the given data sets.

Therefore,

Mean = $7+47+8+42+47+95+42+96+3/9 = 43$

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Now, we need to find the square root to calculate the variance i.e.,
 $(43-7)^2 + (47-43)^2 + (43-8)^2 + (43-42)^2 + (47-43)^2 + (95-47)^2 + (43-42)^2 + (96-43)^2 + (43-3)^2 =$
 $= 1296 + 16 + 1225 + 1 + 16 + 2304 + 1 + 2809 + 1600$
 $= 9268$

So,

$$\text{Variance} = \frac{\text{Square of Total deviation}}{9} = 1029.78$$

then,

$$\text{Standard deviation} = \text{square root of the variance} = \sqrt[2]{\text{Variance}} = \sqrt[2]{1029.78} = 32.09$$

We know the formula of coefficient of variation

$$\text{Coefficient of variation} = \frac{\text{Standard Deviation}}{\text{Mean}} \times 100$$

$$= \frac{32.09}{43} \times 100 = 74.62$$

34) Find the value of λ in Poisson's distribution if the probability of getting a tail in a biased coin toss is $\frac{1}{4}$ when 8 coins are tossed.

- | | |
|------|------|
| a. 2 | c. 1 |
| b. 3 | d. 4 |

Answer: Option a

Explanation: Given,

Probability (P) = $\frac{1}{4}$

And we know that,

$$\lambda = np = (8) \times \frac{1}{4} = 2$$

35) The Mean of a random variable K is given by equation

- | | |
|-------------|------------------|
| a. E(K) | c. $E^2 - K^2$ |
| b. $(EK)^2$ | d. None of these |

Answer: Option a

Explanation: The Mean of any data sets refers to the sum of the function in its domain multiplied with random variables' value. Therefore, the Mean is given by E(K), where k is a random variable.

36) Find the Mean of a constant k

- | | |
|----------|----------|
| a. K | c. k^2 |
| b. $k/2$ | d. 1 |

Answer: Option a

Explanation:

Let f(x) be the random variable of the given function X

$$\text{Now, } E(k) = \int kf(x)$$

$$= kf(x)$$

$$= k(1) = k$$

37) Find the Variance of the constant 'K'

- | | |
|------|----------|
| a. 1 | c. K^2 |
| b. 0 | d. $K/2$ |

Answer: Option b

Explanation:

$$\text{Variance (V)} = E(k^2) - (E(K))^2 \\ = k^2 - k^2 = 0$$

38) Find the variance in a Binomial Distribution, if x, y, and z are the probability of getting success, failure, and a number of trials, respectively.

- | | |
|------------|----------------|
| a. xyz | c. xy^2z |
| b. x^2yz | d. $x^2y^2z^2$ |

Answer: Option a

Explanation: If we consider a discrete function, the variance is given by the following equation

If we consider a discrete function, the variance is given by the following equation

$$\text{Variance(V)} = \sum_{(x=0)}^z x^2 X(x) - \mu^2$$

Here,

μ = Mean

When we substitute $X(x) = z_{Cx} X^x y^{(z-x)}$ in the above equation and $\mu = zx$ we get

Variance = xyz.

39) Poisson distribution is applied for

- | | |
|----------------------------|------------------------------|
| a. Regular Random Variable | c. Discrete Random Variable |
| b. Constant time function | d. Irregular Random Variable |

Answer: Option c

Explanation: Poisson distribution is usually applied for discrete random variables along with Binomial distribution. The Poisson distribution expresses the probability of a given number of events occurring in a fixed interval of time and space if these events occur with a known average rate and independently since the last event.

As a result, the distribution is often used in counting processes where the average rate of the events happening is known, and individual events occur independently of each other.

40) If $P(1) = \lambda P(2)$ in Poisson's distribution, find the value of mean

- | | |
|------|------|
| a. 2 | c. 6 |
| b. 5 | d. 7 |

Answer: Option a

Explanation: We know the formula of Poisson's distribution,

$$P(x) = \frac{(e^{-\lambda} \lambda^x)}{x!}$$

$$P(2) = \frac{(e^{-\lambda} \lambda^2)}{2!}$$

$$P(1) = \frac{(e^{-\lambda} \lambda^1)}{1!}$$

$$\text{Given } P(1) = P(2)$$

$$\frac{(e^{-\lambda} \lambda^1)}{1!} = \frac{(e^{-\lambda} \lambda^2)}{2!}$$

$$\lambda = \frac{\lambda^2}{2}$$

$$2\lambda = \lambda^2$$

$$\lambda = 2$$

41) calculate the mean the given data set: 3,8,12,17,16,14,6,8, 16, and 10

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- a. 11 c. 13
b. 12 d. 14

Answer: Option a

Explanation:

Mean = Total sum of the number of given data sets/ Total number in data sets

$$(3+8+12+17+16+14+6+8+16+10)/10 = 11$$

42) Find the mode of the given data set: 5,8,12,17,12,12,6,8, 12, and 12

- a. 8 c. 12
b. 5 d. 17

Answer: Option c

Explanation: Mode = Mode is the most repeated value of the given data set.

= 12 (12 repeated 5 times in the set of data)

43) Find the median of the given data set: 5,8,12,17,2,14,6,8, 13, and 7

- a. 5 c. 8
b. 2
d. 9

Answer: Option c

Explanation: For median, first, we need to arrange the value in ascending order in the given data set: 2,5, 6,7, 8,8,12,13,14,17. Here, the numbers 8 and 8 are the middle values. The average of the given number is $8+8/2 = 8$. Hence, 8 is the median for the given data set.

44) If the probability of hitting a target is 0.4, find the mean and variance

- a. 0.6,0.28 c. 0.8, 0.22
b. 0.6,0.24 d. 0.8, 0.20

Answer: Option b

Explanation: Given,

Probability $P = 0.4$

$$q = 1-p$$

$$= 1 - 0.4$$

$$= 0.6$$

Therefore, **Mean** = $q = 0.6$

And we know that **Variance** = $pq = (0.4)(0.6) = 0.24$

45) Find the arithmetic mean of the set of data: 9,11,10,10,5,15 and 10

- a. 11 c. 10
b. 1 d. 13

Answer: Option d

Explanation: If we want to calculate the AM, we need to find the total number in the data set. In the given question, total number = 7

$$\text{So, A.M} = \frac{9+11+10+10+5+15+10}{7} = 70/7 = 10$$

41) Calculate the variance of the given data set: 4,7,6,3,7,3

- a. 2 c. 6
b. 4 d. 8

Answer: Option c

Explanation: If we want to calculate the variance, first we need to find the Mean of the given data set, Therefore,

$$\text{Mean} = \frac{4+7+6+3+7+3}{6} = \frac{30}{6} = 5$$

$$\text{Then, we need to find the Variance (V)} = (5-4)^2 + (7-5)^2 + (6-5)^2 + (5-3)^2 + (7-5)^2 + (5-3)^2 / 6$$

$$= 1 + 4 + 1 + 4 + 4 + 4 / 6 = 18/3 = 6$$

46) If K denotes the expectation, the variance of a random variable X is denoted as?

- | | |
|---------------|------------------------|
| a. $(K(X))^2$ | c. $K(X^2) - (K(X))^2$ |
| b. $2K(X)$ | d. $K(X)^2$ |

Answer: Option c

Explanation: According to the property of Expectation

Variance $V(X) = K(X^2) - (K(X))^2$

47) If K is a variance between 0 and 4. Find the value of $K(X^2)$

- | | |
|-------|-------|
| a. 32 | c. 27 |
| b. 64 | d. 9 |

Answer: Option b

Explanation: Integrating $f(x) = X^2$ from 0 and 4 we get the value of $K(X^2) = 64$

48) Find the median of the run made by a player in 5 T20 matches, 55, 44, 21, 35, 45.

- | | |
|-------|-------|
| a. 55 | c. 45 |
| b. 51 | d. 44 |

Answer: Option d

Explanation:

Median = $\frac{(n+1)}{2}$

Where n = number of terms = 5

The median is the middle value of the data sets, so first, we need to arrange the number in ascending order 21, 35, 44, 45, 55 the middle one is $5+1/2 = 3$ rd number so, the 3rd number is 44

49) Find the standard deviation of the given data sets 7, 2, 8, 11, 6, 13, 16

- | | |
|---------|---------|
| a. 4.64 | c. 2.34 |
| b. 4.34 | d. 3.64 |

Answer: Option b

Explanation: If we want to calculate the standard deviation, first, we need to calculate the Mean of the given data sets

Therefore, **Mean** = $7+2+8+11+6+13+16/7 = 63/7 = 9$

Now, we need to find the square root to calculate the variance = $(\text{Mean} - \text{each number of data sets})^2$

i.e.,

$(9-7)^2 + (9-2)^2 + (9-8)^2 + (9-11)^2 + (9-6)^2 + (13-9)^2 + (16-9)^2$

$= 4 + 49 + 1 + 4 + 9 + 16 + 49$

$= 132$

So,

Variance = $\frac{\text{Square of Total deviation}}{\text{Total number in data sets}} = \frac{132}{7} = 18.85$

Now,

Standard deviation = square root of the variance = $\sqrt[2]{\text{Variance}} = \sqrt{18.85} = 4.34$

50) Find the coefficient of the given data sets 7, 2, 8, 11, 6, 13, 16

- | | |
|----------|----------|
| a. 48.64 | c. 42.34 |
| b. 43.34 | d. 48.22 |

Answer: Option d

Explanation: If we want to calculate the standard deviation, first, we need to calculate the Mean of the given data sets

Therefore, **Mean** = $7+2+8+11+6+13+16/7 = 63/7 = 9$

Now, we need to find the square root to calculate the variance = $(\text{Mean} - \text{each number of data sets})^2$

i.e.,

$$(9-7)^2 + (9-2)^2 + (9-8)^2 + (9-11)^2 + (9-6)^2 + (13-9)^2 + (16-9)^2$$

$$= 4 + 49 + 1 + 4 + 9 + 16 + 49$$

$$= 132$$

So,

$$\text{Variance} = \frac{\text{Square of Total deviation}}{\text{Total number in data sets}} = \frac{132}{7} = 18.85$$

Now,

$$\text{Standard deviation} = \text{square root of the variance} = \sqrt[2]{\text{Variance}} = \sqrt{18.85} = 4.34$$

We know the formula of the coefficient of variation.

$$\text{Coefficient of variation} = \frac{\text{Standard Deviation}}{\text{Mean}} \times 100$$

$$= \frac{4.34}{9} \times 100 = 48.22$$

51) The random variables of A and B have variances 0.4 and 0.6, respectively, and $K = 4A - 2B$. Find the value of K

- | | |
|--------|--------|
| a. 2.2 | c. 6.6 |
| b. 4.4 | d. 8.8 |

Answer: Option d

Explanation: Given **Variance (A)** = 0.4 and Variance (B) = 0.6

And $K = 4A - 2B$

Therefore,

$$\text{Var}(K) = \text{Var}(4A - 2B)$$

$$= \text{Var}(4A) + \text{Var}(2B)$$

$$= 16 \text{Var}(A) + 4 \text{Var}(B)$$

$$\text{Var}(K) = 16 \times 0.4 + 4 \times 0.6$$

$$= 8.8$$

52) The mean value of the Hypergeometric distribution is given by the equation

- | | |
|-------------------------------|-----------------------------|
| a. $E(X) = n \cdot k / N^2$ | c. $E(X) = n \cdot k / N$ |
| b. $E(X) = n \cdot k / N - 1$ | d. $E(X) = n \cdot k / N^3$ |

Answer: Option c

Explanation:

The equation gives the Mean of the Hypergeometric distribution

$$E(X) = n \cdot k / N$$

Where,

N denotes the number of trials

K denotes the number of success

And, N denotes the sample size

53) The Variance of the Hypergeometric distribution is given by the equation

- | | |
|--|--|
| a. $n \cdot k (N-k) \cdot (N-n) / [N^2 \cdot (N-1)]$ | b. $n \cdot k (N-k) \cdot (N-n) / [N^3 \cdot (N-P)]$ |
|--|--|

$$c. \quad n * k (N-1) * (N^2 - n) / [N^2 * (N-1)]$$

$$d. \quad n * k (N-k) * (N^2 - n) / [N^3 * (N-1)]$$

Answer: Option a

Explanation: The variance of the Hypergeometric distribution is given by $n * k (N-k) * (N-n) / [N^2 * (N-1)]$.

Where, n denotes the number of trials

K denotes the number of success

An, N denotes the sample size.

54) Find the range of the following data sets 61,22,34,17,81,99,42,94.

$$a. \quad 81$$

$$c. \quad 83$$

$$b. \quad 82$$

$$d. \quad 84$$

Answer: Option b

Explanation: We know that,

Range = Maximum Value - Minimum Value

Here, Maximum value in the data sets = 99, and Minimum value = 17

Therefore, Range = 99-17= 82

Part II Multiple Choice

1. Data collected for the first time from the source is said to be

A. Primary data

C. Internal data

B. Secondary data

D. External data

Answer: A

2. The number of tally sheet count for each value or a group is called:

A. Class limit

B. Class width

C. Class boundary

D. Frequency

Answer: D

3. The number of classes in a frequency distribution is obtained by dividing the range of variable by the:

A. Total frequency

C. Mid-point

B. Class interval

D. Relative frequency

Answer: B

4. The suitable formula for computing the number of classes is:

$$A. \quad 3.322 \log N$$

$$B. \quad 0.322 \log N$$

$$C. \quad 1 + 3.322 \log N$$

$$D. \quad 1 - 3.322 \log N$$

Answer: C

5. The largest and the smallest values of any given class of a frequency distribution are called:

A. Class Intervals

B. Class marks

C. Class boundaries

D. Class limits

Answer: D

6. If the class marks are given as: 10,12,14,16,18; the first class of the distribution will be

$$A. \quad 9-12$$

$$B. \quad 10.5-12.5$$

$$C. \quad 9-11$$

$$D. \quad 10-12$$

Answer: C

7. The arrangement of data in rows and columns is called:

A. Classification

C. Frequency distribution

B. Tabulation

D. Cumulative frequency distribution

Answer: B

8. One of the following is a chart that presents a bunch of items from the same category usually in the form of rectangular bars that are placed at an equal distance from each other and their heights depict the values they represent.

A. Histogram

B. Bar Chart

C. Line graph

D. Scatter Plots

Answer: B

9. A pie diagram is a statistical method of data presentation which is represented by a:

A. Rectangle

B. Circle

C. Triangle

D. Square

Answer: B

10. Which of the following is not a method of collecting primary data

- A. Direct interview
B. Questionnaire method
C. Telephone interview
D. National publications

Answer: D

11. A frequency distribution is a (an)

- A. table of the individual observations collected from a sample
B. individual listing of a random values found in a data set
C. listing of the individual observations arranged in ascending or descending order
D. table which classifies the number of data values in to classes with counts of the number of data values that fall in to each of the classes

Answer: D

12. In rating the service provided by a waitress the following responses are possible; excellent, above average, average, below average and poor. Which measurement scales suit these observations?

- A. Ordinal scale
B. Nominal scale
C. Interval scale
D. Ratio scale

Answer: A

13. A teacher notes down the weight of each student in the class. What level of measurement is being used in this case?

- A. Ordinal scale
B. Nominal scale
C. Interval scale
D. Ratio scale

Answer: D

14. Quantitative data refers to:

- A. any data you present in your report.
B. numerical data that could usefully be quantified
C. graphs and tables.
D. statistical analysis.

Answer: B

Answer questions 15 to 18 on the basis of the following frequency distribution.

Class	40-50	50-60	60-70	70-80
Frequency	6	5	12	9

15. What are the lower and upper class limits of the third class respectively?

- A. 60 & 70
B. 70&60
C. 75 &65
D. 65&75

Answer: A

16. What is the class mark of the third class?

- A. 70
B. 60
C. 65
D. 75

Answer: C

17. What is the Class Width?

- A. 40
B. 5
C. 10
D. 80

Answer: C

18. Which class has a highest number of observations?

- A. 40-50
B. 50-60
C. 60-70
D. 70-80

Answer: C

19. Which one of these is not a way of measuring central tendency?

- A. Measuring the value that occurs most frequently
B. Measuring the value, often known as the average, that includes all data values in its calculation
C. Regression analysis of the causal relationship between statistical variables.
D. Measuring the middle value after the data have been ranked

Answer: C

20. Standard deviation is:

- A. a way of illustrating crime statistics.

- B. a way of measuring the extent of spread of quantifiable data.
- C. a way of describing those phenomena that are not the norm.
- D. inappropriate in management and business research.

Answer: B

21. The specific statistical methods that can be used to summarize or to describe a collection of data is called:

- A. Descriptive statistics
- B. Inferential statistics
- C. Biostatistics
- D. Analytical statistics

Answer: A

22. One of the following is a random variable which yield categorical responses so that the responses fit into one category or another.

- A. Quantitative Variable
- B. Discrete variable
- C. Continuous variable
- D. Qualitative variable

Answer: D

23. When an investigator uses the data which has already been collected by others, such data is a(an)

- A. Primary data
- B. Collected data
- C. Processed data
- D. Secondary data

Answer: D

24. Which of the following activities involve separating items according to similar characteristics and grouping them into various classes?

- A. Tabulation
- B. Editing
- C. Classification
- D. Separation

Answer: C

25. If the class mid points in a frequency distribution of age of a group of persons are 25, 32, 39, 46, 53 and 60, the size of class interval is:

- A. 5
- B. 7
- C. 8
- D. 6

Answer: B

26. The number of observations in a particular class is called:

- A. Width of the class
- B. Class mark
- C. Frequency
- D. Class limits

Answer: C

27. The most commonly used device of presenting business and economic data is:

- A. Pie diagrams
- B. Pictograms
- C. Bar diagrams
- D. Line diagrams

Answer: C

28. The mode of a frequency distribution can be determined graphically by:

- A. Histogram
- B. Frequency curve
- C. Frequency polygon
- D. Piechart

Answer: A

29. Given the observations; 38, 70, 48, 34, 42, 55, 63, 46, 54 and 44., the mean deviation about mean is

- A. 8.6
- B. 6.4
- C. 10.6
- D. 7.6

Answer: A

30. The median of the observation 11, 12, 14, 18, $x + 4$, 30, 32, 35, 41 arranged in ascending order is 24, then x is

- A. 21
- B. 22
- C. 23
- D. 24

Answer: A

31. Given the observations 15, 20, 25, 18, 14, 15, 25, 15, 18, 16, 20, 25, 20 and x ; what is the value of x , if the mode of the data is 25?

- A. 15
- B. 18
- C. 25
- D. 20

Answer: C

32. For the following grouped frequency distribution the mode is:

Class: 3-6 6-9 9-12 12-15 15-18 18-21 21-24

Frequency: 2 5 10 23 21 12 3

A. 13.9 B. 14.7 C. 15.1 D. 14.6

Answer: D

33. The mean of n observations is X . If k is added to each observation then the new mean is

A. X B. $X + k$ C. $X - k$ D. Kx

Answer: B

34. The variance of 15 observations is 4. If each observation is increased by 9, the variance of the resulting observation is:

A. 2 B. 3 C. 4 D. 5

Answer: C

35. In a cumulative frequency distribution, the last class will have a cumulative frequency equals

A. One C. the total number of elements in the data set
B. 100 D. zero

Answer: C

36. The mean of 5 observations is 4.4 and their variance is 8.24. If 3 of the observations are 1, 2 and 6. The other 2 observations are:

A. 9, 4 B. 7, 8 C. 6, 5 D. 4, 8

Answer: A

37. Given the grouped data in the following frequency table,

Class	5-10	10-15	15-20	20-25	25-30	30-35
Frequency	11	20	35	20	8	6

What is the mean of the observations?

A. 18.1 B. 15.1 C. 20.5 D. 22.5

Answer: A

38. If the median of the following frequency distribution is 46, What is the value of the missing frequencies.

Variable: 10—20 20—30 30—40 40---50 50—60 60---70 70---80 Total

Frequency: 12 30 a 65 b 25 18 230

A. $a = 32$ $b = 40$ C. $a = 33$ $b = 42$
B. $a = 31$ $b = 45$ D. $a = 34$ $b = 46$

Answer: D

39. Consider the frequency distribution of five observations: $x-2$, $x-4$, y , $-2x$, x . If the cumulative frequency fifth observation is 8, then the value of y will be

A. $x-14$ B. x C. $14-x$ D) $-x$

Answer: C

40. You ask five of your classmates about their height. On the basis of this information you conclude that the average height of all students in the class is 170cm. This is an example of

A. Descriptive statistics C. A Parameter
B. Inferential statistics D. A Population

Answer: B

41. What level of measurement would be used if participants were asked to choose their favorite picture from a set of six?

A. Ratio B. Ordinal C. Interval D. Nominal

Answer: D

42. What is the difference between data measured on an interval scale and data measured on a ratio scale?
- A. A ratio scale puts scores into categories, while an interval scale measures on a continuous scale.
 - B. An interval scale has a true zero point, so zero on the scale corresponds to zero of the concept being measured.
 - C. A ratio scale has equal intervals between the points on the scale, whereas an interval scale does not.
 - D. A ratio scale has a true zero point, so zero on the scale corresponds to zero of the concept being measured

Answer: D

43. What are the mean, mode, and median of the data set: 5, 4, 10, 12, 1, 5, 3, 7, 15, and 8 respectively?
- A. 5, 6, 7
 - B. 7, 6, 5
 - C. 6,5,7
 - D. 7,5,6

Answer: D

44. The mean of 10 numbers is 9, then the sum of these numbers will be
- A. 9
 - B. 0.9
 - C. 70
 - D. 90

Answer: D

45. Given the data: {1,2,3,3,4,5,5,5,6,7}; What is the 1st and 3rd quartile of this data set respectively?
- A. 3& 6
 - B. 2&4
 - C. 4&9
 - D. 5&25

Answer: A

46. What is the interquartile range of the numbers: 42, 51, 62, 47, 38, 50, 54, 43
- A. 10
 - B. 5
 - C. 20
 - D. 15

Answer: A

47. The measurements of spread or scatter of the individual values around the central point is called:
- A. Measures of dispersion
 - B. Measures of central tendency
 - C. Measures of skewness
 - D. Measures of kurtosis

Answer: B

48. If there are ten values each equal to 10, then standard deviation of these values is:
- A. 100
 - B. 20
 - C. 10
 - D. 0

Answer: D

49. Which of the following is not a measure of central tendency?
- A. Mean
 - B. median
 - C. variance
 - D. mode

Answer: C

50. The weekly sales of flour per quintal in five retailing shops are given as follows: 75, 60, 80, 70 and 80. What is the modal sale of the week?
- A. 20
 - B. 76
 - C. 75
 - D. 80

Answer: D

51. The difference between the largest and the smallest data values is the
- A. Variance
 - B. standard deviation
 - C. range
 - D. coefficient of variation

Answer: C

52. Consider the data on the age (in years) of students in a class. Which of the following best describes these data?
- A. Attribute data
 - B. Qualitative data
 - C. Quantitative data
 - D. Myth

Answer: C

53. If a data set has an even number of observations, the median
- A. cannot be determined
 - B. is the average value of the two middle items
 - C. must be equal to the mean
 - D. is the average value of the two middle items when all items are arranged in ascending order

Answer: D

54. The variance of a sample of 81 observations equals 64. The standard deviation of the sample equals

- A. 0 B. 8 C. 6,561 D. 4,096

Answer: B

55. The weekly sales of flour per quintal in five retailing shops are given as follows: 75, 60, 80, 70, and 80. What is the median sale of the week?

- A. 20 B. 76 C. 75 D. 80

Answer: C

56. The value that has half of the observations above it and half the observations below it is called the

- A. Range B. Median C. Mean D. Mode

Answer: B

57. The sum of deviations of the individual data elements from their mean is

- A. always greater than zero
B. always less than zero
C. sometimes greater than and sometimes less than zero, depending on the data elements
D. always equal to zero

Answer: D

58. The measure of dispersion that is influenced most by extreme values is the

- A. variance B. standard deviation C. range D. mean deviation

Answer: C

59. The most frequently occurring value of a data set is called the

- A. Range B. Median C. Mean D. Mode

Answer: D

60. The standard deviation of a sample of 100 observations equals 64. The variance of the sample equals

- A. 8 B. 10 C. 6,400 D. 4,096

Answer: D

Answer questions 115 & 116 based on the following information!

A researcher has collected the data of beer factories located in all the five towns of a given state and obtained the following figures; 3, 5, 12, 3 & 2. The mean factory in the towns is 5.

61. The variance is

- A. 66 B. 4.062 C. 13.2 D. 16.5

Answer: C

62. The standard deviation is

- A. 3.633 B. 4.062 C. 13.2 D. 16.5

Answer: A

63. Which of the following is a best example of discrete random variable?

- A. The number of eggs a hen lies in a given day
B. The height of students in a class
C. The weight of players in a club
D. The amount of temperature in a region

Answer: A

64. A listing of possible outcomes of an experiment and their corresponding probability is called

- A. Frequency distribution C. Sample distribution
B. Probability distribution D. Bayesian table

Answer: B

65. If you roll a die, what is the probability of obtaining number 7?

- A. $1/6$ B. $3/6$ C. 0 D. 1

Answer: C

1. . Events having an equal chance of occurrence are called

- A. Independent events C. Exhaustive events
B. Mutually exclusive events D. Equally likely events

Answer: D

121. Which of the following is not the property of standard normal distribution

- A. It has a mean of zero C. It is bell shaped
B. It has a variance of one D. The mean, median and mode are all different

Answer: D

122. Given that event A has probability of 0.25, the probability of the complement of event A must be

- A. Greater than 0.75 C. Less than 0.25
B. less than 0.75 D. Equal to 0.75

Answer: D

123. If two events are mutually exclusive, then the probability of their intersection

- A. Will be equal to zero
B. Must be larger than zero but less than one
C. Can have any value larger than zero
D. Will be one

Answer: A

124. An average of 5 calls service per hour is received by a machine repair department. The probability that exactly three calls for service will be received in a randomly selected hour is:

- A. 0.56 B. 0.14 C. 0.86 D. 0.5

Answer: B

125. What is a probability of observing two heads in three successive tosses of a coin?

- A. $\frac{1}{2}$ B. $\frac{2}{3}$ C. $\frac{3}{8}$ D. $\frac{1}{8}$

Answer: C

126. The expected value of a random variable is the

- A. Value that has the highest probability of occurring
B. Mean value over an infinite number of observations of the variable.
C. Largest value that will ever occur
D. Most common value over an infinite number of observations of the variable

Answer: B

127. If a card is chosen from a deck of cards, what is the probability of getting a diamond?

- A. $1/52$ B. $4/52$ C. $1/12$ D. $\frac{1}{4}$

Answer: D

128. Which one of the following an example is of continuous random variable?

- A. The time it takes a randomly selected student to complete an exam.
B. The number of tattoos a randomly selected person has.
C. The number of women taller than 68 inches a random sample of 5 women.
D. The number of correct guesses on a multiple choice test.

Answer: A

129. Two events are mutually exclusive if

- A. The probability of their intersection is one C. The probability of their intersection is 0.5
B. They have no sample points in common
D. The probability of their intersection is one and they have no sample points in common

Answer: B

130. A continuous random variable is a variable that can

- A. Assume only countable values
B. Assume any value in one or more intervals

- C. Have no random sample
D. Assume no continuous random frequency

Answer: B

131. The median of the standard normal distribution corresponds to the value of z equal to
A. 0 B. 0.5 C. 1 D. μ

Answer: A

132. The area under the normal curve on either side of the mean is:
A. 1.5 B. 0.5 C. -1 D. 1

Answer: D

133. The range of the probability is
A. Any value greater than zero C. Any value between zero to one
B. Any value less than one D. Any value between -1 to 1

Answer: C

134. Which of the following is not an example of discrete probability distribution?
A. The sale or purchase price of a house D. Whether or not a home has a swimming pool in it.
B. The number of bedrooms in a house
C. The number of bathrooms in a house

Answer: A

135. The probability that an evening college student will graduate is 0.4. What is the probability that out of 3 students no one will graduate?
A. 0.625 B. 0.216 C. 0.125 D. 0.064

Answer: B

136. If the probability that an object dropped from a certain height will strike the ground is 80% and if 12 objects are dropped from the same place, what is the mean and variance respectively?
A. 9.6 & 1.92 B. 8.6 & 1.92 C. 9.6 & 1.82 D. 8.6 & 1.82

Answer: A

137. If K is the Mean of Poisson distribution, then the standard deviation is given by
A. $\sqrt{k}$ B. K C. K^2 D. $k/2$

Answer: B

138. The probability that a patient with a certain disease will be successfully treated with a new treatment is $P = 0.6$. If the treatment is used on 50 patients, what is the expected value of the number of patients who are successfully treated?
A. 40 B. 50 C. 30 D. 60

Answer: C

139. The income of a group of one thousand people found to be normally distributed with mean 750 Birr per month and a standard deviation of 50 Birr. What is the proportion of persons having an income above 652 birr given that $P(Z = 1.96) = 0.4750$?
A. 47.5% B. 52.5% C. 97.5% D. 95.5%

Answer: C

140. The set of all possible outcomes of a random experiment is known as
A. Permutation B. Combination C. Probability D. Sample space

Answer: D

141. A card is drawn from a well shuffled pack of playing cards. What is the probability that it is either a diamond or a king?
A. $4/26$ B. $4/13$ C. $17/52$ D. $1/52$

Answer: B

Answer questions 142 & 143 on the basis of the following discrete probability distribution

X	1	2	3	4	5
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P(x)	0.2	0.2	0.2	0.2	0.2
------	-----	-----	-----	-----	-----

142. What is the expected value of X?

- A. 0 B. 2 C. 4 D. 3

Answer: D

143. What is the standard deviation of X?

- A. $\sqrt{3}$ B. 2 C. $\sqrt{2}$ D. 3

Answer: B

144. In the classes of grouped data such as 10-15, 16-20, 21-25, 26-30 with respective frequencies of each class as 3, 5, 4, 3 then the range is

- A. 5 B. 6 C. 15 D. 20

Answer: D

145. A die is thrown at random. What is the expectation of the number on it:

- A. 3.7 B. 3.5 C. 3.1 D. 3.8

Answer: B

146. The value of third quartile is 61 and inter quartile range of the set of observation is 48 then value of first quartile is

- A. 24 B. 34 C. 64 D. 13

Answer: D

147. The standard deviation of data is 12 and the mean is 72 then coefficient of variation is

- A. 14.67% B. 16.67% C. 12.67% D. 13.67%

Answer: B

148. The type of central tendency measures which divides data set into 100 equal parts is classified as

- A. Quartiles B. Deciles C. Percentiles D. Average

Answer: C

149. If the mean is 11 and the median is 13 then the value of mode is

- A. 17 B. 13 C. 11 D. 15

Answer: A

150. The measurement scale which allows the ranking of numbers rather than arithmetic operations on data is classified as

- A. valid scale B. discrete scale C. ordinal scale D. continuous scale

Answer: C

151. The measure of chance of an uncertain event in the form of numerical figures is classified as

- A. Probability B. variability C. durability D. likelihood

Answer: A

152. If a coin is tossed one time then the probability of occurrence of heads is

- A. $1/2$ B. $1/1$ C. $2/1$ D. $2/2$

Answer: A

153. If the mean of binomial probability distribution is 25 then the mean of Poisson probability distribution is

- A. 70 B. 50 C. 25 D. 50

Answer: C

154. The 600 applications for home mortgage are received by a bank and the probability of approval is 0.6 then the standard deviation of binomial probability distribution is

- A. 16 B. 144 C. 256 D. 12

Answer: D

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3) BUSINESS STATISTICS II

This scenario applies to Questions 1 and 2: A study was done to compare the lung capacity of coal miners to the lung capacity of farm workers. The researcher studied 200 workers of each type. Other factors that might affect lung capacity are smoking habits and exercise habits. The smoking habits of the two worker types are similar, but the coal miners generally exercise less than the farm workers.

1. Which of the following is the explanatory variable in this study?
 - a. Exercise
 - b. Lung capacity
 - c. Smoking or not
 - d. **Occupation**
2. Which of the following is a confounding variable in this study?
 - a. **Exercise**
 - b. Lung capacity
 - c. Smoking or not
 - d. Occupation

This scenario applies to Questions 3 to 5: A randomized experiment was done by randomly assigning each participant either to walk for half an hour three times a week or to sit quietly reading a book for half an hour three times a week. At the end of a year the change in participants' blood pressure over the year was measured, and the change was compared for the two groups.

3. This is a randomized experiment rather than an observational study because:
 - a. Blood pressure was measured at the beginning and end of the study.
 - b. The two groups were compared at the end of the study.
 - c. **The participants were randomly assigned to either walk or read, rather than choosing their own activity.**
 - d. A random sample of participants was used.
4. The two treatments in this study were:
 - a. **Walking for half an hour three times a week and reading a book for half an hour three times a week.**
 - b. Having blood pressure measured at the beginning of the study and having blood pressure measured at the end of the study.
 - c. Walking or reading a book for half an hour three times a week and having blood pressure measured.
 - d. Walking or reading a book for half an hour three times a week and doing nothing.

Scenario for Questions 3 to 5, continued

5. If a statistically significant difference in blood pressure change at the end of a year for the two activities was found, then:
 - a. It cannot be concluded that the difference in activity *caused* a difference in the change in blood pressure because in the course of a year there are lots of possible confounding variables.
 - b. Whether or not the difference was caused by the difference in activity depends on what else the participants did during the year.
 - c. It cannot be concluded that the difference in activity *caused* a difference in the change in blood pressure because it might be the opposite, that people with high blood pressure were more likely

to read a book than to walk.

- d. **It can be concluded that the difference in activity caused a difference in the change in blood pressure because of the way the study was done.**
6. What is one of the distinctions between a population parameter and a sample statistic?
- A population parameter is only based on conceptual measurements, but a sample statistic is based on a combination of real and conceptual measurements.
 - A sample statistic changes each time you try to measure it, but a population parameter remains fixed.**
 - A population parameter changes each time you try to measure it, but a sample statistic remains fixed across samples.
 - The true value of a sample statistic can never be known but the true value of a population parameter can be known.
7. A magazine printed a survey in its monthly issue and asked readers to fill it out and send it in. Over 1000 readers did so. This type of sample is called
- a cluster sample.
 - a self-selected sample.**
 - a stratified sample.
 - a simple random sample.
8. Which of the following would be most likely to produce selection bias in a survey?
- Using questions with biased wording.
 - Only receiving responses from half of the people in the sample.
 - Conducting interviews by telephone instead of in person.
 - Using a random sample of students at a university to estimate the proportion of people who think the legal drinking age should be lowered.**
9. Which one of the following variables is not categorical?
- Age of a person.**
 - Gender of a person: male or female.
 - Choice on a test item: true or false.
 - Marital status of a person
10. A polling agency conducted a survey of 100 doctors on the question “Are you willing to treat women patients with the recently approved pill RU-486”? The conservative margin of error associated with the 95% confidence interval for the percent who say 'yes' is
- 50%
 - 10%**
 - 5%
 - 2%
11. Which one of these statistics is unaffected by outliers?
- Mean
 - Interquartile range**
 - Standard deviation
 - Range
12. A list of 5 pulse rates is: 70, 64, 80, 74, 92. What is the median for this list?
- 74**
 - 76
 - 77
 - 80
13. Which of the following would indicate that a dataset is not bell-shaped?
- The range is equal to 5 standard deviations.
 - The range is larger than the interquartile range.
 - The mean is much smaller than the median.**
 - There are no outliers.
14. A scatter plot of number of teachers and number of people with college degrees for cities in California reveals a positive association. The most likely explanation for this positive association is:
- Teachers encourage people to get college degrees, so an increase in the number of teachers is causing an increase in the number of people with college degrees.
 - Larger cities tend to have both more teachers and more people with college degrees, so the association is explained by a third variable, the size of the city.**

- c. Teaching is a common profession for people with college degrees, so an increase in the number of people with college degrees causes an increase in the number of teachers.
- d. Cities with higher incomes tend to have more teachers and more people going to college, so income is a confounding variable, making causation between number of teachers and number of people with college degrees difficult to prove.
15. The value of a correlation is reported by a researcher to be $r = 0.5$. Which of the following statements is correct?
- The x-variable explains 25% of the variability in the y-variable.**
 - The x-variable explains 25% of the variability in the y-variable.
 - The x-variable explains 50% of the variability in the y-variable.
 - The x-variable explains 50% of the variability in the y-variable.
16. What is the effect of an outlier on the value of a correlation coefficient?
- An outlier will always decrease a correlation coefficient.
 - An outlier will always increase a correlation coefficient.
 - An outlier might either decrease or increase a correlation coefficient, depending on where it is in relation to the other points.**
 - An outlier will have no effect on a correlation coefficient.
17. One use of a regression line is
- to determine if any x-values are outliers.
 - to determine if any y-values are outliers.
 - to determine if a change in x causes a change in y.
 - to estimate the change in y for a one-unit change in x.**
18. Past data has shown that the regression line relating the final exam score and the midterm exam score for students who take statistics from a certain professor is:
- $$\text{final exam} = 50 + 0.5 \times \text{midterm}$$

One interpretation of the slope is

- a student who scored 0 on the midterm would be predicted to score 50 on the final exam.
- a student who scored 0 on the final exam would be predicted to score 50 on the midterm exam.
- a student who scored 10 points higher than another student on the midterm would be predicted to score 5 points higher than the other student on the final exam.**
- students only receive half as much credit (.5) for a correct answer on the final exam compared to a correct answer on the midterm exam.

Questions 19 to 21: A survey asked people how often they exceed speed limits. The data are then categorized into the following contingency table of counts showing the relationship between age group and response.

Age	Exceed Limit if Possible?		
	Always	Not Always	Total
Under 30	100	100	200
Over 30	40	160	200
Total	140	260	400

19. Among people with age *over 30*, what's the "risk" of always exceeding the speed limit?
- 0.20**
 - 0.40
 - 0.33
 - 0.50
20. Among people with age *under 30* what are the odds that they always exceed the speed limit?

- a. 1 to 2
- b. 2 to 1
- c. 1 to 1
- d. 50%

21. What is the relative risk of always exceeding the speed limit for people under 30 compared to people over 30?

- a. 2.5
- b. 0.4
- c. 0.5
- d. 30%

Questions 22 and 23: A newspaper article reported that "Children who routinely compete in vigorous after-school sports on smoggy days are three times more likely to get asthma than their non-athletic peers." (*Sacramento Bee*, Feb 1, 2002, p. A1)

22. Of the following, which is the most important additional information that would be useful before making a decision about participation in school sports?

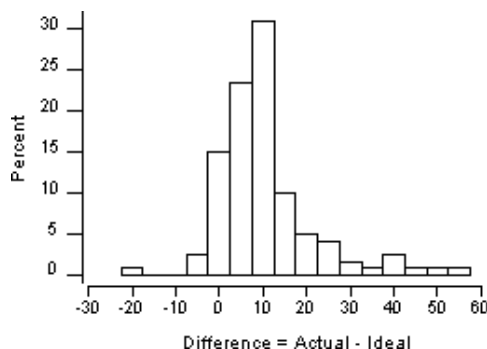
- a. Where was the study conducted?
- b. How many students in the study participated in after-school sports?
- c. What is the baseline risk for getting asthma?
- d. Who funded the study?

23. The newspaper also reported that "The number of children in the study who contracted asthma was relatively small, 265 of 3,535." Which of the following is represented by $265/3535 = .075$?

- a. The overall risk of getting asthma for the children in this study.
- b. The baseline risk of getting asthma for the "non-athletic peers" in the study.
- c. The risk of getting asthma for children in the study who participated in sports.
- d. The relative risk of getting asthma for children who routinely participate in vigorous after-school sports on smoggy days and their non-athletic peers.

Questions 24 to 26: The following histogram shows the distribution of the difference between the actual and "ideal" weights for 119 female students. Notice that percent is given on the vertical axis. Ideal weights are responses to the question "What is your ideal weight"? The difference = actual ideal.

24. What is the approximate shape of the distribution?



- a. Nearly symmetric.
- b. Skewed to the left.
- c. Skewed to the right.
- d. Bimodal (has more than one peak).

25. The median of the distribution is approximately

- a. 10 pounds.
- b. 10 pounds.
- c. 30 pounds.
- d. 50 pounds.

Scenario for Questions 26 to 28, continued

26. Most of the women in this sample felt that their actual weight was

- a. about the same as their ideal weight.
- b. less than their ideal weight.
- c. greater than their ideal weight.

- d. no more than 2 pounds different from their ideal weight.
27. A chi-square test of the relationship between personal perception of emotional health and marital status led to rejection of the null hypothesis, indicating that there is a relationship between these two variables. One conclusion that can be drawn is:
- Marriage leads to better emotional health.
 - Better emotional health leads to marriage.
 - The more emotionally healthy someone is, the more likely they are to be married.
 - There are likely to be confounding variables related to both emotional health and marital status.**
28. A chi-square test involves a set of counts called “expected counts.” What are the expected counts?
- Hypothetical counts that would occur if the alternative hypothesis were true.
 - Hypothetical counts that would occur if the null hypothesis were true.**
 - The actual counts that did occur in the observed data.
 - The long-run counts that would be expected if the observed counts are representative
29. Pick the choice that best completes the following sentence. If a relationship between two variables is called statistically significant, it means the investigators think the variables are
- related in the population represented by the sample.**
 - not related in the population represented by the sample.
 - related in the sample due to chance alone.
 - very important.
30. If the standard deviation of the population is 35 and the sample size is 9 then the standard deviation of sampling distribution is
- A. 12.67 B. 11.67 C. 13.67 D. 14.67
- Answer: B
31. In statistical analysis, the sample size is considered small if it is
- A. <50 B. >50 C. >30 D. <30
- Answer: D
32. The procedure of selecting the desired portion from population which describes the characteristics of whole population is
- A. Sampling B. Extracting C. Census D. Verification
- Answer: A
33. Random sample size of 225 is drawn from a population with mean 100 and standard deviation 20. What will be the standard deviation of the sample mean?
- A. 1.33 B. 1.22 C. 2.12 D. 2.22
- Answer: A
34. If the standard deviation of the population is known, then the population mean (μ) must be equal to
- absolute value of estimator
 - expected value of sample means
 - error free mean
 - inferential value of sample mean
- Answer: B
35. The theorem which states that as the sample size increases the sampling distribution must approach the normal distribution is classified as
- limited approximation theorem
 - primary limit theorem
 - secondary limit theorem
 - central limit theorem
- Answer: A
36. The proportion of households in a particular country that have at least one bicycle is 0.75. What is the standard deviation of the sampling distribution of a sample proportion if the sample size is 100?
- A. 0.625 B. 0.233 C. 0.2567 D. 0.0433
- Answer: D

37. Which of the following statements best describes the relationship between a parameter and a statistic?
- A parameter has a sampling distribution with the statistic as its mean.
 - A parameter has a sampling distribution that can be used to determine what values the statistic is likely to have in repeated samples.
 - A parameter is used to estimate a statistic.
 - A statistic is used to estimate a parameter.
- Answer: D
38. A sample which is free from bias is called
- Unbiased
 - Biased
 - Positively biased
 - Negatively biased
- Answer: A
39. The mean of sampling distribution of means is equal to
- Sample mean
 - Population mean
 - Weighted mean
 - Combined mean
- Answer: B
40. Increasing the sample size causes the standard error of the sample proportion to
- decrease in value
 - Increase in value
 - destabilize in value
 - grow large
- Answer: A
41. If the value of $\bar{X}$ is 70 and the μ of sampling distribution is 15 with the standard deviation is 20, then the standard normal variable is
- 3.75
 - 2.75
 - 4.75
 - 5.75
- Answer: B
42. In systematic sampling, the population is 200 and the selected sample size is 50 then the sampling interval is
- 250
 - 0.25
 - 4
 - 40
- Answer: C
43. The methods in statistics that uses sample statistics to estimate the parameters of the population are considered as
- inferential statistics
 - absolute statistics
 - coverage statistics
 - random sample statistics
- Answer: A
44. The unknown or exact value that represents the whole population is classified as
- estimators
 - absolute statistics
 - Parameters
 - coverage estimator
- Answer: C
45. The cluster sampling, stratified sampling and systematic sampling are types of
- direct sampling
 - random sampling
 - indirect sampling
 - non random sampling
- Answer: B
46. The need for inferential statistical methods derives from the need for.
- Population
 - Association
 - Sampling
 - Probability
- Answer: C
47. Consider a large population with a mean of 160 and a standard deviation of 25. A random sample size of 64 is taken from this population. What is the standard deviation of the sample mean?
- 6.525
 - 2.715
 - 4.25
 - 3.125
- Answer: D

48. Which type of sampling is one in which only the first sample unit is selected at random and the remaining units are automatically selected in a definite sequence at equal spacing from one another?
- A. Multistage sampling C. Quota Sampling
B. Stratified Sampling D. Systematic Sampling

Answer: D

49. In a particular study if the sample size was 50, then the standard error was 8 units. How much should be the standard error if the sample size was increased to 200?
- A. 4 B. 2 C. 8 D. 16

Answer: A

50. In a given year, the average annual salary of salary of Ethiopian players was 189,000 birr with a standard deviation of 20,500 birr. If a sample of 50 players was taken, what is the probability that the sample mean of their salaries was more than 191,000 birr given the $P(Z = 0.69)$ is 0.2549?
- A. 0.1515 B. 0.3669 C. 0.2451 D. 0.3481

Answer: C

51. In a certain statistics class, the marks obtained by students on a class test followed a normal distribution with a mean of 68% and a standard deviation of 10%. What is the probability that the mean test mark from a sample of 25 students from the class was less than 71% given that $P(Z = 1.50)$ is 0.4332?
- A. 0.0228 B. 0.0668 C. 0.9332 D. 0.4750

Answer: C

52. Which of the following is not a type of non-probability sampling?
- A. Quota sampling C. Snowball sampling
B. Convenience sampling D. Stratified random sampling

Answer: D

53. The distribution that is formed by all possible values of a statistics is known as:
- A. Hypergeometric distribution C. Normal distribution
B. Sampling distribution D. Binomial distribution

Answer: B

54. What is the z value associated with a two sided 95% confidence interval?
- A. 1.645 B. 0.2250 C. 0.9750 D. 1.96

Answer: D

55. For a very large population the ratio between standard error of sample mean and population standard deviation is 8:40. The sample size n will be
- A. 5 B. 25 C. 32 D. 48

Answer: B

56. Which hypothesis states that there is no difference between two parameters?
- A. Null hypothesis C. Point hypothesis
B. Significance hypothesis D. Alternative hypothesis

Answer: A

57. Which of the following represents a Type I error?
- A. The failure to reject a false null hypothesis
B. Rejecting a true null hypothesis
C. The acceptance to reject a null hypothesis
D. Accepting a true null hypothesis

Answer: B

58. The t distribution could be used
- A. When sample size is small and δ is unknown
B. When sample is drawn from a normal population and δ is known
C. When population variance is known
D. When sample size is large and δ is unknown

Answer: A

59. A point estimator is defined as:

- A. a range of values that estimates an unknown population parameter
- B. a single value that estimates an unknown population parameter
- C. a range of values that estimates an unknown sample statistic
- D. a single value that estimates an unknown sample statistic

Answer: B

60. What are the three properties of good estimators?

- A. Biased estimator, consistent, relatively efficient estimator
- B. Unbiased estimator, consistent, relatively efficient estimator
- C. Unbiased estimator, point estimation, inconsistent
- D. Not consistent, unbiased estimator, point estimation

Answer: B

61. What is the point estimate of the population mean

- A. Population Mean
- B. Sample Mean
- C. Population standard deviation
- D. Sample standard deviation

Answer: B

62. When σ is known, the hypothesis about population mean is tested by:

- A. t-test
- B. F-test
- C. χ^2 -test
- D. Z-test

Answer: D

63. The purpose of statistical inference is:

- A. To collect sample data and use them to formulate hypotheses about a population
- B. To draw conclusion about populations and then collect sample data to support the conclusions
- C. To draw conclusions about populations from sample data
- D. To draw conclusions about the known value of population parameter

Answer: C

64. The term $\alpha / 2$ in statistical inference is called:

- A. One tailed significance level
- B. Left tailed significance level
- C. Two tailed significance level
- D. Right tailed significance level

Answer: C

65. If the magnitude of calculated value of t is less than the tabulated value of t, we should:

- A. Reject H_0
- B. Accept H_1
- C. Not reject H_0
- D. Difficult to tell

Answer: C

66. $1 - \alpha$ is the probability associated with:

- A. Type-I error
- B. Type-II error
- C. Level of confidence
- D. Level of significance

Answer: C

67. Testing $H_0: \mu = 25$ against $H_1: \mu \neq 20$ leads to:

- A. Two-tailed test
- B. Left-tailed test
- C. Right-tailed test
- D. Cross tailed test

Answer: A

68. A statement that is accepted if the sample data provide sufficient evidence that the initial hypothesis is false is called:

- A. Simple hypothesis
- B. Statistical hypothesis
- C. Composite hypothesis
- D. Alternative hypothesis

Answer: D

69. Goodness of fit measure of a distribution is tested by

- A. F test
- B. Chi square test
- C. t test
- D. Z test

Answer: B

70. Assume that the average annual income for government employees in Ethiopia is birr 18, 750. A random sample of 100 government employees in A.A was taken and it was found that their average salary birr 19, 240 with standard deviation of birr 2, 610. What a decision can be made about this claim when the level of significance is 0.05 the average yearly income of government employees on Addis Ababa was representative of the national average?

- A. Accept the null hypothesis
- B. Reject the null hypothesis
- C. Accept the Alternative hypothesis
- D. Can't determine what to decide

Answer: A

71. Type-I error will occur if an innocent person is

- A. Arrested by police
- B. Not arrested
- C. Police care for him
- D. Being killed

Answer: A

72. You are told that a random sample of 150 people from Hawassa city has been given cholesterol tests, and 60 of these people had levels over the "safe" count of 200. The 95% confidence interval for the population proportion of people in the city with cholesterol levels over 200?

- A. 0.322, 0.478
- B. 0.235, 0.272
- C. 1.212, 1.842
- D. 1.522, 2.432

Answer: A

73. A deserving player is not selected in national team, it is an example of

- A. Type-II error
- B. Type-I error
- C. Correct decision
- D. Sampling error

Answer: B

74. The probability of rejecting a true hypothesis is called

- A. Critical region
- B. Level of significance
- C. Test statistics
- D. Statement of hypothesis

Answer: B

75. If we do not reject the null hypothesis, we conclude that:

- A. there is enough statistical evidence to infer that the alternative hypothesis is true
- B. there is not enough statistical evidence to infer that the alternative hypothesis is true
- C. there is enough statistical evidence to infer that the null hypothesis is true
- D. the test is statistically insignificant at whatever level of significance the test was conducted at

Answer: B

76. If H_0 is false and we accept it is called:

- A. Type-I error
- B. Type II error
- C. Standard error
- D. Sampling error

Answer: B

77. The purpose of hypothesis testing is to:

- A. test how far the mean of a sample is from zero
- B. determine whether a statistical result is significant
- C. determine the appropriate value of the significance level
- D. derive the standard error of the data

Answer: B

78. Suppose that we reject a null hypothesis at the 5% level of significance. For which of the following levels of significance do we also reject the null hypothesis?

- A 6%
- B 2.5%
- C 4%
- D 3%

Answer: A

79. In hypothesis testing $1-\alpha$ is called

- A. Critical value
- B. Level of significance
- C. Interval estimate
- D. Level of confidence

Answer: D

80. What assumption is being made when we use the t-distribution to perform a hypothesis test?
- A. That the underlying distribution has more than one modal class
 - B. That the underlying population has a constant variance
 - C. That the underlying population has a non-symmetrical distribution
 - D. That the underlying population follows an approximately normal distribution

Answer: D

81. If the population standard deviation is unknown, and the sample size is small, the confidence interval for the population mean is based on
- A. The normal distribution
 - B. The t-distribution
 - C. The binomial distribution
 - D. The Hypergeometric distribution

Answer: B

82. Confidence interval will be widened if
- A. The confidence level is decreased and the sample size is decreased
 - B. The confidence level is decreased and the sample size is increased
 - C. The confidence level is increased and the sample size is reduced
 - D. The confidence level is increased and the sample size is increased

Answer: C

83. Estimates given in the form of confidence intervals are called
- A. Interval estimates
 - B. Confidence limits
 - C. Point estimates
 - D. Degrees of freedom

Answer: A

84. The mean of the sample means is
- A. A biased estimator of the population
 - B. An unbiased estimator of the population mean
 - C. Neither biased nor unbiased
 - D. An efficient estimator of the population mean

Answer: B

85. The process of finding true but unknown value of population parameter is called.
- A. Statistical Inference
 - B. Estimation
 - C. Description
 - D. Regression

Answer: B

86. The value which is obtained by applying an estimator on sample information is known as an.
- A. Estimation
 - B. Estimator
 - C. Hypothesis
 - D. Estimate

Answer: D

87. The mean annual income of EAL workers is supposed to be 24,000 Birr. Assume that this estimate was based on a sample of 250 airline workers and the population standard deviation was 5000 Birr. The 95% confidence interval estimate of the population mean is
- A. [23,380.2 , 24,619.8]
 - B. [12,000.5 , 13,354.5]
 - C. [22,502.5 , 22,655.8]
 - D. [12,432.3 , 13,142.9]

Answer: A

88. If expected value of an estimator is equal to its respective parameter then it is called an.
- A. Biased estimator
 - B. Unbiased estimator
 - C. Efficient Estimator
 - D. Inefficient Estimator

Answer: B

89. With the increase in sample size if the estimate becomes closer and closer to the parameter that is called;
- A. Completeness
 - B. Unbiasedness
 - C. Consistency
 - D. Sufficiency

Answer: C

90. In case of unbiased estimators, the estimator having minimum variance is called an.
- A. Efficient estimator.
 - B. Sufficient Estimator
 - C. Biased Estimator
 - D. Consistent Estimator

Answer: A

91. A gas station repair shop claims that it can do a lubrication job and oil change in 30 minutes. The customer protection department wants to test this claim. A sample of six cars was sent to the station for fuel change and lubrication and the job took an average of 34 minutes with standard deviation of 4 minutes. If this claim is to be tested at $\alpha = 0.05$ given that $t(5, 0.05)$ is 2.015, what a decision can be drawn?

A. The job of lubrication and oil change takes more than 30 minutes to complete
B. The job of lubrication and oil change takes less than 30 minutes to complete
C. The takes exactly 30 minutes to complete
D. The time to complete the job of lubrication and oil change is b/n 20 and 40 minutes

Answer: A

92. ANOVA tests use which of the following distributions?

A. Z distribution C. F distribution
B. t distribution D. χ^2 distribution

Answer: C

93. Which of the following statistical concepts is used to test differences in the means for more than two independent populations?

A. Multiple t test C. Confidence interval
B. Regression analysis D. Analysis of variance

Answer: D

94. Determining the table value for the F distribution is different than finding values for the t distribution because the F table requires which of the following?

A. no degree of freedom terms C. one degree of freedom term
B. values for alpha and beta D. two degree of freedom terms

Answer: D

95. In a one-way ANOVA, the “among-group” variation is attributable to what source of variation?

A. Residual variation C. Unexplained variation
B. Experimental error D. Treatment effects

Answer: D

96. Which of the following formulas is used to calculate the F statistic for a one-way ANOVA experiment?

A. Within treatment sum of squares / Between treatment sum of squares
B. Total treatment sum of squares / Within treatment sum of squares
C. Total treatment sum of squares / Between treatment sum of squares
D. Between treatment sum of squares / Within treatment sum of squares

Answer: D

97. In a one-way ANOVA, how many degrees of freedom exist for the F test?

A. $(c - 1)$ and $(n - c)$ C. $(n - 1)$ and $(c - n)$
B. $(c - n)$ and $(n - 1)$ D. $(n - c)$ and $(c - 1)$

Answer: A

98. The sampling distribution used when making inferences about a single population variance is the

A. t distribution with $(n - 1)$ degrees of freedom
B. chi-square distribution with $(n - 1)$ degrees of freedom
C. F distribution with $(n - 1)$ degrees of freedom for the numerator and $(n - 1)$ degrees of freedom for the denominator
D. It cannot be determined.

Answer: B

99. Analysis of variance is a statistical method of comparing the _____ of several populations.

A. Means B. Variances C. Standard Deviations D. Mean deviations

Answer: A

100. In a study, subjects are randomly assigned to one of three groups: control, experimental A, or experimental B. After treatment, the mean scores for the three groups are compared. The appropriate statistical test for comparing these means is:

- A. The Analysis Of Variance
- B. The Correlation Coefficient
- C. Chi Square
- D. The T-Test

Answer: A

101. Assume that there is no overlap between the box and whisker plots for three drug treatments where each drug was administered to 35 individuals. The box plots for these data:

- A. represent evidence against the null hypothesis of ANOVA
- B. provide no evidence for, or against, the null hypothesis of ANOVA
- C. represent evidence for the null hypothesis of ANOVA
- D. represent evidence against the alternative hypothesis of ANOVA

Answer: A

102. The null hypothesis in the chi-square test states that

- A. The rows and columns in the table are associated
- B. The rows and columns in the table are not associated
- C. The two population means are the same
- D. The two population means are different

Answer: B

103. In a one-way ANOVA, if the computed F value exceeds the critical F value, what decision is made regarding the null hypothesis?

- A. Do not reject H_0 because a mistake has been made.
- B. Reject H_0 since there is no evidence that all means differ.
- C. Do not reject H_0 since there is no evidence of a difference.
- D. Reject H_0 since there is evidence of a treatment effect.

Answer: D

104. If an author reports the results of an ANOVA as $F(4, 65) = 9.56$, what is the between groups degrees of freedom?

- A. 4
- B. 65
- C. 10
- D. 5

Answer: A

105. A random sample of 400 members of labour force in a five state region showed that 32 were unemployed. The 95% confidence interval for the proportion unemployed in the region was found to be

- A. [0.652, 0.998]
- B. [0.053, 0.107]
- C. [0.124, 0.766]
- D. [1.056, 3.227]

Answer: B

106. You have calculated the SS (between) as 10 and the SS (total) as 15. What would the SS (within) be?

- A. 4.5
- B. -5
- C. 5
- D. 7.25

Answer: C

107. ANOVA is a procedure for testing the difference among different groups of data for _____

- A. Homogeneity
- B. Diversity
- C. Heterogeneity
- D. Assortment

Answer: A

108. In the analysis of variance problem involving 3 treatments and 10 observations per treatment, $SSW = 3.96$. The MSW for this situation is

- A. 14.8
- B. 8.2
- C. 4.8
- D. 12.6

Answer: A

109. In analysis of variance, the mean square is the sum of square divided by

- A. The total number of observations
- B. Its corresponding degrees of freedom

- C. Its corresponding degrees of freedom minus one
- D. One minus the corresponding degrees of freedom

Answer: B

110. Chi-squares can be used to understand the relationship between
- A. any two variables
 - B. two categorical variables
 - C. two continuous variables
 - D. one categorical and one continuous variable

Answer: B

Answer questions 111 to 112 on the basis of the following information

Between treatment sum of squares = 6,750,
 Within treatment sum of squares = 8,000,
 Sample size of treatment (n_T) = 20
 $H_0: \mu_1 = \mu_2 = \mu_3 = \mu_4$, H_1 : At least one mean is different

111. The mean squares between treatments equals
- A. 400
 - B. 500
 - C. 1800
 - D. 2,250

Answer: D

112. The mean squares within treatments equals
- A. 400
 - B. 500
 - C. 1800
 - D. 2,250

Answer: B

113. The calculated F statistic will be
- A. 4.5
 - B. 2.5
 - C. 3.4
 - D. 5.6

Answer: A

114. If the calculated Chi value is greater than the critical Chi value then
- A. Reject Null hypothesis
 - B. Do not reject null hypothesis
 - C. Estimate again
 - D. Do nothing

Answer: A

115. A process by which we estimate the value of dependent variable on the basis of one or more independent variables is called:
- A. Correlation
 - B. Regression
 - C. Residual
 - D. Slope

Answer: B

116. In the testing of a new production method, 10 employees were selected randomly and asked to try the new method. The sample mean production rate for the 10 employees was 80 parts per hour and the sample standard deviation was 10 parts per hour. What is the 95% confidence interval for the population mean production rate for the new method, assuming the population has a normal distribution if $t(0.025, 9)$ is 2.26?
- A. [62.2, 72.8]
 - B. [92.5, 105.7]
 - C. [57.4, 102.6]
 - D. [25.5, 33.9]

Answer: C

117. In analysis of variance if $SST = 120$ and $SSTR = 80$, then SSE is
- A. 200
 - B. 40
 - C. 80
 - D. 120

Answer: B

118. The correlation coefficient is used to determine:
- A. A specific value of the y-variable given a specific value of the x-variable
 - B. A specific value of the x-variable given a specific value of the y-variable
 - C. The strength of the relationship between the x and y variables
 - D. The value of x for which y can take any positive value.

Answer: C

119. In a regression analysis if total sum of squares is 500 and the residual sum of squares is 200, then the coefficient of determination is
- A. 0.45
 - B. 0.60
 - C. 0.40
 - D. 1.50

Answer: B

120. If the correlation coefficient is 0.8, the percentage of variation in the response variable explained by the variation in the explanatory variable is

- A. 0.80% B. 80% C. 0.64% D. 64%

Answer: D

121. The coefficient of correlation

- A. is the square of the coefficient of determination
B. is the square root of the coefficient of determination

C. is the same as r-square D. can never be negative

Answer: B

122. A regression analysis between sales (in \$1000) and price (in dollars) resulted in the following equation: $\bar{Y} = 50,000 - 8X$

The above equation implies that a (an)

- A. decrease of \$1 in price is associated with a decrease of \$8000 in sales
B. increase of \$8 in price is associated with an increase of \$8,000 in sales
C. increase of \$1 in price is associated with a decrease of \$8000 in sale
D. increase of \$1 in price is associated with a decrease of \$42,000 in sales

Answer: C

123. In regression analysis, the variable that is being predicted is the

- A. Response, or dependent, variable. C. Independent variable
B. Intervening variable D. is usually x

Answer: A

124. The correlation between shoe-size and intelligence is

- A. Negative B. Zero C. Positive D. It cannot be determined

Answer: B

125. The coefficient of correlation is a value which lies

- A. -1 and +1 B. 1 and 0 C. 0 and -1 D. -2 and +2

Answer: A

126. A perfect negative correlation is signified by

- A. 0 B. 1 C. -1 D. 0.5

Answer: C

127. The sampling error is defined as?

- A. difference between population and parameter C. difference between population and sample
B. difference between sample and parameter D. difference between parameter and sample

Answer: C

128. If $E(\bar{X}) = \mu$ then bias is

- A. 100% B. Positive C. Zero D. Negative

Answer: C

129. A simple random sample is one in which:

- A. From a random starting point, every n th unit from the sampling frame is selected
B. A non-probability strategy is used, making the results difficult to generalize
C. The researcher has a certain quota of respondents to fill for various social groups
D.

130. The ability of an interval estimate to contain the value of the population parameter is described by the
- confidence level
 - degrees of freedom
 - precise value of the population mean $\square$
 - degrees of freedom minus 1

CASE 8-2.

A random sample of 121 automobiles traveling on an interstate showed an average speed of 65 mph. From past information, it is known that the standard deviation of the population is 22 mph.

131. Refer to CASE 8-2. If the confidence coefficient is reduced to 0.9, the standard error of the mean
- will increase
 - will decrease
 - remains unchanged
 - becomes negative
132. When constructing a confidence interval for the population mean and the standard deviation of the sample is used, the degrees of freedom for the t distribution equals
- n-1
 - n
 - 29
 - 30
133. The p -value
- is the same as the Z statistic
 - measures the number of standard deviations from the mean
 - is a distance
 - is a probability
134. For a two tail test, the p -value is the probability of obtaining a value for the test statistic as
- likely as that provided by the sample
 - unlikely as that provided by the sample
 - likely as that provided by the population
 - unlikely as that provided by the population
135. The probability of making a Type II error is denoted by
- $\square$
 - $\square$
 - $1 - \square$
 - $1 - \square$
136. In order to test the following hypotheses at an $\square$ level of significance

$$H_0: \square \square 100$$

$$H_a: \square > 100$$

the null hypothesis will be rejected if the test statistic Z is

- $\square Z_{\square}$
- $\square Z_{\square}$
- $< -Z_{\square}$
- < 100

A. Every unit of the population has an equal chance of being selected

CASE 10-4

The following information was obtained from independent random samples. Assume normally distributed populations with equal variances.

	Sample 1	Sample 2
Sample Mean	45	42
Sample Variance	85	90
Sample Size	10	12

137. Refer to CASE 10-4. The degrees of freedom for the t-distribution are
- 22
 - 21
 - 20 $n_1+n_2=10+12 -2=20$
 - 19

Case 10-5

The following information was obtained from matched samples.

Individual	Method 1	Method 2
1	7	5
2	5	9
3	6	8
4	7	7
5	5	6

138. Refer to Case 10-5. If the null hypothesis is tested at the 5% level, the null hypothesis
- should be rejected
 - should not be rejected
 - should be revised
 - None of these alternatives is correct.
- 139 . The value of $F_{.05}$ with 8 numerator and 19 denominator degrees of freedom is
- 2.48
 - 2.58
 - 3.63
 - 2.96
- 140 The symbol used for the variance of the population is
- σ
 - σ^2
 - S
 - S^2
141. The symbol used for the variance of the sample is
- σ
 - σ^2
 - S
 - S^2
142. For an F distribution, the number of degrees of freedom for the numerator
- must be larger than the number of degrees for the denominator

- b. must be smaller than the number of degrees of freedom for the denominator
 - c. must be equal to the number of degrees of freedom for the denominator
 - d. can be larger, smaller, or equal to the number of degrees of freedom for the denominator
143. The sampling distribution of the quantity $(n-1)s^2/\sigma^2$ is the
- a. chi-square distribution
 - b. normal distribution
 - c. F distribution
 - d. t distribution
147. In a simple regression analysis (where Y is a dependent and X an independent variable), if the Y intercept is positive, then
- a. there is a positive correlation between X and Y
 - b. if X is increased, Y must also increase
 - c. if Y is increased, X must also increase
 - d. None of these alternatives is correct.
148. In regression analysis, the variable that is being predicted is the
- a. dependent variable
 - b. independent variable
 - c. intervening variable
 - d. is usually x
149. In simple linear regression analysis, which of the following is not true?
- a. The F test and the t test yield the same results.
 - b. The F test and the t test may or may not yield the same results.
 - c. The relationship between X and Y is represented by means of a straight line.
 - d. The value of $F = t^2$.

Case 14-4

Regression analysis was applied between sales data (in 1,000 ETB) and advertising data (in 100 ETB) and the following information was obtained.

$$\hat{Y} = 12 + 1.8x$$

ETB=ETHIOPIAN BIRR

$$n = 17$$

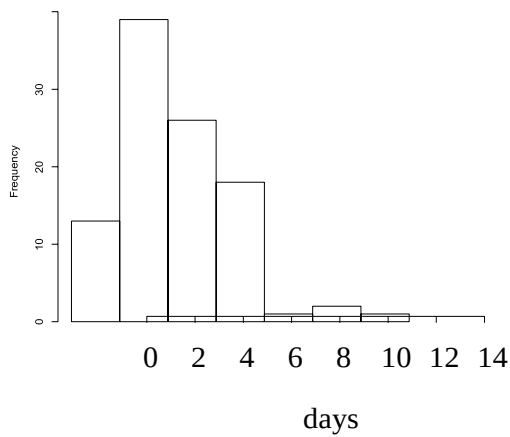
$$SSR = 225$$

$$SSE = 75$$

$$S_{b1} = 0.2683$$

150. Refer to Case 14-4. Based on the above estimated regression equation, if advertising is 3,000 ETB, and then the point estimate for sales (in ETB) is
- a. 66,000 ETB
 - b. 5,412 ETB
 - c. 66 ETB
 - d. 17,400 ETB
151. Given IQ scores are approximately normally distributed with a mean of 100 and standard deviation of 15, the proportion of people with IQs above 130 is:
- a. 95%
 - b. 68%
 - c. 5%
 - d. 2.5%
152. Randomly assigning treatment to experimental units allows:
- a. population inference
 - b. causal inference
 - c. both types of inference
 - d. neither type of inference

153. Failing to reject the null hypothesis when it is false is:
 a. alpha
 b. Type I error
 c. beta
 d. Type II error
154. A parameter is:
 a. a sample characteristic
 b. a population characteristic
 c. unknown
 d. normal normally distributed
155. A statistic is:
 a. a sample characteristic
 b. a population characteristic
 c. unknown
 d. normally distributed
156. Observational studies allow:
 a. population inference
 b. causal inference
 c. both types of inference
 d. neither type of inference
157. A national random sample of 20 ACT scores from 2010 is listed below. Calculate the sample mean and standard deviation. 29, 26, 13, 23, 23, 25, 17, 22, 17, 19, 12, 26, 30, 30, 18, 14, 12, 26, 17, 18
 a. 20.50, 5.79
 b. 20.50, 5.94
 c. 20.85, 5.79
 d. 20.85, 5.94
158. Provided that the ACT is reasonably normally distributed with a mean of 18 and standard deviation of 6, determine the proportion of students with a 33 or higher.
 a. 0.0062
 b. 0.0109
 c. 0.0124
 d. 0.0217
159. Using the data in question above, calculate the 95% confidence interval for the mean ACT score based on the t -distribution.
 a. $-\infty$ to 23.05
 b. $-\infty$ to 23.15
 c. 18.07 to 23.63
 d. 18.22 to 23.48
160. Using the data in question 158, calculate number of observations that are two or more sample standard deviations from the sample mean.
 A. 0
 B. 1
 C. 2
 D. 3
161. The data in question 158 appears to be reasonably symmetric.
 e. True
 f. False
162. When asked questions concerning personal hygiene, people commonly lie. This is an example of:
 A. sampling bias
 B. confounding
 C. non-response bias
 D. response bias
163. Select the order of sampling schemes from best to worst.
 A. simple random, stratified, convenience
 B. simple random, convenience, stratified
 C. stratified, simple random, convenience
 D. stratified, convenience, simple random



164. The histogram above represents the lifespan of a random sample of a particular type of insect. Determine the relationship between the mean and median.

A. mean = median

f. mean > median

B. mean $\approx$ median

e. mean < median

165. When the correlation coefficient, r , is close to one:

A. there is no relationship between the two variables

B. there is a strong linear relationship between the two variables

C. it is impossible to tell if there is a relationship between the two variables

D. the slope of the regression line will be close to one

166. Given the following data pairs (x, y) , find the regression equation.

(1, 1.24), (2, 5.23), (3, 7.24), (4, 7.60), (5, 9.97), (6, 14.31), (7, 13.99), (8, 14.88),

(9, 18.04), (10, 20.70)

c. $y = 1.98x + 0.436$

a. $y = 0.490x - 0.053$

d. $y = 0.49x$

b. $y = 2.04x$

167. Using the data from 16, calculate the correlation coefficient.

a. $r = 0.490$

c. $r = 0.971$

b. $r = 0.985$

d. $r = 0.240$

168. The coefficient of determination for 16 is strong.

A. true

B. false

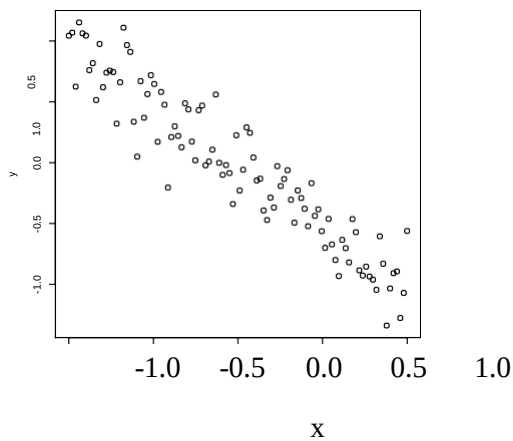
169. Using the data from ABOVE QUESTION, obtain a prediction for $x = 4.5$.

a. 2.15

b. 2.21

c. 9.18

d. 9.34



170. The data in the scatterplot above would have a correlation coefficient that is close to:

- a. -1.0
- b. -0.5
- c. +1.0
- d. +0.5

171. The intercept in linear regression represents:

- A. the strength of the relationship between x and y
- B. the expected x value when y is zero
- C. the expected y value when x is zero
- D. a population parameter

172. Calculate the mean number of children per family for the sample from the following table 22.

Number of children	Number of families
0	8
1	16
2	22
3	14

- a. 1.91
- b. 2.47
- c. 3.14
- d. 2.19

173. Using the table from 22, calculate the standard deviation.

- a. 1.46
- b. 1.45
- c. 2.10
- d. 2.17

175. The distribution of heights of American women aged 18 to 24 is approximately normally distributed with a mean of 65.5 inches and standard deviation of 2.5 inches. Calculate the z-score for a woman six feet tall.

- a. 2.60
- b. 4.11
- c. 1.04
- d. 1.33

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5: MANAGEMENT SCIENCE AND FINANCIAL MANAGEMENT

1) Operations Management

2) Financial Management

3) Operations Research

1) Operations Management

1. What term describes a vertical expansion of job duties in order to give the worker more responsibility?
 - a. Job enlargement
 - b. Job rotation
 - c. Job enrichment
 - d. Job design
2. What are the two basic types of production systems?
 - a. Automated and manual
 - b. Intermittent and non-intermittent process
 - c. Normal and continuous process
 - d. Continuous process and batch
3. What type of process would a paper mill be most likely to use?
 - a. Continuous flow
 - b. Project
 - c. Job shop
 - d. Flow shop
4. What technique deals with the problem of supplying sufficient facilities to production lines or individuals that require uneven service?
 - a. Supply-demand theory
 - b. PERT
 - c. Inventory theory
 - d. Queuing theory
5. A manufacturer has been receiving excessive numbers of defective standard machine parts from a vendor on a regular basis. What is the most effective way to design a formal inspection system for incoming parts?
 - a. Queuing analysis
 - b. Time series analysis
 - c. Statistical quality control
 - d. Regression analysis
6. A set of simultaneous equations that has more variables than constraints has
 - a. no solution
 - b. an infinite number of solutions
 - c. a finite solution
 - d. an infinite solution
7. In a PERT/CPM network, computing the critical path requires
 - a. determining the total project duration
 - b. assigning the earliest finish time for an activity as the earliest start time for the next
 - c. that the latest finishing time for an activity not delay the overall project beyond initial expectation
 - d. a sophisticated and complex computer program
8. At the completion of the forward and backward passes, the slack for an activity is given by the
 - a. difference between early start and early finish
 - b. difference between early start and latest finish
 - c. difference between latest start and early finish
 - d. amount of idle labor on the critical path
9. What type of control chart is used to monitor the number of defects per unit?
 - a. p-chart
 - b. R-chart
 - c. c-chart
 - d. x-bar chart
10. A project has three paths: A—B—C has a length of 25 days. A—D—C has a length of 15 days. A—E—C has a length of 20 days. Which of the following statements is correct?
 - a. A—D—C is the critical path.
 - b. A—B—C has the most slack.
 - c. The expected duration of the project is 25 days.
 - d. The expected duration of this project is 60 days.
11. The operating characteristic (OC) curve shows the probability of

- a. rejection for every possible true percentage of defectives
 - b. acceptance for every possible true percentage of defectives
 - c. making type I errors for various percentages of defectives
 - d. none of the above
- 12. If an artificial variable remains in the solution with a positive value after the stopping criterion has been reached, the problem
 - a. is infeasible
 - b. is optimal
 - c. needs a new basis
 - d. has more than one solution
- 13. What are the two sources of costs in queuing analysis?
 - a. Arrivals and departures
 - b. Arrivals and idleness
 - c. Waiting customers and capacity
 - d. Equipment breakdowns and departures
- 14. The transportation model method that is used to evaluate location alternatives minimizes total
 - a. sources
 - b. destinations
 - c. capacity
 - d. shipping costs
- 15. What is simulation?
 - a. A quick solution method to problem-solving
 - b. A formalized deterministic approach to problem-solving
 - c. A graphical method to problem-solving
 - d. A trial-and-error approach to problem-solving
- 16. What priority rule is being used when jobs are processed according to the lowest ratio of due date to remaining processing time?
 - a. CR (critical ratio)
 - b. EDD (earliest due date first)
 - c. FCFS (first come, first served)
 - d. S/O (least slack per operation first)
- 17. Moving from the aggregate plan to a master production schedule requires
 - a. rough cut capacity planning
 - b. sub-optimization
 - c. disaggregation
 - d. strategy formulation
- 18. Which of the following statements is true of Lean-Six Sigma?
 - a. Lean principles focus on advanced statistical methods.
 - b. Lean principles and Six-Sigma are separate bodies of knowledge
 - c. Lean principles have been developed over a lengthy period of time.
 - d. Lean principles include the 5Ss framework and practices.
- 19. When the flow of materials is variable,
 - a. layout by process is most suitable
 - b. layout by product is most suitable
 - c. layout by fixed position is most suitable
 - d. line balancing is most suitable
- 20. A fixed interval system
 - a. adds the same predetermined amount to inventory each time replenishment occurs
 - b. is suitable for joint replenishment items
 - c. is triggered at the reorder level
 - d. requires perpetual monitoring of inventory records
- 21. Which one of the following strategy is used in concurrent engineering techniques of product design?
 - A. Design for procurement
 - B. Design for manufacturability
 - C. Design for disassembly
 - D. All
- 22. _____ is a detail description of material, parts, or products including physical dimensions.
 - A. Specifications
 - B. Simplifications
 - C. Standardization
 - D. Group technology
- 23. _____ is the maximum output that a process or firm can economically sustain under normal conditions?
 - A. Output capacity
 - B. Capacity utilization
 - C. Effective capacity
 - D. Design capacity

24. In which one of the following product development stage only a bare bone of a product will be defined?
- A. Idea generation C. Final product design
B. Prototype construction D. preliminary product design
25. Which of the following factors influence facility location selection decision?
- A. Site Size B. Markets C. Community Attitudes D. All
26. Operations management is only important for manufacturing and service giving organisations which are engaged in business activities.
- A. True B. False
27. In make or buy decision, if the firm has the capacity it often makes sense to ____ an item and if the firm lacks the expertise it ____ an item.
- A. make, produce B. make, buy C. buy, make D. buy, order
28. Just in time (JIT) is a major operations management philosophy, developed in Japan in the 1980s, that is designed to achieve high-volume production using minimal amounts of inventory.
- A. True B. False
29. _____ is calculated as the difference between the due date and the current date divided by the work remaining
- A. FCFS B. Due Date C. SPT D. CR E. None
30. _____ makes it possible to have relatively high product variety and low component variety at the same time.
- A. Concurrent engineering B. Modular design C. Robust Design D. All
31. _____ is also a dimension of quality for which there is a high degree of individual judgment and that is also highly subjective.
- A. Serviceability B. Perceived quality C. Feature D. Performance E. None
32. Flexibility in operations management is related with mass customization of company's product offering to customers' preference in the market.
- A. True B. False
33. _____ is the ability to quickly compensate for the failure and restore if possible?
- A. Service recovery C. Serviceability
B. Service delivery D. All
34. Which one of the following is included under internal failure cost?
- A. Cost of testing or inspecting incoming raw materials
B. Cost of rework or corrective operations
C. Cost of research and development efforts
D. Cost involved in attending to customers complaints
35. ISO is a worldwide federation of national standards organisations that establish uniform quality standards.
- A. True B. False
36. _____ is a technique of work measurement in which a large number of instantaneous observations are made over a period of time of a group of machines, processes or workers.
- A. PMTS C. Synthesis from elemental data
B. Activity sampling D. Analytical estimating
37. Job-shop production are characterised by manufacturing one or few quantity of products designed and produced as per the specification of customers within prefixed time and cost.
- A. True B. False
38. Which one of the followings is aimed at providing the right amount of capacity at the right place at the right time
- A. Capacity decision C. Machine plan
B. Plant location D. All

39. Which one of the following in 1980s Sought to eliminate causes of production defects
- Total quality management
 - Just in time
 - Flexibility
 - All
40. Which one of the following is true about batch production system?
- Plant and machinery are flexible
 - High variety of products and low volume.
 - Standardisation of product and process sequence
 - Dedicated plant and equipment with zero flexibility
 - None
41. A service guaranty is like its counterpart the product guarantee, except for one thing: The customer cannot return the service if he/she does not like it
- True
 - False
42. Which one of the following statements is correct about reasons to study operation management?
- Operations management has been recognized as an important factor in a country's well-being.
 - Activities in all of the other areas of business organisations are all interrelated with operations management activities.
 - A & B
 - All

Note: respond to 43-46 using the given problem; Collins Title Company has a staff of 4 each working 8 hours per day (for a payroll cost of \$640 /day) and overhead expenses of \$400 per day. Collins processes and closes on 8 titles each day. The company recently purchased a computerized title-search system that will allow the processing of 14 titles per day. Although the staff, their work hours, and pay will be the same, the overhead expenses are now \$800 per day.

43. Calculate Labor productivity with the old system?
- 0.25 titles per
 - 0.4375 titles
 - 0.0077 titles
 - 0.0097 titles
44. Find Labor productivity with the new system
- 0.55 titles per
 - 0.77 titles
 - 0.4375 titles
 - 0.0097 titles
45. Calculate Multifactor productivity with the old system
- 0.55 titles per
 - 0.0077 titles
 - 0.4375 titles
 - 0.0097 titles
46. What is Multifactor productivity with the new system
- 0.55 titles per
 - 0.0077 titles
 - 0.4375 titles
 - 0.0097 titles
47. Identify wrong statement about characteristics of production system.
- Every production system has an objective.
 - Production system transforms the various inputs to useful outputs.
 - Operation system works in isolation from the other organisation systems.
 - None
48. When we use time as a competitive priority, the job of the operations function is----- except
- Combine or eliminate processes in order to save time.
 - Eliminate wastes to improve productivity.
 - Rely on a flexible workforce to meet peak demand periods.
 - Eliminate unnecessary steps in the production process.
49. Standardisations of product and process sequence are common character of both mass and continuous production system.
- True
 - False
50. Which one of the following is correct sequence of production system based on high product variety?
- Continuous→Mass→Batch→Job shop production system

- B. Job shop → Batch → Mass → Continuous production system
 C. Batch → Job shop → Mass → Continuous production system
 D. Mass → Continuous → Batch → Job shop production system
 E. All F. None
51. Service giving organizations can only use service operation.
 A. True B. False
52. When we compute productivity as the ratio of output relative to a single input, then we obtain_____
 A. Partial productivity B. total productivity C. multifactor productivity D. All
53. Unique features of the business that will make it competitive in the market is the issue of_____
 A. Operations strategy B. Product design C. Supply chain managements D. Capacity planning
54. Which one of the following is not true about manufacturing organization?
 A. Customers have no direct contact with the operation
 B. Capital intensive D. Long response time
 C. Labor intensive E. None
55. All types of goods and services in any kinds of organisations are the result of operations management.
 A. True B. False
56. Which one of the following is not advantage of mass production system?
 A. Higher rate of production with reduced cycle time.
 B. Higher capacity utilisation due to line balancing.
 C. Less skilled operators are required
 D. All E. None
57. Which one of the following statement is true?
 A. High contact services generally require higher prices and less customization
 B. High contact operations are used for changing or uncertain demand.
 C. In Batch manufacturing lead-time and cost are higher as compared to job order production.
 D. All E. A&C
58. What is operations management?
 A. What all managers do when they deal with day-to-day activities?
 B. An Organizational function dividing labor.
 C. The process of satisfying the needs of internal and external customers.
 D. The activity of producing products and services.
59. Most operations produce a mixture of both products and services. Which of the following businesses is closest to producing 'pure' services?
 A. IT company C. Counselor/therapist
 B. Steel company D. A restaurant
60. _____ is a strategy that matches demand during the planning horizon by varying either the workforce level or the output rate.
 A. Level strategy C. Mixed strategy
 B. Chase strategy D. All
61. Which one of the following is statement of a company's production rates, workforce levels, and inventory holding based estimates of customer requirements and capacity limitations.
 A. Aggregate plan C. Capacity plan
 B. Product plan D. All
62. Operations can be classified according to the degree of variation in demand and visibility of the operation as well as their volume and variety of production. Which of the following operations would be classified as high variation and high visibility?

- A. A front office bank
B. A family doctor
C. A fast food restaurant
D. A carpenter
63. Operations typically differ in terms of volume of output, variety of output, variation in demand or the degree of 'visibility' (i. customer contact) that they give to customers of the production process. Please match the following element with the most appropriate of the above dimensions. Flexibility is most closely matched to:
A. Variety
B. Volume
C. Variation
D. Visibility
64. High-volume operations do not include one of the following?
A. A taxi service
B. A theme park
C. Television manufacture
D. A fast food restaurant
65. When the degree of conformance is very high, the costs of failure are low but the costs of control are quite high.
A. True
B. False
66. Which of the following activities is not a direct responsibility of operations management?
A. Developing an operations strategy for the operation.
B. Planning and controlling the operation.
C. Designing the operation's products, services and processes.
D. Determining the exact mix of products and services that customers will want.
67. _____ are related to activities which remove defects in the production stream
A. Control cost
B. Failure costs
C. External costs
D. All
68. Which of the following is philosophy that the people who are directly responsible for making the product or providing the service will be best able to consider ways to solve a problem?
A. Quality circle
B. Quality feature
C. Quality cost
D. All
69. Which of the following is true of effective operations?
A. It can reduce costs of producing goods and services
B. It can provide the basis for future innovation.
C. It can reduce the amount of investment necessary to produce goods and service
D. All of the above.
70. Attribute measurement of quality control system uses a discrete scale by counting the number of defective items or the number of defects per units.
A. True
B. False
71. Which of the following is NOT a response from operations to the changing business environment?
A. Lean process design
B. Technologies replacing manual jobs
C. Flexible working patterns
D. Mass marketing
72. Which of the following is NOT true of the changing business environment in which operations management work?
A. More frequent product introduction
B. Demand for better quality
C. More legal regulation
D. Less ethical sensitivity
73. The transforming and transformed resources that form the input to operations are called:
A. Input resources
B. Transformation resources
C. Delivery resources
D. Tangible resources
74. For an operations manager, the activity of collaborating with other functions in an organization is called:
A. Deliberation and communication
B. An indirect responsibility
C. Organizational behavior
D. A supporting role
75. Service processes that have a high number of transactions, often involving limited customization, are called:
A. Mass services
B. Low-complexity services
C. Dual services
D. Service runner

76. Products will perform as designed only within a narrow range of conditions, it is called that?
 A. Robust design B. Modular design C. Product design D. All
77. An operation's ability to produce a wide range of products or services is called what?
 A. Commodity range C. Mix flexibility
 B. Package D. Customization profile
78. All the activities involved in supplying a customer's order is called:
 A. Customer-focused process C. Delivery
 B. Customer-driven operations D. Order fulfillment
79. When applied to operations performance, what term can be used interchangeably with 'dependability'?
 A. Assurance C. Quality
 B. Reliability D. Speed
80. The people and groups of people who have an interest in the operation and who may be influenced by, or influence, the operation's activities, are called:
 A. Operation owners
 B. Pressure groups D. Stakeholders
 C. Key accounts
81. The amount of value-added activity that takes place in the presence of the customer is called:
 A. Variation C. Visibility
 B. Value-added D. Variety
82. Resources within an operation that are not immediately evident, such as relationships with suppliers, are called:
 A. Transient resources C. Ethereal resources
 B. Intangible resources D. Non-discreet resources
83. Product design from financial view point refers to choice of a particular design will determine the capital investment options for the firm.
 A. True B. False
84. Which of the following is NOT a process input?
 A. Aircraft for an airline C. Information for the police
 B. Transported passengers for a train service D. Sales staff for a department store
85. _____ is the maximum rate of output achieved under ideal condition
 A. Design Capacity C. Output capacity
 B. Effective capacity D. All
86. The dominant operation for a bank is:
 A. Processing customers C. Processing information
 B. Processing materials D. Processing complaints
87. Which of the following predominantly process materials in their operations?
 A. Market research company C. Postal service
 B. Bank headquarters D. Hospitals
88. Which of the following is an implication of low variety?
 A. Matching customer needs necessary C. High complexity
 B. Low unit cost D. Flexibility needed
89. Which of the following is NOT an implication of high variation in demand?
 A. Anticipation is important C. Changing capacity
 B. Low unit cost D. Flexibility in workforce is needed

Note: Use the data given to answer question 90-93 X-company operation information regarding the output produced and inputs consumed for a particular time period for a particular company is given below:

Output	10,000 birr
Labor	3,000 birr

- | | |
|----------|------------|
| Material | 2,000 birr |
| Energy | 1,000 birr |
90. What is the productivity of the organization?

A. 2	C. <u>1.6</u>
B. 2.5	D. 3.2
 91. Calculate partial productivity of labor?

A. 3	C. 4.36
B. <u>3.3</u>	D. 2.7
 92. What is partial productivity of material?

A. 4	C. <u>5</u>
B. 3.7	D. 6
 93. Find partial productivity of energy?

A. 9	C. 12
B. <u>10</u>	D. 7
 94. What are the two basic types of production systems?

A. Automated and manual	C. Normal and continuous process
B. <u>Intermittent and non-intermittent process</u>	D. Continuous process and batch
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A. <u>Difference between early start and early finish</u>
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A. p-chart	C. <u>c-chart</u>
B. R-chart	D. x-bar char
 101. A project has three paths: A—B—C has a length of 25 days. A—D—C has a length of 15 days. A—E—C has a length of 20 days. Which of the following statements is correct?

A. A—D—C is the critical path.	C. <u>The expected duration of the project is 25 days.</u>
B. A—B—C has the most slack.	D. The expected duration of this project is 60 days.
 102. The operating characteristic (OC) curve shows the probability of

A. Rejection for every possible true percentage of defectives
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- A. Rough cut capacity planning
 - B. Sub-optimization
 - C. Disaggregation
 - D. Strategy formulation
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- A. Layout by process is most suitable
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 - C. Layout by fixed position is most suitable
 - D. Line balancing is most suitable
110. A fixed interval system
- A. Adds the same predetermined amount to inventory each time replenishment occurs
 - B. is suitable for joint replenishment items
 - C. is triggered at the reorder level
 - D. Requires perpetual monitoring of inventory records
- React to question 111-112 as stated problem: If operated around the clock under ideal conditions, the fabrication department of an engine manufacturer can make 100engines per days. Management believe that a maximum output rate of only 45 engines per day can be sustained economically over a long period of time Currently, the department is producing 50 engines per day.
111. What is the utilization of capacity for the department related to designed capacity?
- A. 50%
 - B. 67%
 - C. 21%
 - D. 102%
112. Calculate Efficiency capacity of the department?
- A. 125%
 - B. 94%
 - C. 110%
 - D. 45%
113. _____ Systems are used to manage materials from purchasing through raw materials, work in process, and finished goods inventories?
- A. Inventory control
 - B. Capacity management
 - C. Product control
 - D. All
114. Which of the following is characteristics of high-and low- contact services
- A. Face to face interaction is not mandatory
 - B. Used for changing or uncertain demand
 - C. Require employees with technical skills
 - D. All
115. Process of designing a service blueprint involves one of the following except?
- A. Identifying the sequence
 - B. Isolating fail points

- C. Establishing time frames
D. None of the above
116. Which of the following is used when the product is large and cannot be moved due to its size?
A. Process layout
B. Hybrid layout
C. Fixed position layout
D. All
117. _____ are among quality costs associated with preventing defects before they happen?
A. Preventive costs
B. Appraisal costs
C. Failure costs
D. All
118. Which one of the following is the internal factor that affects capacity planning?
A. product and service design,
B. personnel and jobs
C. plant layout and process flow
D. All
119. What type of process would a Cement plant be most likely to use?
a. Continuous flow
b. Project
c. Job shop
d. Flow shop
120. Process selection is primarily considered during:
a) Planning
b) Organizing
c) Leading
d) Controlling
121. What type of process would a fertilizer plant be most likely to use
a. Continuous
b. Project
c. Job
d. Flow shop
122. The type of operation being carried out by an organization depends upon:
a) Degree of standardization
b) Volume of output
c) Demand
d) Both (a) and (b)
123. Repetitive processing results in output that is:
a) Highly standardized
b) Highly customized
c) Partially customized
d) None of the given options
124. Construction of fertilizer plant is
a. Continuous
b. Project
c. Job
d. Flow shop
125. The inputs to a transformation process include all of the following except
a. Material
b. People
c. Information
d. Transportation
126. Job shop and batch processing are differentiated on the basis of:
a) Job requirements
b) Degree of standardization
c) Volume of output
d) Both (b) and (c)
127. Automation is preferred because it:
a) Offers lesser dependence on workers
b) Results in reduction in variable cost
c) Offers easy handling of repetitive work
d) All of the given options
128. Product layout is preferably used for:
a) Repetitive processing
b) Intermittent processing
c) Both (a) and (b)
d) Neither (a) nor (b)
129. What are the two basic types of production systems?
a. Automated and manual
b. Intermittent and non-intermittent process
c. Normal and continuous process
d. Continuous process and batch
130. Process layout is used for:
a) Repetitive processing
b) Intermittent processing
c) Both (a) and (b)
d) Neither (a) nor (b)
131. The most significant advantage of U-shaped layout is:
a) Cost minimization
b) Easy handling of process

- c) **Increased flexibility in work** d) All of the given options
132. The goal of motion study is to achieve:
 a) Cost minimization c) Profitability
 b) **Maximum efficiency** d) All of the given options
133. Location decisions are viewed primarily as part of:
 a) Marketing strategy c) Financial aspect
 b) Growth factors d) **Both (a) and (b)**
134. Regional factors for location planning include all of the following except:
 a) Raw materials c) Labor considerations
 b) Markets d) **Attitudes**
135. Transportation method is a _____ approach.
 a) **Quantitative** c) Scientific
 b) Qualitative d) All of the given options
136. Poor quality adversely affects:
 a) Costs c) Profitability
 b) Productivity d) **All of the given options**
137. A product performing consistently refers to which of the following dimensions of quality:
 a. Safety c. Durability
 b. Conformance d. **Reliability**
138. What type of process would a paper mill be most likely to use?
 a. **Continuous flow** c. Job shop
 b. Project d. Flow shop
139. Which of the following is not a type of operations?
 a. goods production c. entertainment
 b. storage/transportation d. **all the above involve operations**
140. Technology choices seldom affect:
 a. Costs. c. **Union activity.**
 b. Productivity. d. quality
141. Measurements taken at various points in the transformation process for control purposes are called:
 a. plans c. controls
 b. directions d. **feedback**
142. Budgeting, analysis of investment proposals, and provision of funds are activities associated with the _____ function.
 a. operation c. purchasing
 b. marketing d. **finance**
143. Which one of the following would not generally be classified under the heading of transformation?
 a. assembling c. **staffing**
 b. teaching d. farming
144. Manufacturing work sent to other countries is called:
 a. downsized c. internationalization
 b. **outsourced** d. vertical integration
145. What name is often given to processes which involve the manufacture of a unique item from beginning to end?
 a. Jobbing processes c. Lean production processes.
 b. **Continuous processes.** d. Batch processes.
146. Product design and process selection are examples of _____ decisions.
 a. financial b. tactical

- c. **system design** d. system operation
147. Which of these layouts is most suitable for processing sugar from sugar beets or sugar cane?
- a. **process-oriented layout** c. focused factory
- b. fixed-position layout d. product-oriented layout
148. What is credited with gains in industrial productivity, increased standards of living and affordable products?
- a. personal computers c. mass transportation
- b. the internet d. **assembly lines**
149. Which of the following is an example of a Service Business?
- a. Law firm
- b. Hospital
- c. Bank
- d. Retail store
- e. **All of the above**
150. Which is not a significant difference between manufacturing and service operations?
- a. cost per unit c. labor content of jobs
- b. uniformity of output d. **Measurement of productivity.**
151. Which of the following is not a characteristic of service operations?
- a. intangible output d. **easy measurement of productivity**
- b. high customer contact e. low uniformity of output
- c. high labor content
152. Which of the following is a recent trend in business?
- a. pollution control d. competition from foreign manufacturers
- b. total quality management e. technological change
- c. **supply chain management**
153. Farming is an example of:
- a. an obsolete activity d. a growth industry
- b. a virtual organization e. customized manufacturing
- c. **non-manufactured goods**
154. Service strategy development begins by selecting which of the following as an operating focus or performance priority?
- a. Price d. Treatment
- b. Quality e. **All of the above**
- c. Variety
155. Which of the following “best practices emphasized by service executives” had the highest mean emphasize rating?
- a. Leadership d. Customer orientation
- b. **Accessibility** e. Listening to the customer
- c. Quality values
156. The process of comparing outputs to previously established standards to determine if corrective action is needed is called:
- a. planning c. **controlling**
- b. directing d. budgeting
- e. disciplining
157. Which of the following does not relate to system design?
- a. altering the system capacity d. selection and acquisition of equipment
- b. location of facilities e. physical arrangement of departments
- c. **inventory management**
158. Operations and sales are the two-_____functions in businesses.
- a. strategic b. tactical

- c. support
d. line
159. Marketing depends on operations for information regarding_____.
 a. productivity
b. lead time
 c. cash flow
 d. budgeting
 e. corporate intelligence
160. Which came last in the development of manufacturing techniques?
 a. Lean production.
 b. Division of labor.
 c. Mass production.
d. Interchangeable parts.
161. If an artificial variable remains in the solution with a positive value after the stopping criterion has been reached, the problem
 a. **is infeasible**
 b. is optimal
 c. needs a new basis
 d. has more than one solution
162. What are the two sources of costs in queuing analysis?
 a. Arrivals and departures
 b. Arrivals and idleness
 c. **Waiting customers and capacity**
 d. Equipment breakdowns and departures
163. Which one of these was not mentioned in the list of recent trends in operations management?
 a. Total quality management
 b. Worker involvement
 c. Global competition.
d. Automation.
 e. Environmental issues.
164. Which came last in the development of manufacturing techniques?
 a. **Lean production.**
 b. Division of labor.
 c. Mass production.
 d. Craft production.
 e. Interchangeable parts.
165. Which of the following is not a type of operations?
 a. goods production
 b. storage/transportation
 c. entertainment
d. price reduction
166. Which one does not use operations management?
 a. A CPA firm.
 b. A bank.
 c. A hospital
d. They all use it.
167. The transportation model method that is used to evaluate location alternatives minimizes total.
 a. sources
 b. destinations
 c. capacity
d. shipping costs
168. Moving from the aggregate plan to a master production schedule requires
 a) rough cut capacity planning
 b) sub-optimization
 c) **disaggregation**
 d) strategy formulation
169. Which of the following terms best defines the nature of Total Quality Management?
 a. An art
 b. **A philosophy**
 c. A science
 d. A social activity
170. Which of the following terms reflects Japanese view of continuous improvement?
 a. **Kaizen**
 b. Poka-yoke
 c. Six sigma
 d. Control limits

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2) FINANCIAL MANAGEMENT

1. Basic objective of Financial Management is _____.

- | | | | |
|--------|-------------------------------|-------|--------------------------------------|
| A. | Maximization of profit. | C. | Ensuring Financial discipline in the |
| B. | Maximization of shareholder's | firm. | |
| wealth | | D. | All of these. |

ANSWER: B

2. Financial structure refers to _____.

- | | | | |
|----|------------------------------|----|----------------------|
| A. | Short-term resources. | C. | Long-term resources. |
| B. | All the financial resources. | D. | All of these. |

ANSWER: B

3. The market value of the firm is the result of _____.

- | | |
|-------------------------------|---------------------------------------|
| A. Dividend decisions. | C. Capital budgeting decisions. |
| B. Working capital decisions. | D. Trade-off between risk and return. |

ANSWER: D

4. Cost of capital is _____.

- A. Lesser than the cost of debt capital.
B. Equal to the last dividend paid to the equity shareholders.
C. Equal to the dividend expectations of equity shareholders for the coming year.
D. None of the above.

ANSWER: D

5. In Walter model formula D stands for _____.

- | | | | |
|----|---------------------|----|------------------|
| A. | Dividend per share. | C. | Direct earnings. |
| B. | Direct dividend. | D. | None of these. |

ANSWER: A

6. _____ Security is known as variable income security.

- | | | | |
|----|--------------------|----|----------------|
| A. | Debentures. | C. | Equity shares. |
| B. | Preference shares. | D. | None of these. |

ANSWER: C

7. Quick asset does not include _____.

- | | |
|---|-----------------|
| A. Government bonds. | B. Book debts. |
| C. Advance for supply of raw materials. | D. Inventories. |

ANSWER: D

8. Long term finance is required for _____.

- | | | | |
|----|-----------------|----|-------------------|
| A. | Current assets. | C. | Intangible assets |
| B. | Fixed assets. | D. | None of these. |

ANSWER: B

9. Financial leverage can be measured in _____.

- | | |
|----------------|----------------------|
| A. Stock term. | C. Both (a) and (b). |
| B. Flow term. | D. None of these. |

ANSWER: C

10. Current ratio of a concern is 1, its net working capital will be _____.

- A. Positive.
- B. Neutral.
- C. Negative.
- D. None of the above

ANSWER: C

11. Risk-return trade off implies _____.

- A. Increasing the portfolio of the firm through increased production.
- B. Not taking any loans which increases the risk.
- C. Not granting credit to risky customers.
- D. Taking decision in such a way which optimizes the balance between risk and return.

ANSWER: D

12. _____ is a specific risk factor.

- A. Market risk.
- B. Inflation risk.
- C. Interest rate risk.
- D. Financial risk.

ANSWER: D

13. _____ is not a diversifiable or specific risk factor.

- A. Company strike.
- B. Bankruptcy of a major supplier.
- C. Death of a key company officer.
- D. Industrial recession.

ANSWER: D

14. The major benefit of diversification is to _____.

- A. Increase the expected return.
- B. Increase the size of the investment portfolio.
- C. Reduce brokerage commissions.
- D. Reduce the expected risk.

ANSWER: D

15. The risk free rate of return is 8% the expected rate of return on market portfolio is 15% the beta of eco boards equity stock is 1.4. the required rate on eco boards equity is _____.

- A. 15.4%.
- B. 16.8%.
- C. 17.2%.
- D. 17.8%.

ANSWER: D

16. _____ is concerned with the acquisition, financing, and management of assets with some overall goal in mind.

- A. Financial management.
- B. Profit maximization.
- C. Agency theory.
- D. Social responsibility.

ANSWER: A

17. _____ is concerned with the maximization of a firm's earnings after taxes.

- A. Shareholder wealth maximization.
- B. Profit maximization.
- C. Stakeholder maximization.
- D. EPS maximization.

ANSWER: B

18. _____ is the most appropriate goal of the firm.

- A. Shareholder wealth maximization.
- B. Profit maximization.
- C. Stakeholder maximization.
- D. EPS maximization.

ANSWER: A

19. Which of the following statements is correct regarding profit maximization as the primary goal of the firm?

- A. Profit maximization considers the firm's risk level.
- B. Profit maximization will not lead to increasing short-term profits at the expense of lowering expected future profits.
- C. Profit maximization does consider the impact on individual shareholder's EPS.
- D. Profit maximization is concerned more with maximizing net income than the stock price.

ANSWER: D

20. If a company issues bonus shares the debt equity ratio _____.

- A. Remain unaffected.
- B. Will be affected.
- C. Will improve.
- D. None of the above.

ANSWER: C

21. Which of the following is not normally a responsibility of the treasurer of the modern corporation but rather the controller?

- A. Budgets and forecasts.
- B. Asset management.
- C. Investment management.
- D. Financial management.

ANSWER: A

22. The _____ decision involves determining the appropriate make-up of the right-hand side of the balance sheet.

- A. Asset management.
- B. Financing.
- C. Investment.
- D. Capital budgeting.

ANSWER: B

23. Treasurer should report to _____.

- A. Chief Financial Officer.
- B. Vice President of Operations.
- C. chief Executive Officer.
- D. Board of Directors.

ANSWER: A

24. The _____ decision involves a determination of the total amount of assets needed, the composition of the assets, and whether any assets need to be reduced, eliminated, or replaced.

- A. Asset management.
- B. Financing.
- C. Investment.
- D. Accounting.

ANSWER: C

25. The par value of the stocks and bonds outstanding is termed as _____.

- A. Capitalization.
- B. Multiplication.
- C. Outstanding income.
- D. Earnings before interest and taxes.

26. According to the text's authors, _____ is the most important of the three financial management decisions.

- A. Asset management decision.
- B. Financing decision.
- C. Investment decision.
- D. Accounting decision.

ANSWER: C

27. The _____ decision involves efficiently managing the assets on the balance sheet on a day-to-day basis, especially current assets.

- A. Asset management.
- B. Financing.
- C. Investment.
- D. Accounting.

ANSWER: A

28. _____ is not normally a responsibility of the controller of the modern corporation.

- A. Budgets and forecasts.
- B. Asset management.
- C. Financial reporting to the IRS.
- D. Cost accounting.

ANSWER: B

29. All constituencies with a stake in the fortunes of the company are known as _____.

- A. Shareholders.
- B. Stakeholder
- C. Creditors.
- D. Customers.

ANSWER: B

30. Which of the following statements is not correct regarding earnings per share (EPS) maximization as the primary goal of the firm?

- A. EPS maximization ignores the firm's risk level.
- B. EPS maximization does not specify the timing or duration of expected EPS.
- C. EPS maximization naturally requires all earnings to be retained.
- D. EPS maximization is concerned with maximizing net income.

ANSWER: D

31. _____ is concerned with the maximization of a firm's stock price.
 A. Shareholder wealth maximization. B. Profit maximization.
 C. Stakeholder welfare maximization.
 D. EPS maximization.
 ANSWER: A
32. Corporate governance success includes three key groups. _____ represents these three groups.
 A. Suppliers, managers, and customers.
 B. Board of directors, executive officers, and common shareholders.
 C. Suppliers, employees, and customers.
 D. Common shareholders, managers, and employees.
 ANSWER: B
33. In 2 years you are to receive Rs.10,000. If the interest rate were to suddenly decrease, the present value of that future amount to you would _____.
 A. Fall. C. Remain unchanged.
 B. Rise. D. Cannot be determined.
 ANSWER: B
34. Interest paid (earned) on both the original principal borrowed (lent) and previous interest earned is often referred to as _____.
 A. Present value. C. Future value.
 B. Simple interest. D. Compound interest.
 ANSWER: D
35. The long-run objective of financial management is to _____.
 A. Maximize earnings per share.
 B. Maximize the value of the firm's common stock.
 C. Maximize return on investment.
 D. Maximize market share.
 ANSWER: B
36. Which one of the following is / are the relevance theory?
 A. Gordon. B. Walter. C. Residual. D. Both (a) and (b).
 ANSWER: A
40. A set of possible values that a random variable can assume and their associated probabilities of occurrence are referred to as _____.
 A. Probability distribution.
 B. The expected return.
 C. The standard deviation.
 D. Coefficient of variation.
 ANSWER: A
41. The weighted average of possible returns, with the weights being the probabilities of occurrence is referred to as _____.
 A. A probability distribution.
 B. The expected return.
 C. The standard deviation.
 D. Coefficient of variation.
 ANSWER: B
42. _____ on capital gain and current income may influence form of capital.
 A. Legal stipulation.
 B. Rate of tax.
 C. Capital market condition.

D. Cost of floating.

ANSWER: B

43. The most important and common form of dividend is_____.

- A. Stock dividend.
- B. Cash dividend.
- C. Bond dividend.
- D. Scrip's dividend.

ANSWER: A

44. _____ form of market efficiency states that current security prices fully reflect all information, both public and private.

- A. Weak.
- B. Semi-strong.
- C. Strong.
- D. Flexible.

ANSWER: C

45. Which form of market efficiency states that current prices fully reflect the historical sequence of prices?

- A. Weak.
- B. Semi-strong.
- C. Strong.
- D. Flexible.

ANSWER: A

46. _____ form of market efficiency states that current prices fully reflect all publicly available information.

- A. Weak.
- B. Semi-strong.
- C. Strong.
- D. Flexible.

ANSWER: B

47. _____ is concerned with the acquisition, financing, and management of assets with some overall goal in mind.

- A. Financial management.
- B. Profit maximization.
- C. Agency theory.
- D. Social responsibility.

ANSWER: A

48. _____ is the employment of an asset is sources of fund for which the firm has to pay a fixed cost or fixed return.

- A. Financial management.
- B. Profit maximization.
- C. Asset management.
- D. Leverage.

ANSWER: D

49. _____ is the minimum required rate of earnings or the cut off rate of capital expenditure.

- A. Cost of capital.
- B. Working capital.
- C. Equity capital.
- D. None of the above.

ANSWER: A

50. _____ is a long term planning for financing proposed capital outlay.

- A. Capital Budgeting.
- B. Budgeting.
- C. Cash Budget.
- D. Sales Budget.

ANSWER: A

51. Which of the following is the first step in capital budgeting process?

- A. Final approval.
- B. Screening the proposal.
- C. Implementing proposal.
- D. Identification of investment proposal.

ANSWER: D

52. The term _____ refers to the period in which the project will generate the necessary cash flow to recoup the initial investment.

- A. Internal return.
- B. Payback period.
- C. Discounting return.
- D. Accounting return.

ANSWER: B

53. A mutually exclusive project can be selected as per payback period when it is_____.

- A. Less.
- B. More.
- C. More than 5 years.
- D. None of the above.

ANSWER: A

54. The project can be selected if its profitability index is more than _____.

- A.1%.
- B.3%.
- C.5%.
- D.10%.

ANSWER: A

55. Initial outlay 50,000, life of the asset 5 yrs, estimated annual cash flow 12,500, IRR =

- A. 5%
- B.6%
- C.8%
- D.10%

ANSWER: C

56. A project costs 1,00,000 ETB annual cash flow of 20,000 ETB for 8 years. Its payback period is _____.

- A.1 year.
- B.2 years.
- C.3 years.
- D.5 years.

ANSWER: D

57. X Ltd issues rupees 50,000 8% debentures at a discount of 5%. The tax rate is 50% the cost of debt capital is _____.

- A.4%.
- B.4.2%.
- C.4.6%.
- D.5%.

ANSWER: B

58. _____ Cost of the project is 6,00,000, life of the project is 5 years annual cash flow is 2,00,000 cut off rate is 10% the discounted payback period is _____.

- A.2 yrs.
- B.2 yrs 6 months.
- C.3 yrs.
- D.3 yrs 9 months.

ANSWER: D

59. To increase the given present value, the discounted rate should be adjusted

- A. Upward.
- B. Downward.
- C. No change.
- D. Constant.

ANSWER: B

60. Which form of market efficiency states that current security prices fully reflect all information, both public and private?

- A. Weak.
- B. Semi-strong.
- C. Strong.
- D. Highly strong.

ANSWER: C

58. Which form of market efficiency states that current prices fully reflect the historical sequence of prices?

- A. Weak.
- B. Semi-strong.
- C. Strong.
- D. Highly strong.

ANSWER: A

59. _____ is one that maximizes value of business, minimizes overall cost of capital, that is flexible, simple and futuristic, that ensures adequate control on affairs of business by the owners and so on.

- A. Minimal capital structure.
- B. Moderate capital structure.
- C. Optimal capital structure.
- D. Deficit capital structure.

ANSWER: C

60. _____ refers to make-up of a firm's capitalization.

- A. Capital structure.
- B. Capital budgeting.
- C. Equity shares.
- D. Dividend policy.

ANSWER: A

61. _____ of different sources of capital influences capital structure.

- A. Restrictive covenants.
- B. Tax advantage.
- C. Cost of capital.
- D. Trading on equity.

ANSWER: C

62. _____ of debt capital is a factor in favor of using more debt capital.

- A. Tax advantage.
- B. Debt equity norms.
- C. Leverage effect.
- D. Security of assets.

ANSWER: A

63. _____ is a payment of additional shares to shareholders in lieu of cash.

- A. Stock split.
- B. Stock dividend.
- C. Extra dividend.
- D. Regular dividend.

ANSWER: B

64. _____ such as restriction on business expansion, on raising additional capital, on declaration of dividend, nominee directors on the board, convertibility clause, etc.

- A. Trading on equity.
- B. Security of assets.
- C. Restrictive covenants.
- D. Debt capacity of a business.

ANSWER: C

65. Debt capacity of a business needs _____.

- A. Restriction.
- B. Consideration.
- C. Leverage.
- D. Security

ANSWER: B

68. Financial leverage refers to the rate of change in earnings per share for a given change in earnings.

- A. Before tax.
- B. Before interest.
- C. Before interest and tax.
- D. After interest and tax.

ANSWER: C

70. Security of assets is determining factor for using _____.

- A. Debt capital.
- B. Equity capital.
- C. Preference capital.
- D. Cost of capital.

ANSWER: A

71. Land at prime locations, modern buildings, machinery in good condition, etc are accepted as

- A. Funds.
- B. Security.
- C. Liquid cash.
- D. Debt.

ANSWER: B

72. _____ refers the period between commencement of project construction and first commercial operation of the project.

- A. Maturity period.
- B. Initial period.
- C. Gestation period.
- D. Growth period.

ANSWER: C

73. Financial risk perception is an influencing factor of _____.

- A. Equity structure.
- B. Preference structure.
- C. Debt structure.
- D. Capital structure.

ANSWER: D

74. _____ bonds are again superior to ordinary bonds in terms of sale ability.

- A. Redeemable
- B. Irredeemable
- C. Convertible.

C. Non-convertible.

ANSWER: C

75. _____, roll over, swap early retirement and the like need to be adopted when needed.

A. Periodic servicing. C. Involvement.

B. Responsibility. D. Investment.

ANSWER: A

76. The risk averse prefers debt instruments, while the risk seekers go for _____.

A. Equity investments.

C. Debt investments.

B. Preference investments.

D. None of these.

ANSWER: A

77. When capital market is booming, firms can take market route to _____.

A. Raise capital.

C. Stop growing.

B. Decrease capital.

D. Stagnate.

ANSWER: A

78. _____ is the expected cash dividend that is normally paid to shareholders.

A. Stock split.

C. Extra dividend.

B. Stock dividend.

D. Regular dividend.

ANSWER: C

79. What method of stock repurchase occurs when the buyer seeks bids within a specified price range and accepts the lowest price that will allow it to acquire the entire block of securities desired?

A. Dutch-auction.

C. Open-market.

B. Fixed-price.

D. Fair-warning.

ANSWER: A

80. The _____ is the proportion of earnings that are paid to common shareholders in the form of a cash dividend.

A. Retention rate.

C. Growth rate.

B. plus the retention rate.

D. Dividend pay-out ratio.

ANSWER: A

81. A method of budgeting that estimates today's value of money to be received in the future; It is discounted due to the uncertainty of its true value in the future and for the cost of the capital is _____.

A. Cash inflow.

C. Discounted cash flow.

B. Cash outflow.

D. Payback period

ANSWER: C

82. The long-run objective of financial management is to _____.

A. Maximize earnings per share.

C. Maximize return on investment.

B. Maximize the value of the firm's common stock.

D. Maximize market share.

ANSWER: A

83. The field of finance is closely related to the fields of _____.

A. Statistics and economics.

C. Economics and accounting.

B. Statistics and risk analysis.

D. Accounting and comparative return analysis.

ANSWER: C

84. The ultimate measure of performance is _____.

A. Amount of the firm's earnings.

C. The firm's profit margin.

B. The how the earnings are valued by the investor.

D. Return on the firm's total assets.

ANSWER: B

85. Which of the following are not among the daily activities of financial management?

- A. Sale of shares and bonds.
- B. Credit management.
- C. Inventory control.
- D. The receipt and disbursement of funds.

ANSWER: A

86. A main benefit to the corporate form of organization is_____.

- A. Double taxation of corporate income.
- B. Simplicity of decision making and low Organizational complexity.
- C. Limited liability for the corporate shareholders.
- D. A major management role exists for the firm's owners.

ANSWER: C

87. Capital is allocated by financial markets by_____.

- A. A lottery system between investment dealers.
- B. Pricing securities based on their risk and expected future cash flows
- C. By pricing risky securities higher than low-risk securities.
- D. By a government risk-rating system based on AAA for low risk and CCC for high risk.

ANSWER: B

88. The allocation of capital is determined by_____.

- A. Expected rates of return.
- B. The Bank of Ethiopia.
- C. The initial sale of securities in the primary market.
- D. The size of the federal debt.

ANSWER: A

89. The mix of debt and equity in a firm is referred to as the firm's_____.

- A. Primary capital.
- B. Capital composition.
- C. Cost of capital.
- D. Capital structure.

ANSWER: C

90. The main focus of finance for the last 40 years has been_____.

- A. Mergers and acquisitions.
- B. Conglomerate firms.
- C. Inflation.
- D. Risk-return relationships.

ANSWER: A

91. Rate of tax on capital gain and current income may influence form of_____.

- A. Equity.
- B. Preference.
- C. Debt.
- D. Capital.

ANSWER: D

92. In finance, "working capital" means the same thing as_____.

- A. Total assets.
- B. Fixed assets.
- C. Current assets.
- D. Current assets minus current liabilities.

ANSWER: C

93. In deciding the appropriate level of current assets for the firm, management is confronted with_____.

- A. A trade-off between profitability and risk.
- B. A trade-off between liquidity and marketability.
- C. A trade-off between equity and debt.
- D. Trade-off between current assets and profitability.

ANSWER: A

94. _____ varies inversely with profitability.

- A. Liquidity.
- B. Risk.
- C. Accounts.
- D. Trade.

ANSWER: A

95. Permanent working capital_____.

- A. Varies with seasonal needs.

- B. Includes fixed assets.
- C. Is the amount of current assets required to meet a firm's long-term minimum needs.
- D. Includes accounts payable.

ANSWER: C

96. Net working capital refers to_____.

- A. total assets minus fixed assets.
- B. current assets minus current liabilities.
- C. current assets minus inventories.
- D. current assets.

ANSWER: B

97. Earlier a debt equity norm of_____was generally insisted on by the controller of capital issues.

- A. 1:1.
- B. 1:2.
- C. 2:1.
- D. 2:2.

ANSWER: C

87. The symptom of large inventory accumulation in anticipation of price rise in future will be indicated by_____.

- A. Asset turnover ratio.
- B. Working Capital turnover ratio.
- C. Inventory turnover ratio.
- D. All of the above.

ANSWER: C

88. To financial analysts, "gross working capital" means the same thing as_____.

- A. Fixed assets.
- B. Current assets.
- C. Working capital.
- D. Cost of capital.

ANSWER: B

89. An example of fixed asset is_____.

- A. Livestock.
- B. Value stock.
- C. Income stock.
- D. All of the above.

ANSWER: A

90. Which of the following statement is true about financial management?

- A. It is a general business function that deals with the management of all functional areas of a firm.
- B. As a subject of study, it had long been existing before accounting.
- C. It is highly governed by generally accepted standards and principles.
- D. Internal decision-makings are among the areas of focus of financial management.

91. Which one of the following statements is correct about economics and financial management?

- A. Revenues are recorded as earned and expenses as incurred by the latter.
- B. As a field of study, the earlier is very much younger than the latter.
- C. Financial management is more focused on application of theories
- D. None of the above

92. _____are financial marketers in which firms raise capital by issuing new securities.

- A. Secondary Markets
- B. Primary Markets
- C. Promissory notes,
- D. commercial papers,

Case I: Consider the case for question 104-110: Assume AC small enterprise has the following information from financial statements: Accounts receivable 20,500 Inventories 22,000 , Total current assets 54, 800, net fixed assets 92,800, Total assets 152,400 , Total current liabilities 37,400 Total liabilities 96,600 Total stockholders' equity 54,500 Net sales 188,400 Cost of goods sold 146,600 ad Net income 3,800 ETB respectively. *Using the data given above answer question 4-10*

93. Find Accounts receivable turnover?

- A. 8.5 2
- B. 9.19
- C. 9.45
- D. 9.48

94. What is the Acid-test ratio for the enterprise?

- A. 0.76
- B. 0.78
- C. 0.87
- D. 0.89

95. Calculate days sales outstanding for enterprise?

- A. 38 days B. 39.7 days C. 39.6 days D. 28 days
96. Find Return on investment ?
A. 2.05% B. 2.58% C. 2.49% D. 3.02 %
97. What is Profit margin for the enterprise?
A. 2.2% B. 3.2% C. 2.01% D. 2.08%
98. Calculate Debt to asset ratio ?
A. 0.60 B. 0.63 C. 0.52 D. 0.65
99. Find Fixed assets turnover for the enterprise?
A. 2.03 B. 2.05 C. 2.08 D. 3.02
100. Amanuel deposited Br. 2000 in his savings account in MEGABIT 1880. His account earns 8 percent compounded annually. How much will he have in MEGABIT 1885?
A. 2450 B. 2560.22 C. 3425.45 D. 2938.66
101. ABEBECH need to accumulate Br. 30,000 to acquire a motorbike. To do so, she plan to make equal monthly deposits for 5 years. The first payment is made a month from today, in a bank account which pays 12 percent interest, compounded monthly. How much should she deposit every month to reach her goal?
A. 350 B. 380.25 C. 367.33 D. 402.22
102. XY PLC owes Br. 100,000 to Co. at the end of 8 years. Ayele Co. could earn 10% on its money. How much should Ayele Co. accept from XY PLC as of today?
A. 46650 B. 50555 C. 36880 D. 40555
103. AC. Corporation bought a new machine and agreed to pay for it in equal installments of Br. 8,000 for 6 years. The first payment is made on the date of purchase, and the prevailing interest rate that applies for the transaction is 10%. Compute the purchase price of the machinery.
A. 3254.2 B. 38324.0 C. 36880.3 D. 4201.23
104. Let for X PLC. Required increase In asset is 85450 and required increase in normally generated fund is 72870; then what is the additional fund needed?
A. 12580 B. 3815 C. 13456 D. 7301702500
105. _____ is a type of equity security that provides its owners with limited or fixed claims on a corporation's income and assets?
A. Common stock B. Preferential stock C. Bond D. promissory note
106. Abebe's preferred stock has a Br. 80 par value and pays an annual dividend of Br. 8.20 per share. Similar-risk preferred stocks are currently earning a 9.5% annual rate of return. What is the value of the outstanding preferred stock?
A. 86.31 B. 88.64 C. 69.30 D. 96.23
107. A company pays a cash dividend of Birr 10.5 per share on common share for an indefinite period of future. The required rate of return is 10% and the market price of the share is Birr 90. What would be your buying decision of the share at its current price?
A. Approve buying decision B. Unadvisable to buy
108. The major functions of financial management are
A. Investment decisions C. Dividend decisions
B. Financing decisions D. All the above
109. Suppose, you are given an option to receive Birr 1060 after one year which earns 6% interest. How much you have to invest now?
A. 1000.5 B. 1020 C. 1060 D. 950
110. _____ bonds are again superior to ordinary bonds in terms of sale ability.
A. Redeemable C. Convertible
B. Irredeemable D. Non-convertible
111. Which of the following is the process of determining the worth of any asset which is obtained from expected future cash flows?
A. Stock C. Bond
B. Valuation D. All

112. Land at prime locations, modern buildings, machinery in good condition, etc are accepted as _____.
- A. Funds
B. Security
C. Liquid cash
D. Debt
113. The financing decisions of a firm are generally concerned with the right side of the basic accounting equation
- A. True
B. False
114. A project costs Rs, 1,00,000 annual cash flow of Rs. 20,000 for 8 years. Its payback period is _____.
- A. 1 year
B. 2 years
C. 3 years
D. 5 years
115. The ultimate goal of financial management is
- A. Profit maximization
B. Wealth maximization
C. Increase the real market value of firm
D. All the above
116. Initial outlay 50,000, life of the asset 5 years, estimated annual cash flow 12,500, IRR = ____.
- A. 5%
B. 6%
C. 8%
D. 10%
117. Which one of the following is amount or value stated on the face of the bond?
- A. Par value
B. Coupon rate
C. Maturity
D. All
118. Future value is always a direct result of the compounding process.
- A. True
B. False
119. _____ are financial markets in which securities traded have maturities of one-year or less?
- A. Money markets
B. Primary market
C. Capital markets
D. All
120. _____ Form of market efficiency states that current prices fully reflect all publicly available information.
- A. Weak
B. Semi-strong
C. Strong
D. Flexible
121. One of the following is not among the investment functions of a firm.
- A. Cash management
B. Inventory control
C. Capital budgeting
D. Borrowing from a bank
122. In Ethiopia no organized stock markets are established yet. But currently there is an initiative to establish at least one. Concurrently, the Ethiopian Government issues treasury bills to the public. Which of the following statement is / are correct about financial markets in Ethiopia?
- A. There is no money market.
B. Secondary securities markets are under way to be established.
C. Secondary securities markets have already taken their roots.
D. A and C.
123. One of the following is not among the characteristics of a good goal of a firm
- A. It provides a timely measure to evaluate performance.
B. It provides a clear decision criterion.
C. It gives priority to stockholders at the expense of the society.
D. It is based on long-term success.
124. The goal of a firm in financial management is:
- A. To maximize profits
B. To minimize costs
C. To maximize societal welfare
D. To maximize common stock prices
125. Given alternative investment choices, an investment that should be selected under wealth maximization goal of a firm is the one that:
- A. Provides the most fluctuating cash flows for a given level of cost.

- B. Has the lowest required rate of return for a given level of expected cash flows.
 - C. Provides the highest earnings per share.
 - D. Has the lowest costs.
126. Which of the following factors tend to help corporations to manage agency problems?
- A. Agency costs
 - B. Mangers' reaction to the threat of losing jobs
 - C. Managing corporations by stockholders themselves
 - D. A and B
127. Identify the factor that contributes for shorter days sales outstanding
- A. Longer credit periods
 - B. Limited cash discount offers
 - C. Strong cash collection policy
 - D. Poor credit selection
128. If new shares of common stock are issued in exchange for the existing debt of a firm, then
- A. Return on investment increases.
 - B. Times interest earned ratio will decrease.
 - C. Return on stockholders' equity will decrease.
 - D. Current and quick ratios will increase.
129. A relatively lower return on assets is always an indicator of poor asset management.
- A. True
 - B. False
130. In determining the additional financial requirements (AFN) of a firm for a given period under consideration,
- A. The fixed assets are always forecasted to incase proportionally with sales.
 - B. the addition to retained earnings is forecasted as a specified percentage of sales.
 - C. AFN is simply computed by deducting spontaneous liabilities from the required increase in the current level of assets
 - D. None of the above
131. Which of the following statement(s) is (are) true for a firm having sales expansion plan, if its fixed assets operate below full capacity?
- A. Fixed assets increase at a rate faster than sales growth rate.
 - B. Fixed assets increase at a rate slower than the growth of sales
 - C. Fixed assets are not affected by sales expansion plan
 - D. Fixed assets increase until full capacity sales are achieved
132. Which of the following refers to analysis of financial statements and it is a process of evaluating the relationships among component parts of financial statements?
- A. Ratio analysis
 - B. Capital analysis
 - C. Financial analysis
 - D. All
133. Which one of the following factors causes the AFN of a firm to be high?
- A. Lower sales growth rate
 - B. Higher dividend payout ratio
 - C. Higher net profit margin
 - D. Lower capital intensity ratio
134. Which of the following statement is always true about a cost of capital?
- A. If the cost of capital is earned by a firm on investment of its available funds, the value of the firm will increase
 - B. Generally, the cost of retained earnings is cheaper than the cost of debt.
 - C. Wherever the cost of capital exceeds the rate of return on the firm's invested capital, the value of the firm is reduced.
 - D. The weighted average cost of capital (WACC) of a firm remains constant as long as the firm's target capital structure remains unchanged.
135. Normally, debt is the cheapest source of finance. This is because
- A. debt suppliers expect implicit returns from a firm
 - B. other sources of capital have opportunity costs rather than explicit costs
 - C. firms are forced by government to use debt source of finance
 - D. None of the above
136. Identify the most expensive source of finance to a firm under normal circumstances
- A. Common stock
 - B. Preferred stock

- C. Retained earnings
D. Debt
137. Your plan on investing; \$1 for 5 years. Which of the following alternatives will produce the best overall return?
A. An account paying 1.0% APR, compounded continuously.
 B. An account paying 1.0% APR, compounded quarterly.
 C. An account paying 1.0% APR, compounded once every 5 years.
 D. An account paying 1.0% EAR.
 E. All of the above.
138. Liquidity is affected by an asset market's:
 A. Depth and breadth only.
B. Depth, breadth and resilience.
 C. Breadth and resilience only.
 D. Depth only.
 E. None of the above.
139. Which of the instruments below is an exchange-traded one?
A. Listed shares.
 B. Commercial bills
 C. Swaps
 D. Bank deposits
 E. None of the above
140. Consider a coupon bond with a coupon rate of 10%. The face value amount is unknown. Suppose the bond is trading at a par. What can we say about yield to maturity of the bond?
 A. $YTM > 10\%$.
B. $YTM = 10\%$.
 C. $YTM < 10\%$
 D. YTM is negative.
 E. There is not enough information to answer the question.
141. A characteristic of fixed-interest securities is:
 A. They are usually of short-term maturity.
B. They are issued by both governments and corporations.
 C. You cannot exit the market.
 D. They are more risky than shares.
 E. None of the above.
142. What is the goal of the firm?
 A. Maximize value to managers.
B. Maximize value to investors in the company's stock.
 C. Maximize value to investors in the company's bonds
 D. Minimize agency costs.
 E. Both b and c
143. A dollar invested today grows to \$1.10 in six months. What is the effective annual rate if you deposit your money in a bank for one year?
 A. 5%
 B. 10%
 C. 20%
 D. 21%
 E. None of the above
144. Which of the following bonds is most sensitive to movements in interest rates? Assume all bonds have the same face value.
 A. 10-year zero coupon bond.
 B. 10-year coupon paying par bond.
 C. 5-year coupon paying bond
D. 1-year zero coupon bond
 E. 1-month bill of exchange
145. Financial markets are markets in which financial instruments are bought and sold by suppliers and demanders of funds
 A. True
 B. false
146. Exercise Bicycle Company is expected to pay a dividend in year 1 of \$1.20, a dividend in year 2 of \$1.50, and a dividend in year 3 of \$2.00. After year 3, dividends are expected to grow at the rate of 10% per year. An appropriate required return for the stock is 14%. The value of the stock today is closest to
 A. \$33.00
 B. \$39.86

C. \$55.00
D. \$66.00

E. \$40.68

147. The growth in dividends of Music Doctors, Inc. is expected to be 8% per year for the next two years, followed by a growth rate of 4% per year for three years; after this five-year period, the growth in dividends is expected to be 3% per year, indefinitely. The required rate of return on Music Doctors, Inc. is 11%. Last year's dividends per share were \$2.75. The price of the stock today should be closest to

A. \$8.99
B. \$25.21
C. \$39.71

D. \$110.00
E. \$46.71

148. Light Construction Machinery Company has an expected ROE of 11%. The dividend growth rate will be _____ if the firm follows a policy of paying 25% of earnings in the form of dividends.

A. 3.0%
B. 4.8%
C. 8.25%

D. 9.0%
E. 11%

149. Which one of the following statements is NOT true?

- A. The yield to maturity of a bond is the discount rate that makes the present value of the coupon and principal payments equal to the price of the bond.
- B. It is the yield that the investor earns if the bond is held to maturity, and all the coupon and principal payments are made as promised.
- C. A bond's yield to maturity changes daily as interest rates increase or decrease.
- D. All of the above are true.
- E. None of the above is true.

150. The concept of the time value of money is that money received now is generally equal to the same amount of money received some time later.

- A. True B. False

151. Five years ago, Shirley Harper bought a 10-year bond that pays 8 percent semiannually for \$981.10. Today, she sold it for \$1,067.22. What is the realized yield on her investment? (Round to the nearest percent.)

A. 7%
B. 8%
C. 9%

D. 10%
E. 11%

152. Which of the following is an annuity in which the cash flows, or payments, occur at the end of the period?

- A. Ordinary annuity C. Compound rate
B. Annuity due D. All

153. Taggart Transcontinental currently has a bank loan outstanding that requires it to make three annual payments at the end of the next three years of \$1,500,000 each. The bank has offered to allow Taggart Transcontinental to skip making the next two payments in lieu of making one large payment at the end of the loan's term in three years. If the interest rate on the loan is 6%, then the final payment that the bank will require to make Taggart Transcontinental indifferent between the two forms of payments is closest to:

A. \$4,775,400
B. \$5,062,500
C. \$4,500,000

D. \$4,009,500
E. None of above

154. Gudina took out a 30-year mortgage with an APR of 5.9%, compounding semi-annually. If the effective annual rate does not change, and Gudina borrowed \$300,000 to buy his home, then his monthly payment will be closest to

A. \$1111.96
B. \$1,766
C. \$1,779

D. \$4447.85
E. None of above

A. Accept - Reject Decisions
B. Mutually Exclusive Decisions
C. Capital Rationing
D. All

A. 0.50%
B. 0.55%
C. 0.52%
D. 0.48%
E. None of the above

A. \$166 667
B. \$71 429
 C. \$500 000
 D. None of the above
 E. All of the above

A. True B. False

A. \$37.50
B. \$40.00
C. \$51.10
D. \$35.40
E. None of the above.

A. fall by \$40.49
B. fall by \$98.64
C. rise by \$84.46
D. rise by \$142.78
E. None of the above.

A. Short-term resources.
B. All the financial resources.

C. Long-term resources.
D. All of these

A. Dividend decisions
B. Working capital decisions
C. Capital budgeting decisions
D. Trade-off between risk and return

A. Lesser than the cost of debt capital
B. Equal to the last dividend paid to the equity shareholders
C. Equal to the dividend expectations of equity shareholders for the coming year
D. None of the above

A. Debentures
B. Preference shares
C. Equity shares
D. None of these

A. Government bonds
B. Book debts
C. Advance for supply of raw materials
D. Inventories

A. Current assets
B. Fixed assets
C. Intangible assets
D. None of these

- A. Increasing the portfolio of the firm through increased production
 B. Not taking any loans which increases the risk
 C. Not granting credit to risky customers
D. Taking decision in such a way which optimizes the balance between risk and return
168. Which of the following statements is correct regarding profit maximization as the primary goal of the firm?
 A. Profit maximization considers the firm's risk level.
 B. Profit maximization will not lead to increasing short-term profits at the expense of lowering expected future profits.
 C. Profit maximization does consider the impact on individual shareholder's EPS.
D. Profit maximization is concerned more with maximizing net income than the stock price
169. The risk free rate of return is 8% the expected rate of return on market portfolio is 15% the beta of eco boards equity stock is 1.4. the required rate on eco boards equity is _____.
 A. 15.4% C. 17.2%
 B. 16.8% D. 17.8%
170. According to the text's authors, _____ is the most important of the three financial management decisions.
 A. Asset management decision C. Investment decision
 B. Financing decision D. Accounting decision
171. All constituencies with a stake in the fortunes of the company are known as _____.
 A. Shareholders C. Creditors
B. Stakeholders D. Customers
172. Which of the following statements is not correct regarding earnings per share (EPS) maximization as the primary goal of the firm?
 A. EPS maximization ignores the firm's risk level
 B. EPS maximization does not specify the timing or duration of expected EPS
 C. EPS maximization naturally requires all earnings to be retained
D. EPS maximization is concerned with maximizing net income
173. Interest paid (earned) on both the original principal borrowed (lent) and previous interest earned is often referred to as _____.
 A. Present value C. Future value
 B. Simple interest D. Compound interest
174. What is the present value of a 1,000 ETB ordinary annuity that earns 8% annually for an infinite number of periods?
 A. 80 ETB C. 1,000 ETB
 B. 800 ETB D. 12,500 ETB
175. The most important and common form of dividend is _____.
A. Stock dividend C. Bond dividend
 B. Cash dividend D. Scrip's dividend
176. _____ is the employment of an asset is sources of fund for which the firm has to pay a fixed cost or fixed return.
 A. Financial management. C. Asset management.
 B. Profit maximization. D. Leverage
177. _____ is a long term planning for financing proposed capital outlay.
A. Capital Budgeting C. Cash Budget
 B. Budgeting D. Sales Budget
178. The term _____ refers to the period in which the project will generate the necessary cash flow to recoup the initial investment.
 A. Internal return C. Discounting return
B. Payback period D. Accounting return
179. The project can be selected if its profitability index is more than _____.

A. 1%

B. 3%

C. 5%

D. 10%

180. _____ is one that maximizes value of business, minimizes overall cost of capital, that is flexible, simple and futuristic, that ensures adequate control on affairs of business by the owners and so on.

A. Minimal capital structure

B. Moderate capital structure

C. Optimal capital structure

D. Deficit capital structure

181. Security of assets is determining factor for using _____.

A. Debt capital

B. Equity capital

C. Preference capital

D. Cost of capital

182. A method of budgeting that estimates today's value of money to be received in the future; It is discounted due to the uncertainty of its true value in the future and for the cost of the capital is _____.

A. Cash inflow.

B. Cash outflow

C. Discounted cash flow

D. Payback period

183. A main benefit to the corporate form of organization is _____.

A. Double taxation of corporate income

B. Simplicity of decision making and low Organizational complexity

C. Limited liability for the corporate shareholders

D. A major management role exists for the firm's owners

184. The allocation of capital is determined by _____.

A. Expected rates of return

B. The Bank of Country

C. The initial sale of securities in the primary market

D. The size of the federal debt

185. In finance, "working capital" means the same thing as _____.

A. Total assets

B. Fixed assets

C. Current assets

D. Current assets minus current liabilities

186. _____ varies inversely with profitability.

A. Liquidity

B. Risk

C. Accounts

D. Trade

187. Net working capital refers to _____

A. Total assets minus fixed assets

B. current assets minus current liabilities

C. current assets minus inventories

D. current assets

188. An example of fixed asset is _____?

A. Live stock

B. Value stock

C. Income stock

D. All of the above

189. In his traditional role the finance manager is responsible for _____.

A. acquiring capital assets of the organization

B. proper utilization of funds

C. arrangement of financial resources

D. efficient management of capital

Answer: arrangement of financial resources

190. Which one of the following is not a money market security?

A. Certificate of deposit

B. National savings certificate

C. Treasury bills

D. Commercial paper

Answer: National savings certificate

191. Capital budgeting is related to _____

A. long terms and short terms assets

B. short term assets

C. long terms assets

D. fixed assets

Answer: long terms assets

192. Working capital management is managing _____.

- A. long terms liabilities
- B. short term assets and liabilities
- C. long term assets
- D. only short term assets

Answer: short term assets and liabilities

193. _____ are financial assets.

- A. Machines
- B. Bonds
- C. Stocks
- D. Both B & C

Answer: Both B & C

194. Present value takes _____.

- A. Compounding rate
- B. Inflation rate
- C. Discounting rate
- D. Deflation rate

Answer: Discounting rate

195. The expansion of CAPM is _____.

- A. Capital asset pricing model
- B. Capital amount pricing model
- C. Capital asset printing model
- D. Capital amount printing model

Answer: Capital asset printing model

196. Market value of the shares are decided by _____.

- A. the government
- B. the investment market
- C. the respective companies
- D. shareholders

Answer: the investment market

197. Financial leverage measures _____.

- A. sensitivity of EPS with respect to % change in level of EBIT
- B. % variation in the level of production
- C. sensitivity of EBIT with respect of % change with respect to output
- D. no change with EBIT and EPS

Answer: sensitivity of EPS with respect to % change in level of EBIT

198. Future value interest factor takes _____.

- A. Discounting rate
- B. Compounding rate
- C. Inflation rate
- D. Deflation rate

Answer: Compounding rate

199. Investment is the _____.

- A. person's commitment to buy a flat or house
- B. net additions made to the nation's capital stocks
- C. employment of funds on assets to earn returns
- D. employment of funds on goods and services that are used in production process

Answer: employment of funds on assets to earn returns

200. Operating leverage measures _____.

- A. production risk
- B. financial risk
- C. business risk
- D. both risks

Answer: business risk

201. The underwriter has to take up _____.

- A. the unsubscribed part of the agreed portion
- B. the fixed portions of the issue capital
- C. the unfixed portions of the issue capital
- D. the agreed portion or can refuse if

Answer: the unsubscribed part of the agreed portion

202. An example of a derivative security is _____.

- A. a commodity futures contract
- B. a common share of General Motors
- C. a call option on Mobil stock
- D. Both A & C

Answer: Both A & C

203. The company's average cost of capital is _____.

- A. the average cost of equity preference shares
- B. the average cost of equity shares and debentures
- C. the average cost of short term funds
- D. the average cost of shares and all sources of long-term funds

Answer: the average cost of shares and all sources of long-term funds

204. Operating leverage x Financial leverage = _____

- A. Fixed leverage
- B. Financial Combined Leverage
- C. Combined Leverage
- D. Operating Combined Leverage

Answer: Combined Leverage

205. Traditional approach confines finance function only to _____ funds

- A. utilizing
- B. mobilizing
- C. raising
- D. financing

Answer: raising

206. Most investors are risk averse which means _____.

- A. they will always invest in the investment with the lowest possible risk
- B. they will always invest in the investment with the lowest possible risk
- C. they will assume more risk only if they are compensated by higher expected return
- D. they avoid the stock market due to the high degree of risk

Answer: they avoid the stock market due to the high degree of risk

207. Financial leverage helps one to estimate _____.

- A. financial risk
- B. business risk
- C. both risks
- D. production risk

Answer: financial risk

208. Which of the following would be considered a risk-free investment?

- A. High-grade corporate bonds
- B. Equity in a house
- C. Gold
- D. Treasury bills

Answer: Treasury bills

209. The company's cost of capital is called _____.

- A. Hurdle rate
- B. Leverage
- C. Risk rate
- D. Return rate

Answer: Hurdle rate

210. Cost of retained earnings is equal to _____.

- A. Cost of term loans
- B. Cost of debt
- C. Cost of bank loan
- D. Cost of equity

Answer: Cost of equity

211. Beta measures the _____.

- A. Market and finance risk
- B. Financial risk
- C. Market risk
- D. Investment risk rate

Answer: Market risk

212. The primary goal of the financial management is_____.

- A. to maximize the wealth of owners
- B. to maximize the return
- C. to minimize the risk
- D. to maximize profit

Answer: to maximize the wealth of owners

213. EBIT is usually the same thing as_____

- A. earnings before taxes
- B. funds provided by operations
- C. operating profit
- D. net income

Answer: operating profit

214. The decision to invest a substantial sum in any business venture expecting to earn a minimum return is called_____.

- A. an investment decision
- B. working capital decision
- C. a production decision
- D. a sales decision

Answer: an investment decision

215. The largest single institutional owner of common stocks is_____.

- A. pension funds
- B. insurance companies
- C. mutual funds
- D. commercial banks

Answer: mutual funds

216. Savings accounts are_____ but are not_____.

- A. marketable; liquid
- B. liquid; personal
- C. liquid; marketable
- D. negotiable; liquid

Answer: liquid; marketable

217. Operating incomes and the discount rate of a particular risk class are the 2 factors determining_____.

- A. Modern view
- B. Traditional view
- C. Dependence hypothesis
- D. Independence hypothesis

Answer: Independence hypothesis

218. Financial Management is mainly concerned with_____.

- A. Efficient Management of every business
- B. All aspects of acquiring and utilizing financial resources for firms activities
- C. Arrangement of funds
- D. Profit maximization

Answer: All aspects of acquiring and utilizing financial resources for firms activities

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3) OPERATIONS RESEARCH

Instruction; the answers are underlined for this course

1. Operations research is based upon collected information, knowledge and advanced study of various factors impacting a particular operation. This leads to more informed -----
A. Management processes
B. Decision making
C. Procedures
D. All
2. A type of decision making environment is
A. Certainty B. Uncertainty C. Risk D. All
3. Which of the following criteria is not applicable to decision making under risk?
A. Maximize expected return
B. Maximize return
C. Minimize expected regret
D. Knowledge of likely hood occurrence of each state of nature
4. Which of the following is not the phase of OR methodology?
A. Formulating a problem
B. Constructing a model
C. Establishing controls
D. Controlling the environment
5. Which of the following criteria is not used for decision making under uncertainty?
A. Maximin B. Maximax C. Minimax D. Minimize expected loss
6. The expected value of perfect information is
A. Equal to minimum expected monetary value
B. The utility of additional information
C. Equal to maximum expected opportunity loss
D. Equal to minimum expected opportunity loss
7. In time cost tradeoff analysis
A. Cost decrease linearly as time increases
B. Cost at normal time is zero
C. Cost increases linearly as time increases
D. None
8. Generally PERT technique deals with the project of
A. Reiterative nature
B. Non Reiterative nature
C. Deterministic nature
D. A and C
9. Operations research is the application of _____ methods to arrive at the Optimal Solutions to the problems.
A. Economical
B. Scientific
C. A and B both
D. Artistic
10. In operation research, the - -----are prepared for situations.
A. mathematical models
B. physical models diagrammatic
C. diagrammatic model
11. OR can evaluate only the effects of -----.
A. Personnel factors.
B. Financial factors
C. Numeric and quantifiable factors.
12. The objective function and constraints are functions of two types of variables, _____ Variables and _____ variables.
A. Positive and negative
B. Controllable and uncontrollable
C. Strong and weak
D. None of the above

13. Who defined OR as scientific method of providing executive departments with a quantitative basis for decisions regarding the operations under their control?
A. Morse and Kimball (1946) C. E.L. Arnoff and M.J. Netzorg
 B. P.M.S. Blackett (1948) D. None of the above
14. The main limitation of operations research is that it often ignores the human element in the production process.
A. True B. False
15. OR has a characteristic that it is done by a team of
 A. Scientists C. Academics
 B. Mathematicians D. All of the above
16. Hungarian Method is used to solve
 A. A transportation problem C. A LP problem
B. A travelling salesman problem D. Both a & b
17. A solution can be extracted from a model either by
 A. Conducting experiments on it C. Both A and B
 B. Mathematical analysis D. Diversified Techniques
18. What have been constructed from OR problems and methods for solving the models that are available in many cases?
 A. Scientific Models C. Mathematical Models
 B. Algorithms D. None of the above
19. Which technique is used in finding a solution for optimizing a given objective, such as profit maximization or cost reduction under certain constraints?
 A. Queuing Theory C. Both A and B
 B. Waiting Line D. Linear Programming
20. What enables us to determine the earliest and latest times for each of the events and activities and thereby helps in the identification of the critical path?
 A. Waiting Line C. Deployment of resources
B. Review Technique (PERT) D. All
21. OR techniques help the directing authority in optimum allocation of various limited Resources like_____
 A. Men and Machine C. Material and Time
 B. Money D. All of the above
22. Critical path method (CPM) assumes a probability distribution for the duration of each activity
 A. True B. False
23. The Operations research technique which helps in minimizing total waiting and service costs is
A. Queuing Theory C. Both A and B
 B. Decision Theory D. None of the above
24. What is the objective function in linear programming problems?
 A. A constraint for available resource
 B. An objective for research and development of a company

- C. A linear function in an optimization problem
D. A set of non-negativity conditions
25. Which statement characterizes standard form of a linear programming problem?
A. Constraints are given by inequalities of any type
B. Constraints are given by a set of linear equations
C. Constraints are given only by inequalities of $\geq$ type
D. Constraints are given only by inequalities of $\leq$ type
26. Feasible solution satisfies _____
A. Only constraints
B. only non-negative restriction
C. Both A and B
D. Optimum solution
27. The Maxi-Max principle is pessimists' principle of choice to the positive flow payoff.
A. True
B. False
28. In Degenerate solution value of objective function _____.
A. increases infinitely
B. basic variables are nonzero
C. decreases infinitely
D. One or more basic variables are zero
29. In graphical method the restriction on number of constraint is _____.
A. 2
B. not more than 3
C. 3
D. none of the above
30. A constraint in an LP model restricts
A. Value of objective function
B. Value of decision variable
C. Use of available resource
D. All of the above
31. The best use of linear programming technique is to find an optimal use of
A. Money
B. Man power
C. Machine
D. All of the above
32. A feasible solution to a linear programming problem
A. Must satisfy all problem constraints simultaneously
B. Need not satisfy all constraints
C. Must be a corner point of the feasible region
D. Must optimize the value of the objective function
33. While solving LP problem graphically, the area bounded by the constraints is called
A. Feasible region
B. Infeasible region
C. Unbounded solution
D. None of the above
34. model involves all forms of diagrams
A. Iconic
B. Mathematical
C. Analogue
D. Schematic
35. A physical model is an example of
A. An iconic model
B. An analogue model
C. A verbal model
D. A mathematical mode
36. A model is
A. An essence of reality
B. An approximation
C. An idealization
D. All of the above
37. Modern scientific management research originated during
A. World war II
B. World war I
C. 1990
D. 1993
38. An optimization model

- A. Mathematically provides best decision
 B. Provides decision with limited context
 C. Helps in evaluating various alternatives constantly
 D. All of the above
39. An organization chart is an example of
 A. Iconic
 B. Mathematical
 C. Analogue
 D. None of the above
40. Is known as symbolic model
 A. Iconic
 B. Mathematical
 C. Analogue
 D. None of the above
41. Decision tree is an alternative approach to payoff tables
 A. True
 B. False
42. models in which the input and output variables follow a probability distribution.
 A. Iconic
 B. Mathematical
 C. Analogue
 D. stochastic
43. All negative constraints must be written as
 A. Equality
 B. Non equality
 C. Greater than or equal to
 D. Less than or equal to
44. Decision variables are
 A. Controllable
 B. Uncontrollable
 C. Parameters
 D. All
45. is an important Operations research technique to be used for determining
 Optimal allocation of limited resources to meet the given objectives
 A. Waiting line theory
 B. Network analysis
 C. Decision analysis
 D. Linear programming
46. Graphical optimal value for Z can be obtained from
 A. Corner points of feasible region
 B. Both a and c
 C. corner points of the solution region
 D. none of the above
47. In LPP the condition to be satisfied is
 A. Constraints have to be linear
 B. Objective function has to be linear
 C. none of the above
 D. both a and b
48. Identify the type of the feasible region given by the set of inequalities
 $x - y \leq 1$
 $x - y \geq 2$ where both x and y are positive.
 A. A triangle
 B. A rectangle
 C. An unbounded region
 D. An empty region
49. Consider the given vectors: a(2,0), b(0,2), c(1,1), and d(0,3). Which of the following vectors are linearly independent?
 A. a, b, and c are independent
 B. a, b, and d are independent
 C. a and c are independent
 D. b and d are independent
50. Consider the linear equation: $2x_1 + 3x_2 - 4x_3 + 5x_4 = 10$; How many basic and non-basic variables are defined by this equation?
 A. One variable is basic, three variables are non-basic
 B. Two variables are basic, two variables are non-basic
 C. Three variables are basic, one variable is non-basic

- D. All four variables are basic
51. The objective function for a minimization problem is given by: $z = 2x_1 - 5x_2 + 3x_3$; The hyperplane for the objective function cuts a bounded feasible region in the space (x_1, x_2, x_3) . Find the direction vector d , where a finite optimal solution can be reached.
- A. $d(2, -5, 3)$ C. $d(2, 5, 3)$
B. $d(-2, 5, -3)$ D. $d(-2, -5, -3)$
52. What is the difference between minimal cost network flows and transportation problems?
- A. The minimal cost network flows are special cases of transportation problems
B. The transportation problems are special cases of the minimal cost network flows
 C. There is no difference
 D. The transportation problems are formulated in terms of tableaus, while the minimal cost network flows are formulated in terms of graphs
53. With the transportation technique, the initial solution can be generated in any fashion one chooses. The only restriction is that
- A. the edge constraints for supply and demand are satisfied. C. the solution must be optimal.
 B. the solution is not degenerate. D. one must use the northwest-corner method.
54. The purpose of the stepping-stone method is to
- A. Develop the initial solution to the transportation problem.
B. Assist one in moving from an initial feasible solution to the optimal solution.
 C. Determine whether a given solution is feasible or not.
 D. Identify the relevant costs in a transportation problem.
55. The purpose of a dummy source or dummy destination in a transportation problem is to---
- A. Prevent the solution from becoming degenerate.
B. Obtain a balance between total supply and total demand.
 C. Make certain that the total cost does not exceed some specified figure.
 D. Provide a means of representing a dummy problem.
56. Which of the following is NOT needed to use the transportation model?
- A. The cost of shipping one unit from each origin to each destination
 B. The destination points and the demand per period at each
 C. The origin points and the capacity or supply per period at each
D. Degeneracy
57. Which of the following is a method for improving an initial solution in a transportation problem?
- A. northwest-corner C. southeast-corner rule
 B. intuitive lowest-cost D. stepping-stone
58. Which one of the following is the assumption of transportation method?
- A. There are no economies of scale if large quantities are shipped from one source to one destination.
 B. the number of occupied squares in any solution must be equal to the number of rows in the table plus the number of columns in the table plus 1.
 C. there is only one optimal solution for each problem.
 D. the number of dummy sources equals the number of dummy destinations.
59. In a transportation problem, we must make the number of _____ and _____ equal.
- A. Destinations; sources B. units supplied; units demanded

- C. columns; rows
D. warehouses; suppliers
60. _____ or _____ are used to "balance" an assignment or transportation problem.
A. Destinations; sources
B. Units supplied; units demanded
C. Dummy rows; dummy columns
D. Large cost coefficients; small cost coefficients
61. The net cost of shipping one unit on a route not used in the current transportation problem Solution is called the _____.
A. change index
B. new index
C. MODI index
D. Improvement index
62. The procedure used to solve assignment problems wherein one reduces the original assignment costs to a table of opportunity costs is called _____.
A. stepping-stone method
B. matrix reduction
C. MODI method
D. simplex reduction
63. The method of finding an initial solution based upon opportunity costs is called _____.
A. the northwest corner rule
B. Vogel's approximation
C. Johanson's theorem
D. Flood's technique
64. An assignment problem can be viewed as a special case of transportation problem in which the capacity from each source is _____ and the demand at each destination is _____.
A. 1; 1
B. Infinity; infinity
C. 0; 0
D. 1000; 1000
65. _____ occurs when the number of occupied squares is less than the number of rows plus
A. Degeneracy
B. Infeasibility
C. Unboundedness
D. Unbalance
66. Both transportation and assignment problems are members of a category of LP problems called _____.
A. shipping problems
B. logistics problems
C. routing problems
D. network flow problems
67. The equation $R_i + K_j = C_{ij}$ is used to calculate _____.
A. An improvement index for the stepping-stone method
B. The opportunity costs for using a particular route
C. The MODI cost values (R_i, K_j)
D. optimality test
68. In case of an unbalanced problem, shipping cost coefficients of _____ are assigned to each created dummy factory or warehouse.
A. very high positive costs
B. very high negative costs
C. 10
D. zero
69. The initial solution of a transportation problem can be obtained by applying any known method. However, the only condition is that
A. The solution be optimal
B. The rim conditions are satisfied
C. The solution not be degenerate
D. All of the above
70. The dummy source or destination in a transportation problem is added to
A. Satisfy rim conditions
B. Prevent solution from becoming degenerate
C. Ensure that total cost does not exceed a limit
D. None of the above
71. The occurrence of degeneracy while solving a transportation problem means that

- A. Total supply equals total demand
 B. The solution so obtained is not feasible
 C. The few allocations become negative
 D. None of the above
72. An alternative optimal solution to a minimization transportation problem exists whenever opportunity cost corresponding to unused route of transportation is:
 A. Positive & greater than zero
 B. Positive with at least one equal to zero
 C. Negative with at least one equal to zero
 D. None of the above
73. One disadvantage of using North-West Corner rule to find initial solution to the transportation problem is that
 A. It is complicated to use
 B. It does not take into account cost of transportation
 C. It leads to a degenerate initial solution
 D. All of the above
74. The solution to a transportation problem with 'm' rows (supplies) & 'n' columns (destination) is feasible if number of positive allocations are
 A. $m+n$
 B. $m \times n$
 C. $m+n-1$
 D. $m+n+1$
75. If an opportunity cost value is used for an unused cell to test optimality, it should be
 A. Equal to zero
 B. Most negative number
 C. Most positive number
 D. Any value
76. During an iteration, while moving from one solution to the next, degeneracy may occur when
 A. The closed path indicates a diagonal move
 B. Two or more occupied cells are on the closed path but neither of them represents a corner of the path.
 C. Two or more occupied cells on the closed path with minus sign are tied for lowest circled value
 D. Either of the above
77. The large negative opportunity cost value in an unused cell in a transportation table is chosen to improve the current solution because
 A. It represents per unit cost reduction
 B. It represents per unit cost improvement
 C. It ensure no rim requirement violation
 D. None of the above
78. The smallest quantity is chosen at the corners of the closed path with negative sign to be assigned at unused cell because
 A. It improve the total cost
 B. It does not disturb rim conditions
 C. It ensure feasible solution
 D. All of the above
79. Crushing critical activities not exceed benefits of a project
 A. True
 B. False
80. When total supply is equal to total demand in a transportation problem, the problem is said to be
 A. Balanced
 B. Unbalanced
 C. Degenerate
 D. None of the above
81. Which of the following methods is used to verify the optimality of the current solution of the transportation problem?
 A. Least cost method
 B. Vogel's approximation method
 C. Modified distribution method
 D. All of the above
82. The degeneracy in the transportation problem indicates that

- A. Dummy allocation(s) needs to be added
 B. The problem has no feasible solution
C. The multiple optimal solution exist
 D. a & b
83. The only restriction we place on the initial solution of a transportation problem is that: we must have nonzero quantities in a majority of the boxes.
A. all constraints must be satisfied.
 B. demand must equal supply.
 C. we must have a number (equal to the number of rows plus the number of columns minus one) of boxes which contain nonzero quantities.
 D. None of the above
84. The initial solution of a transportation problem can be obtained by applying any known method. However, the only condition is that
 A. The solution be optimal
 B. The rim condition are satisfied
 C. The solution not be degenerate
 D. All of the above
85. In an assignment problem involving 5 workers and 5 jobs, total number of assignments possible are _____.
A. 5
 B. 10
 C. 15
 D. 20
86. Graphical method of linear programming is useful when the number of decision variable are
A. 2
 B. 3
 C. 4
 D. 5
87. The dual of the dual is _____.
 A. dual-primal
 B. primal-dual
 C. dual
D. primal
88. Solution of a Linear Programming Problem when permitted to be infinitely large is called _____.
 A. unbounded
 B. bounded
 C. optimum solution
 D. no solution
89. If the primal has an unbound objective function value then the dual has _____.
 A. solution
 B. basic solution
 C. basic feasible solution
D. no feasible solution
90. The similarity between assignment problem and transportation problem is _____.
 A. both are rectangular matrices
 B. both are square matrices
 C. both can be solved by graphical method
D. both has objective function and non-negativity constraints
91. If all a_{ij} values in the entering variable column of the simplex table are negative, then _____.
A. solution is unbounded
 B. solution is degenerate
 C. there exist no solution
 D. there are multiple solutions
92. An unoccupied cell in the transportation method is analogous to a _____.
 A. $Z_j - C_j$ value in the simplex table.
B. variable in the B-column in the simplex table.
 C. variable not in the B-column in the simplex table.
 D. value in the XB column in the simplex table.
93. An activity is critical if its _____ float is zero

A. Total

B. Free

C. Independent

D. Interference

94. The structure of transportation problem involves a small number of shipping routes

A. True

B. False

95. In assignment problem of maximization, the objective is to maximize

A. Profit

C. cost

B. optimization

D. Loss

96. In operations research, the _____ are prepared for situations.

A. mathematical models

C. diagrammatic models

B. physical models diagrammatic

D. All of above

97. Operations management can be defined as the application of _____ to a problem within a system to yield the optimal solution.

A. Suitable manpower

B. mathematical techniques, models, and tools

C. Financial operations

D. All of above

Note: respond to question 99-100 using the given problem: XYZ private limited company is engaged in the production of power transformer and traction transformers. Both of these categories of transformers pass through three basic processes: core preparation, core to coil assembly, and vapor phase drying. A power transformer yields a contribution of Birr 50,000 and traction transformer contributes Birr 10,000. The time required in the production of these two products in terms of hours for each of the processes is as follows.

	Power transformer	Traction Transformer
Core preparation	75	15
Core to Coil Assembly	160	30
Vapor Phase Drying	45	10

If the capacities available are 1000, 1500, and 750 machine hours in each processes respectively, formulate the problem as LP?

98. Identify decision variables?

A. X_1 = the no of power transformers to be produced.

B. X_2 = the no of traction transformer to be produced

C. A & B

D. All

99. Determine Objective Function?

A. $30,000X_1 + 10,000X_2$

C. $Z_{min} = 50,000X_1 + 10,000X_2$

B. $Z_{max} = 50,000X_1 + 10,000X_2$

D. All

100. Who defined Operations Research as scientific method of providing executive departments with a quantitative basis for decisions regarding the operations under their control?

A. P.M.S. Blackett (1948)

C. E.L. Arnoff and M.J. Netzorg

B. Morse and Kimball (1946)

D. None

Answer: Morse and Kimball (1946)

101. Operations Research was known as an ability to win a war without really going in to a ____.

A. Fighting

B. War

C. Battle field

D. Both 1 & 3

Answer: Both 1 & 3

102. Allocation problems can be solved by_____.

A. Non – Linear Programming Technique

C. All of these

B. Linear Programming Technique

D. None

Answer: All of these

103. In_____models there is risk and uncertainty.

A. Probabilistic Models

C. All of the above

B. Deterministic Models

D. None

Answer: Probabilistic Models

104. The use of decision models_____

A. Reduces the scope of judgement & intuition known with certainty in decision-making

B. Require the use of computer software

C. Is possible when the variables value is known

D. None

Answer: None

105. _____models involves the allocation of resources to activities in such a manner that some measure of effectiveness is optimized.

A. Allocation Models

C. Sequencing

B. Queuing Theory

D. Decision Theory

Answer: Allocation Models

106. In_____models, everything is defined and the results are certain,.

A. Probabilistic Models

C. All of above

B. Deterministic Models

D. None

Answer: Deterministic Models

107. Operations Research has the characteristics the it is done by a team of

A. Mathematicians

C. Academics

B. Scientists

D. None

Answer: Scientists

108. Operations Research emphasizes on the overall approach to the system. This characteristics of Operations Research is often referred as.

A. System Approach

C. System Orientation

B. Interdisciplinary

D. Team Approach

Answer: Team Approach

109. _____models are obtained by enlarging or reducing the size of the item.

A. Analogue Models

C. Iconic Models

B. Symbolic Models

D. None

Answer: Iconic Models

110. Every mathematical model_____.

A. Requires computer aid for its solution

C. Must be deterministic

B. Represents data in numerical form

D. None

Answer: Represents data in numerical form

111. There is a great scope for_____working as a team to solve problems of defense by using the Operations Research approach.

A. Administrators

C. Economists

B. Statisticians and Technician

D. All of the above

Answer: All of the above

112. This innovative science of Operations Research was discovered during

A. World War I

B. Civil War

C. World War II

D. Industrial Revolution

Answer: World War II

113. Operations Research attempts to find the best and _____ solution to a problem.

A. Perfect

B. Degenerate

C. Optimum

D. None

Answer: Optimum

114. A physical model is example of _____

A. An analogue model

B. An iconic model

C. A verbal model

D. None

Answer: A verbal model

115. The word _____ may be defined as some action that we apply to some problems or hypothesis.

A. Research

B. Operation

C. All of above

D. None

Answer: Operation

116. The term Operations Research was coined in the year _____.

A. 1940

B. 1950

C. 1960

D. 1978

Answer: 1940

117. The operations Research technique, specially used to determine the optimum strategy is

A. Simulation

B. Decision Theory

C. Game Theory

D. None

Answer: Simulation

140. The qualitative approach to decision analysis relies on _____

A. Judgement

B. Intuition

C. Experience

D. All of the above

Answer: All of the above

141. Who defined Operations Research as an aid for the executive in marketing his decisions by providing him with the quantitative information based on the scientific method of analysis ?

A. C. Kitte

B. H.M. Wagner

C. E.L. Arnof

D. None

Answer: C. Kitte

142. _____ models assumes that the values of the variables do not change with time during a particular period.

A. Dynamic Models

B. Static Models

C. All of above

D. None of above

Answer: Static Models

143. _____ are expressed in the form of inequities or equations.

A. Objective Functions

B. Constraints

C. All of above

D. None

Answer: Constraints

144. Probabilistic models are also known as _____.

A. Stochastic Models

B. Deterministic Models

C. Static Models

D. Dynamic Models

Answer: Stochastic Model

145. Operations Research, which is a very powerful tool for _____.

- A. Decision – Making
- B. Operations
- C. Research
- D. None

Answer: Decision – Making

146. Who defined Operations Research as scientific approach to problem solving for executive management ?

- A. P.M.S. Blackett
- B. H.M. Wagner
- C. E.L. Arnoff
- D. None

Answer: H.M. Wagner

147. A _____ models considers time as one of the important variable.

- A. Dynamic Models
- B. Static Models
- C. All of above
- D. None

Answer: Dynamic Models

148. _____ may be defined as a method of determining an optimum programme inter dependent activities in view of available resources.

- A. Linear Programming
- B. Goal Programming
- C. Decision Making
- D. None

Answer: Linear Programming

149. _____ are called mathematical models.

- A. Symbolic Models
- B. Analogue Models
- C. Iconic Models
- D. None

Answer: Symbolic Models

150. Who coined the term Operations Research?

- A. F.N. Trefethen
- B. J.F. McCloskey
- C. P.F. Adamm
- D. Both 1 & 2

Answer: Both 1 & 2

151. _____ are the representation of reality.

- A. Phases
- B. Models
- C. All of Above
- D. None of above

Answer: Models

152. Operations research is the application of _____ methods to arrive at the optimal Solutions to the problems.

- a. economical
- b. scientific
- c. a and b both
- d. artistic

153. ----- In operations research, they are prepared for situations.

- a. mathematical models
- b. physical models
- c. diagrammatic models
- d. physical models diagrammatic

154. Operations management can be defined as the application of -----
-----to a problem within a system to yield the optimal solution.

- a. Suitable manpower
- b. Financial resources
- c. Financial operations
- d. Financial management

b. mathematical techniques, models, and tools

155. Operations research is based upon collected information, knowledge and advanced study of various factors impacting a particular operation. This leads to more informed -----

- a. Management processes
- b. Decision making
- c. Procedures
- d. Financial management

156. OR can evaluate only the effects of -----.

- a. Personnel factors.
- b. Financial factors
- c. Financial management
- d. Financial operations

c. Numeric and quantifiable factors.

True-False

157. By constructing models, the problems in libraries increase and cannot be solved.
a. True
b. False
158. Operations Research started just before World War II in Britain with the establishment of teams of scientists to study the strategic and tactical problems involved in military operations.
a. True b. False
159. OR can be applied only to those aspects of libraries where mathematical models can be prepared.
a. True b. False
160. The main limitation of operations research is that it often ignores the human element in the production process.
a. True b. False
161. Which of the following is not the phase of OR methodology?
a. Formulating a problem
b. Constructing a model
c. Establishing controls
d. Controlling the environment
162. The objective function and constraints are functions of two types of variables, _____ variables and _____ variables.
a. Positive and negative
b. **Controllable and uncontrollable**
c. Strong and weak
d. None of the above
163. Operations research was known as an ability to win a war without really going in to _____.
a. Battle field
b. Fighting
c. The opponent
d. Both A and B
164. Who defined OR as scientific method of providing executive departments with a quantitative basis for decisions regarding the operations under their control?
a. Morse and Kimball (1946) d. None of the above
b. P.M.S. Blackett (1948)
c. E.L. Arnoff and M.J. Netzorg
165. OR has characteristics that it is done by a team of
a. Scientists
b. Mathematicians
c. Academics
d. All of the above
166. A solution can be extracted from a model either by
a. Conducting experiments on it
b. Mathematical analysis
c. **Both A and B**
d. Diversified Techniques
167. OR uses models to help the management to determine its _____.
a. Policies
b. Actions
c. **Both A and B**
d. None of the above
168. What have been constructed from OR problems and methods for solving the models that are available in many cases?
a. Scientific Models
b. Algorithms
c. **Mathematical Models**
d. None of the above
169. Which technique is used in finding a solution for optimizing a given objective, such as

profit maximization or cost reduction under certain constraints?

- a. Quailing Theory
- b. Waiting Line
- c. Both A and B

d. **Linear Programming**

170. What enables us to determine the earliest and latest times for each of the events and activities and thereby helps in the identification of the critical path?

- a. Programme Evaluation
- b. Review Technique (PERT)

c. **Both A and B**
d. Deployment of resources

171. OR techniques help the directing authority in optimum allocation of various limited resources like _____

- a. Men and Machine
- b. Money
- c. Material and Time

d. **All of the above**

172. The Operations research technique which helps in minimizing total waiting and service costs is

- a. **Queuing Theory**
- b. Decision Theory
- c. Both A and B

d. None of the above

173. What is the objective function in linear programming problems?

- a. A constraint for available resource
- b. An objective for research and development of a company
- c. **A linear function in an optimization problem**
- d. A set of non-negativity conditions

174. Which statement characterizes standard form of a linear programming problem?

- a. **Constraints are given by inequalities of any type**
- b. Constraints are given by a set of linear equations
- c. Constraints are given only by inequalities of $\geq$ type
- d. Constraints are given only by inequalities of $\leq$ type

175. Feasible solution satisfies _____

- a. Only constraints
- b. only non-negative restriction

c. **[a] and [b] both**
d. [a],[b] and Optimum solution

176. In Degenerate solution value of objective function _____.

- a. increases infinitely
- b. basic variables are nonzero
- c. decreases infinitely

d. **One or more basic variables are zero**

177. Minimize $Z =$ _____

- a. $-\text{maximize}(Z)$
- b. **$-\text{maximize}(-Z)$**
- c. $\text{maximize}(-Z)$

d. none of the above

178. In graphical method the restriction on number of constraint is _____.

- a. 2
- b. not more than 3
- c. 3

d. **none of the above**

179. In graphical representation the bounded region is known as _____ region.

- a. Solution
- b. basic solution

c. **feasible solution**

d. optimal

180. Graphical optimal value for Z can be obtained from

a. **Corner points of feasible region**

c. corner points of the solution region

b. Both a and c

d. none of the above

State True or False:

181. Objective function in Linear Programming problems has always finite value at the optimal solution- **TRUE**

182. A finite optimal solution can be not unique- **FALSE**

183. Feasible regions are classified into bounded, unbounded, empty and multiple: **TRUE**

184. Corner points of a feasible region are located at the intersections of the region and coordinate axes: **TRUE**

185. Identify the type of the feasible region given by the set of inequalities $x - y \leq 1$

$x - y \geq 2$

where both x and y are positive.

a. A triangle

d. **An empty region**

b. A rectangle

c. An unbounded region

186. Consider the given vectors: a(2,0), b(0,2), c(1,1), and d(0,3). Which of the following vectors are linearly independent?

a. a, b, and c are independent

c. **a and c are independent**

b. a, b, and d are independent

d. b and d are independent

187. Consider the linear equation

$$2x_1 + 3x_2 - 4x_3 + 5x_4 = 10$$

How many basic and non-basic variables are defined by this equation?

a. **One variable is basic, three variables are non-basic**

b. Two variables are basic, two variables are non-basic

c. Three variables are basic, one variable is non-basic

d. All four variables are basic

188. The objective function for a minimization problem is given by

$$z = 2x_1 - 5x_2 + 3x_3$$

The hyperplane for the objective function cuts a bounded feasible region in the space (x_1, x_2, x_3) . Find the direction vector d, where a finite optimal solution can be reached.

A. d(2,-5,3)

D. d(-2,-5,-3)

B. d(-2,5,-3)

C. d(2,5,3)

189. What is the difference between minimal cost network flows and transportation problems?

a. The minimal cost network flows are special cases of transportation problems

b. **The transportation problems are special cases of the minimal cost network flows**

c. There is no difference

d. The transportation problems are formulated in terms of tableaus, while the minimal cost network flows are formulated in terms of graphs

190. With the transportation technique, the initial solution can be generated in any fashion one chooses. The only restriction is that

a. **the edge constraints for supply and demand are satisfied.**

b. the solution is not degenerate.

- c. the solution must be optimal.
 - d. one must use the northwest-corner method.
191. The purpose of the stepping-stone method is to
- B. develop the initial solution to the transportation problem.
 - C. assist one in moving from an initial feasible solution to the optimal solution.**
 - D. determine whether a given solution is feasible or not.
 - E. identify the relevant costs in a transportation problem.
192. The purpose of a dummy source or dummy destination in a transportation problem is to
- F. prevent the solution from becoming degenerate.
 - G. obtain a balance between total supply and total demand.**
 - H. make certain that the total cost does not exceed some specified figure.
 - I. provide a means of representing a dummy problem.
193. Which of the following is NOT needed to use the transportation model?
- a. the cost of shipping one unit from each origin to each destination
 - b. the destination points and the demand per period at each
 - c. the origin points and the capacity or supply per period at each
 - d. degeneracy**
194. Which of the following is a method for improving an initial solution in a transportation problem?
- A. northwest-corner
 - J. intuitive lowest-cost
 - K. southeast-corner rule
 - L. stepping-stone**
195. The transportation method assumes that
- M. there are no economies of scale if large quantities are shipped from one source to one destination.**
 - B. the number of occupied squares in any solution must be equal to the number of rows in the table plus the number of columns in the table plus 1.
 - C. there is only one optimal solution for each problem.
 - D. the number of dummy sources equals the number of dummy destinations.
196. In a transportation problem, we must make the number of _____ and _____ equal.
- a. destinations; sources
 - b. units supplied; units demanded**
 - c. columns; rows
 - d. positive cost coefficients; negative cost coefficients
 - e. warehouses; suppliers
197. _____ or _____ are used to "balance" an assignment or transportation problem.
- A. Destinations; sources
 - B. Units supplied; units demanded
 - C. Dummy rows; dummy columns**
 - D. Large cost coefficients; small cost coefficients
 - E. Artificial cells; degenerate cells
198. _____ The net cost of shipping one unit on a route not used in the current transportation problem solution is called the _____.
- A. change index
 - B. new index
 - C. MODI index
 - D. idle index
 - E. Improvement index**
199. The procedure used to solve assignment problems wherein one reduces the original assignment costs to a table of opportunity costs is called _____.

- a. stepping-stone method
- b. matrix reduction**
- c. MODI method
- d. northwest reduction
- e. simplex reduction

200. The method of finding an initial solution based upon opportunity costs is called _____.

- A. the northwest corner rule
- B. Vogel's approximation**
- C. Johanson's theorem
- D. Flood's technique
- E. Hungarian method

201. An assignment problem can be viewed as a special case of transportation problem in which the capacity from each source is _____ and the demand at each destination is _____.

- A. 1; 1**
- B. Infinity; infinity
- C. 0; 0
- D. 1000; 1000
- E. -1; -1

202. _____ occurs when the number of occupied squares is less than the number of rows plus

- A. Degeneracy**
- B. Infeasibility
- C. Unboundedness
- D. Unbalance
- E. Redundancy

203. Both transportation and assignment problems are members of a category of LP problems called _____.

- A. shipping problems
- B. logistics problems
- C. generalized flow problems
- D. routing problems
- E. network flow problems**

204. The equation $R_i + K_j = C_{ij}$ is used to calculate _____.

- a. an improvement index for the stepping-stone method
- b. the opportunity costs for using a particular route
- c. the MODI cost values (R_i , K_j)**
- d. the degeneracy index
- e. optimality test

205. In case of an unbalanced problem, shipping cost coefficients of _____ are assigned to each created dummy factory or warehouse.

- a. very high positive costs
- b. very high negative costs
- c. 10
- d. zero**
- e. one

206. The initial solution of a transportation problem can be obtained by applying any known method. However, the only condition is that

- A. The solution be optimal
- B. The rim conditions are satisfied**
- C. The solution not be degenerate
- D. All of the above

207. The dummy source or destination in a transportation problem is added to

- A. Satisfy rim conditions**
- B. Prevent solution from becoming degenerate
- C. Ensure that total cost does not exceed a limit
- D. None of the above

208. The occurrence of degeneracy while solving a transportation problem means that

- A. Total supply equals total demand
- B. The solution so obtained is not feasible**
- C. The few allocations become negative
- D. None of the above

209. An alternative optimal solution to a minimization transportation problem exists whenever opportunity cost corresponding to unused route of transportation is:

- A. Positive & greater than zero
- C. Negative with at least one equal to zero
- B. Positive with at least one equal to zero**
- D. None of the above
210. One disadvantage of using North-West Corner rule to find initial solution to the transportation problem is that
- A. It is complicated to use
- B. It does not take into account cost of transportation**
- C. It leads to a degenerate initial solution
- D. All of the above
211. The solution to a transportation problem with 'm' rows (supplies) & 'n' columns (destination) is feasible if number of positive allocations are
- a. $m+n$ d. $m+n+1$
- b. $m*n$
- c. $m+n-1$**
212. If an opportunity cost value is used for an unused cell to test optimality, it should be
1. Equal to zero 3. Most positive number
- 2. Most negative number** 4. Any value
213. During an iteration while moving from one solution to the next, degeneracy may occur when
- A. The closed path indicates a diagonal move
- B. Two or more occupied cells are on the closed path but neither of them represents a corner of the path.
- C. Two or more occupied cells on the closed path with minus sign are tied for lowest circled value**
- D. Either of the above
214. The large negative opportunity cost value in an unused cell in a transportation table is chosen to improve the current solution because
- a. It represents per unit cost reduction** d. None of the above
- b. It represents per unit cost improvement
- c. It ensure no rim requirement violation
215. The smallest quantity is chosen at the corners of the closed path with negative sign to be assigned at unused cell because
- A. It improve the total cost
- C. It ensure feasible solution**
- B. It does not disturb rim conditions
- D. All of the above
216. When total supply is equal to total demand in a transportation problem, the problem is said to be
- a. Balanced**
- b. Unbalanced
- c. Degenerate
- d. None of the above
217. Which of the following methods is used to verify the optimality of the current solution of the transportation problem
- a. Least cost method
- c. Modified distribution method**
- b. Vogel's approximation method
- d. All of the above
218. The degeneracy in the transportation problem indicates that
- A. Dummy allocation(s) needs to be added
- D. a & b but not c
- B. The problem has no feasible solution
- C. The multiple optimal solution exist**
219. In a transportation problem, when the number of occupied routes is less than the number of rows plus the number of columns -1, we say that the solution is:
- A. Unbalanced.
- C. Optimal.
- B. Infeasible.
- D. impossible.

E. Degenerate.

220. The only restriction we place on the initial solution of a transportation problem is that: we must have nonzero quantities in a majority of the boxes.

A. all constraints must be satisfied.

B. demand must equal supply.

C. we must have a number (equal to the number of rows plus the number of columns minus one) of boxes which contain nonzero quantities.

D. None of the above

221. The initial solution of a transportation problem can be obtained by applying any known method. However, the only condition is that

A. the solution be optimal

C. the solution not be degenerate

B. the rim condition are satisfied

D. all of the above

222. The dummy source or destination in a transportation problem is added to

A. satisfy rim condition

C. ensure that total cost does not exceed a limit

B. prevent solution from becoming degenerate

D. all of the above

223. The occurrence of degeneracy while solving a transportation problem means that

a. total supply equals total demand

c. the few allocations become negative

b. the solution so obtained is not feasible

d. none of the above

224. An alternative optimal solution to a minimization transportation problem exists whenever opportunity cost corresponding to unused routes of transportation is:

A. positive and greater than zero

B. positive with at least one equal to zero

C. negative with at least one equal to zero

D. all of the above

225. One disadvantage of using North-West Corner Rule to find initial solution to the transportation problem is that

A. it is complicated to use

B. it does not take into account cost of transportation

C. it leads to degenerate initial solution

D. all of the above

227. In an assignment problem involving 5 workers and 5 jobs, total number of assignments possible is ____.

A. 5

C. 15

B. 10

D. 20

Answer A

228. Graphical method of linear programming is useful when the numbers of decision variable are

A. 2

C. 4

B. 3

D. 5

answer A

229. The cost of a surplus variable is ____.

A. 0

C. 2

B. 1

D. -1

Answer A

230. The dual of the dual is ____.

A. dual-primal

C. dual

B. primal-dual

D. primal

Answer D

231. Solution of a Linear Programming Problem when permitted to be infinitely large is called ____.

A. unbounded

B. bounded

C. optimum solution

D. no solution

Answer C

232. When the total demand is not equal to supply then it is said to be_____.

A. balanced

C. maximization

B. unbalanced

D. minimization

answer B

233. All equality constraints can be replaced equivalently by_____inequalities

A. 1

C. 3

B. 2

D. 4

answer B

234. If the primal has an unbound objective function value then the dual has

A. solution

C. basic feasible solution

B. basic solution

D. no feasible solution

answer D

235. If there is no non-negative replacement ratio in a solution which is sought to be improved, then the solution is_.

A. bounded

C. no solution

B. unbounded

D. alternative solution

answer B

236. The similarity between assignment problem and transportation problem is_____.

A. both are rectangular matrices

C. both can be solved by graphical method

B. both are square matrices

D. both have objective function and non-negativity constraints

answer D

237. If all a_{ij} values in the entering variable column of the simplex table are negative, then_____.

A. solution is unbounded

C. there exist no solution

B. solution is degenerate

D. there are multiple solutions

answer A

238. An unoccupied cell in the transportation method is analogous to a_____.

A. $Z_j - C_j$ value in the simplex table.

B. variable in the B-column in the simplex table.

C. variable not in the B-column in the simplex table.

D. value in the XB column in the simplex table.

answer B

239. The area bounded by all the given constraints is called_____.

A. feasible region

C. non feasible region

B. basic solution

D. optimum basic feasible solution

answer A

240. An activity is critical if its_____float is zero

A. total

C. independent

B. free

D. interference

answer A

241. _____occurs when the number of occupied squares is less than the number of rows plus

A. Degeneracy

C. Unboundedness

B. Infeasibility

D. Unbalance

answer A

243. In assignment problem of maximization, the objective is to maximise

A. Profit

C. cost

B. optimization

D. Loss

answer A

244. In Degenerate solution value of objective function__.

- A. increases infinitely
- B. basic variables are nonzero
- C. decreases infinitely
- D. One or more basic variables are zero

Answer D

245. In graphical method the restriction on number of constraint is_.

- A. 2
- B. not more than 3
- C. 3
- D. none of the above

answer D

246. In graphical representation the bounded region is known as__region.

- A. Solution
- B. basic solution
- C. feasible solution
- D. optimal

answer C

247. In LPP the condition to be satisfied is

- A. Constraints have to be linear
- B. Objective function has to be linear
- C. none of the above
- D. both a and b

answer D

248. In operations research, the_____are prepared for situations.

- A. mathematical models
- B. physical models diagrammatic
- C. diagrammatic models
- D. all of above

Answer A

249. One disadvantage of using North-West Corner rule to find initial solution to the transportation problem is that

- A. It is complicated to use
- B. It does not take into account cost of transportation
- C. It leads to a degenerate initial solution
- D. All of the above

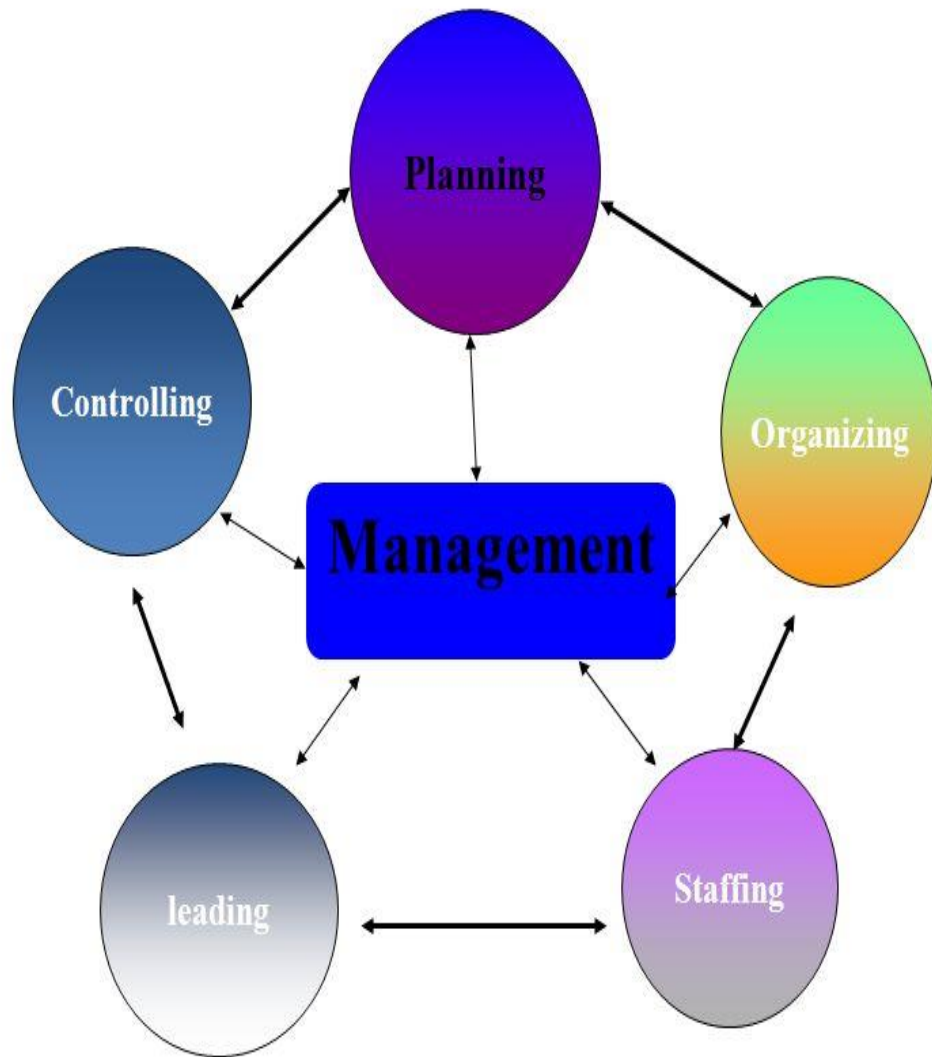
Answer B

250. Operations management can be defined as the application of_____to aproblem within a system to yield the optimal solution.

- A. Suitable manpower
- B. mathematical techniques, models, and tools
- C. Financial operations
- D. all of above

answer B

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References

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6.Conclusion

The book "win any exam in management" is a comprehensive resource for students studying field of management. With over 3000 questions and answers covering 16 courses, it provides a thorough review of key concepts and principles in the field. Theme one covered fundamentals of management and marketing including three (introduction to management, principles of marketing, and international marketing). Theme two is deals about human resource and organizational behavior include three courses (human resources management, organizational behavior, and leadership and change management). Theme 3 deals about innovation, strategy and project management consists of 4 courses such as entrepreneurship, management information systems, strategic management, and project management. Theme 4 managerial statistics and business research has three courses like business research methods, statistics for management I, and statistics for management II. Theme 5 is management science and financial management with three courses such as operations management, financial management, and operations research.

= The End=

Thank you for using this book!

Dr. Kanbiro Orkaido Deyganto